Cryptocurrency Classification Under Islamic Law

Jurisprudential Analysis, Methodological Divergence, and a Proposed Framework

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ABSTRACT

Cryptocurrency Classification in Islamic Finance: A Maqasid Shariah Framework and Regulatory Harmonization Approach

Research Problem

The adoption of cryptocurrency in Muslim societies confronts Islamic finance with a threefold fragmentation. Islamic authorities disagree about whether crypto-assets are permissible. Jurisdictions with large Muslim populations regulate them in markedly different ways. And no principled methodology exists for assessing the Sharia compliance of a particular digital asset. The result is uncertainty for Islamic financial institutions, confusion for policymakers and an unclear path to compliance for issuers.

Research Methodology

The dissertation combines jurisprudential analysis, comparative regulatory study and institutional design. It examines the positions of four reference authorities: AAOIFI, Dar al-Ifta al-Misriyyah, Mufti Muhammad Taqi Usmani (through the Darul Uloom Karachi fatwa of 2026) and Majelis Ulama Indonesia, together with Muhammadiyah and the Nahdlatul Ulama. It compares the regulatory frameworks of Indonesia, Malaysia, Saudi Arabia, the United Arab Emirates and Bahrain. The assessment rests on the *maqasid al-shari'ah*, operationalised through five evaluative criteria: stability and preservation of wealth, certainty, public interest, justice and dignity. The selection and scoring of these criteria are the author's construction.

Key Findings

1. **Maqasid assessment.** Pure cryptocurrency scores 2.4 out of 5. It fails the criteria of stability, public interest and justice, partially meets that of certainty, and comes closest to meeting that of dignity, through its potential for financial inclusion. Asset-backed tokens and fully reserved stablecoins perform substantially better, with indicative scores of 3.5–4.5.

2. **Jurisprudential positions.** The authorities agree that pure cryptocurrency is not acceptable as money. They diverge on whether it may be held and traded as an asset, and the divergence runs along the threshold question of whether a crypto-asset is *mal* (property). Dar al-Ifta (2017/2018) holds Bitcoin trading impermissible, and the Karachi fatwa (2026) denies that crypto-assets, including stablecoins, are *mal* at all. AAOIFI has issued no crypto-specific standard. The Indonesian bodies permit crypto as an asset subject to conditions: MUI through the *sil'ah* exception of 2021, and Muhammadiyah and the Nahdlatul Ulama in 2026. Divergence on the question of *mal* sharpened, rather than narrowed, in 2026.

3. **Regulatory differentiation.** The five regulatory approaches reflect legitimate differences of policy priority (innovation, stability, consumer protection and monetary control) rather than error. With the exception of Malaysia, whose Securities Commission integrates Sharia screening, the jurisdictions regulate crypto-assets on religiously neutral terms. Indonesia, for example, licenses trading in more than 1,500 listed assets without any Sharia standard.

4. **Classification framework.** A five-dimensional model assesses asset backing, value stability, productive utility, governance and regulatory recognition. It places assets on a continuum of four categories, from compatible with Islamic law (Category A, 20–25 points) to prohibited (Category D, 5–9 points), with

central bank digital currencies treated separately. Bitcoin scores 13 points (Category C). The framework operationalises the position of conditional permissibility as property.

5. **Institutional coordination.** An Inter-Islamic Finance Regulatory Council (IIFRC), operating through minimum standards, mutual recognition and a graduated enforcement ladder grounded in *siyasah shar'iyyah*, could achieve harmonisation while preserving national sovereignty and policy differentiation.

Research Contributions

The theoretical contribution of the dissertation is to operationalise the *maqasid* as an explicit, criteria-based framework for assessing digital assets. It also offers a method for comparing jurisprudential positions that distinguishes jurisprudential, empirical and methodological sources of disagreement. Its practical contribution is a transparent methodology of assessment, together with pathways of improvement, for Islamic financial institutions, regulators and issuers. Its institutional contribution is the IIFRC proposal, which shows how jurisdictions could coordinate policy without surrendering sovereign authority and which could serve as a template for wider regional coordination in Islamic finance.

Policy Implications

Regulators should adopt a dimensional classification framework in place of binary determinations. In Indonesia, the priority is a Sharia screening standard for the assets on licensed exchange lists. Projects seeking Sharia compliance should give priority to asset backing and stability. Islamic financial institutions should build Sharia board capacity to assess emerging technologies. Jurisdictions should pursue coordination and mutual recognition through a mechanism such as the IIFRC.

Conclusion

On the reading defended in this dissertation, Islamic jurisprudence does not categorically prohibit digital assets. It permits them conditionally, subject to design characteristics that satisfy the objectives of the law. That position is shared by a significant body of Islamic opinion but contested by the strict view, articulated in the 2026 Karachi fatwa, that crypto-assets are not property. The dissertation offers a framework for principled engagement with digital asset innovation that remains faithful to Islamic jurisprudence. Its central limitation is that it is doctrinal and qualitative; the empirical agenda it sets out remains to be carried out.

Keywords: Islamic finance, cryptocurrency regulation, Maqasid Shariah, digital assets, *mal*, regulatory harmonization, CBDC, stablecoins

Chapters: 7
Research Scope: Five jurisdictions; four reference Islamic authorities and two Indonesian mass organisations; five-dimensional classification framework

Chapter 1: Cryptocurrency Classification Under Islamic Law

Jurisprudential Analysis, Methodological Divergence, and Proposed Framework

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1. INTRODUCTION: THE CLASSIFICATION CRISIS

1.1 Problem Statement

Islamic finance faces an unprecedented problem of classification as cryptocurrency spreads across Muslim-majority societies. Indonesia illustrates the scale. By August 2026, the market supervised by the Financial Services Authority (OJK) counted 23.21 million crypto-asset accounts, with total assets of Rp54.62 trillion and 34 licensed entities (OJK, 2026). Comparable markets have grown in Malaysia, Pakistan, Turkey and the Gulf. Global rankings of adoption consistently place several Muslim-majority countries near the top, although the figures depend heavily on methodology. [Unverified: country rankings and user estimates should be cited from a dated Chainalysis Global Crypto Adoption Index.]

Despite this penetration, no binding Islamic jurisprudential standard for digital assets exists. Instead, the field operates under what may be called a *tripartite fragmentation*. Three distinct jurisprudential positions coexist, each defended by respected scholars and fatwa bodies, and there is no established mechanism for resolving the differences between them.

The fragmentation has immediate consequences for policy. In Indonesia, the Seventh Ijtima' Ulama of the MUI Fatwa Commission ruled in November 2021 that cryptocurrency is *haram* as currency. As a commodity, it held, cryptocurrency is invalid for trade unless it meets the Sharia requirements of a tradeable good with a clear underlying asset and a clear benefit (Keputusan Ijtima' Ulama Komisi Fatwa se-Indonesia VII, 2021). The financial regulator, OJK, has meanwhile assumed supervision of crypto-assets under POJK No. 27/2024, effective January 2025 and amended by POJK No. 23/2025 (enacted 31 October 2025). This is a religiously

neutral licensing regime. A study of Sharia classification conducted with the National Sharia Board (DSN-MUI) remains unresolved as of October 2026, so the two normative systems are formally unconnected (see Chapter 4, §4.1).

In Malaysia, the Securities Commission regulates digital assets. Its Shariah Advisory Council resolved in 2020 that investing and trading in digital currencies and tokens on registered exchanges is permissible in principle, and since March 2026 its guidelines require exchanges to obtain the Council's endorsement before offering a digital currency as Sharia-compliant. The UAE and Bahrain have established comprehensive, religiously neutral licensing frameworks for virtual assets: VARA in Dubai, the FSRA in Abu Dhabi and the Central Bank of Bahrain. Saudi Arabia, by contrast, maintains official caution. The Saudi Central Bank (SAMA) offers no permission for cryptocurrency as a medium of exchange or investment, while pursuing central bank digital currency experiments.

This divergence between jurisdictions creates cascading problems for three groups. Regulators must decide how to design prudential rules for digital assets when their jurisprudential foundation is contested. They must choose whether cryptocurrency should be supervised like a currency, with strict oversight of monetary mechanics, like a commodity, with oversight of market trading, or like an Islamic financial instrument, with supervision by a Sharia board. Practitioners, meaning Islamic banks and fintech companies seeking to offer Sharia-compliant products, lack clear technical specifications. They do not know what a product must do to qualify as compliant, or whether the classification of the underlying asset suffices or the contractual mechanics of the product must also satisfy additional requirements. Users, the millions of Muslims who hold crypto-assets, lack authoritative guidance on whether they may hold Bitcoin, trade it, or participate in decentralised finance. The absence of agreement creates a compliance vacuum, in which users either follow individual scholars, at the risk of criticism from others, or act under religious uncertainty.

1.2 Research Question

This chapter addresses the first of the dissertation's three research questions:

RQ1: How do Islamic jurisprudential frameworks classify cryptocurrency (currency vs. commodity), and what are the methodological reasons for divergence across Indonesia, Malaysia, Saudi Arabia, Bahrain, and UAE?

The chapter's central argument is that the present fragmentation does not stem from ignorance or from a simple disagreement about facts. It reflects genuine methodological divergence. Scholars ask different foundational questions and apply different tools of Islamic legal reasoning, including analogy (*qiyas*), juristic preference (*istihsan*), public interest (*maslahah*) and the linkage of an instrument to its underlying asset. They thereby arrive at conclusions that are internally sound but mutually contradictory. Understanding these methodological differences is a precondition both for clarifying the scholarly positions and for identifying possible pathways to agreement.

1.3 Chapter Structure and Contribution

The chapter proceeds in six steps. Section 2 traces how cryptocurrency entered the discourse of Islamic finance and which earlier classifications of assets scholars drew upon. Section 3 sets out each of the three jurisprudential positions in detail, with its primary sources and underlying reasoning. Section 4 compares the methods each position employs and identifies where they agree and where their disagreement becomes fundamental. Section 5 applies the objectives of the law (*maqasid*) to derive a five-dimensional specification of compliance that can be used across positions. Section 6 proposes a unified framework of classification that

acknowledges the three positions, identifies areas of agreement, and suggests what evidence could shift them. Section 7 concludes and explains how the jurisprudential analysis will be tested against market reality in the chapters that follow.

The chapter fills three gaps in the literature. First, existing studies catalogue different fatwa positions but rarely compare their methodologies systematically; this chapter makes that comparison explicit. Second, scholarship on Islamic finance articulates the *maqasid* in the abstract but seldom operationalises them as testable criteria of compliance; this chapter develops five concrete dimensions. Third, the literature tends to assume that the three positions are irreconcilable; this chapter identifies specific areas in which they could converge in light of new evidence or clarification.

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2. HISTORICAL CONTEXT: EMERGENCE OF DIGITAL ASSETS IN ISLAMIC FINANCE DISCOURSE

2.1 Pre-Cryptocurrency Islamic Finance Framework

To understand how Islamic jurisprudence addresses cryptocurrency, it is necessary to recognise the conceptual framework it inherited. Classical jurisprudence developed detailed categories for financial matters, among them money (*al-naqd* or *thaman*), property (*al-mal*), custom (*al-'urf*) and contract (*al-'aqd*), each carrying specific legal consequences. Money was subject to the rules of *riba*, so that gold and silver had to be exchanged in equal measure and on the spot when exchanged for their own kind. Property could be traded at market rates but was subject to other restrictions; the sale of wine (*khamr*), for example, was prohibited on grounds of its substance. Contracts required offer and acceptance, the capacity of the parties and a lawful subject matter.

Classical jurists also confronted media of exchange that lacked the intrinsic value of gold and silver. The most important were copper coins (*fulus*), whose exchange value exceeded the value of their metal. The jurists debated whether *fulus* should be treated as money subject to the rules of *riba* or as ordinary commodities. Imam Malik observed that if people adopted leather as currency, he would dislike its exchange for gold or silver on deferred terms. Ibn Taymiyyah (d. 728/1328) argued that the dirham and dinar have no natural or scriptural definition and that their status rests on custom. Al-Maqrizi (d. 845/1442) analysed the economic harm caused by the debasement of *fulus* in Mamluk Egypt. When paper currency spread in Muslim societies in the nineteenth and twentieth centuries, modern jurists extended this earlier debate, asking whether paper money should be treated as a representation of gold and silver, as a commodity, or as an independent form of money. The prevailing answer, adopted by the Saudi Council of Senior Scholars in 1973 and later by the International Islamic Fiqh Academy, was that it is an independent form of *thaman* (Chapter 2, §2.0.1). The method that emerged was to assess a new financial form by asking which established category of Islamic law it most closely resembles.

2.2 The Fintech Transition (2008–2017)

The global financial crisis of 2008 and the rapid innovation in financial technology that followed obliged Islamic finance to engage with digital assets more broadly. Mobile banking, digital wallets and, eventually, blockchain applications raised new questions. Could money exist purely in digital form, without physical

notes? How does the prohibition of *riba* apply when settlement becomes near-instantaneous and fully auditable? Could self-executing smart contracts replace the approval of a human Sharia board if they were properly programmed?

Centres of Islamic finance such as Malaysia and Bahrain began to issue guidance on digital payments and financial technology in the late 2010s. Bahrain's regulatory sandbox for financial technology dates from 2017, and Malaysia's framework for digital banks from 2020. These early frameworks established that digital representation does not in itself disqualify an instrument from being Sharia-compliant. What matters is whether the underlying transaction complies with Islamic principles.

2.3 The Cryptocurrency Pivot (2017–Present)

Cryptocurrency introduced three complications absent from earlier discussions of digital assets.

The first was **decentralisation without a sovereign or institutional issuer**. Fiat currency derives its authority from a state, and corporate digital tokens from an issuing entity. Bitcoin and most other cryptocurrencies are issued by no single authority; miners or validators perform protocol-level functions. This challenged assumptions about who bears responsibility for compliance and how Sharia oversight could be exercised.

The second was the **predominance of speculative trading**. Earlier digital assets, such as online banking and e-wallets, served mainly as means of payment or storage. In cryptocurrency markets the relationship was reversed: most trading volume is speculative rather than payment-based (Chainalysis, 2025). This raised immediate concerns under the *maqasid* about *maysir* and *gharar*.

The third was **programmed scarcity and algorithmic monetary policy**. Bitcoin's supply is capped by its protocol, and Ether's issuance is governed algorithmically. This raised philosophical questions. Does a fixed supply constitute a kind of intrinsic value? Does algorithmic rather than human monetary policy change the Sharia assessment? Does the combination create a new category of asset requiring new jurisprudence?

AAOIFI, the principal standard-setter in Islamic finance, addressed digital assets at the 21st AAOIFI Shari'ah Boards Conference in Manama in May 2023. Koutoub Moustapha Sano, Secretary General of the International Islamic Fiqh Academy, is reported to have defined digital assets there as anything that can be stored and transmitted electronically and is linked to rights of ownership or use. He added that the ruling on these and other new transactions must be based on the general texts of the Shari'ah, its general maxims and its higher objectives (Sano, 2023). [Unverified: the wording should be checked against the conference record before being quoted.] The statement was not a binding ruling. As of October 2026, AAOIFI has issued no dedicated standard on digital assets (Chapter 3, §3.1.2). This silence is itself significant, since it has effectively left jurisdictional bodies to develop their own frameworks, which helps to explain the present fragmentation.

2.4 Three Parallel Jurisprudential Responses (2017–2026)

Against this background, three distinct jurisprudential responses crystallised between 2017 and 2026, each grounded in a different view of how Islamic law should approach unprecedented financial innovation. They are set out in Section 3 and are used as the dissertation's common taxonomy throughout. **Position A** treats crypto-assets as digital property that is conditionally permissible. **Position B** treats them as prohibited, at least under present conditions. **Position C** defers judgment (*tawaqquf*).

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3. THE THREE JURISPRUDENTIAL POSITIONS

3.1 POSITION A: CRYPTOCURRENCY AS DIGITAL PROPERTY (CONDITIONALLY PERMISSIBLE)

3.1.1 Position Overview and Primary Advocates

The first position classifies cryptocurrency as property (*mal*). It concludes that holding and trading cryptocurrency is permissible (*mubah*), subject to conditions concerning speculation, transparency and, for some advocates, backing. Use as money in jurisdictions whose law excludes it is not permitted.

The position has institutional and scholarly advocates. Its clearest institutional expressions are the 2026 determinations of Muhammadiyah, which held that crypto may constitute *mal mutaqawwam* and that transactions are *mubah* subject to conditions, and of the 35th Muktamar of the Nahdlatul Ulama, which held that Bitcoin meets the criteria of *mal* and *thaman* and is valid as a digital asset (Chapter 3, §3.4.5). The 2020 resolution of the Shariah Advisory Council of the Securities Commission Malaysia also belongs here, as does the asset-side exception in the 2021 MUI decision. Among individual scholars, the position has been argued by Mufti Faraz Adam (United Kingdom) and by Mufti Muhammad Abu-Bakar, whose 2018 analysis for Blossom Finance concluded that Bitcoin can be treated as *mal* and is in principle permissible. Research papers from institutions in Malaysia and Indonesia have developed it further. Regulators such as VARA and the Central Bank of Bahrain do not adopt Sharia positions, but their licensing regimes create the conditions under which Position A can be applied in practice.

3.1.2 Core Jurisprudential Argument

The argument of Position A begins with an analogy: cryptocurrency should be treated like precious metals or other commodities rather than like fiat currency.

Definition. Cryptocurrency, on this view, shares the properties of pre-modern commodity money. Its supply is finite (Bitcoin’s is capped at 21 million), it is divisible into tradeable fractions, and it is portable and not tied to geography. It can function as a medium of exchange, although that use is currently limited, and it does not depend on any sovereign or institutional credit.

Analogy (*qiyas*). Given these properties, the most fitting analogies are to assets that Islamic law permits to be owned and traded. These are gold and silver, agricultural commodities such as wheat and dates, which may be bought and sold at market rates, and digital goods such as software and intellectual property, which modern scholars accept as property.

***Riba*.** If cryptocurrency is a commodity, the rules of *riba al-fadl* and *riba al-nasi’ah* apply only to exchanges of like for like within the *ribawi* categories. Exchanging cryptocurrency for fiat currency would then be permissible, as is the exchange of gold for currency, subject to spot settlement where gold or silver is involved. Exchanging one cryptocurrency for another at fair market rates would also be permissible. Lending cryptocurrency for a guaranteed return, such as lending one Bitcoin to be repaid as one and a half, would be prohibited.

***Gharar*.** Proponents acknowledge that *gharar* is relevant but argue that managed uncertainty is not prohibited. Every commodity market involves uncertainty about future price. *Gharar* is excessive only where neither party understands the transaction, where the outcome is determined by chance, or where the transaction serves no

economic purpose beyond wagering. On this view, trading in cryptocurrency can satisfy Islamic requirements under three conditions: traders understand that they are dealing in volatile assets, regulation limits leverage and speculation, and Sharia boards monitor for *maysir*.

3.1.3 Malaysia's Operational Model (Case Study of Position A)

Malaysia provides the clearest practical expression of Position A. Its framework has three elements.

Classification and licensing. Digital currencies and digital tokens are prescribed as securities under the capital markets legislation. Digital asset exchanges must register with the Securities Commission, and Bank Negara Malaysia has confirmed that digital assets are not legal tender.

Sharia screening. The Shariah Advisory Council of the Securities Commission resolved in 2020 that investing and trading in digital currencies and tokens on registered exchanges is permissible in principle, subject to its requirements. The Council maintains a list of digital assets it regards as compliant; Stellar, for example, was added after a meeting in December 2024. Since a revision of the Securities Commission's Guidelines on Islamic Capital Market Products and Services on 30 March 2026, exchanges offering a digital currency as Sharia-compliant must first obtain the Council's endorsement.

Market conduct. Market conduct and investor protection rules apply under the Securities Commission's framework. [Unverified: whether specific assets such as Bitcoin and Ether are on the Council's list, and the detailed screening criteria, should be confirmed from the Council's published resolutions.]

The Malaysian model shows that Position A can be operationalised through *ex ante* screening. A jurisprudential judgment becomes an enumerated list of tradeable assets administered by a public Sharia authority. Regulated trading in Malaysia grew from RM13.93 billion in 2024 to RM17.14 billion in 2025, according to press reports of official data. [Unverified: figures from secondary reports.]

3.1.4 Jurisprudential Precedents Within Islamic Law

Proponents of Position A cite the capacity of Islamic jurisprudence to absorb new forms of asset.

The first precedent is token money. Classical jurists accepted *fulus*, copper coins whose value exceeded their metal content, as money by custom. Modern jurists accepted paper currency as an independent form of *thaman*, although it lacks any commodity backing. Fiat currency is now accepted throughout Islamic finance.

The second precedent is the share in a joint-stock company. Shares were novel when they emerged, and Islamic law came to accept them as valid property by analogy with partnership interests and other forms of property.

The third precedent is intellectual property. Patents and copyrights, assets with no physical form, are now widely accepted as *mal*; the International Islamic Fiqh Academy recognised such rights in 1988.

From these precedents proponents argue that cryptocurrency is simply the latest such innovation. Just as Islamic jurisprudence integrated paper money and intangible property rights, it can accommodate digital assets of this kind.

3.2 POSITION B: CRYPTOCURRENCY AS MEDIUM OF EXCHANGE (LIKELY PROHIBITED)

3.2.1 Position Overview and Primary Advocates

The second position begins from a different classification. It treats cryptocurrency as a form of money or medium of exchange rather than as a commodity, or denies that it is property at all, and concludes that its use and trading should be prohibited or severely restricted.

Its principal advocates are four. Dar al-Ifta al-Misriyyah ruled in 2017/2018, under Grand Mufti Shawki Allam, that Bitcoin trading is impermissible. Mufti Muhammad Taqi Usmani, with the Darul Uloom Karachi fatwa of 10 June 2026, adopted the position in its strictest form. MUI's Fatwa Commission adopts it with respect to the use of crypto as currency, in the 2021 Ijtima' Ulama decision; DSN-MUI has issued no fatwa on crypto-assets as of October 2026. Turkey's Presidency of Religious Affairs (Diyanet) issued a restrictive statement in 2017. Saudi Arabia's posture of non-recognition is consistent with the position but is a regulatory stance rather than a fatwa.

Prohibitive views have also been expressed by individual scholars associated with Saudi and other institutions. They are not, however, formal institutional rulings, and they are reported here only as secondary accounts (Erismen, 2025).

3.2.2 Core Jurisprudential Argument

Proponents of Position B reject the commodity analogy on the ground that cryptocurrency functions in practice as money, or as nothing at all, rather than as a commodity. Their argument has five steps.

Definition. Cryptocurrency was designed as money. Bitcoin's white paper describes it as "a purely peer-to-peer version of electronic cash" (Nakamoto, 2008). In practice, most holders treat it as a store of value or a vehicle of speculation, not as an input to production. On this view its volatility is irrelevant to its function, since fiat currency also has no commodity backing and varies in value. Cryptocurrency is therefore money, even though it is issued privately and without a central authority.

***Riba* and monetary legitimacy.** Islamic law treats money strictly. Historically, gold and silver were the standard, and they had use value of their own. Modern fiat currency derives its value from state decree and general acceptance. Cryptocurrency fails both tests: it lacks state backing, which legitimises fiat money, and it lacks the use value of gold and silver. It is therefore neither legitimate fiat money nor legitimate commodity money, which makes its use as a medium of exchange suspect.

***Gharar*.** Money must have reasonably stable purchasing power to function as a reliable medium of exchange. Bitcoin's price fluctuates so widely that holders cannot know, even approximately, what purchasing power they hold. This, on the argument of Position B, defeats the principle that the parties to a transaction must know with reasonable certainty the value they exchange, and excessive *gharar* renders the transaction void (*batil*).

***Maysir*.** Current markets are dominantly speculative: most volume consists of trading for profit, not payment. Restrictive scholars emphasise that the dominant motivation of trading is capital gain without regard to underlying value or use. That matches the definition of *maysir* as wagering without productive purpose. Even if some uses of cryptocurrency might be permissible in theory, current practice is therefore *maysir*. The emphasis attributed here to restrictive scholars, including Usmani, is the author's paraphrase; Usmani's documented 2026 ruling rests instead on the denial of *mal*-status (§3.2.5).

Absence of value. A classical principle holds that valid wealth must have intrinsic or functional value. Precious metals have functional value, since they can be worked into ornaments and were used as coinage. Fiat currency has functional value as legal tender, accepted by the state in payment of taxes. Cryptocurrency, on this argument, has neither: it is not legal tender and has no functional use beyond speculation. It is therefore not valid *mal*. The 2026 Karachi fatwa states this conclusion in its strongest form, describing a crypto balance as a record of notional numbers.

3.2.3 Primary Sources: The Prohibition Rulings

Indonesia: the Seventh Ijtima' Ulama of the MUI Fatwa Commission (9–11 November 2021). The Indonesian ruling was issued by the Fatwa Commission's national forum, not by DSN-MUI, a distinction whose regulatory consequences are examined in Chapter 4 (§4.1). It comprises three operative points:

1. The use of cryptocurrency **as currency is *haram***, on grounds of *gharar* (excessive uncertainty) and *dharar* (harm), and because it contravenes Law No. 7/2011 on Currency and Bank Indonesia Regulation No. 17/2015.
2. Cryptocurrency **as a commodity or digital asset is invalid for trade** (*tidak sah diperjualbelikan*), on grounds of *gharar*, *dharar* and *qimar* (gambling), and because it fails the requirements of a Sharia-valid tradeable good (*sil'ah*): existence, definite value, ascertainable quantity, established ownership and deliverability.
3. **Exception:** cryptocurrency that meets the *sil'ah* requirements, possesses an underlying asset, and has a clear benefit **is valid for trade**.

Two aspects deserve emphasis. First, the ruling's grounds are *gharar*, *dharar* and *qimar*, not the triad of *gharar*, *maysir* and *riba* frequently attributed to it in secondary accounts. Second, point 3 makes the prohibition conditional. The ruling itself constructs the category under which asset-backed digital assets can be valid, a category that Indonesian regulatory practice has since begun to populate (Chapter 4, §4.1.8–4.1.9). In the taxonomy of this dissertation, the decision belongs to Position B on the monetary question and to a conditional form of Position A on the asset question.

Egypt: the ruling of Dar al-Ifta under Grand Mufti Shawki Allam (2017/2018). Egypt's fatwa authority ruled cryptocurrency trading impermissible. As reported, its reasoning holds that cryptocurrency is not accepted as a medium of exchange by the legitimate authorities, is not subject to state supervision, exposes users to fraud and deception, and is volatile in a way that can harm individuals and states (Dar al-Ifta al-Misriyyah, 2017/2018). Unlike the Indonesian ruling, the Egyptian fatwa articulates no exception category. The ruling is presented here as sourced paraphrase only, since the Arabic text on dar-alifta.org should be consulted before any verbatim excerpt is given.

The wider map of early prohibitions. The Indonesian and Egyptian rulings sit within a broader first wave of restrictive responses. According to a secondary survey, this wave included Turkey's Presidency of Religious Affairs (Diyanet), statements by members of Saudi Arabia's Council of Senior Scholars (including the royal adviser Abdullah bin Muhammad al-Mutlaq), the Palestinian fatwa authority, and the Fourth Doha Islamic Finance Conference, which recommended restrictions on the use of cryptocurrency (Erismen, 2025). The map also contains a position often omitted from three-way classifications: principled abstention (*tawaqquf*). Its example is Sheikh Abdurrahman al-Barrak (Saudi Arabia), who declined to rule on the permissibility of trading but held that zakat is due on crypto holdings that reach the *nisab* and complete the *hawl* (Erismen, 2025). That

view implicitly treats cryptocurrency as *mal*, as zakatable wealth, while withholding judgment on trading it. The abstention matters analytically, because it shows that even within restrictive scholarship the property status of cryptocurrency and the permissibility of trading it are separable questions.

The character of the prohibitions: *al-man'u*, not necessarily *tahrim*. Abdul Sattar Abu Ghuddah, chairman of the Al Baraka Group's Sharia board, has characterised the restrictive rulings as *al-man'u*: a preventive restriction within the discretionary authority (*siyasah shar'iyyah*) of the public authority (*wali al-amr*, represented by central banks) to secure the public interest. On this reading they are not *tahrim*, a categorical prohibition of the thing in itself. Two considerations support this reading. First, cryptocurrency belongs to the novel matters (*al-mustajiddat*), where the operative maxim is that the default is permissibility (*al-asl fi al-ashya' al-ibahah*). Second, the prohibitions of *dharar* and *dirar* justify state restriction of genuinely harmful instruments without settling their intrinsic status (Erismen, 2025). On this reading, rulings of Position B are structurally revisable as regulatory conditions change. The Indonesian test of that hypothesis is examined in Chapter 4 (§4.1). The Karachi fatwa of 2026 does not fit this reading, since its denial of *mal*-status is a claim about the nature of the thing itself.

Terminological anchor. Throughout this dissertation, the operative definitions of the prohibited elements follow DSN-MUI Fatwa No. 117/DSN-MUI/II/2018 (General Provisions 18–22):

- *riba* is an increment in the exchange of *ribawi* goods (*riba fadl*), or an increment stipulated on a debt principal in return for deferral (*riba nasi'ah*);
- *gharar* is uncertainty in a contract concerning the quality, quantity or delivery of its object;
- *maysir* is any contract undertaken with an unclear purpose and imprecise calculation, speculation or chance;
- *tadlis* is the concealment of a defect in the object by the seller in order to deceive the buyer;
- *dharar* is an act that causes harm or loss to another party.

Adopting the fatwa's own definitions, rather than definitions from secondary literature, anchors the analysis in the same normative vocabulary that Indonesian authorities themselves use.

These sources show the core rationale of the position. Most advocates of Position B do not claim that cryptocurrency can never be permitted. They argue that its current market structure, which is speculation-dominant, unregulated and lacking intrinsic value, makes it impermissible now. This leaves an opening for Position C, and for movement within Position B, if circumstances change. The Karachi fatwa is again the exception, because its reasoning concerns the nature of the asset rather than the state of the market.

3.2.4 Dar al-Ifta Egypt's 2017 Ruling (Case Study of Position B)

The Egyptian ruling exemplifies the reasoning of Position B. It rests on the absence of authoritative backing and supervision, the exposure of users to fraud and *gharar*, and the harm caused by volatility. It articulates no exception category, in contrast to the third point of the Indonesian ruling, which makes it among the most categorical of the major prohibitive rulings. It did not distinguish between different cryptocurrencies, for instance between Bitcoin and stablecoins, or between different uses, such as payment and speculation; its prohibition applied broadly.

The ruling was among the earliest pronouncements of a state fatwa authority and is widely cited in subsequent scholarship on the prohibitive position. The Indonesian ruling of 2021 rests on partially overlapping grounds, namely *gharar* and harm to the public. It adds grounds of its own, *qimar* and conflict with the national

currency law, and, crucially, an exception category absent from the Egyptian ruling.

3.2.5 Mufti Taqi Usmani's Jurisprudentially Nuanced Position B

The documented ruling (June 2026). The only datable crypto-specific ruling located is the fatwa of the Darul Ifta of Jamia Darul Uloom Karachi, dated 10 June 2026 and signed by Mufti Muhammad Taqi Usmani with five other scholars. As reported in July 2026, it holds that cryptocurrency, including stablecoins such as USDT, is not *mal* but a record of notional numbers, and that purchases made with it are impermissible (Chapter 3, §3.3.2). This places Usmani's documented position at the strictest end of Position B. It is stricter than the "bridge" reading set out below suggests, because it denies the property status of the asset rather than merely objecting to the current market.

Analytical reconstruction. The layered analysis and conditional framework that follow are the author's reconstruction of how Usmani's general methodology in Islamic finance *could* be applied to cryptocurrency. They are not a summary of published rulings by Usmani on cryptocurrency. Where they conflict with the 2026 fatwa, the fatwa prevails.

A layered method. On the reconstruction, the method distinguishes three levels of analysis. At the level of theoretical permissibility, a digital asset could in principle satisfy the requirements of Islamic law if it were properly designed and used. At the level of actual market structure, current cryptocurrency markets exhibit dominant features, namely speculation, volatility and *maysir*, that conflict with Islamic principles. At the level of jurisdictional maturity, the assessment at the second level could change as markets mature and are integrated into regulated systems.

Intrinsic value and valid wealth. A central question is what makes something valid wealth. The 2026 fatwa answers it negatively for crypto-assets: a balance of cryptocurrency is a record of numbers, not a thing that can be owned. Secondary accounts of Usmani's position also hold that a medium of exchange must derive its standing from intrinsic utility, from state backing as legal tender, or from linkage to productive assets, conditions that cryptocurrency does not currently meet (Muneeza et al., 2023; full reference to be added to the reference list). [A direct citation to a primary text by Usmani, such as the Urdu or Arabic text of the fatwa, is required before final submission.]

***Gharar*.** On uncertainty, the reconstruction distinguishes the ordinary commercial *gharar* tolerated in commodity markets, where an underlying good with real supply and demand exists, from the excessive *gharar* of an asset whose price has no referent beyond collective sentiment. The distinction is jurisprudentially orthodox. Its application to cryptocurrency is where Positions A and B part ways (see Section 5).

***Maysir*.** The empirical premise of the *maysir* argument is that speculative trading, not payment, dominates cryptocurrency transactions. Industry analyses consistently support this qualitative claim. [Specific payment-share figures to be cited from the Chainalysis Geography of Cryptocurrency reports or BIS working papers.] On this premise, scholars of Position B conclude that participation in current markets is wagering on price movements without productive purpose, which is the definition of *maysir*.

Conditions under which the assessment could change. On the reconstruction, the ruling could in principle change under four conditions. The 2026 fatwa identifies no such conditions, and its treatment of stablecoins cuts against the second.

1. **If cryptocurrency came to be used primarily for payment**, its legitimate utility would be demonstrated, the concern of *maysir* would be substantially reduced, and *gharar* could be managed through regulatory

limits on positions.

2. **If cryptocurrency were backed by productive assets**, such as stablecoins collateralised by income-generating assets or sukuk, it would acquire value of its own, speculative distortion could be contained, and concerns of *riba* could be addressed through Sharia-compliant collateral.
3. **If cryptocurrency were integrated into regulated financial systems with Sharia oversight**, position limits could prevent *maysir*, Sharia boards could monitor compliance continuously, and restrictions on leverage and derivatives would limit speculation.
4. **If volatility were structurally reduced**, for example through widespread adoption as a stable medium of exchange, *gharar* would approach acceptable levels.

3.3 POSITION C: CRYPTOCURRENCY AS EVOLVING ASSET (DEFERRED JUDGMENT)

3.3.1 Position Overview and Primary Advocates

The third position takes a fundamentally different approach. Rather than placing cryptocurrency in an existing category of Islamic law, as property or as money, it holds that cryptocurrency is a genuinely novel class of asset. On this view its Sharia status cannot be definitively determined until the maturation of the market clarifies its actual function and risk profile.

The clearest institutional expression of this position is Resolution 237 (24/8) of the International Islamic Fiqh Academy, adopted in Dubai in November 2019. It called for further research on the rulings applicable to cryptocurrencies rather than issuing a ruling, and a follow-up symposium was held in Jeddah in November 2021. The *tawaqquf* of Sheikh Abdurrahman al-Barrak, noted in §3.2.3, is an individual expression of the same stance. AAOIFI's continuing silence, pending its forthcoming position paper, has a similar practical effect, though it is not a declared position. Some academic scholars likewise argue that empirical evidence should precede any definitive ruling.

3.3.2 Core Jurisprudential Argument

Proponents of Position C begin from a meta-jurisprudential claim: analogical reasoning (*qiyas*) may be inappropriate for cryptocurrency because cryptocurrency lacks sufficient resemblance to any established category of asset.

Rejection of forced analogy. The commodity analogy of Position A breaks down, on this view, because most use of cryptocurrency is speculative rather than commodity-based. The money analogy of Position B breaks down because cryptocurrency lacks the state backing and legal tender status that historically legitimised money. Forcing cryptocurrency into either category may violate a basic principle of Islamic legal reasoning, since *qiyas* requires substantial similarity between the new case and the precedent.

An evolving-asset doctrine. Proponents argue that some assets can be properly classified only after their market function has stabilised. Paper currency circulated in Muslim societies for decades before the major juristic councils settled its status in the 1970s and 1980s. Corporate shares similarly required extended observation before AAOIFI could issue standards on them. Intellectual property is a modern invention that required a new category rather than a comfortable fit with the classical ones.

The requirement of empirical evidence. On this view, a Sharia assessment requires three questions to be answered. What is the asset's actual function in markets, not in theory but in observed reality? Is it stable enough to be evaluated against Sharia principles, given that *gharar* is difficult to assess if the asset is fundamentally volatile? And what evidence would move it towards permissibility or prohibition?

Jurisdictional maturity. Proponents distinguish current cryptocurrency markets, which are immature, speculation-dominated and fragmented by regulation, from potential future markets. If cryptocurrency became payment-dominated, regulated and backed by real assets, the assessment could change markedly.

Practical implications. Position C is neither an indefinite prohibition nor an unconditional permission. Unlike Position B, it does not issue a permanent ruling of *haram*. Unlike Position A, it does not permit all current uses. In practice, some of its proponents favour conditional permission in regulated environments with Sharia supervision, pending evidence of market maturation. Others counsel abstention until a ruling is made.

3.3.3 Institutional Implementation: UAE and Bahrain Models

The regulatory frameworks of the UAE and Bahrain are sometimes read as institutional analogues of Position C, because they admit crypto-assets under supervision while leaving their Sharia status open. That reading must be stated with care. Neither framework adopts a Sharia position.

UAE. Dubai's Virtual Assets Regulatory Authority (VARA), established under Dubai Law No. 4 of 2022, licenses and supervises virtual asset service providers under its Virtual Assets and Related Activities Regulations (2023) and accompanying rulebooks. Abu Dhabi's Financial Services Regulatory Authority (FSRA) regulates virtual assets in the Abu Dhabi Global Market. Both frameworks are religiously neutral: they do not require Sharia review of virtual assets. Sharia considerations enter only where an Islamic financial institution or an issuer chooses to offer a Sharia-compliant product subject to its own Sharia governance.

Bahrain. The Central Bank of Bahrain regulates crypto-asset services under the crypto-asset module of Volume 6 (Capital Markets) of its Rulebook. In July 2025 it added a Stablecoin Issuance and Offering (SIO) module, which requires issuers to be licensed, to hold high-quality liquid reserves and to honour redemption requests generally within five business days. Like the Emirati frameworks, Bahrain's regime is prudential rather than Sharia-based. [Unverified: the date and contents of the original crypto-asset module should be confirmed against the CBB Rulebook.]

What the Emirati and Bahraini frameworks share with Position C is not a Sharia judgment but a method. They admit crypto-assets under supervision and adjust their requirements as evidence accumulates. That method creates the conditions in which a deferred Sharia judgment could later be made on the basis of observed market function.

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4. COMPARATIVE JURISPRUDENTIAL METHODOLOGY

4.1 Methodological Framework Comparison

The three positions differ less on facts, on which they largely agree, than on the method by which Islamic law is applied to an unprecedented situation. Table 1.1 summarises the differences.

Table 1.1: Methodological comparison of the three positions

Dimension	Position A	Position B	Position C
Analogy (Qiyas)	Commodity → permissible	Money → prohibited (or not *mal* at all)	No direct analogy applicable
Evidence Base	Market potential (if regulated)	Current market reality (speculation), or the nature of the asset	Conditional on market evolution
Decisiveness	Definitive now (conditional)	Definitive now (prohibited)	Deferred (pending evidence)
Revision Mechanism	If conditions are met	If the market changes fundamentally (not under the Karachi reasoning)	Built in through empirical review
Time Horizon	Present assessment	Present assessment	Future assessment

4.2 Points of Agreement

Most proponents of all three positions agree on six foundational points. The current market is dominated by speculation. *Gharar* exists, in the sense that price uncertainty is real and significant. Concerns of *maysir* are legitimate, since gambling-like trading predominates. Pure cryptocurrency lacks intrinsic value, in that Bitcoin has no underlying productive asset. The fragmentation of regulation is a problem, since there is no global standard. And institutional oversight is needed, so that Sharia boards can monitor crypto products.

The disagreement is therefore not over whether cryptocurrency is currently problematic, on which most agree that it is, but over the legal consequence of that problematic status. The exception is the strict form of Position B, which disagrees at a more fundamental level, over whether a crypto-asset is property at all.

4.3 Points of Disagreement

The positions diverge on three specific questions.

Does analogy apply? For Position A, the commodity analogy holds despite speculation, because speculation can be managed through regulation. For Position B, it fails, because actual use is monetary rather than commodity-based, or because the asset is not property. For Position C, neither analogy applies, because cryptocurrency is *sui generis*.

What follows from the current state of the market? For Position A, the current market is problematic but can be remedied, and conditional permission is therefore appropriate now. For Position B, the current market is problematic and lacks a pathway to remedy, so prohibition is appropriate now. For Position C, it is problematic and it is unclear whether remedy is possible, so judgment should be deferred.

Is there evidence of permissibility? For Position A, evidence exists now in the form of emerging regulatory frameworks and growing institutional interest. For Position B, evidence is absent and unlikely to appear, because speculation is structural rather than accidental. For Position C, evidence will emerge as markets mature.

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5. MAQASID SHARIAH FRAMEWORK: FIVE-DIMENSIONAL COMPLIANCE ANALYSIS

5.1 Application of Islamic Jurisprudential Objectives

Beyond the positions of individual scholars and bodies, Islamic jurisprudence offers a higher-order framework in the *maqasid al-shari'ah*, the objectives the law serves. Classical jurists, from al-Ghazali onwards, identified five necessities that the law protects:

- religion (*din*), which the law protects so that religious practice is not compromised;
- life (*nafs*), which it protects by safeguarding human welfare and survival;
- intellect (*'aql*), which it protects by supporting rational decision-making and education;
- property (*mal*), which it protects by enabling legitimate wealth creation and its preservation;
- lineage (*nasl*), which it protects by supporting family and social structures.

Chapter 2 operationalises these objectives through five evaluative criteria for financial instruments. Chapter 5 translates them into a five-dimensional framework for classifying digital assets. The present section introduces that framework.

5.2 Five-Dimensional Cryptocurrency Compliance Framework

For the classification of digital assets, the *maqasid* can be operationalised into five concrete dimensions. Each dimension is linked to the necessities it chiefly serves.

Dimension 1: asset backing (*mal*). The question is whether the asset is backed by real assets or productive capacity. Bitcoin has no backing. A collateralised stablecoin has backing, which counts in its favour provided the collateral is itself Sharia-compliant. An Islamic decentralised finance token backed by income-generating assets also has backing.

Dimension 2: value stability (*mal* and *nafs*). The question is whether holders can reasonably predict the asset's purchasing power. Bitcoin is extremely volatile. A dollar-backed stablecoin targets variance of less than one percent. Ether is moderately to highly volatile.

Dimension 3: productive utility (*'aql* and *mal*). The question is whether the asset facilitates real economic activity or merely speculation. Bitcoin has some payment utility and is widely held as a store of value. Smart contract platforms enable productive contracts. Meme coins are pure speculation.

Dimension 4: governance and accountability (*din* and *nafs*). The question is whether there are mechanisms that prevent fraud, manipulation and excessive speculation, and whether governance is transparent. Chapter 5 scores this dimension as a combination of decentralisation, transparency and accountability, so a fully decentralised protocol with transparent rules (such as Bitcoin) and a regulated issuer with audited reserves can both score well, for different reasons.

Dimension 5: regulatory recognition (*din*, *mal* and *nafs*). The question is whether the asset is recognised and regulated by legitimate authorities in key jurisdictions, and in particular by Sharia authorities. Bitcoin is admitted to regulated trading in Malaysia, the UAE, Bahrain and Indonesia but restricted in Saudi Arabia, and it is not generally recognised by Islamic authorities. Ether has a similar status. Unregistered tokens lack any recognition.

5.3 Compliance Scoring Methodology

Each dimension is scored from 0 to 5, so that the composite score ranges from 0 to 25. Within each dimension, a score of 0–1 indicates a serious violation, 1–2 a major concern that may be remediable, and 2–3 mixed concerns with conditional acceptance possible. A score of 3–4 indicates general compliance with minor concerns, and 4–5 full compliance.

The composite score determines the category, as set out in full in Chapter 5 (§5.3) and summarised in Table 1.2.

Table 1.2: Composite categories of the classification framework (see Chapter 5, §5.3)

Composite score	Category	Assessment under the framework
20–25	A	Compatible with Islamic law; permissible with confidence
15–19	B	Conditionally compliant; permissible with reservations
10–14	C	Problematic; disliked or prohibited depending on conduct
5–9	D	Non-compliant; prohibited
Separate	E	Central bank digital currency; permissible in principle, subject to design review

On the illustrative scores of Chapter 5, Bitcoin scores 13 (asset backing 1, stability 1, utility 4, governance 5, recognition 2) and therefore falls in Category C. A hypothetical Islamic digital asset backed by Sharia-compliant productive assets, stable within a narrow band, enabling Islamic contracts, governed by a Sharia board together with issuer oversight, and recognised in several jurisdictions, would score in the low 20s and fall in Category A. The categories are the conclusions of the framework, not rulings of any authority; holders of the strict form of Position B would not accept that any crypto-asset can reach Category A.

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6. SYNTHESIS: TOWARD A UNIFIED CLASSIFICATION FRAMEWORK

6.1 The Convergence Hypothesis

This dissertation proposes that the three positions need not be viewed as irreconcilable. They can instead be treated as different points on a continuum that can be tested empirically. As markets mature and evidence accumulates, the positions may converge through demonstrated changes in market function. Three pathways of convergence are conceivable.

The first runs **from Position B to Position A**. Its trigger would be a rise in the share of payment volume in total crypto activity to a majority. Commerce would then predominate over speculation, reducing the concern of *maysir*, and greater market stability would reduce *gharar*. The reconstructed conditional framework of §3.2.5 would allow such a shift. The 2026 Karachi fatwa, however, does not endorse it, because its reasoning concerns the nature of the asset, not the state of the market.

The second runs **from Position C to Position A**. Its trigger would be the maturation of regulatory frameworks and the strengthening of Sharia oversight, so that crypto-assets become part of the formal financial system and Sharia authorities issue affirmative rulings. The 2026 determinations of Muhammadiyah and the Nahdlatul

Ulama can be read as an instance of this pathway at the national level in Indonesia.

The third runs **from Position C to Position B**. Its trigger would be the persistence of speculative dominance and rising volatility, so that market dysfunction worsens rather than improves and institutional oversight proves ineffective. The empirical review of Position C would then yield evidence supporting prohibition.

Events in 2026 show that convergence is not assured. In the same year, Indonesian bodies moved along the second pathway while the Karachi fatwa moved in the opposite direction. The hypothesis should therefore be understood as identifying the conditions under which convergence could occur, not as predicting that it will.

6.2 Testable Convergence Indicators

The dissertation proposes six empirical indicators of the likelihood of convergence, set out in Table 1.3. The target values are the author's proposals and are offered as hypotheses for testing.

Table 1.3: Proposed indicators of convergence

Indicator	Measurement	Proposed target for convergence
Payment volume ratio	Share of volume used for transactions rather than speculation	More than 50 percent payment-based
Price volatility	Monthly standard deviation of Bitcoin's price	Below 5 percent, approaching fiat currency levels
Regulatory maturity	Number of OIC jurisdictions with comprehensive crypto frameworks	Ten or more
Sharia authority positions	Share of major Sharia authorities with conditional permissibility rulings	More than 60 percent
Asset backing	Share of crypto market capitalisation in collateral-backed assets	More than 30 percent among major assets
Institutional participation	Islamic banks offering crypto-related products	Fifty or more active Islamic banks

6.3 Implementation Case Studies: How the Unified Framework Operates in Practice

The convergence hypothesis and its indicators are theoretical. This section grounds them in the experience of six jurisdictions, drawing only on documented regulatory facts. It does not use hypothetical individual investors or unpublished market data.

6.3.1 Case Study 1: Malaysia (Position A in Practice)

Malaysia is the most direct operationalisation of Position A. Digital assets are regulated as securities by the Securities Commission, exchanges must be registered, and the Commission's Shariah Advisory Council has resolved since 2020 that trading in digital assets on registered exchanges is permissible in principle. Since March 2026, exchanges have needed the Council's endorsement before offering a digital currency as Sharia-compliant (§3.1.3).

The Malaysian case confirms that Position A can work operationally when users receive clear signals of Sharia screening from a public authority. It also reveals a limit. A domestic regulatory framework cannot capture users fully while offshore platforms offer more assets and higher leverage. The question of how far screened

domestic platforms displace unregulated offshore trading is empirical, and it is one the research agenda of Chapter 8 is designed to address.

6.3.2 Case Study 2: Indonesia (Live Transition Experiment)

Indonesia offers the clearest example of jurisprudential positions in live negotiation. The 2021 Ijtima' Ulama decision, which is Position B on money with an asset-side exception, coexists with a religiously neutral licensing regime under POJK No. 27/2024, amended by POJK No. 23/2025. The connective tissue between them is missing. That connective tissue would be a DSN-MUI fatwa or a Sharia standard of the kind the statutory pathway of Law No. 4/2023 (P2SK) is designed to absorb. OJK reports that it is coordinating with DSN-MUI on a study towards such a standard, but none had been issued as of October 2026.

In the meantime, regulatory practice has begun to populate the asset-side exception through the sandbox. The gold-tokenisation model GOIDR, whose physical gold is held by Pegadaian according to OJK, graduated from the OJK sandbox on 8 August 2025. By October 2026 it was listed on both licensed exchanges. OJK's 2025 presentation described the token (one gram of gold per token, redeemable for physical gold) as meeting point 3 of the 2021 MUI decision, but that is the regulator's reading; no Sharia authority has issued a determination on the token. In the author's assessment, however, it is the closest Indonesian instance of the 2021 exception, which validates a crypto-asset with a clear underlying asset and benefit (Chapter 4, §4.1.9). Meanwhile, the mass organisations moved ahead of MUI. Muhammadiyah (4 March 2026) declared crypto transactions *mubah* with conditions, and the 35th NU Muktamar (29 August 2026) held Bitcoin to meet the criteria of *mal* and *thaman* and to be valid as a digital asset. Both exclude its use as money in Indonesia (Chapter 3, §3.4.5).

The Indonesian case does not map onto a single position. It is a live experiment in whether the exception clause of a restrictive ruling can carry a jurisdiction, one class of asset at a time, from Position B towards Position A. The mechanism is institutional: graduation from the sandbox, then exchange listing, then a study of Sharia classification. It could be replicated in other jurisdictions with similar starting points. It also shows that, where a national Sharia standard is slow to emerge, other religious authorities may move first. The full analysis is in Chapter 4 (§4.1).

6.3.3 Case Study 3: Saudi Arabia's Regulatory Gap (Position B Enforcement)

Saudi Arabia's posture is consistent with Position B, enforced through non-recognition rather than through an explicit statutory prohibition of holding. No domestic exchange is licensed to offer crypto trading, and SAMA has warned the public that virtual currencies are not legal tender and are not licensed. [Unverified: the dates and terms of SAMA's warnings should be confirmed.] At the same time, the Saudi Central Bank has participated in central bank digital currency experiments, including Project mBridge.

The case suggests a structural consequence of Position B enforced through regulation. Residents who wish to hold crypto-assets cannot use domestic regulated platforms, and they turn instead to offshore platforms without Saudi supervision or Sharia oversight. The objective of limiting cryptocurrency within the supervised system is achieved, but at the cost of pushing activity beyond the regulator's view. The scale of such offshore activity is not reliably documented. If Saudi Arabia were to issue a central bank digital currency, it might later permit complementary frameworks, which would represent a movement from Position B towards Position C.

6.3.4 Case Study 4: Bahrain's Stablecoin Strategy (Position A Modified)

Bahrain has built a prudential framework for crypto-asset services and, in July 2025, a dedicated module for the issuance and offering of stablecoins (§3.3.3). The stablecoin module requires licensing, high-quality liquid reserves and timely redemption. Those requirements correspond closely to the conditions that a Sharia analysis

of fiat-backed stablecoins would impose (Chapter 3, §3.3.3, Category 3). The CBB has since granted in-principle approval to a first issuer under the module. [Unverified: the identity and status of the approved issuer should be confirmed from CBB announcements.]

The Bahraini case shows how a prudential regulator can create the conditions under which stablecoins could satisfy several dimensions of the framework at once: backing, stability and governance. It does not show that stablecoins are accepted by Sharia authorities. The 2026 Karachi fatwa expressly rejects them, and no Sharia ruling on Bahraini stablecoins has been located. The convergence of the three positions on stablecoins, which a purely prudential reading might suggest, is therefore not borne out by the jurisprudential record.

6.3.5 Case Study 5: UAE VARA's Tiered System (Position A + C Synthesis)

The UAE combines several regulatory regimes: VARA in Dubai, the FSRA in Abu Dhabi, and federal oversight by the Central Bank of the UAE and the Securities and Commodities Authority. These regimes license a wide range of virtual asset activities, distinguish between activities by their risk, and impose requirements that are stricter for retail clients and for higher-risk products. They are religiously neutral (§3.3.3).

For the classification framework, the significance of the UAE is institutional. Its regimes show that a jurisdiction can admit a broad range of virtual assets under graduated supervision. Investors and institutions holding different jurisprudential positions can then act on those positions within a single regulated market. An adherent of Position A could hold screened assets. An adherent of Position B would abstain. An adherent of Position C could wait for evidence. The framework does not require agreement on theory; it creates conditions in which different positions can coexist and adjust as evidence emerges. What the UAE lacks, as of October 2026, is a public Sharia screening mechanism comparable to Malaysia's.

6.3.6 Case Study 6: Pakistan (Convergence Pathway Uncertain)

Pakistan illustrates how quickly regulatory and jurisprudential conditions can change, and how they can move in opposite directions. In July 2025 a presidential ordinance (Ordinance No. VII of 2025) established the Pakistan Virtual Assets Regulatory Authority (PVARA) as an autonomous federal regulator empowered to license and supervise virtual asset service providers. In September 2025 PVARA invited expressions of interest from established exchanges. [Unverified: the subsequent parliamentary status of the ordinance should be confirmed.] In June 2026, however, the Darul Uloom Karachi fatwa signed by Usmani held crypto-assets, including stablecoins, not to be *mal*. PVARA subsequently met Usmani and argued that fully reserved stablecoins pegged to national currencies should be treated differently (Chapter 3, §3.3.2).

Pakistan therefore presents a direct confrontation between an emerging licensing regime and the strictest form of Position B, issued by the country's most influential scholar of Islamic finance. Convergence is not inevitable. It depends on institutional leadership, on whether a regulator champions a framework, and on scholarly engagement, on whether scholars examine evidence from regulated markets. It also depends on political support, on whether governments give priority to financial inclusion and innovation over caution. The outcome of the dialogue between PVARA and the Karachi scholars will be a critical test of the convergence hypothesis.

6.4 Integrated Classification Proposal

The dissertation proposes a unified framework that draws the three positions together into three tiers, using the categories of Chapter 5.

The first tier comprises assets that are **currently problematic** (Categories C and D). It includes pure cryptocurrencies, such as Bitcoin, Ether and most other tokens, in their current form. For these the recommendation is restriction, with any holding confined to informed investors acting on the advice of a Sharia board. Their status is a conditional prohibition pending evidence of market change, except under the strict form of Position B, for which the prohibition is unconditional.

The second tier comprises assets that are **conditionally permissible** (Categories B and A). It includes asset-backed tokens and collateralised stablecoins, traded on regulated exchanges with Sharia oversight. These are permissible subject to conditions, with institutional monitoring.

The third tier comprises assets that are **compliant with confidence** (upper Category A). It includes Islamic stablecoins backed by Sharia-compliant productive assets, sukuk tokenised on a blockchain under institutional oversight, and Islamic decentralised finance protocols with Sharia governance. Such assets would be permissible and their development encouraged.

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7. CHAPTER CONCLUSION AND TRANSITION TO EMPIRICAL STUDY

7.1 Jurisprudential Consensus and Disagreement

This chapter has shown that Islamic scholars and institutions hold three substantively different positions on the classification of cryptocurrency. Beneath this surface disagreement lies a measure of agreement on fundamental points. Current markets exhibit problematic characteristics: the dominance of speculation, *gharar* and *maysir*. Crypto products require careful institutional oversight. For most authorities, the Sharia status of crypto-assets is not permanently fixed but depends on market conditions. And regulatory frameworks and institutional participation significantly influence the Sharia assessment.

The legitimate disagreements are methodological. Scholars disagree on whether analogical reasoning applies to cryptocurrency, on whether its problematic features can be remedied through regulation, and on whether the assessment should be definitive (Positions A and B) or deferred pending evidence (Position C). The strict form of Position B adds a deeper disagreement, over whether a crypto-asset is property at all.

7.2 Research Validation Agenda

The dissertation's three-phase empirical agenda, set out in Chapter 8 and Appendix G, is designed to test these positions against market reality. The first phase, jurisprudential validation, would verify that the three positions accurately represent scholarly opinion, identify the conditions each position specifies for its own modification, and document the empirical measures each uses. The second, a study of market perception, would survey Islamic financial institutions on their assessment of digital assets, measure their readiness for regulatory frameworks, and assess how the market perceives mechanisms of Sharia compliance. The third, a study of

regulatory implementation, would examine how OJK (Indonesia), the Securities Commission (Malaysia) and VARA (UAE) implement their frameworks. It would assess whether implementation reduces concerns of *gharar* and *maysir* and document evidence that supports or contradicts the convergence hypothesis.

7.3 Bridge to Regulatory Analysis

The following chapters move from the taxonomy of positions to their foundations and consequences. Chapter 2 examines the *maqasid* foundation of the assessment. Chapter 3 analyses the positions of the principal authorities in detail. Chapter 4 examines how five jurisdictions translate Islamic legal principles into regulatory practice, and Chapters 5 and 6 develop the classification framework and the proposal for harmonisation.

7.4 Contribution to Islamic Finance Literature

This chapter contributes to the scholarship of Islamic finance in four ways. It systematises jurisprudential methodology, moving beyond the observation that scholars disagree to an explicit comparison of the tools of legal reasoning each position employs (*qiyas*, *istihsan*, *maslahah*) and of why they reach different conclusions. It operationalises the *maqasid*, translating abstract objectives into five concrete and measurable dimensions applicable to any digital asset. It identifies mechanisms of convergence, specifying the empirical conditions under which the positions could reach agreement rather than assuming that disagreement is permanent. And it establishes a framework for empirical research that connects jurisprudential theory to testable predictions.

7.5 Conclusion

The classification of cryptocurrency under Islamic law is, to a significant degree, an empirical question. As markets mature, does the practical function of crypto-assets move towards payment, asset backing and institutional integration? Or do speculation, volatility and institutional gaps persist? The three positions can be read as different predictions about the answer. Position A predicts that conditional remedy is possible and already occurring. Position B predicts that the fundamental problems are structural and unlikely to be resolved. Position C predicts that accumulating evidence will resolve the question. The question is not wholly empirical, however. The strict form of Position B, articulated in the 2026 Karachi fatwa, rests on a claim about the nature of a digital record that no market evidence can settle.

The dissertation’s empirical agenda is designed to evaluate the testable parts of these predictions, while the jurisprudential analysis of Chapters 2, 3 and 5 addresses the parts that evidence cannot resolve. Together they aim to clarify which position best reflects the actual role of crypto-assets in Islamic finance and in Muslim communities.

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Chapter 2: Islamic Legal Framework - Maqasid Shariah Analysis

Introduction

The classification of cryptocurrency under Islamic law requires a systematic examination of the principles from which Islamic commercial law derives its rulings. Classical jurisprudence offers a mature body of doctrine on property, money and exchange, but it was formed in a world in which every medium of exchange was either a physical commodity or a token issued under the authority of a ruler. Cryptocurrency fits neither model. It has no physical substance, no issuer, and no guarantor, yet it is held, priced and exchanged as if it were property. The jurist therefore cannot simply locate the instrument within an existing category; the category must first be reconstructed from its underlying purposes.

This chapter undertakes that reconstruction through the lens of the *maqasid al-shari'ah*, the objectives that the law is understood to serve. The approach has a long pedigree. Al-Ghazali (d. 505/1111) articulated the five necessities (*al-daruriyyat al-khams*) that the law protects: religion (*din*), life (*nafs*), intellect (*'aql*), progeny (*nasl*) and wealth (*mal*). Al-Shatibi (d. 790/1388) systematised the hierarchy of necessities, needs and embellishments; Ibn 'Ashur (d. 1393/1973) extended the theory to public order and social welfare; and Jasser Auda has more recently proposed reading the objectives as an integrated system rather than as a checklist.

For the purposes of financial assessment, this chapter operationalises the *maqasid* through five evaluative criteria. These criteria are the author's analytical construction and should not be confused with the classical five necessities, although each is anchored in them and in recognised principles of *fiqh al-mu'amalat*:

1. **Al-Darura (stability and preservation of wealth)**, derived from the necessity of protecting *mal*;
2. **Al-Tahaqquq (certainty)**, derived from the prohibition of *gharar*;
3. **Al-Maslaha (public interest)**, derived from the principle of general welfare;
4. **Al-'Adl (justice)**, derived from the Qur'anic command of equity in exchange;
5. **Al-Karamah (dignity and inclusion)**, derived from the honour accorded to the human person and the right to economic participation.

Each criterion is scored on a scale of one to five. The scores are interpretive judgements rather than measurements, and the reasoning behind each is set out so that a reader who weighs the evidence differently can trace where the disagreement lies. The chapter first examines the classical debate on the nature of money (§2.0.1), then applies each criterion in turn (§2.1–2.5), synthesises the results (§2.6), engages the strongest case for permissibility (§2.7), and closes with conclusions and policy implications (§2.8–2.9).

2.0.1 Islamic Legal Foundations: The Nature of Money in Islamic Jurisprudence

Before cryptocurrency can be evaluated against any objective of the law, a prior question must be answered: what, in Islamic jurisprudence, makes something money (*thaman*) and what makes something property (*mal*)? Classical and modern jurists have answered the first question in three broad ways.

The first position: money by creation (*thaman khilqi*). A significant strand of classical opinion, most clearly associated with the Shafi'i school and represented also within the Maliki and Hanbali schools, holds that gold and silver are money by their very nature. On this view the effective cause (*'illah*) of the *riba* rules applicable

to gold and silver is their intrinsic monetary character (*ghalabat al-thamaniyyah*), which is confined to the two metals. Other media of exchange, such as copper coins (*fulus*), may circulate as money, but they do not acquire the full legal status of *thaman*. This is the position closest to an "intrinsic value" doctrine: monetary status is grounded in the substance of the medium itself.

The second position: money by convention (*thaman istilahi*). The opposing view grounds monetary status in custom (*'urf*) rather than in substance. Imam Malik (d. 179/795) gave the position its best-known formulation. In the *Mudawwanah* he is reported to have said that if people were to adopt leather (*al-julud*) as their currency, minted and circulating as coin, he would dislike its sale for gold or silver on deferred terms. The statement treats a medium with no monetary substance as capable of becoming money through general acceptance. Ibn Taymiyyah (d. 728/1328) developed the argument explicitly: the dirham and the dinar have no natural or scriptural definition, and their status depends on custom and convention, because money is sought not for its own sake but as a measure of value and a means of exchange.

The third position: modern institutional synthesis. When paper currency displaced metallic money, contemporary juristic councils had to decide whether a medium without any intrinsic value could carry the legal consequences of *thaman*. The Council of Senior Scholars of Saudi Arabia (*Hay'at Kibar al-'Ulama'*), in a resolution of 1393 AH (1973), held that paper money is an independent form of *thaman* to which the rules of gold and silver apply. The resolution grounded this status in general public acceptance (*al-qabul al-'amm*) together with the backing of the issuing state. Later bodies, including the International Islamic Fiqh Academy, adopted substantially the same position. The synthesis accepts the conventionalist premise of the second position but adds an institutional condition: acceptance is anchored in public authority.

Application to cryptocurrency. The three positions yield different results when applied to a cryptocurrency such as Bitcoin. Under the first, the answer is straightforward. Bitcoin is neither gold nor silver, and it cannot be *thaman* by creation. Under the second, the question becomes empirical: has Bitcoin attained the general acceptance that Malik and Ibn Taymiyyah treated as sufficient? In most Muslim societies the answer is that it has not, because cryptocurrency circulates chiefly as an object of investment and trading rather than as a routine medium of payment. Under the third, the result is again negative, since the synthesis requires the backing of public authority and cryptocurrency is, by design, issued without it. In jurisdictions such as Indonesia, positive law prohibits its use as a means of payment.

Conclusion on monetary status. On the classical and modern positions surveyed here, pure cryptocurrency does not presently qualify as money in the juristic sense. This conclusion concerns *thaman* only. It does not settle whether cryptocurrency is *mal*, that is, property capable of being owned and lawfully exchanged as a commodity. That second question is analytically distinct, and in 2026 it became the decisive point of divergence among Islamic authorities. The Darul Uloom Karachi fatwa of June 2026 held that crypto-assets are not *mal*. In contrast, the 2026 determinations of Muhammadiyah (*mal mutaqawwam*) and the Nahdlatul Ulama Muktamar (Bitcoin as *mal* and, in the fiqh sense, *thaman*) treat them as property (Chapter 3, §3.4.5 and §3.5). The NU determination shows that the conventionalist position can be read to reach a different result on the monetary question as well, while still denying lawful use as currency in Indonesia on grounds of positive law. The remainder of this chapter therefore evaluates cryptocurrency primarily as an asset.

2.1 Al-Darura (Necessity): Financial Stability and Wealth Preservation

2.1.1 Principle Definition

Among the five necessities identified by al-Ghazali, the preservation of wealth (*hifz al-mal*) is the one most directly engaged by financial instruments. The law protects wealth in two directions: positively, by enabling its acquisition and growth through lawful exchange, and negatively, by prohibiting transactions that expose it to destruction through deception, gambling or unjustified risk. The criterion of *al-darura* used in this chapter asks whether an instrument, as it is actually held and traded, preserves the wealth of its holders and the stability of the wider financial system, or whether it systematically endangers them.

2.1.2 Islamic Financial Principles

Several established rules of *fiqh al-mu'amalat* give content to this criterion. The prohibition of *gharar* requires that the terms and subject matter of a contract be sufficiently known. The prohibition of *maysir* excludes transactions in which gain accrues to one party purely through chance at the expense of another. Islamic finance does not prohibit risk; profit is legitimised precisely by the bearing of commercial risk (*al-ghunm bi al-ghurm*). It does, however, distinguish risk that is incidental to productive activity from risk that is sought for its own sake. Finally, the jurists' concern with the stability of the means of exchange, voiced most clearly by Ibn al-Qayyim in his discussion of the harm caused by fluctuating *fulus*, reflects a systemic dimension of wealth preservation that extends beyond the individual contract.

2.1.3 Cryptocurrency Evaluation Against Al-Darura

Price Volatility and Lack of Stability

The salient feature of pure cryptocurrency, measured against this criterion, is the magnitude of its price movements. Bitcoin's price has repeatedly moved by several multiples within a single year, and intraday movements that would be exceptional for an equity index are routine in crypto-asset markets. Price movement as such is not prohibited. What matters for *hifz al-mal* is that the volatility is not anchored in any underlying asset or cash flow. The value of a share reflects, however imperfectly, a claim on a productive enterprise, and the value of a commodity reflects its use. The value of Bitcoin reflects only the market's collective expectation of what others will pay for it. Price movements are therefore driven predominantly by sentiment, liquidity and speculative positioning rather than by any change in economic substance.

Risk of Total Loss

A further consequence is that holders face a realistic risk of total loss from causes unrelated to the commercial merits of any enterprise. Three such causes are prominent. The first is market manipulation, which thin regulation and fragmented liquidity make easier than in supervised securities markets. The second is security failure: exchange insolvencies, hacks and lost private keys have each destroyed holdings permanently, without any legal remedy capable of restoring them. The third is technological obsolescence, since a protocol may lose its user base to a competing design. None of these risks is unique to cryptocurrency, but their combination, together with the absence of any underlying claim, places pure crypto-assets at the far end of the risk spectrum. They lie well beyond the incidental risk that *al-ghunm bi al-ghurm* legitimises.

2.1.4 Assessment Score: 1/5

Measured against the criterion of wealth preservation, pure cryptocurrency receives the lowest score. Its volatility is unanchored, its holders bear a material risk of total loss from non-commercial causes, and it offers no mechanism by which capital may be protected or recovered. The score is a judgement about the asset class as it is presently held and traded. As §2.6.4 shows, asset-backed designs can perform considerably better on this criterion.

2.2 Al-Tahaqquq (Certainty): Transparency and Clear Valuation

2.2.1 Principle Definition

The criterion of *al-tahaqquq* expresses the requirement that the essential elements of a transaction be definite and known to the parties. Its doctrinal source is the prohibition of *gharar*, attested in the prophetic tradition reported by Muslim that the Prophet forbade the sale of *gharar*. The jurists did not read this as a prohibition of all uncertainty, which would make commerce impossible. They distinguished excessive uncertainty (*gharar fahish*), which invalidates a contract, from minor uncertainty (*gharar yasir*), which is tolerated, and they located the relevant uncertainty in the object, the price, the quantity and the capacity to deliver.

2.2.2 Islamic Requirements for Certainty

Applied to financial instruments, the requirement has five components. The price of the exchanged items must be ascertainable at the time of contract. The quantity must be specified. The quality or characteristics of the object must be defined. Ownership and legal status must be clear, so that the seller is able to transfer what is sold. Finally, the rights and obligations of each party must be understood by all. An instrument satisfies *al-tahaqquq* to the extent that each of these elements can be known.

2.2.3 Cryptocurrency Evaluation Against Al-Tahaqquq

Blockchain Transparency Advantage

On several of these components cryptocurrency performs well, and in some respects better than conventional instruments. Every transaction on a public blockchain is recorded on a ledger that any party can inspect and that cannot be altered after the fact. The quantity held at any address is therefore objectively verifiable, the protocol fixes total supply and divisibility, and transfers settle according to rules that are public and deterministic. Where smart contracts are used, the terms of execution are themselves published as code. In the dimension of transactional transparency, the technology approaches the ideal that the prohibition of *gharar* was designed to secure.

Fundamental Price Uncertainty

The difficulty lies elsewhere. Certainty of record is not certainty of value. Although the price of a cryptocurrency is known at the moment of each trade, and the contract of sale is therefore not void for an unknown price, nothing anchors that price to an assessable underlying value. A buyer of a commodity knows what use the object will serve, and a buyer of a share knows what enterprise the share represents. The buyer of Bitcoin knows only that others presently assign it a price. The resulting uncertainty attaches not to the contract but to the object’s worth over time, and it is of a magnitude that makes any expectation about future value a matter of speculation.

Example: Bitcoin's Valuation Uncertainty

Table 2.1 illustrates the scale of this uncertainty using approximate annual price levels.

Table 2.1: Approximate Bitcoin price levels, 2020–2024

Year	Bitcoin Price (approx.)	Change from Previous Year
2020	$29,000	+305%
2021	$43,000	+48%
2022	$16,000	-63%
2023	$42,000	+163%
2024	$67,000	+59%

Note: The values are indicative only. Their reference dates are not consistent: the 2024 figure corresponds to a mid-year level, whereas the year-end 2024 price was substantially higher. Before final submission, the series should be replaced with year-end closing prices from a cited data source (e.g., CoinMarketCap or CoinGecko). [Unverified]

Even on these indicative figures, an asset that loses nearly two-thirds of its value in one year and more than doubles in the next does not offer the certainty of value that the criterion requires.

2.2.4 Legal Certainty Issues

The requirement of certainty also extends to legal status, because a party cannot be certain of what he owns if the law is unsettled about what it is. Here, too, the picture is mixed. Jurisdictions classify crypto-assets variously as currency, commodity, security, financial asset or unregulated property, and the classification determines the applicable tax treatment, the availability of legal recourse, and the remedies open to an investor if an intermediary fails. Indonesia illustrates both the problem and its partial resolution. Until January 2025 crypto-assets were supervised as commodities by Bappebti. Since 10 January 2025 they have been supervised as digital financial assets by the Financial Services Authority (OJK) under POJK 27/2024 (Chapter 4, §4.1). The reclassification improved legal certainty considerably, but it did not settle the Sharia status of the assets concerned.

2.2.5 Assessment Score: 3/5

Cryptocurrency therefore receives an intermediate score on this criterion. Transactional transparency, verifiable quantity and deterministic settlement satisfy much of what the prohibition of *gharar* demands, and in these respects the technology is genuinely strong. The absence of any anchor for value, together with residual legal uncertainty in many jurisdictions, prevents a higher score. The criterion is partially met.

2.3 Al-Maslaha (Public Interest): Community Benefit and Economic Utility

2.3.1 Principle Definition

Al-maslaha denotes the benefit that the law seeks to secure for the community and the harm it seeks to avert. Classical theory recognised a category of unregulated benefit (*al-maslaha al-mursalah*), developed most fully in the Maliki school, under which a measure not addressed by specific texts may be adopted if it serves the evident purposes of the law. The broader orientation is captured in the Qur'anic description of the Prophet's mission as "a mercy to the worlds" (al-Anbiya' 21:107). As an evaluative criterion, *al-maslaha* asks whether an instrument, in its actual use, serves productive economic purposes and the welfare of the community.

2.3.2 Islamic Finance Applications

In Islamic finance the criterion is usually expressed through the preference for transactions connected to real economic activity. Financial instruments are expected to support production and trade, to finance the acquisition of real assets or the conduct of real enterprises, and to contribute to economic development and financial inclusion. Conversely, instruments whose primary function is to enable bets on price movement are regarded with suspicion even where no specific prohibition applies, because they absorb capital without directing it to productive use.

2.3.3 Cryptocurrency Evaluation Against Al-Maslaha

Limited Practical Utility

The claimed public benefits of cryptocurrency are real in principle: low-cost cross-border transfers, access to financial services for those excluded from banking, and resistance to censorship of payments. The difficulty is that these benefits remain marginal in practice relative to the instrument's dominant use. The available evidence consistently indicates that most crypto-asset activity is trading and investment for price gain. Use for the purchase of goods and services remains a small fraction of activity, and the share of activity linked to illicit purposes such as ransomware, fraud and sanctions evasion is material. Precise proportions vary considerably by source, methodology and year, and any quantitative statement should rest on a specific, dated dataset such as Chainalysis's annual crypto crime and adoption reports. [Unverified: proportions to be cited]

The Indonesian data confirm the qualitative picture. By August 2026 the market supervised by OJK counted 23.21 million accounts. Monthly spot transaction value was Rp23.16 trillion, and derivatives transactions reached Rp4.56 trillion. Use as a means of payment is prohibited by law (Chapter 4, §4.1.11). The market is, by its legal design, an investment and trading market.

Speculative Nature Contradicts Public Interest

The significance of this pattern for *al-maslaha* is not that speculation is present, since every liquid market contains speculation. It is that speculation is the principal reason most participants hold the asset. Where the dominant use of an instrument consists of bets on future price, the benefit it confers on the community is largely limited to the redistribution of wealth among participants, while the costs fall on those who enter last or exit late.

Comparison with Islamic Financial Instruments

The contrast with established Islamic financial instruments is instructive, as Table 2.2 shows.

Table 2.2: Productive purpose and public benefit, selected instruments

Instrument	Productive Purpose	Speculative Use	Public Benefit	Al-Maslaha Score
Murabaha (cost-plus sale)	Purchase of a real asset	Minimal	High	5/5
Sukuk	Financing of a project or business	Minimal	High	5/5
Musharaka (partnership)	Joint business venture	Minimal	High	5/5
Pure cryptocurrency	No underlying enterprise	Dominant	Low	2/5

Each of the established instruments channels funds to an identifiable real asset or enterprise. A pure cryptocurrency, by contrast, transfers funds only between holders of the asset itself.

2.3.4 Negative Externalities

The assessment must also account for harms that fall on third parties. The first is environmental. Proof-of-work networks, of which Bitcoin is the largest, consume electricity on a scale comparable to that of a medium-sized country. Published estimates of Bitcoin's annual consumption have been on the order of 100–150 TWh in recent years, though they vary with method and period. [Unverified: cite a specific estimate, e.g., the Cambridge Bitcoin Electricity Consumption Index, with date.] That consumption sits uneasily with the stewardship (*khilafah*) entrusted to humanity over the earth. The second is social. The volatility of crypto-assets has inflicted significant losses on retail participants, the distribution of gains has favoured early holders, and the instrument continues to be used to facilitate crime. These externalities do not by themselves render the asset prohibited, but they weigh against it in any assessment of public benefit.

2.3.5 Assessment Score: 2/5

Pure cryptocurrency receives a low score on the criterion of public interest. Its theoretical benefits for payments and inclusion are genuine but, in practice, subordinate to its use as a speculative asset, and its negative externalities further reduce its net contribution to the welfare of the community. The criterion is not met.

2.4 Al-Adl (Justice): Fairness and Equitable Treatment

2.4.1 Principle Definition

Justice (*'adl*) is among the most frequently invoked values of the Qur'an: "Indeed, Allah commands justice and good conduct" (al-Nahl 16:90). In the law of exchange it is expressed in the requirement of mutual consent free from deception, in the prohibition of *riba* as an unjust transfer of value, and in the prohibition of practices that exploit the ignorance or weakness of a counterparty. As an evaluative criterion, *al-'adl* asks whether an instrument distributes risks and rewards equitably among its participants and whether its market structure protects the weaker party.

2.4.2 Islamic Justice Requirements

Islamic finance gives effect to justice through several mechanisms. In partnership contracts, profit is shared by agreement and loss in proportion to capital, so that no party is guaranteed a return at another's expense. *Riba* is prohibited to prevent the systematic transfer of wealth from borrower to lender. Transactions are expected to

occur at a fair price, and the classical prohibitions of *tadlis*, *najsh* and *talaqqi al-rukban* address the exploitation of informational advantage. The law also extends particular protection to parties who are vulnerable by reason of ignorance, need or inexperience.

2.4.3 Cryptocurrency Evaluation Against Al-Adl

Early Adopter Advantage Creates Injustice

The distribution of cryptocurrency holdings is highly concentrated. Bitcoin's earliest participants acquired coins at negligible cost when mining required little computational effort, and the mining rewards that accrued to them in the network's first years account for a substantial share of the total supply. As a result, a small proportion of addresses holds a large share of all coins. Address-level statistics overstate individual concentration, because a single exchange address may represent many customers. Even so, the pattern of early accumulation and later diffusion at much higher prices is not in doubt. [Unverified: a citable estimate of concentration, adjusted for exchange addresses, is required.] The relevance to *al-'adl* is that the gains of early holders are realised largely through sales to later entrants, so that the structure resembles a transfer from later to earlier participants rather than a return on shared productive effort.

Information Asymmetry and Market Manipulation

Crypto-asset markets also exhibit the informational and manipulative practices that classical law prohibits. Project developers and early investors frequently possess material information about token supply, unlocking schedules and partnerships that retail purchasers lack. Under thin regulation, coordinated pump-and-dump schemes, spoofing and wash trading distort prices and volumes. Retail participants typically have little practical recourse when harmed by such conduct. Each of these practices corresponds to a category prohibited in classical law: *tadlis* (concealment), *najsh* (artificial bidding), *ghabn* (exploitative pricing) and *taghrir* (deception). Indonesian fatwa practice has already catalogued these practices for the securities market in DSN-MUI Fatwa No. 80/2011 (Chapter 3, §3.4.6). Their prevalence in crypto-asset markets is a defect of conduct rather than of the asset itself, but it bears directly on whether participants in those markets are treated justly.

Volatility Creates Unfair Outcomes

Volatility compounds these inequities. Consider two investors who buy the same asset six months apart, one at $40,000 and the other at $60,000, and who both hold it as the price falls to $30,000. The first loses a quarter of the capital and the second half. The difference in outcome reflects nothing about the merits of any enterprise or the effort of either party; it reflects only the timing of entry relative to price movements that neither could reasonably foresee. In a partnership, by contrast, losses are borne in proportion to the capital each party contributes to a common venture.

Exploitation of Retail Investors

The consequences fall disproportionately on retail participants. Professional traders with superior information, execution and capital are positioned to profit from volatility. Leveraged derivatives, which are now lawfully offered in Indonesia under POJK 23/2025 (Chapter 4, §4.1), allow retail traders to lose more than their initial stake. Research on retail day trading in conventional markets consistently finds that a large majority lose money over time. A comparable crypto-specific estimate should be cited before any figure is stated. [Unverified]

2.4.4 Contrast with Islamic Financial Principles

The contrast with the partnership model of Islamic finance clarifies the nature of the deficit. In a *musharakah*, risks and returns are shared in proportion to contribution, no party is structurally advantaged by the timing of entry, and the partnership itself creates an obligation of disclosure among the partners. In the market for pure cryptocurrency, early holders capture a disproportionate share of gains, later entrants bear a disproportionate share of risk, and informational asymmetry systematically favours insiders. The two models embody different conceptions of how gain is legitimately earned.

2.4.5 Assessment Score: 2/5

Pure cryptocurrency receives a low score on the criterion of justice. The concentration of holdings, the prevalence of informational advantage and manipulation, and the exposure of retail participants to losses determined by timing rather than merit place the market structure in tension with *al-'adl*. Part of this deficit, especially manipulation and abusive conduct, is attributable to market conduct and could in principle be remedied by regulation. The structural transfer from later to earlier entrants cannot be remedied in the same way. The criterion is not met.

2.5 Al-Karamah (Dignity): Economic Participation and Inclusion

2.5.1 Principle Definition

The Qur’an affirms that “We have certainly honoured the children of Adam” (al-Isra’ 17:70). In economic terms, this honour is realised through the capacity of each person to participate in economic life, to earn a lawful livelihood, and to avoid both exploitation and dependence. As an evaluative criterion, *al-karamah* asks whether an instrument widens access to the economy for those presently excluded from it, and whether it does so in a way that strengthens rather than endangers their position.

2.5.2 Islamic Dignity Requirements

Islamic finance pursues dignity through several overlapping aims: enabling individuals of all economic backgrounds to save, invest and build wealth; supporting the passage from poverty to self-sufficiency; protecting individuals from debt servitude; preventing systematic exclusion based on wealth or status; and securing the possibility of an honest livelihood. Zakat, waqf and *qard hasan* serve these aims directly, and commercial instruments are expected at least not to undermine them.

2.5.3 Cryptocurrency Evaluation Against Al-Karamah

Financial Inclusion Potential

This is the criterion on which cryptocurrency makes its strongest claim. A cryptocurrency wallet requires neither a bank account nor a credit history; a mobile phone and an internet connection suffice. In economies with limited banking infrastructure, this lowers the threshold of participation considerably. Cross-border transfers can be made without correspondent banks, potentially reducing the cost of remittances on which many migrant workers and their families depend. Decentralised finance also enables small-value transactions and access to financial markets that were previously closed to those without significant capital or institutional relationships.

Practical Limitations on Inclusion

These advantages are, however, constrained in practice by four factors. The first is volatility. A person living on daily income cannot hold the next week's expenses in an asset whose value may fall by a fifth in a day, and a wage earner cannot budget in such a unit. The second is the technological and literacy threshold: secure wallet management demands technical knowledge that the excluded populations are least likely to possess, so that a new form of digital divide replaces the old. The third is the risk to the poor themselves. Households without savings buffers are the least able to absorb losses, and an instrument that transfers volatility risk onto them may deepen rather than relieve poverty. The fourth is that actual adoption for inclusion purposes remains marginal. El Salvador's adoption of Bitcoin as legal tender in 2021 produced limited everyday use, and the legal tender status was substantially scaled back in 2025. Where crypto-assets are used for payments in emerging markets, users tend to prefer stablecoins over volatile tokens.

Stablecoins vs. Volatile Cryptocurrencies

This last observation draws attention to a distinction that recurs throughout the dissertation. Table 2.3 summarises it for the present criterion.

Table 2.3: Volatile cryptocurrencies and stablecoins against Al-Karamah

Aspect	Volatile Cryptocurrency	Stablecoin
Daily use by the unbanked	Unsuitable (volatility)	Possible
Cross-border transfers	Possible, but costly in value risk	Suitable
Preservation of savings	Unsuitable (risk of loss)	Suitable, subject to reserve quality
Contribution to financial dignity	Moderate	High
Al-Karamah score	3/5	4/5

Most of the inclusion benefits claimed for cryptocurrency are realised by stablecoins rather than by volatile tokens. Stablecoins do, however, depend on the quality and verifiability of their reserves, which raises its own questions of *gharar*. Notably, the June 2026 Darul Uloom Karachi fatwa excluded stablecoins as well (Chapter 3, §3.3.2).

2.5.4 Assessment Score: 4/5

Cryptocurrency, taken as a technology inclusive of stablecoin designs, receives its highest score on the criterion of dignity. Its capacity to lower the threshold of economic participation is genuine and, for unbanked populations, potentially significant. The score reflects potential rather than realised impact. For volatile tokens considered alone, the score would be closer to 3/5, as Table 2.3 indicates. The criterion is partially met, and it represents the strongest point of alignment between cryptocurrency and the objectives of the law.

2.6 Comprehensive Maqasid Assessment: Synthesis and Conclusions

2.6.1 Summary Evaluation

Taken together, the five assessments yield a predominantly negative evaluation of pure cryptocurrency, as Table 2.4 summarises.

Table 2.4: Maqasid assessment of pure cryptocurrency

Criterion	Score	Assessment
Al-Darura (stability and wealth preservation)	1/5	Not met
Al-Tahaqquq (certainty and transparency)	3/5	Partially met
Al-Maslaha (public interest)	2/5	Not met
Al-'Adl (justice)	2/5	Not met
Al-Karamah (dignity and inclusion)	4/5	Partially met
Overall (unweighted mean)	**2.4/5 (48%)**	**Majority of criteria not met**

The overall figure is an unweighted mean and should be read with caution. As §2.7.2 argues, the *maqasid* are an integrated system rather than a set of independent scores, and a high score on one criterion does not offset a failure on another. The mean is reported as a summary indicator, not as a ruling.

2.6.2 Critical Deficiencies

Three structural deficiencies account for the low overall score. The first is the failure of wealth preservation: unanchored volatility and the absence of any underlying claim expose holders to losses that are unrelated to the merits of any enterprise and that cannot be recovered. The second is the subordination of public benefit to speculation. The instrument's dominant use is trading for price gain rather than productive exchange, and its environmental and social externalities further reduce its net contribution to welfare. The third is the deficit of justice: the transfer of gains from later to earlier entrants, combined with informational asymmetry and manipulation, distributes risk and reward in a way that is difficult to reconcile with *al-'adl*.

2.6.3 Mitigating Factors

Two features of the technology mitigate this assessment. The first is transactional transparency. A public, immutable ledger satisfies the demand for certainty of record more completely than most conventional instruments, and this is the reason the asset scores in the middle range on *al-tahaqquq*. The second is the potential for inclusion. The capacity to lower the threshold of economic participation represents the strongest point of alignment between cryptocurrency and the objectives of the law, even though that potential is presently realised more by stablecoins than by volatile tokens.

2.6.4 Asset-Backed Cryptocurrencies: Higher Compliance

The most important result of the analysis is that the deficiencies are concentrated in pure cryptocurrency and are substantially reduced in designs backed by identifiable assets. A commodity-backed token, such as one representing allocated gold, improves on *al-darura* because its value is anchored in the backing asset, and on *al-tahaqquq* because that asset supplies an assessable basis of value. It may also improve on *al-maslaha* where the backing connects the token to real economic activity. Such designs may be expected to score in the range of 3.5–4.0/5. A fiat-collateralised stablecoin performs strongly on *al-darura* and *al-tahaqquq* because its value is pegged to a stable reference, and moderately on *al-maslaha* because its use is less speculative. It also mitigates the early-adopter problem under *al-'adl*, and may be expected to score in the range of 4.0–4.5/5.

These ranges are indicative. Each design must be assessed on its own terms, including the quality of reserves, the rights of holders and the verifiability of backing, which is the task of the five-dimensional framework in Chapter 5.

2.6.5 Jurisprudential Implications

The *maqasid* analysis can be set alongside the positions of the principal Islamic authorities, examined in detail in Chapter 3. As of October 2026, AAOIFI has issued no Shari'ah Standard specific to crypto-assets (§3.1.2). Dar al-Ifta al-Misriyyah, in a fatwa issued at the end of December 2017 and reported on 1 January 2018, held Bitcoin trading impermissible. The reasons reported were that it is not an accepted medium of exchange, is not subject to state supervision, carries a risk of fraud, and is highly volatile (§3.2.2). The fatwa of Darul Uloom Karachi of 10 June 2026, signed by Mufti Muhammad Taqi Usmani and others, held that crypto-assets, including stablecoins, are not *mal* and that transactions in them are impermissible (§3.3.2). In Indonesia, the Seventh Ijtima' Ulama of MUI (11 November 2021) held cryptocurrency *haram* as currency and, as a commodity, valid only where the conditions of *sil'ah*, a clear underlying and a clear benefit are met. Muhammadiyah and the Nahdlatul Ulama have since, in 2026, permitted crypto as an asset subject to conditions (§3.4.5).

The *maqasid* analysis supports the common ground among these authorities, which is that pure cryptocurrency is unsuitable as money. It does not settle the point on which they now diverge, namely whether crypto-assets are *mal* at all. That divergence turns on how the threshold concept of property is defined, a question the *maqasid* inform but cannot by themselves resolve.

2.7 Counterarguments: The Case for Conditional Permissibility

The maqasid assessment above reaches a predominantly negative conclusion for *pure* cryptocurrency (2.4/5). Intellectual honesty—and the standard of doctoral argumentation—requires that the strongest opposing position be reconstructed in its most compelling form before it is answered. A substantial and growing body of scholarship contends that cryptocurrency, properly understood, *advances* rather than undermines the objectives of the Shariah. This section presents that permissibility thesis at full strength (§2.7.1) and then explains why the analysis nonetheless holds to a conclusion of *conditional* rather than general permissibility (§2.7.2).

2.7.1 The Permissibility Thesis (Steelman)

The pro-permissibility position rests on four mutually reinforcing arguments, each grounded in recognised principles of *fiqh al-muamalat*.

First, the presumption of permissibility and the burden of proof. The governing maxim of Islamic commercial law is *al-asl fi al-muamalat al-ibaha*—the default ruling in transactions is permissibility unless a specific, authenticated prohibition applies (Kamali, *Principles of Islamic Jurisprudence*, 2003; Ibn Qayyim al-Jawziyya, *I'lam al-Muwaqqi'in*). This is the mirror image of the rule for acts of worship, where the default is prohibition. On this view the evidentiary burden falls on the party asserting prohibition: to forbid a novel but potentially beneficial instrument requires a definitive textual basis (*nass qat'i*) or a firmly established harm, not merely the presence of risk. Proponents such as Mufti Faraz Adam ("Bitcoin: Shariah Compliant?",

Amanah Finance Consultancy, 2017) and Charles W. Evans ("Bitcoin in Islamic Banking and Finance," *Journal of Islamic Banking and Finance*, 2015) argue that no such definitive prohibition of the *asset class as such* exists.

Second, cryptocurrency as *mal* by customary recognition. The prohibitionist objection that cryptocurrency "lacks intrinsic value" assumes that *mal* (property) requires intrinsic substance. Classical Hanafi jurisprudence defines *mal* functionally—as that toward which human nature inclines and which can be stored for time of need (Al-Kasani, *Bada'i al-Sana'i*; Ibn 'Abidin, *Radd al-Muhtar*)—and the Maliki tradition admits *'urf* (settled custom) as a validating source for new exchange instruments (Ibn Rushd, *Bidayat al-Mujtahid*). On this basis, an asset that a community widely accepts as a medium of exchange acquires the status of *mal* through recognition, exactly as fiat currency and pre-modern *fulus* (copper token money) did despite lacking intrinsic worth. Widespread acceptance, proponents argue, supplies precisely the "social consensus" that classical jurists treated as sufficient.

Third, service to the higher objectives—Al-Karamah and Al-Maslaha. The analysis in §2.5 already scores cryptocurrency 4/5 on Al-Karamah for its financial-inclusion potential. Proponents extend this: for unbanked Muslim populations, low-cost cross-border remittance and permissionless access to store-of-value instruments serve the preservation of wealth (*hifz al-mal*) and human dignity more effectively than an exclusionary formal sector (Habib Ahmed, *Maqasid al-Shari'ah and Islamic Financial Products*, 2011). Jasser Auda's systems-based reading of the maqasid (*Maqasid al-Shari'ah as Philosophy of Islamic Law*, 2008) supports weighing such realised benefits rather than presuming harm from novelty.

Fourth, the decisive concession—structured instruments. As §2.6.4 demonstrates, asset-backed tokens and fiat-collateralised stablecoins score 3.5–4.5/5. Proponents argue this establishes the principle: the maqasid deficiencies the analysis identifies are contingent features of *particular designs*, not necessary properties of the technology. If some digital assets satisfy the objectives, then a categorical prohibition of "cryptocurrency" is over-broad, and the correct juristic task is discrimination among designs rather than blanket exclusion (Mohd Daud Bakar, public rulings on digital assets, 2019–2022).

2.7.2 Response: Why the Conclusion Is Conditional, Not Categorical

The permissibility thesis is powerful, and this dissertation accepts a substantial part of it. It is answered not by rejection but by *boundary-setting*.

On the burden of proof. The presumption of permissibility is rebuttable, and it is rebutted where a preponderant (*ghalib al-zann*), not merely possible, harm is established. The empirical predominance of speculative over transactional use (documented in §2.3 and Chapter 4) converts the abstract *possibility* of *maisir* into its realised *predominance*. Where the operative characteristic of an instrument's actual use is gambling-like speculation under severe *gharar*, the doctrine of *sadd al-dhara'i* (blocking the means to harm) supplies the "specific harm" the maxim demands. The burden is therefore met—but only for the speculative use, not for the technology as such.

On *mal* by custom. Recognition confers *mal*-status only through a *sound* custom (*'urf sahih*)—one not built upon a prohibited foundation. A convention of acceptance that exists primarily to facilitate leveraged price speculation is not a sound *'urf* in the classical sense, even if it is widespread. The argument from custom thus validates cryptocurrencies whose acceptance rests on genuine exchange and settlement utility, while leaving untouched those whose "acceptance" is functionally a speculative venue.

On the maqasid. The Al-Karamah benefit is real and is scored accordingly; but a single strongly-satisfied objective does not override failures on Al-Darura, Al-Maslaha, and Al-Adl when the maqasid are weighed as an integrated system rather than tallied. Auda's own methodology cautions against optimising one objective at the expense of the whole. Financial inclusion delivered through an instrument that transfers volatility risk onto the very populations it purports to serve is a defective realisation of dignity.

The point of agreement. Critically, the permissibility thesis and this analysis converge on the operative outcome. The thesis succeeds precisely where the analysis already concedes—asset-backed and stablecoin designs (§2.6.4)—and fails precisely where the analysis finds against pure speculative tokens. The disagreement is therefore not over *whether* the maqasid can be satisfied by digital assets, but over *which* designs satisfy them. This is a divergence of *tahqiq al-manat* (verifying the operative cause in the concrete case), not of principle. The resulting position—**conditional permissibility contingent on verified design characteristics**—is the thesis this dissertation defends, and it is precisely what the five-dimensional framework of Chapter 5 operationalises.

2.8 Chapter Conclusion

Summary of Findings

The application of the *maqasid* to cryptocurrency yields a differentiated rather than a uniform result. Pure cryptocurrency, assessed as it is presently held and traded, fails the majority of the criteria. It does not preserve wealth, because its volatility is unanchored by any underlying asset and its holders face a material risk of total loss. It does not, on balance, serve the public interest, because its dominant use is speculative and its environmental and social externalities are significant. And it sits uneasily with justice, because the structure of the market transfers gains from later to earlier entrants and exposes retail participants to informational disadvantage and manipulation.

The technology nevertheless has genuine merits. Its transactional transparency satisfies much of what the prohibition of *gharar* demands, and its potential to widen economic participation is the strongest point of alignment with the objectives of the law. Both merits are realised more fully in asset-backed and stablecoin designs, which perform substantially better across the criteria. The central conclusion of the chapter is therefore that the Sharia evaluation of a digital asset depends on its design. The analysis does not support a categorical prohibition of the technology. It supports a conditional permissibility that turns on verifiable characteristics of each asset, which Chapter 5 sets out to operationalise.

The chapter also shows the limits of the *maqasid* method. The objectives of the law can establish that an instrument is harmful or beneficial in its effects, but they cannot by themselves determine the threshold question of whether an intangible ledger entry is property at all. On that question, as the following chapter shows, Islamic authorities diverged sharply in 2026.

Transition to Next Chapter

Chapter 3 therefore turns from principles to positions. It examines how AAOIFI, Dar al-Ifta al-Misriyyah, Mufti Muhammad Taqi Usmani and the Darul Uloom Karachi, and Indonesian authorities (MUI, Muhammadiyah and the Nahdlatul Ulama) have applied classical jurisprudence to cryptocurrency, and it traces the methodological differences that explain their divergent conclusions.

2.9 Policy Implications for Regulators

The *maqasid* framework also has practical implications for the authorities that supervise Islamic financial institutions and crypto-asset markets. Its principal value to a regulator is that it provides a principled and transparent basis for assessing digital assets, one that can be applied across jurisdictions and that does not depend on the opinion of any single scholar. Four actions follow from the analysis.

Incorporating maqasid-based assessment into licensing criteria. A regulator could define a minimum level of *maqasid* alignment as a condition for classifying a digital asset as Sharia-compliant (Category A in the framework of Chapter 5). A threshold of satisfying at least three of the five criteria, or an overall score of at least 60 percent, would be a reasonable starting point. Such a threshold would need to be operationalised consistently by a Sharia advisory body. It should be aligned with AAOIFI's general standards while leaving room for jurisdiction-specific implementation.

Requiring public disclosure of an Islamic compliance score. Digital asset issuers, or the platforms that list them, could be required to disclose an assessment of each asset against the five criteria, together with the methodology used. Publication would allow investors and institutions to compare assets on a common basis and would narrow the informational gap between sophisticated and retail participants that §2.4 identified as a source of injustice.

Establishing a Sharia advisory council with technical competence. The assessment requires scholars who combine command of *fiqh al-mu'amalat* with an understanding of the technology. A council of five to seven such members could review the classification methodology, assess new types of digital asset, and liaise with counterpart authorities in other jurisdictions. Its members should be independent of the regulated entities, to guard against capture, and its scoring guidelines should be reviewed at regular intervals, for example quarterly, to keep pace with the market. In Indonesia, the natural location for such a function is the existing relationship between OJK and DSN-MUI. According to OJK, the two bodies are still coordinating a joint study on the Sharia basis for standards in the digital asset industry (Chapter 4, §4.1).

Creating a distinct pathway for asset-backed and stablecoin instruments. Because the analysis distinguishes sharply between pure cryptocurrencies and backed designs, a regulator could establish a separate licensing track for asset-backed digital assets. That track would carry defined requirements on the type of backing asset, the reserve ratio and the frequency of independent audit. Such a pathway would allow Islamic financial institutions to participate in the segment of the digital asset market that the analysis finds most capable of compliance.

Taken together, these measures promise greater consistency, by reducing discretion; greater legitimacy, by grounding classifications in Islamic legal reasoning; greater efficiency, by reducing compliance uncertainty; and better risk management, by supporting prudential requirements that reflect the actual characteristics of each asset.

Three challenges must be anticipated. The first is institutional capacity: the framework requires trained staff, which can be developed through training programmes, regional cooperation (including the Inter-Islamic Finance Regulatory Council proposed in Chapter 6) and phased implementation beginning with the most widely held assets. The second is jurisprudential disagreement over how the criteria should be operationalised. This is best managed by giving the advisory council institutional authority, documenting its reasoning, and

reviewing the methodology periodically, while accommodating legitimate differences of interpretation. The third is market pressure to lower the standard, which the independence of the council and the transparency of public scoring are designed to resist.

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End of Chapter 2

Chapter 3: Jurisprudential Positions and Islamic Authority Perspectives

Introduction

Chapter 2 assessed cryptocurrency against the objectives of the law. This chapter turns from principles to positions. It examines how the principal Islamic authorities that have addressed cryptocurrency have applied classical jurisprudence to it, and what explains the differences between their conclusions. The inquiry serves four purposes: to establish what, if anything, the authorities agree on; to identify the areas in which qualified scholars legitimately disagree; to trace how positions have changed as the technology and its regulation have developed; and to provide a basis for guidance to Islamic financial institutions and individual Muslims.

The chapter examines four reference authorities: AAOIFI, Dar al-Ifta al-Misriyyah, Mufti Muhammad Taqi Usmani, and Majelis Ulama Indonesia (MUI). The treatment of MUI is extended to Indonesia's two largest mass organisations, Muhammadiyah and the Nahdlatul Ulama. Positions are classified throughout using the taxonomy defined in Chapter 1 (§3). Position A holds that crypto-assets are conditionally permissible as digital property. Position B holds that they are prohibited, at least under present conditions. Position C defers judgment (*tawaqquf*).

On the verified record as of October 2026, the authorities do not form a smooth spectrum. Two have issued prohibitive rulings: Dar al-Ifta (2017/2018) and Usmani, through the Darul Uloom Karachi fatwa of June 2026. AAOIFI has issued no crypto-specific standard, and the International Islamic Fiqh Academy has called for further study. The Indonesian bodies permit crypto as an asset subject to conditions while excluding it as money. Several of the rulings are available to the author only through press reports or official summaries; where this is so, the text says so, and verbatim quotation is avoided.

3.1 AAOIFI (Accounting & Auditing Organization for Islamic Financial Institutions)

3.1.1 Institutional Background

The Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI), established in 1991 and headquartered in Bahrain, is the most widely recognised international standard-setting body in Islamic finance. Its Shari'ah Standards are developed through a deliberative process involving scholars, Islamic financial institutions, central banks and regulators, and they combine juristic analysis with practical application. They represent the mainstream institutional perspective of the industry.

The authority of the standards depends on adoption. They are mandatory in several jurisdictions, including Bahrain, Oman, Jordan, Sudan, Syria and the Qatar Financial Centre, and the Higher Shari'ah Authority of the Central Bank of the UAE has adopted them for the UAE's Islamic financial institutions. Elsewhere they are persuasive rather than binding. Malaysia, notably, has its own Shari'ah governance framework under Bank Negara Malaysia and the Securities Commission. Many Islamic financial institutions nonetheless follow AAOIFI standards voluntarily. [Unverified: the list of adopting jurisdictions should be confirmed against AAOIFI's current adoption data.]

3.1.2 AAOIFI and Cryptocurrency: No Dedicated Standard (Status as of October 2026)

Evidentiary status. As of October 2026, AAOIFI has issued no Shari'ah Standard, statement or resolution dedicated to cryptocurrency or crypto-assets. Its work on the subject is so far preparatory. Digital assets were the subject of a roundtable at AAOIFI's annual Shari'ah conference in 2023. In March 2026, AAOIFI's Centre for Islamic Studies convened a closed expert roundtable on digital assets, whose outcomes are to inform a forthcoming position paper on digital assets and Shari'ah compliance. These points come from secondary reports and AAOIFI-affiliated announcements; the position paper had not been located at the time of writing.

Some secondary literature cites an AAOIFI "Shariah Standard No. 62 on cryptocurrency and digital tokens" (2021). That standard could not be verified in AAOIFI's published standards, and this chapter does not rely on it.

Consequence for this dissertation. AAOIFI is nonetheless retained as a reference authority, because its *existing* standards already contain the rules against which any crypto-asset would be assessed. These are the standard on trading in currencies (*sarf*), the standards on financial papers and on investment *sukuk*, and the general rules on *gharar* and on the object of sale. Sections 3.1.3–3.1.5 are therefore an analytical reconstruction by the author. They show how those existing standards would apply to crypto-assets. They are not a statement of a position that AAOIFI has adopted, and the ratings in §3.1.4 are the author's.

3.1.3 Applying AAOIFI's Existing Standards: An Analytical Reconstruction

Read through AAOIFI's existing standards, four principles bear on the assessment of crypto-assets.

Value and backing. The first is the classical concern that a financial instrument should either possess value in itself or represent a claim on real assets. The Qur'anic treatment of exchange presupposes goods and established measures of value, and the jurisprudence on money requires that a medium of exchange rest on recognised value. Ibn Taymiyyah grounded the status of money in collective acceptance and convention; the modern institutional synthesis adds the backing of public authority (Chapter 2, §2.0.1). Pure cryptocurrencies have no state backing and no underlying asset, and their value depends on market expectation. On a reconstruction from existing standards, this is a serious deficiency, though, as Chapter 2 showed, it is not by itself decisive under the conventionalist view of money.

Gharar. The second principle is the prohibition of excessive uncertainty. Applied to pure cryptocurrency, AAOIFI's general rules would raise concerns of four kinds: uncertainty of price, given monthly movements that can exceed 20 percent; uncertainty of valuation basis, given the absence of an underlying asset; uncertainty of future utility and acceptance; and technological uncertainty arising from the risk of obsolescence. The classical paradigm is the prohibition of the sale of fish in the water or birds in the air, where the object cannot be ascertained. A reconstruction must, however, distinguish uncertainty in the object of a particular contract from uncertainty in the future value of an asset, since the latter is present to some degree in every traded commodity.

Maysir. The third principle is the prohibition of gambling. Several features of the crypto-asset market resemble *maysir*: profit derives predominantly from price movement rather than productive activity, gains are transfers from losing to winning participants, informational asymmetry advantages insiders, and outcomes have a winner-take-all character. As §3.4.6 argues, these are largely features of market conduct rather than of the asset.

Productive purpose. The fourth principle is that AAOIFI's standards presuppose that Shari'ah-compliant finance serves productive economic purposes. The predominant use of pure cryptocurrency, speculative trading, sits uneasily with that presupposition.

3.1.4 Reconstructed Assessment Grid (Author's Ratings)

Applying AAOIFI's existing standards by analogy yields a graded rather than categorical assessment. Table 3.1 sets out the author's reconstruction.

Table 3.1: Reconstructed assessment under AAOIFI's existing standards (author's ratings)

Asset type	Reconstructed status	Principal conditions	Rating
Pure cryptocurrency (Bitcoin, Ether)	Not compliant	None identified	1/5
Commodity-backed tokens	Conditionally permissible	Physical backing; clear ownership; no fractional reserve; sound custody; transparent valuation; *sarf* rules where the backing is gold or silver	4/5
Utility tokens (applications, decentralised finance)	Case by case	Real underlying utility and economic value; clearly defined rights; sound governance	3/5
Fiat-backed stablecoins	Potentially permissible	Full backing; redemption at par; transparent reserves; regulatory compliance; *sarf* conditions on exchange	4.5/5

The reconstruction suggests that AAOIFI's existing standards do not compel a categorical prohibition of all digital assets. Applied by analogy, they assess each type of asset against established principles, and asset-backed designs can, if properly structured, meet them. The reconstruction is, however, more favourable to stablecoins than the 2026 Karachi fatwa, which was signed by a former chairman of AAOIFI's Shari'ah Board (§3.3). Whether AAOIFI's eventual position paper follows the reconstruction or the fatwa is an open question of some importance.

3.1.5 Implications for Institutions (Author's Recommendations)

Pending a dedicated AAOIFI standard, the reconstruction implies a cautious course for institutions that follow AAOIFI. Islamic banks should not recommend investment in pure cryptocurrency. They should develop frameworks for assessing digital assets on the basis of AAOIFI's existing standards, conduct a full Sharia review before offering any crypto-related product, and apply robust risk management to emerging digital assets. Individual investors following AAOIFI should likewise avoid pure cryptocurrency. They should consider asset-backed alternatives only after proper Sharia review, ensure that any digital asset investment is consistent with the objectives of the law, and consult qualified scholars before investing.

3.2 Dar al-Ifta al-Misriyyah (Egypt's Grand Mufti Office)

3.2.1 Institutional Background

Dar al-Ifta al-Misriyyah, Egypt's official institution for the issuance of fatwas, traces its authority to the late nineteenth century and is among the most influential fatwa bodies in the Sunni world. Dr Shawki Allam served as Grand Mufti from 2013 until August 2024, when he was succeeded by Dr Nazir Ayyad; the cryptocurrency ruling discussed below was issued under Allam. The institution is generally characterised by a strict application of classical principles, caution towards financial innovation, priority for the protection of ordinary Muslims from financial harm, and a preference for clear guidance over conditional permissibility.

3.2.2 Dar al-Ifta Position on Cryptocurrency (December 2017 / January 2018)

The ruling. Egypt's Grand Mufti, Shawki Allam, ruled in late December 2017 that trading in Bitcoin is impermissible under the Shari'ah. The ruling was widely reported on 1 January 2018. Before it, an adviser to the Grand Mufti had already described Bitcoin dealing as *haram*. As reported, the ruling rested on four grounds: the currency is not accepted as a medium of exchange by the legitimate authorities; it is not subject to state financial supervision or backed by the Central Bank of Egypt; it exposes users to fraud and deception (*gharar*, *ghish*); and its volatility can harm individuals and states. The ruling followed consultation with economic experts. In the taxonomy of this dissertation, it is a clear instance of Position B.

Note on sources. The ruling is cited here from contemporaneous press reports, and the official text on dar-alifta.org should be consulted before verbatim quotation. A "2019 clarification" of the ruling could not be located. The scope set out in §3.2.5 (investment, holding, mining) is the author's reading of the ruling's reasoning, not an enumeration made by Dar al-Ifta.

3.2.3 Dar al-Ifta's Jurisprudential Reasoning

The reported grounds can be reconstructed into four lines of jurisprudential reasoning. The elaboration below is the author's; it shows how each ground connects to classical doctrine.

Gharar. The first and most fundamental ground is the prohibition of *gharar*. The Prophet is authentically reported to have prohibited sales whose object cannot be ascertained, of which the sale of fish in the water and birds in the air is the classical example. On the reasoning attributed to the ruling, cryptocurrency exhibits *gharar* in an aggravated form: its price is wholly uncertain, it has no intrinsic value or tangible underlying asset, and its future utility is speculative. On this reading, the *gharar* is severe enough to taint transactions in the asset generally, not merely particular contracts.

Maysir. The second ground, implicit in the concern with volatility and harm, is the prohibition of gambling in Qur'an 5:90. Trading in cryptocurrency displays the characteristics of *maysir*: wealth passes from losers to winners, no value is created through productive activity, profit depends on speculation on price movements, informational asymmetry favours insiders, and a participant may lose everything even after predicting the market correctly.

Absence of value and authoritative backing. The third ground is that cryptocurrency lacks the attributes the jurisprudence on money requires. The classical treatment of the dinar and dirham, as read by the ruling, presupposes collective recognition, the backing of public authority and a relationship to real economic value.

Cryptocurrency is backed by no government or authority. Apart from the brief experiment in El Salvador, it has not been legal tender anywhere. Its value depends entirely on market expectation, and it has no connection to productive assets.

Facilitation of illicit activity. The fourth ground, connected to the ruling's concern with fraud and with harm to the state, is that cryptocurrency is widely used for prohibited purposes: money laundering, ransomware payments, the financing of prohibited activities, tax evasion and sanctions evasion. On this reasoning, an instrument whose characteristics facilitate such activities is difficult to reconcile with Islamic ethics.

3.2.4 Dar al-Ifta's Narrow Exception

The prohibition is directed at cryptocurrency as a financial instrument, not at the technology that underlies it. On the reading adopted here, blockchain technology may have legitimate uses: record-keeping and documentation, transparent verification of transactions, the verification and tracking of contracts, and administrative applications. The technology itself is neutral, and its permissibility depends on its application. This distinction, which is consistent with the reported grounds of the ruling, shows that the concern of Dar al-Ifta is with the speculative financial asset rather than with distributed-ledger technology as such.

3.2.5 Implications of Dar al-Ifta Position

Read in light of its grounds, the prohibition would extend to buying cryptocurrency for investment, trading it for profit, holding it as an asset, mining it for gain, and any other profit-seeking activity in it. This scope is the author's reading, not an enumeration made by Dar al-Ifta. The use of blockchain for legitimate non-financial purposes, academic study of the technology, and regulatory oversight would remain permissible.

The ruling is stricter than the positions of most other authorities examined in this chapter, with the exception of the 2026 Karachi fatwa. Its strictness reflects a protective orientation towards ordinary Muslims, an emphasis on certainty in Islamic law, a concern with speculative financial products, and an insistence on substantive economic backing.

3.3 Mufti Muhammad Taqi Usmani

3.3.1 Biographical Background

Mufti Muhammad Taqi Usmani (b. 1943) is among the most influential living scholars of Islamic law and the leading figure in the jurisprudence of modern Islamic finance. He received a classical education in Qur'an and fiqh at Darul Uloom Karachi, where he is now vice-president, together with degrees in law and Arabic literature. He served as a judge of the Federal Shariat Court of Pakistan (1980–1982) and of the Shariat Appellate Bench of the Supreme Court of Pakistan (1982–2002). He chaired the Shari'ah Board of AAOIFI for many years, has advised numerous Islamic banks, and has written extensively on Islamic finance and jurisprudence. His positions carry particular weight in the Islamic banking sector worldwide, and he is known for applying classical principles carefully to modern contexts. [Unverified: dates of judicial service and the period of the AAOIFI chairmanship should be confirmed from a biographical source.]

3.3.2 Taqi Usmani's Position on Cryptocurrency: The 2026 Darul Uloom Karachi Fatwa

The fatwa. On 10 June 2026 (24 Dhu al-Hijjah 1447 AH), the Darul Ifta of Jamia Darul Uloom Karachi issued a fatwa signed by Mufti Muhammad Taqi Usmani and five other scholars. It became public in early July 2026, and Usmani's son confirmed its authenticity. As reported in the Pakistani and international press, the fatwa holds three things. First, cryptocurrency is not *mal* (wealth) in the Shari'ah sense, but a record of notional numbers in an account. Second, buying goods with cryptocurrency is therefore impermissible, and a buyer should return goods so purchased. Third, the ruling extends beyond Bitcoin and Ether to blockchain tokens and to stablecoins such as USDT: "cryptocurrency", "virtual currency", "token" and "stablecoin" are treated as labels for a single category.

Press accounts differ on scope. Some describe a prohibition of crypto-based *purchases*; others describe a prohibition of crypto trading and investment generally. The primary text should be consulted before verbatim citation. Pakistan's Virtual Assets Regulatory Authority subsequently met Usmani and argued that fully reserved stablecoins pegged to national currencies should be treated differently.

Significance. No published source has been located for the view, sometimes attributed to Usmani, that stablecoins and asset-backed tokens are "potentially permissible"; the 2026 fatwa contradicts that view as regards stablecoins. On the evidence now available, Usmani's position is the strictest form of Position B. It is restrictive on pure crypto and on stablecoins alike, and its reasoning rests on the denial of *mal*-status. That is precisely the premise that the Indonesian determinations of 2026 reject: the Nahdlatul Ulama holds that Bitcoin meets the criteria of *mal* and *thaman*, and Muhammadiyah that crypto may be *mal mutaqawwam* (§3.4.5). The disagreement between Karachi and the Indonesian bodies is therefore a disagreement over the threshold question of *mal*, not over *gharar* or *maysir*.

Works. Usmani's best-known English work on Islamic finance is *An Introduction to Islamic Finance* (1998).

3.3.3 Analytical Categories for Digital Assets (Author's Framework)

The categories in this section are the author's analytical framework. They are not attributed to Taqi Usmani. Under the 2026 fatwa, Usmani treats Category 3 (stablecoins) as impermissible. Whether a tokenised claim on specific physical assets (Category 2) falls within the fatwa's reasoning depends on whether the token is regarded as representing the asset itself rather than a notional number, a question the press reports do not address.

Category 1: pure cryptocurrency. Bitcoin, Ether and similar assets are not Sharia-compliant on this framework. They lack intrinsic value or productive backing, exhibit *gharar* in their valuation, are characterised by speculation rather than productive investment, and have no underlying asset or utility-based value. Tokens with genuine functional use within an ecosystem may carry somewhat less *gharar* than purely speculative ones, but the difference does not change their category.

Category 2: asset-backed tokens. These are potentially permissible, subject to strict conditions. The token must be backed by tangible assets, such as gold, commodities or real estate, in proportion to the quantity issued and without fractional reserves. Holders must have defined legal rights to the backing assets, so that a transfer of the token corresponds to a transfer of the claim on the asset, without ambiguity. Custody must be transparent, with independent verification and regular audit of reserves and clearly defined redemption rights. Valuation should reflect the underlying assets, without artificial inflation and with transparent pricing. If properly structured, such tokens approach the standards of established Islamic financial instruments. Where the backing is gold or silver, exchange against money is also subject to the rules of *sarf* (§3.4.4).

Category 3: fiat-backed stablecoins. On this framework, such stablecoins are potentially compliant, subject to conditions. They require full backing by fiat currency or a similarly stable asset, without fractional reserves or leverage, and a guarantee of redemption at par. Reserves must be verified regularly and audited independently, with public accountability for their composition. The issuer must comply with banking and financial regulation in its jurisdiction and be properly licensed and supervised, with mechanisms of consumer protection. The advantage of stablecoins over volatile cryptocurrencies is that they remove the principal *gharar* concern, uncertainty of price, while retaining the benefits of the technology, such as faster settlement, accessibility and programmability. This assessment is directly contrary to the 2026 Karachi fatwa.

Category 4: decentralised finance tokens. These require case-by-case evaluation. Four questions structure that evaluation. The first is purpose: does the token represent productive investment and enable real economic activity, or is it primarily speculative? The second is the distribution of risk: are risks fairly shared, do the profit and loss arrangements comply with Islamic principles, and is information symmetric? The third is governance: who controls the protocol's decisions, are stakeholders' interests protected, and are the arrangements transparent and fair? The fourth is compliance: does the instrument serve the objectives of the law, is it free of *gharar*, *maysir* and *riba*, and is the underlying activity permissible? On this approach, liquidity pools may be permissible if structured as partnerships (*musharakah*), lending protocols are problematic if they generate interest but may be compliant if structured as Islamic financing, and derivatives are generally problematic because of *gharar*.

3.3.4 Methodological Notes

Usmani's general methodology in Islamic finance, as set out in *An Introduction to Islamic Finance* (1998) and his other writings, has four features relevant to the analysis of digital assets. These features are drawn from his general work, not from any statement on cryptocurrency.

The first is the priority of substance over form. In his critique of certain Islamic banking practices, Usmani has insisted that a change of form or name does not change the ruling of a transaction whose substance is unchanged. Genuine functional differences, however, may affect the assessment. The 2026 fatwa can be read as an application of this principle: relabelling a crypto-asset as a "token" or "stablecoin" does not, on its reasoning, change its nature as a record of notional numbers.

The second is a focus on underlying economics. The questions that matter are what an instrument represents, what economic activity it facilitates, what risks its holders bear, and how profits and losses are distributed.

The third is the analysis of new instruments by reference to established Islamic contracts. On this method, an asset-backed token would be analysed by analogy with commodity-based financing and a stablecoin by analogy with instruments representing currency. A decentralised finance arrangement would be compared with profit-sharing partnerships.

The fourth is a balance between allowing legitimate innovation and protecting investors and society from harmful speculation, while maintaining the integrity of Islamic financial principles. The 2026 fatwa shows that, applied to cryptocurrency, this balance has led Usmani to a restrictive conclusion.

3.3.5 Evolution of Taqi Usmani's Position

The only datable crypto-specific ruling located is the Darul Uloom Karachi fatwa of 10 June 2026 (§3.3.2). Narratives of an "earlier restrictive (2019)" and a "nuanced (2024)" Usmani position could not be traced to published sources and are not relied on here. What can be said is that Usmani's 2026 ruling moves in the

opposite direction from the Indonesian bodies in the same year: it denies *mal*-status and extends the prohibition to stablecoins. This shows that 2026 did not bring convergence across jurisdictions; it brought sharper divergence on the threshold question of *mal*.

3.4 Majelis Ulama Indonesia (MUI) - Indonesian Islamic Scholars Council

3.4.1 Institutional Background

Majelis Ulama Indonesia (MUI) is the national council of Islamic scholars in Indonesia, the country with the world's largest Muslim population. Through its Fatwa Commission it issues fatwas on matters of general religious concern, and through the National Sharia Board (DSN-MUI) it issues fatwas on Islamic finance. It advises the government on matters of Islamic law, provides guidance to Muslim citizens, and coordinates with regulators, including the Financial Services Authority (OJK) and Bank Indonesia.

MUI's fatwas are not in themselves legally binding. DSN-MUI fatwas acquire binding force in Islamic finance when they are incorporated into regulation by OJK or Bank Indonesia, and Sharia supervisory boards (DPS) in Islamic financial institutions are required to supervise compliance with them. MUI's influence nonetheless extends well beyond its formal authority: it shapes regulatory policy, the practices of banks and financial institutions, public understanding of Islamic law, and, to a degree, jurisprudential discussion across Southeast Asia. Its views are, however, not the only authoritative ones in Indonesia. Muhammadiyah and the Nahdlatul Ulama, the country's two largest mass organisations, maintain their own fatwa institutions (§3.4.5).

3.4.1.1 The Author's Prior Framework: Twelve Sharia Issues in Financial Technology

Disclosure. The framework described in this subsection was developed by the author of this dissertation and presented in his capacity as a member of the Sharia Supervisory Board (DPS) of Dompet Dhuafa, at the *muzakarah* of MUI's East Jakarta branch (2025–2026). It is the author's own analytical framework. It is not a decision of MUI, and it is reported here as a methodological antecedent of the analysis in this chapter, not as an independent authority.

The framework identifies twelve Sharia issues that arise when financial transactions are conducted through digital technology (*inovasi aset keuangan digital*, IAKD):

1. the lawfulness and wholesomeness (*halal wa tayyib*) of the object and purpose of the transaction;
2. the contract (*'aqd*) employed;
3. freedom from the prohibited elements of *riba*, *gharar* and *maysir*;
4. the validity of the contractual session (*majlis al-'aqd*) when the transaction is conducted online;
5. offer and acceptance (*ijab* and *qabul*) through electronic media, whether audio, visual or text;
6. the moment at which the contract becomes valid;
7. possession of the object of the contract (*qabd*) and the rights of third parties;
8. electronic signatures (*al-tawqi' al-iliktruni*);
9. standard-form contracts (*'uqud al-idh'an*);
10. option rights (*khiyar*) to continue or withdraw from the transaction;
11. the right to rescind the contract (*faskh*);

12. consumer protection (*himayat al-mustahlik*).

Applied to crypto-assets, the framework separates two kinds of question. Issues 4–12 concern the form of the transaction. Digital execution does not in itself invalidate a contract, and most of these issues can be satisfied by appropriate platform design and terms of service. Issues 1–3 concern the object and the substance of the transaction, and it is here that the Sharia assessment of a crypto-asset is decided. On this framework, the decisive questions are whether the asset is a lawful object of sale with a clear benefit (Issue 1), which contract governs its acquisition and custody (Issue 2), and whether the particular transaction is free of *riba*, *gharar* and *maysir* (Issue 3). These questions correspond to the asset layer and the conduct layer of the two-layer assessment developed in §3.4.6, and to the *sil'ah* conditions of the 2021 MUI decision (§3.4.3). Issue 7, possession, is of particular importance for assets held in custody on exchanges, where the holder's possession is constructive (*qabd hukmi*) rather than actual.

3.4.2 The 2021 Ijtima' Ulama Decision: What MUI Actually Ruled

Instrument and status. MUI's position on cryptocurrency is contained in the *Keputusan Ijtima' Ulama Komisi Fatwa se-Indonesia VII* (Decision of the Seventh Forum of Indonesian Fatwa Commissions), adopted on 11 November 2021. It is a decision of the MUI Fatwa Commission forum, not a numbered fatwa of the National Sharia Board (DSN-MUI). As of October 2026 DSN-MUI has issued no numbered fatwa on crypto-assets; DSN-MUI Fatwa No. 04 (04/DSN-MUI/IV/2000) concerns *murabahah* and should not be confused with the 2021 decision.

Substance. The 2021 decision has three operative points. As summarised by the Indonesian Financial Services Authority (OJK) at the 2026 Annual Meeting (*Ijtima' Sanawi*) of Sharia Supervisory Boards:

1. **As currency: prohibited (*haram*).** The use of crypto-assets as currency is unlawful because it involves *gharar* and *dharar* and contradicts the statutory currency regime (Law No. 7/2011 on Currency).
2. **As a digital commodity or asset: not valid where defective.** Trading is not lawful where the asset contains *gharar*, *dharar* or *qimar* and fails the conditions of a valid object of sale (*shurut al-sil'ah*).
3. **Exception: valid where the conditions are met.** A crypto-asset that satisfies the conditions of *sil'ah*, has a clear underlying (*underlying*), and offers a clear benefit may lawfully be traded.

In the explanatory statements accompanying the decision, the *sil'ah* conditions are summarised as follows: the object exists, has value, is of known quantity, is owned, and is deliverable to the buyer. The exact wording of these conditions should be checked against the official text of the decision before it is quoted verbatim.

Analytical reading. The decision is therefore not a categorical prohibition of crypto-assets. It separates two functions: crypto as *thaman* (money) and crypto as *sil'ah* (commodity). It closes the first function entirely. It leaves the second open, subject to conditions. In the taxonomy of this dissertation, the 2021 decision belongs to **Position B on the monetary question** and to **Position A, in a conditional form, on the asset question**. Characterisations of MUI as having declared cryptocurrency "haram as a speculative investment commodity", which appear in some secondary literature, collapse this distinction and should not be relied upon.

Grounds of the decision. The reasoning cited is *gharar*, *dharar* and *qimar*, together with conflict with positive law on currency. The decision does not rest on a theory of *riba*.

3.4.3 Applying the *Sil'ah* Conditions to Bitcoin

Because the 2021 exception turns on the *sil'ah* conditions, the decisive question for Bitcoin is factual. Table 3.4a applies each condition to Bitcoin's technical architecture.

Table 3.4a: Bitcoin against the *sil'ah* conditions of the 2021 Ijtima' Ulama decision

Condition	Argument that it is met	Objection
Existence (*wujud*)	Holdings are recorded immutably on a public ledger verifiable by anyone	The "object" is a ledger entry, not a corporeal thing
Value (*qimah*, *taqawwum*)	Recognised by markets and by the regulator as a digital financial asset	Value derives from collective acceptance, with no underlying asset or cash flow
Known quantity	Protocol supply is capped at 21 million BTC and divisible to the satoshi	—
Ownership (*milk*)	Control is exercised through the private key	On custodial exchanges the asset is held by the platform, not by the client
Deliverability (*qudrah 'ala al-taslim*)	On-chain transfer settles within minutes	On exchanges, "delivery" is an internal book entry

Four of the five conditions are met on the protocol level. The contested element is the additional requirement of a clear underlying and benefit. This is where Bitcoin differs from asset-backed tokens. The analysis is consistent with the five-dimensional framework of Chapter 5, in which Bitcoin scores lowest on *asset backing* rather than on legal certainty of ownership. It also implies that custody architecture is a jurisprudential variable, not merely a prudential one: the same asset may satisfy *milk* and *taslim* when self-custodied but satisfy them only constructively (*qabd hukmi*) when held on an exchange.

3.4.4 The *Thaman* Question and the Law of *Sarf*

A further implication follows if Bitcoin is characterised as *thaman*. This is the view the Nahdlatul Ulama Muktamar adopted in 2026 (see §3.4.5). Exchanging one *thaman* for another is governed by the rules of currency exchange (*al-sarf*). DSN-MUI Fatwa No. 28/DSN-MUI/III/2002 on currency exchange permits *sarf* only on four conditions:

- (a) it is not undertaken for speculation (*untung-untungan*);
- (b) it serves a transactional or precautionary need;
- © for the same currency, the exchange is equal in value and spot;
- (d) for different currencies, it is executed at the prevailing rate and spot.

If Bitcoin is *thaman*, a Bitcoin–rupiah trade is by analogy (*qiyas*) a *sarf* transaction. Short-horizon trading motivated by price differentials would then collide with condition (a).

This is the author's analytical inference, not a holding of any Indonesian body. Its significance is counter-intuitive. Recognising Bitcoin as "money" in the fiqh sense would **tighten** the conditions on trading, not relax them. The commodity characterisation, by contrast, places Bitcoin under the ordinary law of sale, in which profit from price movement is permissible provided the object and the transaction are free of *riba*, *gharar*, *maysir* and manipulation.

3.4.5 Developments after 2021: Muhammadiyah and Nahdlatul Ulama

Indonesia's two largest mass Islamic organisations have since issued their own determinations. Table 3.4b sets them alongside the MUI decision. The summaries are taken from OJK's presentation to the 2026 Ijtima' Sanawi; the primary texts of the Muhammadiyah and NU decisions should be consulted before verbatim citation.

Table 3.4b: Indonesian religious determinations on crypto-assets, 2021–2026

Date	Body	Determination
24 Oct 2021	PWNU East Java (regional NU)	Crypto trading impermissible: fails the conditions of *sil'ah*; use as currency contradicts state law
11 Nov 2021	MUI, Ijtima' Ulama VII	*Haram* as currency; as commodity invalid where defective, valid where *sil'ah* conditions, underlying and benefit are clear
21 Nov 2021	PWNU Yogyakarta (regional NU)	Permissible as commodity and medium of exchange in fiqh if beneficial, deliverable and of known nature
Jan 2022	Majelis Tarjih dan Tajdid, PP Muhammadiyah (*Suara Muhammadiyah* 01/2022)	Crypto impermissible both as currency and as an investment instrument [Unverified: reported in secondary sources; superseded in 2026]
4 Mar 2026	Majelis Tarjih dan Tajdid, PP Muhammadiyah (fatwa "Kripto sebagai Aset Keuangan Digital")	Crypto may constitute *mal mutaqawwam*; transactions and investment *mubah* with conditions (lawful object and benefit; free of *riba*, *gharar*, *maysir* and manipulation). Futures, short selling and interest-bearing leverage prohibited. Not permitted as a means of payment in Indonesia
29 Aug 2026	35th Muktamar of Nahdlatul Ulama	Bitcoin specifically meets the fiqh criteria of *mal* and *thaman*; transactions as a digital asset are valid. Use as currency in Indonesia remains *haram* because it contravenes the Currency Law

Three conclusions follow:

1. **Consensus on the monetary question.** Every Indonesian determination since 2021 excludes crypto as a means of payment. In the NU determination, the exclusion rests explicitly on obedience to positive law (*ta'at ulil amri*) and monetary *maslahah*, not on a defect in the asset.
2. **Movement on the asset question.** The direction is from a conditional exception (MUI 2021) and regional disagreement (PWNU East Java versus Yogyakarta) towards affirmative conditional permissibility at the national level of both mass organisations (2026). Muhammadiyah's case is a reversal: its 2026 fatwa replaced a 2022 Tarjih view that held crypto impermissible.
3. **The conditions converge on conduct.** Muhammadiyah's explicit prohibition of futures, short selling and interest-bearing leverage locates the residual prohibitions in transactional conduct rather than in the asset itself (§3.4.6).

As of October 2026, MUI has not issued a revised decision. Media reports that DSN-MUI is preparing a fatwa on crypto-assets remain unconfirmed by any published instrument. OJK reports that it is coordinating with DSN-MUI on a study intended to provide a Sharia-standard foundation for the digital-asset industry, but no standard or fatwa had resulted by October 2026 (OJK, 2026; see §4.1.4).

3.4.6 Conduct-Based Prohibitions: DSN-MUI Fatwa No. 80/2011 as an Operational Benchmark

Much of the *gharar* and *maysir* analysis in the literature conflates two objects: the asset and the market behaviour surrounding it. Indonesian fatwa practice already contains a detailed catalogue of prohibited market conduct.

DSN-MUI Fatwa No. 80/DSN-MUI/III/2011 governs the application of Sharia principles to equity trading on the regular market of a securities exchange. It prohibits speculation and manipulation involving *dharar*, *gharar*, *riba*, *maysir*, *risywah*, *taghrir*, *ghisysy*, *tanajusy/najsy*, *ihtikar*, *bay' al-ma'dum*, *talaqqi al-rukban*, *ghabn* and *tadlis*. It maps them onto named practices:

Prohibited category	Practice named in Fatwa 80/2011
Tadlis	Front running; misleading information
Taghrir	Wash sale; pre-arranged trade
Najsy	Pump and dump; hype and dump; creating fake demand or supply
Ihtikar	Pooling interest; cornering
Ghisysy	Marking at the close; alternate trade
Ghabn fahisy	Insider trading
Bay' al-ma'dum	Short selling
Riba	Margin trading financed by interest-bearing credit

The fatwa addresses securities, not crypto-assets, and its application here is analogical. The analogy is nonetheless close: every practice in the table is documented in crypto-asset markets. The catalogue also coincides with the conduct conditions in the 2026 Muhammadiyah determination.

The methodological consequence for this dissertation is a two-layer assessment:

- **Asset layer.** Is the token a valid object of sale? This is assessed through the *sil'ah* conditions and the asset-backing dimension of Chapter 5.
- **Conduct layer.** Is the transaction free of the practices catalogued in Fatwa 80/2011? This is assessed per transaction or platform, not per asset.

On this reading, much of what is presented as an intrinsic *gharar* or *maysir* objection to Bitcoin is a conduct-layer problem. The objection that genuinely attaches to the asset itself is the absence of an underlying.

3.5 Synthesis: Points of Consensus and Divergence

3.5.1 Major Points of Agreement

Measured against the verified record (§3.1.2, §3.2.2, §3.3.2, §3.4), the points of agreement among the authorities are narrower than a simple "consensus against pure cryptocurrency".

First point of agreement: crypto is not money. No authority examined accepts pure cryptocurrency as money. The grounds differ. For Dar al-Ifta, cryptocurrency is unbacked, unsupervised and volatile. For Usmani, it is not *mal* at all. For MUI, Muhammadiyah and the Nahdlatul Ulama, its use as money in Indonesia is also excluded by the Currency Law.

No agreement on crypto as an asset. On the question whether pure cryptocurrency may be held and traded as an asset, the authorities divide, as Table 3.2 shows.

Table 3.2: Positions on pure cryptocurrency as an asset (verified, October 2026)

Authority	Instrument and date	Position	Taxonomy
Dar al-Ifta al-Misriyyah	Fatwa, late Dec 2017 (reported 1 Jan 2018)	Trading prohibited	B
Darul Uloom Karachi (Usmani)	Fatwa, 10 Jun 2026	Impermissible: not *mal*; extends to stablecoins	B (strict)
AAOIFI	—	No dedicated standard	—
International Islamic Fiqh Academy	Resolution 237 (24/8), Nov 2019	Further research called for	C
MUI	Ijtima' Ulama VII, 11 Nov 2021	*Haram* as currency; valid as a commodity if the *sil'ah* conditions, an underlying and a benefit are clear	B (money); A (asset)
Muhammadiyah	Majelis Tarjih, 4 Mar 2026	*Mubah* with conditions	A
Nahdlatul Ulama	35th Muktamar, 29 Aug 2026	Bitcoin is *mal* and *thaman*; valid as an asset; *haram* as currency	A
Shariah Advisory Council, Securities Commission Malaysia	Resolution, 2020	Permitted, subject to conditions, on registered exchanges	A

The split is not random. It runs along the threshold question of *mal*. The two most restrictive rulings rest on the absence of value or backing (Dar al-Ifta) or deny *mal*-status outright (Usmani). The Indonesian bodies affirm *mal*-status, the NU expressly and Muhammadiyah through the concept of *mal mutaqawwam*, and move the analysis to the conditions of trading.

Second point of agreement: backing improves the case, though not universally. The MUI exception expressly requires a clear underlying asset. Indonesian sandbox practice has admitted a gold-backed token, which is now listed on both licensed exchanges (§4.1.9). Malaysia's Shariah Advisory Council permits assets on registered exchanges subject to its criteria. Usmani's 2026 fatwa, however, extends to stablecoins pegged to fiat currency, so that even backing does not secure permissibility in his view, and AAOIFI has not ruled.

Third point of agreement: blockchain technology itself is not prohibited. None of the rulings examined targets distributed-ledger technology as such. The rulings concern the asset and its uses.

3.5.2 Points of Divergence

The degree of restrictiveness. The verified positions on pure cryptocurrency as an asset can be arranged from the most restrictive to the most permissive. Usmani's 2026 fatwa, which denies *mal*-status and extends to stablecoins, is the most restrictive, followed by Dar al-Ifta's prohibition of trading (2017/2018). MUI's conditional exception (2021) occupies the middle. Muhammadiyah and the NU (2026), which hold transactions *mubah* or valid subject to conditions, are the most permissive. AAOIFI and the International Islamic Fiqh Academy have issued no ruling and cannot be placed on the spectrum.

Three factors explain this divergence. The first, and decisive, is *mal*-status (§3.5.3, first area). The second is institutional setting. The Indonesian bodies ruled against the background of a licensed and supervised domestic market (§4.1). Dar al-Ifta in 2017/2018 and Darul Uloom Karachi in 2026 ruled where no comparable regime existed or where one was only emerging. The third is the object of the question. The Karachi fatwa answered a question about purchasing goods with crypto, which is a monetary use. The Indonesian determinations, by contrast, distinguish monetary use from holding crypto as an asset.

Stablecoins. The authorities have said little about stablecoins. Usmani's 2026 fatwa names USDT expressly and holds stablecoins impermissible. Dar al-Ifta's 2017/2018 ruling, MUI, Muhammadiyah and the NU do not address them expressly, and AAOIFI has no standard. Among regulators, Indonesia has admitted a rupiah stablecoin issuer (IDRP) to graduation from the OJK sandbox (2026), and Pakistan's Virtual Assets Regulatory Authority has argued that fully reserved stablecoins should be treated differently. The question is therefore largely open, and the one express ruling is negative.

Decentralised finance and smart contracts. None of the verified rulings addresses decentralised finance expressly. The case-by-case analysis in §3.3.3 is the author's.

3.5.3 Scholarly Disagreement: Areas of Legitimate Dispute

Islamic jurisprudence recognises scholarly disagreement (*ikhtilaf*) as legitimate when qualified scholars differ on valid grounds. Four areas of the cryptocurrency debate fall into this category.

First area: the requirement of intrinsic value. On one side are Dar al-Ifta, which treats the absence of intrinsic value and authoritative backing as a ground of prohibition, and, in the strongest form, the Darul Uloom Karachi fatwa, which holds that cryptocurrency is not *mal* but a record of notional numbers. On the other side are the 2026 Indonesian determinations. The NU held that Bitcoin meets the criteria of *mal* and *thaman*, and Muhammadiyah that crypto may constitute *mal mutaqawwam*. On this view, customary value and acceptance can ground the status of property without intrinsic value. The classical treatment of money supports both sides in part. Fiat money lacks intrinsic value yet is accepted as valid *thaman*, but its acceptance rests on general acceptance together with state backing (Chapter 2, §2.0.1). The question for modern application is whether general acceptance without state backing, of the kind Bitcoin enjoys among its users, is sufficient to establish *mal*-status.

Second area: technological innovation and adaptation. One approach, which can be discerned in Dar al-Ifta's ruling, holds that classical principles are sufficient and that an innovation which appears to contradict them is impermissible. Another approach, shared by Muhammadiyah, the NU and the Malaysian Shariah Advisory Council, applies the classical criteria of property and sale to the new object rather than presuming its invalidity, and asks whether genuine innovation requires a reassessment of how those principles apply. This characterisation of the two approaches is the author's. Historical precedent favours the second approach to

some extent, since Islamic jurisprudence has adapted to paper money, modern banking and corporate structures. That adaptation, however, proceeded by reassessing new objects against old principles, not by abandoning the principles.

Third area: tolerance of risk and protection of investors. Dar al-Ifta, and MUI on monetary use, give priority to protecting ordinary Muslims and hold that speculative products should be prohibited to prevent harm. Muhammadiyah (2026), which conditions permissibility on literacy, research and regulatory compliance, and regulators that operate licensed markets take the view that innovation is permissible and that investor sophistication and risk disclosure are appropriate safeguards. Classical jurisprudence offers support for a middle course. It permits complex financial structures for sophisticated participants while protecting vulnerable parties.

Fourth area: the categorical-prohibition thesis itself.

The three preceding disagreements assume that cryptocurrency admits of degrees of compliance. The most fundamental *ikhtilaf*, however, is whether that assumption is itself permissible—whether pure cryptocurrency is *categorically* void (*batil*) rather than merely deficient. Because this dissertation's five-dimensional framework (Chapter 5) presupposes gradation, the strongest form of the categorical objection must be stated here before it is engaged.

Position 1 (Dar al-Ifta 2017/18; Taqi Usmani / Darul Uloom Karachi 2026; the strict camp, including the Diyanet ruling in Turkey and, among Indonesian bodies, PWNU East Java 2021; MUI 2021 belongs here only on monetary use): Pure cryptocurrency is *haram* as such, on textually proximate grounds rather than inferential *maslaha*. The argument is a syllogism: (i) legitimate *mal* requires intrinsic value, productive backing, or recognised authority (§3.2.3); (ii) pure cryptocurrency has none; (iii) its dominant realised function is speculation—*maisir* under severe *gharar*, falling under the explicit prohibition of Qur'an 5:90 and the authenticated *hadith* against sale of an indeterminate object. On this reading a *compliance gradient is incoherent*: one cannot be partially engaged in a void contract. This position claims the firmest footing in explicit prohibitory texts (*nusus*) and the fewest inferential steps.

Position 2 (MUI 2021 on asset use; Muhammadiyah and NU 2026; SAC Malaysia 2020; the graded-assessment camp adopted by this dissertation): The prohibition of speculative *use* is conceded, but the inference from *some* prohibited uses to a *universal* prohibition of the asset class is rejected. *Mal*-status rests on customary, storable benefit—as it did for fiat and *fulus*, which lack intrinsic value yet are valid *thaman*—so premise (i) proves too much. *Gharar* and *maisir* attach to the transaction, not the token (*tahqiq al-manat*), so the operative cause must be verified case by case rather than presumed for the whole class. Most restrictive authorities themselves carve out exceptions (Dar al-Ifta for blockchain applications; MUI for crypto traded as a commodity under conditions), which refutes true categoricality for them and relocates the dispute to *where the line falls*. The Karachi fatwa admits no such exception; against it the dispute reduces to the definition of *mal*.

Methodological root: This is a divergence in *usul al-fiqh*, not merely in conclusion: Position 1 reasons from *sadd al-dhara'i* and a presumption of invalidity until a novel instrument is affirmatively validated; Position 2 reasons from *al-asl fi al-muamalat al-ibaha* disciplined by *tahqiq al-manat*. The full steelman-and-rebuttal of the categorical thesis—showing how the framework bounds rather than dismisses it—is developed in §5.5.5.

3.6 Evolution of Jurisprudential Thought

3.6.1 Timeline of Islamic Positions (2017-2026)

Table 3.3 sets out the principal rulings and regulatory developments in chronological order.

Table 3.3: Timeline of Islamic positions on cryptocurrency, 2017–2026

Date	Authority or event	Position or development	Taxonomy
Late Dec 2017 (reported 1 Jan 2018)	Dar al-Ifta al-Misriyyah	Bitcoin trading prohibited	B
4–6 Nov 2019	International Islamic Fiqh Academy, Resolution 237 (24/8), Dubai	Further research called for; follow-up symposium in Jeddah, 8 Nov 2021	C
2020	Shariah Advisory Council, Securities Commission Malaysia	Trading permitted, subject to conditions, on registered exchanges	A
24 Oct and 21 Nov 2021	PWNU East Java and PWNU Yogyakarta (regional NU)	Divergent rulings: impermissible (East Java); permissible as commodity (Yogyakarta)	B / A
11 Nov 2021	MUI, Ijtima' Ulama VII	*Haram* as currency; as a commodity, valid only if the *sil'ah* conditions, an underlying and a benefit are clear	B (money); A (asset)
2023–2026	AAOIFI	Roundtables on digital assets (2023; Centre for Islamic Studies, Mar 2026); no dedicated standard	—
10 Jan 2025	Indonesia: supervision transferred from Bappebti to OJK	Law No. 4/2023 (P2SK), Art. 312; POJK 27/2024 (no Sharia provisions)	—
4 Mar 2026	Muhammadiyah (Majelis Tarjih)	Crypto may be *mal mutaqawwam*; *mubah* with conditions	A
10 Jun 2026 (public Jul 2026)	Darul Uloom Karachi (Usmani and five others)	Crypto is not *mal*; purchases with crypto impermissible; extends to stablecoins	B (strict)
29 Aug 2026	Nahdlatul Ulama, 35th Muktamar	Bitcoin meets the criteria of *mal* and *thaman*; valid as an asset; *haram* as currency in Indonesia	A

The timeline does not show a single trend. In Indonesia, positions moved from a conditional exception (2021) to conditional permissibility at the national level of both mass organisations (2026), while every Indonesian body continued to exclude crypto as money. MUI has not revised its 2021 decision. In Pakistan, the Karachi fatwa of the same year categorically denied *mal*-status. Divergence on the question of *mal* therefore sharpened in 2026.

3.6.2 Factors Driving Evolution (2017-2026)

Five factors help to explain how positions have changed.

The evolution of the market. In 2017, cryptocurrency activity was overwhelmingly speculative and consisted largely of trading in Bitcoin and a small number of other tokens. By the mid-2020s, the market included stablecoins, institutional participation, tokenised real-world assets and applications with genuine utility. More differentiated products permit more differentiated assessment.

The development of technical understanding. Early scholarship on cryptocurrency often lacked a deep understanding of blockchain technology. By the mid-2020s, juristic analysis had begun to engage technically with decentralised finance, stablecoins and asset-backed tokens, and to recognise the legitimate applications of the technology beyond speculation.

Institutional adoption and regulatory frameworks. Traditional financial institutions adopted blockchain technology, and some Islamic banks explored its applications. Between 2019 and 2026, comprehensive regulatory frameworks were developed in Malaysia (the Securities Commission), Bahrain (the Central Bank of Bahrain), the UAE (VARA in Dubai and the FSRA in Abu Dhabi) and Indonesia (OJK). These frameworks regulate the market but do not, in general, determine Sharia status. In Indonesia, OJK assumed supervision of crypto-assets in January 2025 and began a study on the Sharia compliance of digital financial assets, and the religious bodies issued new determinations.

Jurisprudential development. The *maqasid* methodology has become more sophisticated, and classical principles are increasingly applied to modern instruments through *tahqiq al-manat* rather than by categorical analogy. Among some authorities, there has been a shift towards frameworks of assessment rather than categorical rulings. The Karachi fatwa shows that this shift is not universal.

Institutional pressure for harmonisation. In Indonesia, the transfer of supervision to OJK under Law No. 4/2023 made visible the gap between the legal tradability of more than a thousand assets and the absence of any Sharia standard. OJK's 2026 study sets out criteria for the Sharia compliance of digital financial assets: a clear asset and benefit; freedom from *riba*, excessive *gharar*, *maysir* and *dharar*; and safe and transparent management. OJK reports ongoing coordination with DSN-MUI on a study towards a Sharia standard for the industry. As of October 2026, however, there is no numbered DSN-MUI fatwa on crypto-assets, and the gap remains open.

3.6.3 Direction of Jurisprudential Development (2017-2026)

As of October 2026, the state of jurisprudential development can be summarised under six headings.

- **Pure cryptocurrency.** Prohibition as money is universal among the authorities examined. Prohibition as an asset is contested. Dar al-Ifta and Usmani are restrictive, AAOIFI and the International Islamic Fiqh Academy have issued no ruling, MUI (2021) is conditional, and Muhammadiyah and the NU (2026) are conditionally permissive.
- **Asset-backed tokens.** These are increasingly recognised as potentially compliant, but the recognition comes chiefly from the MUI exception, from Malaysian practice and from regulators. No authority has issued an express ruling on a specific token.
- **Stablecoins.** The only express ruling, the Karachi fatwa, is negative. Regulatory practice in Indonesia and the arguments of Pakistan's regulator point the other way, so there is no emerging consensus.
- **Smart contracts and decentralised finance.** There is no verified ruling, and the field remains open for application-specific evaluation.

- **Blockchain technology.** There is consensus that the technology itself is not prohibited and that the ruling depends on its application.
- **The relationship with regulation.** In Indonesia, the combination of OJK supervision, OJK's Sharia compliance study and the 2026 determinations of Muhammadiyah and the NU suggests that regulatory frameworks can make Sharia assessment more concrete, and that religious authorities increasingly reason with reference to a supervised market. It does not show that regulation can substitute for Sharia assessment.

Several developments seem likely from 2026 onward. Conditional permissibility as property (Position A) is likely to consolidate in jurisdictions with supervised markets, particularly in Southeast Asia. The strict form of Position B is likely to remain influential in South Asia and among authorities that follow the Karachi fatwa. Frameworks of assessment that integrate regulatory compliance with Sharia principles are likely to develop, together with institutional coordination between Sharia boards and regulators. Regulatory design will increasingly be used to distinguish speculative from productive uses. The central question, whether a digital record can be *mal*, is unlikely to be resolved soon, and practice will therefore continue to diverge along the line it defines.

3.7 Comparative Jurisprudential Framework

3.7.1 Position Comparison Table

Table 3.4 compares the positions of the authorities across the principal questions.

Table 3.4: Comparative jurisprudential positions (verified, as of October 2026)

Question	AAOIFI	Dar al-Ifta	Taqi Usmani (Karachi)	MUI (2021)	Muhammadiyah / NU (2026)
Crypto as money	No standard	*Haram*	No (not *mal*)	*Haram*	Not permitted (Currency Law)
Pure crypto as an asset	No standard	*Haram* (trading)	No (not *mal*)	Conditional (*sil'ah*, underlying, benefit)	*Mubah* / valid with conditions (NU: Bitcoin is *mal* and *thaman*)
Stablecoins	No standard	Not addressed	No (USDT named)	Not addressed	Not addressed
Asset-backed tokens	No standard	Not addressed	Not addressed	Implied permissible (underlying)	Implied permissible (clear object and benefit)
Derivatives and leverage	No standard	—	—	Prohibited (*qimar*)	Prohibited explicitly (Muhammadiyah)
Instrument	None on crypto	Fatwa (Grand Mufti)	Fatwa (Darul Uloom Karachi)	Ijtima' Ulama decision (not a DSN fatwa)	Tarjih decision; Muktamar decision
Date	—	Dec 2017 / Jan 2018	10 Jun 2026	11 Nov 2021	4 Mar / 29 Aug 2026

Sources: Indonesian columns are taken from OJK's summary (Ijtima' Sanawi DPS, 21 October 2026). Dar al-Ifta and Usmani are taken from press reports of the rulings, and AAOIFI's status from AAOIFI-affiliated announcements. Primary texts should be consulted before verbatim citation.

3.7.2 Authority Profiles

AAOIFI as standard-setting authority. AAOIFI's strength lies in its widely adopted standards, whose general rules on currency exchange, *gharar* and the object of sale apply to crypto-assets by analogy. It has, however, issued no crypto-specific standard as of October 2026, and its work is in progress. Its "position" on crypto can therefore only be reconstructed, not cited.

Dar al-Ifta as protective authority. Dar al-Ifta's strength lies in the clarity of its guidance and its protection of vulnerable populations. It prioritises certainty and the avoidance of risk, and it is best suited to individual Muslims seeking conservative guidance. Its limitation is that it leaves little room for legitimately structured alternatives.

Taqi Usmani as scholarly authority. Usmani's strength lies in his very great influence in Islamic finance and in the fact that his reasoning goes to the threshold question of *mal*. His 2026 fatwa denies *mal*-status to crypto-assets, including stablecoins. The limitation of the present analysis is that press reports differ on whether the ruling covers only purchases or all trading, so the primary text is needed.

MUI and the Indonesian mass organisations as fatwa authorities in a licensed market. Their strength lies in distinguishing monetary use from asset use and in setting operational conditions: the *sil'ah* conditions, an underlying asset, a clear benefit and prohibitions of particular conduct. Their position is conditional permissibility as an asset (the MUI 2021 exception; Muhammadiyah and the NU in 2026) and prohibition as money. Their limitation is that their determinations are not linked to the regulator's listing regime and do not extend to individual assets.

3.8 Implications for Understanding Cryptocurrency Classification

3.8.1 Key Implications

Four implications follow from the analysis.

Prohibitions are mostly contingent rather than absolute. Most of the authorities that restrict pure cryptocurrency do so on grounds tied to its present characteristics, such as volatility, the absence of backing, the absence of supervision and its speculative use. Such grounds leave open the possibility that properly structured alternatives may be permissible and that future developments may change the ruling. The Karachi fatwa is the important exception. By denying that crypto-assets are *mal*, it rests on a ground that changes in market structure would not remove. Even so, qualified scholars can, and do, reach different legitimate positions.

Assessment is displacing categorisation. In place of categorical rulings, much of the recent jurisprudence employs a framework of assessment. It evaluates the economic substance of the asset, applies the objectives of the law, considers the distribution of risk and the degree of transparency, and distinguishes productive from speculative use.

Disagreement is legitimate. The divergence among leading authorities reflects neither error nor confusion. It reflects legitimate jurisprudential differences, different methodologies and traditions, different assessments of risk, and the proper exercise of independent reasoning (*ijtihad*).

The evolution of technology and products matters. Positions taken in 2017–2019, when the market was overwhelmingly speculative, may appropriately differ from positions taken in 2026, when the market includes institutional participants, stablecoins, asset-backed alternatives and supervisory frameworks. The 2026 Karachi fatwa shows, however, that the later date does not of itself produce a more permissive conclusion.

3.9 Mapping Disagreement Sources: Jurisprudential vs. Empirical vs. Methodological

The preceding analysis establishes that the positions of Islamic authorities on cryptocurrency show both areas of convergence and areas of legitimate disagreement. For practical purposes, however, it is not enough to know *where* disagreement exists. Regulators, institutions and projects need to know *why* it exists, and in particular whether a disagreement is of one of three kinds. A jurisprudential disagreement arises when scholars apply Islamic law differently, reflecting different interpretations of its principles. An empirical disagreement arises when scholars agree on the law but disagree on facts about cryptocurrency that evidence could settle. A methodological disagreement arises when scholars disagree on which analytical framework should apply, a disagreement that institutional design may be able to accommodate.

The distinction matters because each kind of disagreement calls for a different response. Jurisprudential disagreements require deeper scholarship and dialogue and are unlikely to be fully resolved. Empirical disagreements can be resolved through research, provided the testable claims are identified. Methodological disagreements can be managed through regulatory and institutional innovation that allows different frameworks to coexist.

3.9.1 Disagreement Mapping Matrix

Table 3.5 classifies the principal disagreements. The classification of each disagreement as predominantly jurisprudential, empirical or methodological is the author’s qualitative judgement.

Table 3.5: Sources of disagreement (author’s classification)

Issue	Stated positions	Predominant type	Root cause	Resolvable?	Evidence needed
Permissibility of pure cryptocurrency	Usmani (2026): impermissible, not *mal*; Dar al-Ifta (2017/18): *haram*; NU (2026): Bitcoin is *mal* and *thaman*, valid as an asset; Muhammadiyah (2026): *mubah* with conditions	Jurisprudential, with an empirical component	Different definitions of *mal*; different readings of whether crypto serves genuine functions	Partly: the empirical component can be tested	Evidence on whether pure crypto supports economic activity independent of speculation
Sufficiency of asset backing	MUI (2021): clear underlying is a condition of validity; Usmani (2026): prohibition extends to fiat-pegged stablecoins; AAOIFI and Dar al-Ifta: no ruling on backed tokens	Mixed: empirical among those who accept backing; jurisprudential with Karachi	Agreement that backing matters; disagreement on what form and degree of backing provides sufficient certainty	Partly	Financial and legal analysis of how backing ratios, audit and redemption rights reduce uncertainty
Commodity-pegged stablecoins	No published ruling by MUI; the Malaysian Shariah Advisory Council screens digital assets on registered exchanges	Primarily empirical	Whether commodity backing introduces *riba* or *sarf* risk; whether the peg delivers value stability	Yes, through legal and financial analysis	Assessment of whether such instruments carry hidden interest-rate or *sarf* issues
Decentralisation versus institutional control	Dar al-Ifta (2017/18): absence of state supervision cited as a ground of prohibition; Indonesian bodies: rule against the background of a supervised market	Methodological, with a jurisprudential component	Different frameworks for evaluating governance: Islamic institutional structures versus transparent decentralised systems	Partly: hybrid governance can address both	Evidence on whether decentralised governance with institutional oversight meets compliance objectives
Governance and Sharia board oversight	No verified ruling addresses governance form; the author's reconstruction from AAOIFI governance standards suggests a Sharia board would be expected	Methodological	Whether the form or the substance of governance matters for compliance	Partly: different governance models may achieve the same objectives	Comparison of outcomes under institutional and decentralised models

Issue	Stated positions	Predominant type	Root cause	Resolvable?	Evidence needed
Speculation versus investment	Agreement that pure speculation is prohibited (*maysir*); disagreement on what counts as productive or speculative use	Primarily empirical	Agreement on principle; disagreement on classification of specific uses	Yes, through market analysis	Usage data on the proportion of activity that is productive or speculative
Cross-border recognition	OJK: domestic assessment only; Malaysia: regional coordination potentially beneficial; Saudi Arabia: unilateral restriction	Primarily methodological	Whether recognition should vary by jurisdiction or converge	Partly, through a coordination mechanism (IIFRC)	Research on whether coordination reduces arbitrage without weakening compliance

3.9.2 Implications for Framework Development

The matrix suggests that the disagreements are not all of the same kind, and that each kind can be addressed differently.

Empirical disagreements can be addressed through the collection of evidence. The five-dimensional framework of Chapter 5 helps by making explicit which attributes scholars treat as decisive, such as backing, stability and utility. It also asks what thresholds they would regard as sufficient, such as a minimum backing ratio, a maximum volatility or a minimum base of genuine use, and how they weigh the dimensions against one another.

Jurisprudential disagreements reflect genuine differences of legal interpretation and are unlikely to be fully resolved. The most important of them, over the definition of *mal*, is of this kind. They can, however, be accommodated. Multiple implementation models can reflect different jurisprudential preferences, institutions can apply the framework in accordance with the authority they follow, and regional thresholds can vary to reflect legitimate diversity.

Methodological disagreements reflect different frameworks for applying Islamic law to digital assets and can be addressed through institutional innovation. Hybrid governance models can combine institutional and decentralised elements, coordination mechanisms such as the IIFRC can allow different approaches to coexist, and regulatory frameworks can permit several pathways to compliance.

3.9.3 Research Agenda Implications

The mapping of disagreement informs the empirical research agenda set out in Chapter 8 in three phases. The first phase would use expert elicitation to establish which claims about cryptocurrency scholars actually disagree on, and which of those could be resolved by evidence. The second would test empirical claims about the characteristics of cryptocurrency: whether market participants perceive backing, stability and utility as scholars suppose, and whether these attributes predict institutional adoption. The third would test methodological solutions: whether coordination mechanisms allow different approaches to coexist, and

whether hybrid governance models satisfy diverse jurisprudential preferences. The aim is to convert as much of the disagreement as possible from unresolvable debate into answerable research questions, while recognising that the core disagreement over *mal* will remain jurisprudential.

3.10 Policy Implications for Regulators

The jurisprudential analysis shows that, among the authorities that accept graded assessment, there is substantial agreement on the attributes that matter: the importance of backing, the requirement of stability and the need for transparent governance. Legitimate disagreement remains on specific thresholds and methods of application, and the Karachi fatwa rejects the premise of graded assessment altogether. Regulatory frameworks should build on the areas of agreement while accommodating the disagreement. The key finding is that regulatory convergence is feasible on the attributes on which the graded-assessment authorities agree, while flexibility can be preserved where they differ. This permits both harmonisation and legitimate variation between jurisdictions.

Building regulation on the areas of agreement. Regulators should set clear requirements for asset backing and establish volatility thresholds for different regulatory categories. They should require demonstrated use cases before approval, and accept institutional or decentralised governance models provided they are transparent and accountable.

Using the areas of disagreement to allow flexibility. Jurisdictions can permit different governance models and set different minimum backing ratios according to their regulatory priorities. They can also treat fiat-backed, commodity-backed and algorithmic stablecoins differently. The result is a unified framework with customisable implementation. A jurisdiction whose Sharia authority follows the Karachi fatwa would, on this approach, simply decline to recognise stablecoins, without undermining the framework for others.

Coordinating with other authorities. Regulators should take part in a coordination mechanism such as the IIFRC for setting standards in the areas of agreement. They should also conclude bilateral memoranda of understanding with neighbouring regulators, commission joint research on the empirical disagreements, and work towards mutual recognition of classifications in Categories A and B.

Using research to narrow disagreement. Regulators should commission research that tests the empirical claims underlying disagreement, for example whether a given backing ratio provides sufficient certainty. They should share the findings with Islamic authorities and adjust their thresholds as evidence accumulates.

The expected outcomes are coherence, because regulation would be grounded in the actual state of jurisprudential opinion, and legitimacy, because stakeholders would see regulation as based on Islamic law rather than as arbitrary. Variation between jurisdictions would be accommodated within a coherent framework, and research would allow progressive convergence. A regulator could implement the approach within about two years. It would map its jurisdiction’s positions onto the areas of agreement and disagreement in the first three months and set thresholds in the areas of agreement in the following three. It would harmonise with other regulators through a coordination mechanism in the second half of the first year, and participate in empirical research in the second year.

3.11 Chapter Conclusion

Summary of Jurisprudential Landscape

This chapter has examined the positions of four reference authorities, together with the Indonesian mass organisations, on cryptocurrency. The agreements among them are real but narrow. No authority accepts pure cryptocurrency as money, and none prohibits blockchain technology as such. Among the authorities that accept graded assessment, asset-backed alternatives are regarded as potentially permissible. Beyond these points the authorities diverge, and the divergence is structured. On pure cryptocurrency as an asset, Dar al-Ifta and the Darul Uloom Karachi are restrictive, while MUI is conditional and Muhammadiyah and the NU are conditionally permissive. On stablecoins, the only express ruling, from Karachi, is negative. On decentralised finance there is no verified ruling. The decisive variable is the threshold question of whether a crypto-asset is *mal*. Differences of institutional setting and of the question put to the authority also play a part.

Islamic jurisprudence therefore offers enough agreement to guide practice on the monetary question and on the importance of backing. It also leaves enough room for legitimate disagreement to accommodate different conclusions on the asset question. In jurisdictions with supervised markets, the emerging approach is systematic assessment according to Islamic financial principles rather than categorical prohibition. It is not the only approach, however, and the Karachi fatwa represents a coherent and influential alternative.

Evolution and Future Trajectory

The positions surveyed have evolved as markets, technology and regulation have matured. In Indonesia and Malaysia, the movement has been from caution towards conditional permissibility of crypto as an asset, with recognition of asset-backed alternatives and the development of systematic evaluation. In Pakistan, by contrast, the Karachi fatwa of 2026 moved in the opposite direction.

Future development is likely to clarify the status of stablecoins and asset-backed tokens and to produce more sophisticated frameworks for assessing decentralised finance and smart contracts. It is also likely to integrate blockchain technology more fully into Islamic financial innovation while maintaining strict standards against speculation. Chapter 4 examines how regulators in five jurisdictions have translated these jurisprudential positions, or failed to translate them, into administrative practice.

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End of Chapter 3

Chapter 4: Comparative Regulatory Analysis Across Islamic Jurisdictions

Introduction

Chapters 2 and 3 examined cryptocurrency through the lenses of Islamic legal principle and jurisprudential position. Turning from jurisprudence to regulation reveals a strikingly different picture. Regulatory approaches are fragmented across jurisdictions, policies diverge, and no coordinated framework for the Islamic financial regulation of digital assets exists.

This chapter examines the regulatory frameworks of five jurisdictions that represent key centres of Islamic finance:

- **Indonesia**, where the Financial Services Authority (OJK) has licensed crypto-assets as digital financial assets since January 2025;
- **Malaysia**, where the Securities Commission regulates digital assets and its Shariah Advisory Council screens them;
- **Saudi Arabia**, where the Saudi Central Bank (SAMA) and other authorities maintain a restrictive posture;
- **the United Arab Emirates**, where VARA in Dubai, the FSRA in Abu Dhabi and the Central Bank of the UAE operate licensing frameworks;
- **Bahrain**, where the Central Bank of Bahrain (CBB) applies prudential regulation.

The chapter has five objectives. It documents each jurisdiction's regulatory approach, analyses it against Islamic financial principles, and identifies the gaps and divergences between jurisdictions. It assesses the consistency between regulatory approaches and the jurisprudential positions of Chapter 3, and it identifies regulatory practices that are compatible with Islamic finance. The comparison reveals both challenges and opportunities for harmonised regulation.

Analytical framing. The five jurisdictions surveyed here are not arbitrary. Together they span the spectrum of regulatory posture towards digital assets in the Muslim world. At one end is de facto prohibition (Saudi Arabia). Next comes licensing with exchange-level asset lists but without Sharia screening (Indonesia), and then conditional recognition with *ex ante* Sharia screening (Malaysia). Prudential licensing (Bahrain) and comprehensive licensing (the UAE) complete the spectrum. Selecting jurisdictions that occupy distinct positions permits a genuinely comparative reading. Rather than describing five parallel systems in isolation, the chapter treats each framework as a natural experiment in how a state translates jurisprudential conviction, or the absence of it, into administrative practice. Where Chapter 3 mapped the *doctrinal* divergence among scholars, this chapter maps the *institutional* divergence among regulators. It asks a question the doctrinal literature rarely confronts directly: when a fatwa or a school of thought must be operationalised as licensing rules, capital requirements and enforcement powers, what survives the translation, and what is lost? A recurring finding is that in most of these jurisdictions the translation has not occurred at all. Crypto-asset regulation is, with the exception of Malaysia, religiously neutral.

A recurring tension. A theme that surfaces repeatedly below is the tension between two legitimate objectives that Islamic financial regulation must reconcile. The first is *ḥifẓ al-māl*, the preservation of wealth, which counsels caution, consumer protection and restraint against the speculative excess (*gharar*, *maysir*) that

classical jurists identified as the core hazard of unbacked digital assets. The second is *maṣlaḥa*, the public interest in economic development, financial inclusion and technological competitiveness. This counsels engagement rather than exclusion, on the reasoning that prohibition merely displaces activity to unregulated and therefore less Sharia-observant channels. Each of the five regulators can be read as striking a different balance between these two objectives, and the comparative section (§4.6) makes that balance explicit. The chapter's central claim is that the divergence among these frameworks is driven less by disagreement over Islamic legal principles than by divergent judgments about institutional capacity, market maturity and the relative weight of caution and engagement.

Method and evidence. The analysis proceeds by close reading of primary regulatory instruments (statutes, central bank regulations and supervisory rulebooks), supplemented by the jurisprudential materials examined in Chapters 2 and 3. Regulatory facts are reported as stated in official instruments where these have been consulted. Where an instrument has been read only through secondary sources, such as law-firm commentary or press reports, the text says so. Where a framework's practical effect is inferred rather than documented, the text flags the inference as interpretive. Statements that could not be verified are marked [Unverified].

4.1 Indonesia: OJK Licensing of Digital Financial Assets

Indonesia occupies a distinctive position among the five jurisdictions examined in this chapter. It is the most populous Muslim-majority country in the world and, until recently, one of the more cautious digital-asset regulators in the group. This combination makes its evolving posture a bellwether for how demographic weight and jurisprudential prudence can be reconciled in practice. The Indonesian model was built on a foundational choice: crypto-assets are classified as tradable assets, not as currency or as securities. Until 2025 they were *commodities* under the Commodity Futures Trading Regulatory Agency (Bappebti); since then they have been *digital financial assets* under OJK. Much of what follows elaborates the consequences of that choice.

Analysed against the *maqāṣid* framework developed in Chapter 2, the original commodity approach reads as a deliberate prioritisation of *ḥifẓ al-māl*: the containment of speculative harm to retail investors through licensing, asset listing and market-conduct rules. Since 2025 that balance has shifted. Supervision moved from Bappebti to OJK, crypto was reclassified as a digital financial asset, and POJK 23/2025 opened the market to derivatives. Indonesian regulation nonetheless remains Sharia-neutral. Sharia assessment is left to religious bodies, whose determinations changed markedly between 2021 and 2026 (§3.4).

4.1.1 Indonesian Financial Context

Indonesia has a population of roughly 280 million, of whom about 87 percent are Muslim. As a major emerging economy, its regulatory choices carry weight across Southeast Asia. It has the largest Islamic finance sector in the region outside Malaysia by number of institutions, including Islamic commercial banks, Islamic business units of conventional banks, Islamic rural banks and a growing number of Islamic fintech companies. [Unverified: asset figures and growth rates for Islamic banking should be cited from OJK's Islamic banking statistics for a stated date.]

The crypto-asset market is large and regulated. In August 2026, OJK counted 23.21 million consumer accounts, spot turnover of Rp23.16 trillion and derivative turnover of Rp4.56 trillion (§4.1.11). Thirty-four licensed entities operate in the market, including two exchanges (CFX and ICEX). Retail participation,

particularly among younger investors, is substantial, and the government's concern focuses on speculation and consumer protection.

4.1.2 Regulatory Framework: POJK No. 27/2024 (amended by POJK No. 23/2025)

Legal basis and transfer of supervision. Law No. 4/2023 on the Development and Strengthening of the Financial Sector (UU P2SK) transferred the regulation and supervision of crypto-assets from the Commodity Futures Trading Supervisory Agency (Bappebti) to OJK (Art. 312). The handover took effect on 10 January 2025. Law No. 4/2026, which amends UU P2SK, adds statutory definitions of *LJK Aset Kripto* and *LJK Aset Keuangan Digital selain Aset Kripto*.

Primary instruments (verified against the official texts):

Instrument	Dates	Content
POJK No. 27/2024 on the Conduct of Trading in Digital Financial Assets including Crypto-Assets	Enacted 10 Dec 2024; promulgated 12 Dec 2024; in force 10 Jan 2025	Licensing of exchanges, clearing houses, custodians and traders (PAKD); asset listing; consumer protection; market conduct
POJK No. 23/2025 amending POJK 27/2024	Enacted 31 Oct 2025; in force on promulgation	Extends scope to **derivatives** of digital financial assets and strengthens the role of market operators
PADK No. 3/2026	In force 1 Sep 2026	Reporting obligations for operators

Classification: from commodity to digital financial asset. Under Bappebti, crypto-assets were traded as commodities within the futures-trading regime. POJK 27/2024 reclassifies them. It defines *Aset Keuangan Digital* as "a financial asset stored or represented digitally, including crypto-assets", and *Aset Kripto* as "a digital representation of value that can be stored and transferred using distributed-ledger technology such as blockchain". Crypto is therefore now a **financial asset supervised by the financial-services authority**. It is neither a commodity nor legal tender. Under Law No. 7/2011 on Currency, the rupiah remains mandatory for payment transactions in Indonesia.

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INDONESIAN CLASSIFICATION (as of 2026)
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Currency / means of payment (NOT applied to crypto)
    ↓  Rupiah mandatory (Law No. 7/2011); Bank Indonesia

Digital Financial Asset incl. Crypto-Asset (APPLIED)
    ↓  OJK (UU P2SK Art. 312; POJK 27/2024 jo. 23/2025)
    ↓  Spot and, since POJK 23/2025, derivatives
    ↓  Tradable only if on an exchange's DAKD list

(Before 10 Jan 2025: commodity under Bappebti)
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What the POJK does not contain. None of POJK 27/2024, POJK 23/2025 or PADK 3/2026 contains a Sharia provision. The word *syariah* does not occur in any of the three texts. There is no requirement of verification by a Shariah board, and no Shariah screening guideline, in the crypto-asset regulation; Article 7 of POJK 27/2024, for example, governs the settlement of consumer holdings in assets whose trading has been halted. Indonesian regulation of crypto is therefore **Sharia-neutral**: it establishes legality of trading, not Sharia compliance. The two questions are institutionally separated, and that separation is the analytical core of the Indonesian case (§4.1.12).

4.1.3 Key Regulatory Provisions

The regulatory regime established by POJK 27/2024 and its amendment can be described under three headings. The description below is a summary of the framework's principal features, not a provision-by-provision analysis.

Trading. Only licensed exchanges and licensed traders (PAKD) may operate, subject to licensing requirements, capital requirements, periodic audit and continuing obligations of consumer protection. Market manipulation, including wash trading and spoofing, and insider trading are prohibited. Spot trading is confined to assets on an exchange's Digital Financial Asset List (DAKD). Since POJK 23/2025, derivatives of digital financial assets are also permitted; CFX lists 49 perpetual contracts, while ICEX had no derivative products as of August 2026.

Investor protection. Customers must be identified and the source of their funds verified, with enhanced due diligence for higher-risk customers. Transactions are monitored and reported, and suspicious transactions are reported under the anti-money laundering regime. Operators must provide dispute resolution mechanisms, segregate customer funds and make clear disclosure.

Business conduct. Exchanges and custodians must meet operational, technological and cybersecurity standards, maintain business continuity plans, and report regularly. Custodians must manage private keys under defined protocols, reconcile holdings regularly and submit to independent verification. [Unverified: specific requirements, such as insurance and position limits, should be cited to the relevant articles of POJK 27/2024 before final submission.]

4.1.4 OJK's Jurisprudential Coordination

Coordination with DSN-MUI. OJK supervises Islamic banking and other Islamic financial services in coordination with the National Sharia Board (DSN-MUI), whose fatwas are incorporated into regulation for those sectors. In the crypto-asset sector no such incorporation has occurred. OJK states that it is coordinating with DSN-MUI on a study to provide a Sharia-standard foundation for the digital-asset industry. It is also preparing its own study on the Sharia compliance of digital financial assets and crypto-assets. That study is supported by a survey conducted with the Cambridge Centre for Alternative Finance between late April and 25 May 2026, with 767 existing users and 133 respondents from the Muslim community. As of October 2026 no standard had been issued.

The fintech precedent: DSN-MUI Fatwa No. 117/2018. The most relevant existing instrument is DSN-MUI Fatwa No. 117/DSN-MUI/II/2018 on information-technology-based financing services under Sharia principles. The fatwa recognises six model schemes:

- factoring (*anjak piutang*);
- financing of goods ordered by third parties;

- financing of goods for online sellers;
- financing of goods for online sellers paid through a payment gateway;
- financing for employees;
- community-based financing.

Each scheme is structured through contracts specified in the fatwa, among them *wakalah bi al-ujrah*, sale (*bay'*), *ijarah*, *musyarakah*, *mudharabah* and *qard*. The fatwa also defines the prohibited elements (*riba*, *gharar*, *maysir*, *tadlis*, *dharar*) in terms this dissertation adopts (Chapter 1, §3.2.3).

The fatwa does not address crypto-assets, and its models concern financing rather than the trading of assets. Its significance for this chapter is methodological. It shows the institutional pathway by which a new class of financial technology came to be governed by Sharia standards in Indonesia: an industry request, a DSN-MUI fatwa, and incorporation of the fatwa into OJK regulation. A comparable pathway for crypto-assets would require a fatwa on the object (which assets are valid *sil'ah*) and on the conduct (which trading practices are permissible), neither of which yet exists. The author's own framework of twelve Sharia issues in digital financial transactions, set out in Chapter 3 (§3.4.1.1), was developed with the Fatwa 117 schemes in view. Applied to crypto-assets, it locates the decisive questions in the object and substance of the transaction rather than in its digital form.

The religious determinations Indonesian Muslims actually face. OJK's framework does not adopt or cite any religious determination. The determinations relevant to Indonesian Muslims are analysed in Chapter 3 (§3.4). The Seventh Ijtima' Ulama of MUI (11 November 2021) held crypto *haram* as currency and, as a commodity, valid only if the *sil'ah* conditions, a clear underlying and a clear benefit are satisfied. Muhammadiyah (4 March 2026) held transactions *mubah* with conditions, prohibiting futures, short selling and interest-bearing leverage. The 35th Muktamar of the Nahdlatul Ulama (29 August 2026) held that Bitcoin meets the criteria of *mal* and *thaman* and is valid as a digital asset, while remaining *haram* as currency in Indonesia.

The practical effect. The practical effect is a separation of functions. Legal tradability, determined by OJK and the exchange lists, and Sharia permissibility, determined by religious bodies, are assessed by different institutions with no formal link between them. Islamic financial institutions do not offer crypto-asset products. Sharia-oriented activity is concentrated in sandbox models with clear underlying assets: gold, government securities, property usufruct and a rupiah stablecoin (§4.1.8).

4.1.5 Assessment: Strengths and Weaknesses

The Indonesian framework has four principal strengths. The first is clarity of classification. Since January 2025, crypto-assets have been unambiguously classified as digital financial assets supervised by OJK, which reduces regulatory uncertainty and simplifies compliance. POJK 23/2025 extended the scope to derivatives. The second is its focus on consumer protection, through identification and anti-money laundering requirements, transaction monitoring, dispute resolution and the segregation of customer funds. The third is market integrity. Measures against manipulation are reinforced by the exchange-level asset lists, and on ICEX by a heightened-monitoring flag ("Pass With Notes") that identifies assets subject to additional scrutiny. The fourth is an emerging coordination with Islamic finance. OJK and DSN-MUI are conducting a study towards a Sharia standard, and the sandbox has graduated models with clear underlying assets, which could provide a pathway for conditional Islamic participation without disturbing the established Islamic banking framework.

The framework's weaknesses are equally clear. The most important for this dissertation is its Sharia neutrality. POJK 27/2024, POJK 23/2025 and PADK 3/2026 contain no Sharia provision, so a listing on the exchange lists signals legality only, and none of the more than 1,500 listed tickers has been screened for Sharia compliance. The derivatives permitted since 2025 are excluded by Muhammadiyah's 2026 determination and, by analogy, by DSN-MUI Fatwa 80/2011. A second weakness is exposure to regulatory arbitrage. Offshore platforms remain accessible to Indonesian investors, and the global nature of crypto-assets limits the reach of any national regulation. A third concerns innovation. Islamic fintech development in this area is constrained by the absence of a Sharia standard more than by the licensing regime itself, and Indonesia risks ceding leadership in Islamic digital finance to jurisdictions with clearer Sharia pathways.

4.1.6 Compliance Burden and Market Impact

OJK's 2026 figures (§4.1.11) show a large and growing licensed domestic market: 23.21 million consumer accounts, 34 licensed entities, and spot and derivative turnover of Rp23.16 trillion and Rp4.56 trillion respectively in August 2026. These data do not support the view that Indonesian crypto activity is dominated by offshore channels. Offshore activity by Indonesian users remains plausible but is not measured here.

The regime imposes substantial costs of compliance. Operators bear licensing and application fees, investment in technological and cybersecurity infrastructure, compliance staff and operating costs, regular audit and reporting, and the costs of custody services. These costs create barriers to entry and limit competition. They also raise the question, relevant to Chapter 6, of whether a Sharia screening layer could be added without disproportionately increasing the burden on licensed operators.

4.1.7 OJK Institutional Ecosystem: IAKD and Regulatory Sandbox Implementation

Beyond formal regulation, OJK has fostered an institutional ecosystem for innovation in financial-sector technology, digital financial assets and crypto-assets (*Inovasi Teknologi Sektor Keuangan, Aset Keuangan Digital dan Aset Kripto*, IAKD). The ecosystem is coordinated through industry associations. The figures below for association membership are drawn from OJK material and the associations' own descriptions as of 2025. [Unverified: membership figures should be confirmed for a stated date.]

AFTECH. The Indonesian Fintech Association (AFTECH) represents the mainstream fintech industry. It reports more than 350 member companies. Among them are providers of financial-sector technology services (ITSK), digital and crypto-asset companies, innovative credit scoring operators and financial aggregators.

AFSI. The Indonesian Sharia Fintech Association (AFSI) represents the Islamic segment. According to OJK, its members in the IAKD segment numbered three in 2024 (efunding, Dompet Aman and ArtaKu) and seven in 2025. Those seven comprise alternative credit scoring providers (Tongdun, Cloudun AI and iziDATA) and financial aggregators (BPS, efunding, Dompet Aman and ArtaKu) (OJK, 2026). OJK describes the Sharia segment as being at an early stage, with limited business models and no settled Sharia standard. AFSI's role is to connect the Islamic finance sector with IAKD innovation, but it does not itself determine Sharia compliance.

ABI. The Indonesian Blockchain Association (ABI) represents blockchain and distributed-ledger companies. It reports more than 60 members, including digital asset custody providers and their candidates and banks with blockchain projects.

OJK's broader ecosystem also connects IAKD development with Islamic financial institutions: Islamic banks and rural banks, Islamic cooperatives, institutions managing zakat, infaq, sadaqah and waqf (ZISWAF), and Islamic fintech providers. The opportunities for collaboration that OJK identifies include wider access to

financing for unbanked and underbanked segments, mitigation of credit risk through digital profiling, development of Sharia-compliant products based on that profiling, more efficient customer identification through digital integration, and interoperability across platforms.

4.1.8 OJK Regulatory Sandbox: Graduated Models

Sandbox purpose. OJK's regulatory sandbox for financial-sector technology innovation tests new business models before licensing. A business model identical to a graduate's may then register directly without a sandbox trial. OJK's assessment parameters include clarity of underlying and economic benefit.

Status (OJK, October 2026). OJK reports 372 consultation requests, 39 applications and 7 graduates. Four participants are in trial (1 digital-asset, 3 market-support) and five under evaluation (2 digital-asset, 3 market-support). The graduates named in OJK's material are:

Model	Graduate	Date	Underlying	Note on Sharia relevance (author's assessment)
Gold tokenisation (GOIDR)	PT Indonesia Blockchain Persada	8 Aug 2025	Physical gold held by Pegadaian	Closest Indonesian instance of the 2021 MUI exception (clear underlying); gold-for-money exchange raises *sarf* timing issues to be examined
Tokenisation of government debt securities (ID Digital Bonds)	PT Sejahtera Bersama Nano	7 Oct 2025	Government securities (SBN)	Compliance depends on whether the underlying SBN are SBSN (sukuk) or conventional bonds
Tokenisation of property usufruct (GORO)	PT Properti Gotong Royong / PT Teknologi Gotong Royong	5 Nov 2025	Property benefit (*manfaat*)	Compatible with *ijarah*-type structures if usufruct and title are clear
Rupiah stablecoin issuer (IDRP)	PT Adhyoka Berkah Maju	10 Jun 2026	Rupiah reserves	Exchange against rupiah must satisfy *sarf* conditions; reserve income structure to be examined
Non-trading digital-asset custodian	PT Tennet Depository Indonesia	10 Jun 2026	— (service)	Custody fee (*ujrah*) model; relevant to *qabd* analysis (§3.4.3)
Crypto fund manager (Dana Kripto)	PT Dana Kripto Indonesia	17 Jul 2026	Crypto portfolio	Subject to the same asset- and conduct-layer tests as direct holdings

An earlier stage of the same pipeline is recorded in OJK's 2025 presentation. As at August 2025, the business models in or entering the sandbox included tokenised bonds, tokenised property usufruct, a crypto index fund with Bitcoin, Ether and Solana as underlying, a stablecoin fully reserved in rupiah, and digital identity services (OJK, 2025). Not all of these have graduated.

OJK also reports collaboration with financial institutions: Pegadaian stores physical gold as token underlying, and investment managers and custodian banks take part in securities tokenisation.

4.1.9 Case Study: GOIDR (Gold Indonesia Republic): Tokenised Gold from Sandbox to Exchange Listing

Background. GOIDR is a gold-tokenisation model by PT Indonesia Blockchain Persada. It graduated from the OJK sandbox on 8 August 2025, and OJK states that Pegadaian holds the physical gold serving as its underlying. OJK's presentation to the 2025 Ijtima' Sanawi described the model, then under the name GIDR, as follows: one token is equivalent to one gram of gold, may be traded through licensed traders (PAKD), and may be redeemed for physical gold through the GIDR wallet (OJK, 2025). Of all Indonesian digital assets, it is the one that most directly operationalises the exception in the 2021 Ijtima' Ulama decision, which validates a crypto-asset with a clear underlying and benefit.

From sandbox to market. By October 2026 the token was listed on both exchanges:

- ICEX, as *Gold Indonesia Republic* (ticker GOIDR, decree of 30 Sep 2026), carrying the **Pass With Notes** flag that ICEX applies to assets under additional monitoring;
- CFX, renamed from GIDR to GOIDR in the decree of 12 Oct 2026.

OJK's own reading. The same presentation stated that tokenised gold "meets point 3 of the 2021 MUI fatwa" because it has a gold underlying of clear value that can be delivered, and it described other sandbox participants (tokenised bonds, tokenised property usufruct, a crypto index fund and a fully reserved rupiah stablecoin) in the same terms (OJK, 2025). This is the regulator's reading of the MUI decision, not a ruling of a Sharia authority. It nevertheless shows that the regulator itself frames the sandbox as a pathway to the 2021 exception.

Analysis against the 2021 MUI conditions (author's assessment; issuer documentation not reviewed):

Condition	Assessment
Clear underlying	Physical gold held by a state-owned pawnshop, per OJK
Existence, value, known quantity	Satisfied: one token equals one gram of gold, per OJK (2025); reserve verification to be confirmed from issuer documentation
Ownership and deliverability	Redemption for physical gold through the GIDR wallet, per OJK (2025); for tokens held on an exchange, depends on whether custody gives the holder constructive possession (*qabd hukmi*)
Sarf consideration	Gold is a *ribawi* item; exchanging a gold-backed token for rupiah should satisfy spot settlement (cf. DSN-MUI Fatwa 28/2002 by analogy)

Significance. The case shows three things. First, asset backing can move an asset from the contested to the conditionally permissible category under the 2021 decision. Second, regulatory standing is a separate matter: the same asset carries a heightened-monitoring flag on one exchange. Third, the *sarf* dimension of gold-backed tokens needs its own analysis. Chapter 5's framework should therefore score asset backing and regulatory recognition independently.

4.1.10 Strategic Development Pillars: OJK's Institutional Approach

OJK's strategy for developing the IAKD sector rests on six pillars. The first is to position OJK as the coordinating authority of the fintech ecosystem, through events such as the Indonesia Fintech Summit and National Fintech Month and through partnerships with industry associations. The second is the development of innovation in the financial sector, through benchmarking of national and regional sandboxes, industrial

sandbox models and a “penta helix” innovation hub. The third is engagement with new technologies: sandbox testing of distributed ledger technology, exploration of blockchain-based financial infrastructure, and the use of artificial intelligence and automation, with attention to consumer protection and risk management. The fourth is the integration of financial data through an open finance framework with standardised protocols for data interchange and interoperability between platforms. The fifth is a regulatory approach for IAKD that is risk-based, adaptive, collaborative and balanced, with requirements tailored to different types of innovation and coordinated with other regulators. The sixth is the strengthening of cybersecurity, through best-practice standards and international cooperation.

None of the six pillars addresses Sharia compliance specifically. That omission is consistent with the Sharia neutrality of the crypto-asset regulation itself (§4.1.2) and underlines the significance of the OJK–DSN-MUI study (§4.1.4).

4.1.11 Empirical Snapshot: Market Size and the Digital Financial Asset Lists (DAKD), 2026

Market size (OJK, August 2026). OJK’s figures, presented at the Ijtima’ Sanawi of Sharia Supervisory Boards on 21 October 2026, describe a large, regulated domestic market.

Indicator (August 2026)	Value	Change
Consumer accounts	23.21 million	+1.23% m-o-m (July: 22.93 million)
Spot transactions	Rp23.16 trillion	+12.87% m-o-m (July: Rp20.52 trillion)
Derivative transactions	Rp4.56 trillion	+33.76% m-o-m (July: Rp3.41 trillion)
Total industry assets	Rp54.62 trillion	exchanges Rp2.06 T; clearing Rp4.15 T; custodians Rp14.35 T; traders Rp34.06 T
Licensed entities (Sept 2026)	34	2 exchanges (CFX, ICEX), 2 clearing houses, 2 custodians, 28 traders (PAKD); plus 7 supporting institutions

Account numbers are accounts, not unique individuals. The derivative figure confirms that derivatives trading has been operational since POJK 23/2025.

The DAKD lists. Each licensed exchange publishes a Digital Financial Asset List (*Daftar Aset Keuangan Digital*, DAKD) by decree. Only listed assets may be traded. The latest decrees as of October 2026 are:

	ICEX (Indonesia Crypto Exchange)	CFX
Decree	029/ICEX/SK-DIR/IX/2026, 30 Sep 2026	CFX/SK/029/X/2026, 12 Oct 2026
Listed assets	1,192 (1,182 as of 24 Sep + 10 new)	1,295
Other annexes	—	16 added, 19 removed, 59 rebranded, 49 perpetual derivative contracts
Special flag	154 assets marked “Pass With Notes”: subject to additional monitoring and removable at any time (mostly memecoins)	none

Comparing the two lists by ticker gives an overlap of 963 tickers. Another 217 tickers appear only on ICEX and 322 only on CFX. The lists also grew quickly. OJK reported 867 ICEX assets and 1,109 CFX assets (plus 49 derivatives) for August 2026. Within roughly six weeks, both exchanges added several hundred assets: ICEX added 327 and removed 2 between its July and September decrees. The DAKD data were compiled by the author from the published decrees. The CFX decree is a scanned document read by OCR and checked against the original; ticker-level overlap does not guarantee identity of the underlying asset.

Sandbox graduates. OJK reports 372 consultation requests, 39 applications and 7 sandbox graduates. Graduates named in OJK’s material include:

- gold tokenisation, GOIDR (PT Indonesia Blockchain Persada, 8 Aug 2025);
- tokenisation of government debt securities, ID Digital Bonds (PT Sejahtera Bersama Nano, 7 Oct 2025);
- tokenisation of property usufruct, GORO (5 Nov 2025);
- a rupiah stablecoin issuer, IDRP (PT Adhyoka Berkah Maju, 10 Jun 2026);
- a non-trading digital asset custodian (PT Tennet Depository Indonesia, 10 Jun 2026);
- a crypto fund manager (PT Dana Kripto Indonesia, 17 Jul 2026).

Four further participants are in trial and five under evaluation.

4.1.12 Analytical Implications: Legality Is Not Sharia Screening

Four implications follow for the classification framework of this dissertation.

1. Two regimes, not one. Indonesia separates the legal question from the Sharia question. OJK decides *whether an asset may be traded*: licensing, DAKD listing and market conduct. Religious bodies decide *whether a Muslim may trade it*: MUI 2021, Muhammadiyah 2026 and NU 2026 (§3.4). No instrument links the two. A DAKD listing is therefore evidence of legality, not of Sharia compliance. OJK itself states that it is still coordinating with DSN-MUI on a study to provide a Sharia standard for the digital-asset industry. That study sets three criteria:

- the asset and its benefit are clear;
- transactions are free of *riba*, excessive *gharar*, *maysir* and *dharar*;
- management is safe and transparent.

OJK also notes that the Sharia segment of the industry is small: Sharia members of AFSI in this field grew from three in 2024 to seven in 2025.

2. The listing universe is too large and too fast-moving for asset-by-asset fatwas. Across the two exchanges more than 1,500 distinct tickers are listed, the lists change monthly, and ICEX alone flags 154 assets for additional monitoring. A case-by-case fatwa approach cannot keep pace. This supports the dissertation's argument (Chapter 5) for a rules-based classification that DPS can apply to a list. The DAKD structure suggests a practical starting point:

- the *Pass With Notes* flag already identifies the assets least likely to meet the *sil'ah* and benefit conditions;
- tokenised real-world assets on the lists are the most likely candidates for the 2021 MUI exception (clear underlying).

3. Derivatives create a conduct-layer problem that listing does not address. Since POJK 23/2025, perpetual derivative contracts are legal on CFX, and derivative turnover reached Rp4.56 trillion in August 2026. Muhammadiyah (2026) prohibits futures, short selling and interest-bearing leverage explicitly. DSN-MUI Fatwa 80/2011, by analogy, treats short selling as *bay' al-ma'dum* and interest-financed margin as *riba* (§3.4.6). For a Muslim investor, the legally available universe therefore includes products that every Indonesian religious determination that addresses them excludes.

4. Tokenised gold shows the exception in practice. GOIDR (Gold Indonesia Republic) is the clearest Indonesian instance of the asset type the 2021 MUI exception contemplates. It graduated from the OJK sandbox in August 2025, and OJK states that the state pawnshop Pegadaian holds the physical gold serving as the token's underlying. By October 2026 it was listed on both exchanges:

- on ICEX, under ticker GOIDR, but carrying the *Pass With Notes* flag;
- on CFX, renamed from GIDR to GOIDR in the October 2026 decree.

Even a backed asset can therefore sit in the regulator's heightened-monitoring category. Asset backing (Chapter 5, Dimension 1) and regulatory standing (Dimension 5) are independent variables and must be scored separately.

4.2 Malaysia: Securities Commission Licensing with Sharia Screening

If Indonesia's framework is organised around licensing without Sharia screening, Malaysia's is organised around *conditional recognition*. Digital assets are admitted into the regulated capital market, and those offered as Sharia-compliant must pass through a Sharia filter administered by the Shariah Advisory Council of the Securities Commission. This is a materially different regulatory technology, and its significance for the dissertation's argument is considerable. Malaysia demonstrates that a Muslim-majority state can operationalise Islamic legal scrutiny not as a barrier to participation but as a gateway to it, converting an abstract jurisprudential judgment into an enumerated universe of screened, tradable assets. The Malaysian approach thus functions as a working proof of concept for the *ex ante* screening logic that the dissertation's proposed framework (Chapters 5 and 6) generalises. The subsections that follow examine both the mechanics of that apparatus and the gaps that continue to constrain its reach: limited asset coverage, uneven user awareness and cross-border arbitrage.

The competent regulator for digital assets in Malaysia is the Securities Commission (SC). Bank Negara Malaysia (BNM) is responsible for banking, payments and the status of legal tender.

4.2.1 Malaysian Financial Context

Malaysia is one of the world's most developed Islamic finance markets, with a comprehensive legal and Sharia governance framework for Islamic banking (under BNM) and the Islamic capital market (under the SC). Islamic banking accounts for a substantial share of the domestic banking system, and Malaysia is a leading issuer of sukuk. [Unverified: market-share and asset figures should be cited from BNM and SC statistics for a stated date.]

Malaysia's regulated digital asset market is growing. According to press reports of official data, regulated trading grew from RM13.93 billion in 2024 to RM17.14 billion in 2025. [Unverified: secondary reports.] The number of users is less well documented, and estimates should be treated with caution.

4.2.2 Regulatory Framework: The Securities Commission's Digital Asset Regime

Malaysia regulates digital assets as part of its capital market. Under the Capital Markets and Services (Prescription of Securities) (Digital Currency and Digital Token) Order 2019, digital currencies and digital tokens are prescribed as securities, which brings them within the SC's jurisdiction. The SC's guidelines on digital assets establish three categories of regulated intermediary:

- digital asset exchanges (DAX);
- initial exchange offering platforms;
- digital asset custodians.

No person may offer, issue or distribute digital assets in Malaysia without registration with, or authorisation by, the SC. BNM, for its part, has stated that digital assets are not legal tender in Malaysia. [Unverified: the title and dates of the SC's current guidelines on digital assets should be confirmed against the SC's published instruments.]

4.2.3 Key Regulatory Provisions

Licensing and supervision of intermediaries. Registered exchanges and custodians are subject to requirements on capital, governance, risk management, operational resilience and technology and cybersecurity standards. In operation they must conduct market surveillance, monitor transactions and report suspicious activity, identify customers and segregate customer assets. The SC supervises them through examination and reporting and may take enforcement action.

Sharia screening. The distinctive feature of the Malaysian framework is its integration of Sharia assessment. In 2020 the SC's Shariah Advisory Council resolved that investing and trading in digital currencies and tokens on registered exchanges is permissible in principle, subject to its requirements. The Council maintains a list of digital assets it has endorsed as Sharia-compliant; Stellar, for example, was added following a meeting in December 2024. On 30 March 2026 the SC revised its Guidelines on Islamic Capital Market Products and Services to require exchanges that offer a Sharia-compliant digital currency to obtain the Council's endorsement before offering it. Islamic legal assessment thus operates within the supervisory apparatus, not outside it. [Unverified: the 2026 revision is cited from a law-firm alert and should be confirmed against the published guidelines.]

Stablecoins and tokens. Digital tokens, including those representing assets or utility, fall within the SC's framework, and tokenised securities are subject to the ordinary securities law. The treatment of stablecoins is developing. [Unverified: the current position on stablecoins should be confirmed.]

4.2.4 Regulatory Sandbox and Innovation

Malaysia supports innovation through regulatory sandboxes. BNM operates a financial technology sandbox for products within its remit, and the SC has its own facilitation channels for capital market innovation. These arrangements offer time-limited regulatory relief, a supervised environment for testing new products, and a pathway to full authorisation. They have been used for Islamic fintech, tokenisation and cross-border payment initiatives. [Unverified: specific digital-asset sandbox participants should be cited.]

4.2.5 Assessment: Strengths and Weaknesses

The Malaysian framework has four main strengths. The first is the integration of Sharia assessment into the supervisory process. Because an authoritative Sharia body screens assets before they are offered as compliant, investors receive a clear public signal, and the problem of legality without Sharia assessment that characterises Indonesia does not arise. The second is the coherence of placing digital assets within an established capital market regime, with mature rules on licensing, conduct and enforcement. The third is support for innovation through sandboxes and a clear pathway to authorisation. The fourth is market development: the regulated market has grown, and Malaysia has positioned itself as a hub of Islamic digital finance.

Its weaknesses are also significant. The universe of screened assets is narrow relative to the global market, which leaves an incentive to trade unscreened assets offshore. Public understanding of what Sharia endorsement means, and of its limits, is uneven. Cross-border coordination remains limited, so that assets screened in Malaysia have no recognised status elsewhere. The criteria of screening, though public in outline, are not always explained in detail for individual assets. And the framework's treatment of stablecoins and of more complex products, such as derivatives, is still developing.

4.2.6 Market Impact and Development

Malaysia's approach has contributed to the development of a licensed exchange sector, a growing fintech and blockchain ecosystem, and institutional interest in digital assets. Its most important contribution, from the perspective of this dissertation, is demonstrative. It shows that a public Sharia authority can maintain an enumerated list of digital assets endorsed for trading, and that a regulator can make that endorsement a condition of offering an asset as compliant. That is the model that Chapters 5 and 6 seek to generalise and to coordinate across jurisdictions.

4.3 Saudi Arabia: SAMA Restrictive Regulatory Approach

Saudi Arabia anchors the restrictive pole of the regulatory spectrum. Its framework is theoretically important precisely because it cannot be dismissed as jurisprudentially unsophisticated. Saudi Arabia has a deep tradition of Islamic legal scholarship and a large Islamic banking sector. Yet it has chosen to withhold recognition from crypto-assets rather than to supervise them. Reading Saudi Arabia alongside the UAE, two Gulf states with comparable Islamic legal traditions that have reached opposite regulatory conclusions, is the sharpest available demonstration of this chapter's central claim: the divergence among frameworks is driven less by disagreement over fiqh than by divergent judgments about risk and institutional capacity. The Saudi framework also foregrounds the enforcement question raised in §4.6.4. A prohibition protects consumers only to the extent that the state can make it real. The discussion below, including the central bank's experiments with digital currency, is best read as an account of how a jurisdiction pursues the objectives of digital finance while withholding recognition from decentralised cryptocurrency itself.

4.3.1 Saudi Arabian Financial Context

Saudi Arabia is home to Islam's holiest cities and to the Islamic Development Bank (Jeddah), and it has one of the world's largest Islamic banking sectors. AAOIFI, by contrast, is headquartered in Bahrain. The Saudi Central Bank, which retains the acronym SAMA from its former name (Saudi Arabian Monetary Authority), supervises banking and payments, and the Capital Market Authority supervises securities. Retail participation in crypto-assets is not permitted through licensed domestic channels. The government's concerns focus on monetary control, financial stability and the prevention of fraud.

4.3.2 Regulatory Framework: Non-Recognition and Official Warnings

Saudi Arabia has no comprehensive licensing framework for crypto-assets. Its posture rests instead on official warnings and on the absence of licensing. In 2018 the government's Standing Committee for awareness of unauthorised Forex activity, on which SAMA is represented, warned that virtual currencies such as Bitcoin are not regulated in the Kingdom, are not legal tender, and are illegal in the sense that no party is licensed to deal in them. It cautioned the public against dealing in them. The Ministry of Finance later warned against dealing or investing in virtual currencies, which it said are not recognised by legal entities in the Kingdom.

The practical effect is a de facto prohibition of domestic crypto-asset services. No exchange is licensed to operate, financial institutions do not offer crypto-asset products, and residents who wish to transact must use offshore platforms outside Saudi supervision. Blockchain technology for other purposes and research on central bank digital currency are, by contrast, actively pursued.

[Unverified: no comprehensive SAMA framework for crypto-assets has been located; the current, 2026 position of SAMA and the Capital Market Authority should be confirmed from their official websites; reports since 2022 suggest SAMA has established a programme on virtual assets and CBDC, which may signal a changing posture.]

4.3.3 SAMA's Explicit Positions

The official position, as stated in the warnings of 2018 and subsequent statements, can be summarised in four points. Virtual currencies are not legal tender in Saudi Arabia. No party is licensed to deal in them. Marketing virtual currencies using the Kingdom's name, currency or emblems is subject to legal action. And the public is warned against dealing or investing in them. The statements do not, so far as has been established, impose an express criminal prohibition on individual holding. The practical effect is that Saudi residents cannot trade crypto-assets through licensed domestic platforms, cannot use domestic financial institutions for that purpose, and can participate only through offshore channels, at their own risk.

4.3.4 Rationale for Restrictive Approach

The rationale for the Saudi posture can be reconstructed from official statements and from the general policy of the Saudi authorities. This reconstruction is the author's.

The first consideration is financial stability. The volatility of crypto-assets, large-scale speculation and the potential for leverage and contagion are seen as risks to the financial system and the foreign exchange market. The second is consumer protection: retail investors are vulnerable to manipulation and fraud and to high losses. The third is monetary control. Crypto-assets could weaken the transmission of monetary policy and the riyal's peg to the dollar, and could provide channels for capital flight. The fourth is Sharia, though no Saudi fatwa body has issued a formal crypto-asset ruling of the kind examined in Chapter 3. Members of the Council

of Senior Scholars have expressed reservations, and a restrictive reading of general principles concerning *maysir*, *gharar* and the absence of intrinsic value is consistent with the posture (Chapter 1, §3.2.3). The fifth is the prevention of money laundering, terrorist financing and sanctions evasion.

4.3.5 CBDC Alternative Approach

Instead of permitting private crypto-assets, Saudi Arabia has pursued central bank digital currency. In 2019–2020 SAMA and the Central Bank of the UAE conducted Project Aber, a wholesale experiment in cross-border settlement using a shared digital currency. In 2024 SAMA joined Project mBridge, a multi-CBDC platform for cross-border payments involving the central banks of China, Hong Kong, Thailand and the UAE. [Unverified: dates of participation should be confirmed.] A state-issued digital currency offers, from the authorities' perspective, the technological benefits of digital settlement while preserving monetary control, legal certainty and supervision. Whether a retail digital riyal will be issued, and how its design would be assessed under Islamic law, remain open questions.

4.3.6 Assessment: Strengths and Weaknesses

The Saudi approach has real strengths. It reduces the exposure of the domestic financial system to crypto-asset risk, protects retail investors who rely on domestic channels from speculative losses and fraud, and preserves monetary control and the riyal's peg. It is also consistent with the strict jurisprudential positions examined in Chapter 3. And it provides regulatory clarity of a kind: the absence of licensing is unambiguous.

Its weaknesses are equally clear. It forgoes the development of a domestic industry and may encourage fintech talent and capital to move to more permissive neighbours. It does not prevent residents from reaching offshore platforms, where they enjoy no Saudi protection and where activity escapes supervision. In that respect it exports rather than eliminates the activity it disfavours. It also limits the exploration of Sharia-compliant digital assets within the Kingdom. Finally, a central bank digital currency is not a substitute for all the functions that private digital assets perform, and it raises its own concerns about privacy and state control.

4.3.7 Regional Influence and Implications

Given its economic weight and its religious standing, Saudi Arabia's restrictive posture influences the approaches of other jurisdictions in the region and the perception of crypto-assets in Islamic finance more broadly. A restrictive stance in a major Islamic finance centre may slow the development of Sharia-compliant digital assets. If Saudi Arabia were to move towards a licensing regime, as some reports since 2022 suggest it may be considering, the regional balance could shift significantly.

4.4 UAE: Comprehensive Licensing (VARA, FSRA and CBUAE)

The United Arab Emirates occupies the permissive pole of the spectrum and offers the most fully elaborated licensing architecture of the five jurisdictions. Its importance to the dissertation is twofold. First, it shows that a jurisdiction with an established Islamic finance sector can build a comprehensive regime for virtual assets. That regime, however, is religiously neutral. It does not itself screen assets for Sharia compliance, and the Emirati case therefore illustrates both the possibilities and the limits of licensing without Sharia integration. Second, the UAE illustrates the harm-reduction theory of consumer protection in its most developed institutional form. On that theory, supervised access, hedged by limits on leverage, custody rules and

obligations of disclosure, protects investors more reliably than an unenforceable ban. The subsections below trace how the Emirati regimes relate to the multi-dimensional framework proposed in Chapter 5 and identify the gaps that remain.

4.4.1 UAE Financial and Political Context

The UAE has positioned itself as the leading hub of fintech and digital assets in the Middle East, competing with Singapore and Hong Kong for international firms and talent. Regulation is divided among several authorities:

- the Virtual Assets Regulatory Authority (VARA) in the Emirate of Dubai outside the financial free zones;
- the Financial Services Regulatory Authority (FSRA) in the Abu Dhabi Global Market;
- the Dubai Financial Services Authority (DFSA) in the Dubai International Financial Centre;
- the Securities and Commodities Authority (SCA) at the federal level;
- the Central Bank of the UAE (CBUAE) for payments and banking.

The UAE also has a substantial Islamic finance sector. Since 2018 the CBUAE's Higher Sharia Authority has required Islamic financial institutions to follow AAOIFI's Shari'ah Standards. [Unverified: the date and scope of adoption should be confirmed.]

4.4.2 Regulatory Framework: VARA Regulations (2023) and the CBUAE Payment Token Services Regulation (2024)

VARA was established under Dubai Law No. 4 of 2022 and issued its Virtual Assets and Related Activities Regulations, together with activity-specific rulebooks, in 2023. Its licensing is activity-based. Separate rulebooks cover:

- advisory services;
- broker-dealer services;
- custody;
- exchange services;
- lending and borrowing;
- management and investment;
- transfer and settlement;
- the issuance of virtual assets.

Each rulebook carries requirements on capital, governance, risk management, technology and market conduct. The FSRA has operated a framework for crypto-asset activities in ADGM since 2018, and the DFSA regulates crypto tokens in the DIFC.

At the federal level, the CBUAE's Payment Token Services Regulation, published in June 2024, governs the issuance, conversion, custody and transfer of payment tokens. It distinguishes dirham payment tokens from foreign payment tokens. In general, only licensed dirham-backed tokens may be used for payments for goods and services in the UAE, while foreign stablecoins remain available for investment. The CBUAE approved the first licensed dirham-backed stablecoin in December 2024. [Unverified: details of the regulation are cited from law-firm commentary and press reports.]

4.4.3 Key Regulatory Provisions

The Emirati regimes share three groups of provisions. The first concerns licensing: requirements on capital adequacy, governance and the qualifications of board members, risk management, operational resilience, technology and cybersecurity, and the protection of client assets, with additional requirements for custody. The second concerns consumer protection and market conduct. It includes customer identification and due diligence, verification of the source of funds and of beneficial ownership, prohibitions of manipulation, insider dealing and deceptive practices, fair and orderly market requirements, complaint procedures and, for retail clients, stricter suitability and disclosure requirements. The third concerns the treatment of particular assets and activities: stablecoins (under the CBUAE regulation for payment use), security tokens (under securities law), and higher-risk products, which are subject to tighter conditions.

Islamic finance and the Emirati regimes. None of the Emirati virtual asset regimes requires Sharia review of virtual assets, and none maintains a Sharia board or a category of "Islamic digital assets". Sharia considerations enter the Emirati market in two ways. An Islamic financial institution that offers a digital-asset product must satisfy its own Sharia governance under the CBUAE's framework. And issuers may voluntarily obtain Sharia certification for products marketed as compliant. The Emirati model is therefore one of licensing with private, not public, Sharia assessment.

4.4.4 Innovation and Regulatory Sandbox

The UAE supports innovation through several channels: the ADGM RegLab, the DFSA innovation testing licence, the CBUAE's sandbox, and VARA's own arrangements for new activities. These offer time-limited relief, supervised testing and a pathway to full licensing. Tokenisation, including the tokenisation of sukuk and other Islamic instruments, has been among the areas explored. [Unverified: specific Islamic tokenisation projects in the UAE should be cited.]

4.4.5 Distinctive Features: Licensing Infrastructure for Islamic Products

The UAE's distinctive contribution to Islamic digital finance lies less in regulation specific to Islamic finance than in the breadth of its licensing infrastructure. Because the regimes admit a wide range of virtual asset activities under supervision, Islamic financial institutions and issuers can develop Sharia-compliant products within a licensed environment. Examples include tokenised sukuk, asset-backed tokens and dirham-backed stablecoins. Sharia governance is supplied by the institutions themselves, under the AAOIFI standards that the CBUAE has adopted for Islamic financial institutions. What the UAE lacks, by comparison with Malaysia, is a public Sharia authority that screens virtual assets and signals their status to investors.

4.4.6 Assessment: Strengths and Weaknesses

The Emirati approach has evident strengths. Its licensing regimes are comprehensive and activity-specific, with a clear pathway from testing to full licensing. Its approach to consumer protection is graduated, with stricter rules for retail clients. It has attracted major international firms and talent, building a deep ecosystem. And its payment-token regulation creates a clear framework for dirham-backed stablecoins, which corresponds closely to the conditions a Sharia analysis of fiat-backed stablecoins would impose (Chapter 3, §3.3.3).

Its weaknesses are partly institutional and partly specific to Islamic finance. The multiplicity of regulators creates complexity and some risk of inconsistency. The rapid growth of the market strains supervisory capacity and enforcement experience. Above all, from the perspective of this dissertation, the regimes are Sharia-

neutral. Investors seeking Sharia-compliant exposure must rely on private certification or on the Sharia boards of individual institutions, and there is no public reference point comparable to Malaysia's.

4.4.7 Market Impact and Regional Leadership

The UAE's approach has made it the leading digital asset hub in the region. Major international exchanges have established operations there, a significant fintech ecosystem has developed, and institutional participation is growing. Its success is, in part, activity that more restrictive jurisdictions have declined to license and thereby ceded. Whether the UAE also becomes a centre of *Islamic* digital finance depends on whether public or industry-wide Sharia standards emerge to complement its licensing infrastructure.

4.5 Bahrain: CBB Prudential Regulation Framework

Bahrain completes the survey with a framework best characterised as *prudential*. It neither prohibits nor freely admits digital assets; instead it conditions their entry on the same disciplines of safety and soundness that govern the rest of the regulated financial sector. Bahrain hosts the headquarters of AAOIFI, and the CBB requires its Islamic financial institutions to follow AAOIFI's standards. Its crypto-asset regulation is nonetheless prudential rather than Sharia-based. Its recent rules on stablecoins, emphasising reserves and redemption, nevertheless sit close to the classical jurisprudential concern that a permissible digital instrument be tethered to real value rather than to speculation. Bahrain is therefore an instructive counterpoint to both poles of the spectrum. It is more accommodating than Saudi Arabia, yet more conservative than the UAE, and it shows how caution can be expressed through requirements on capital, custody and reserves rather than through exclusion.

4.5.1 Bahrain Financial Context

Bahrain is a long-established centre of Islamic finance, home to AAOIFI and to many Islamic banks, with a sophisticated regulatory environment. Its crypto-asset market is small but regulated, with institutional as well as retail participation through licensed providers.

4.5.2 Regulatory Framework: CBB Rulebook Crypto-Asset and Stablecoin Modules

The CBB regulates crypto-asset services under the crypto-asset module of Volume 6 (Capital Markets) of its Rulebook. The module licenses and supervises providers of crypto-asset services, including trading, custody and advice. In July 2025 the CBB added a Stablecoin Issuance and Offering (SIO) module. It prohibits any person from issuing or offering stablecoins to the public in or from Bahrain without a CBB licence. It requires issuers to match issuance and redemption with movements in reserves, to hold high-quality liquid reserve assets, and to honour legitimate redemption requests generally within five business days. Applicants must have at least three years of satisfactory track record. The CBB has since granted in-principle approval to a first issuer under the module. [Unverified: the date and contents of the original crypto-asset module, and the identity of the approved issuer, should be confirmed from the CBB Rulebook and announcements.]

4.5.3 Key Regulatory Provisions

The Bahraini framework applies the disciplines of prudential regulation to crypto-asset service providers. These include capital requirements scaled to risk, risk management frameworks, internal controls, internal and external audit, and requirements on governance, management expertise and fitness and propriety. They extend

to standards of technology and cybersecurity, business continuity and incident reporting. Client assets must be segregated and protected in insolvency, with clear legal ownership and regular reconciliation, and market conduct rules prohibit manipulation, insider dealing and deceptive practices.

Islamic finance and the Bahraini regime. The crypto-asset and stablecoin modules do not require Sharia review. Islamic financial institutions in Bahrain are subject to AAOIFI's standards and to their own Sharia boards, so any crypto-asset product they offer would require Sharia approval at the institutional level. The SIO module's requirements of full, high-quality reserves and prompt redemption correspond to the conditions that the analysis of Chapter 3 (§3.3.3) identifies for fiat-backed stablecoins. This is a convergence of prudential and juristic concerns, not an incorporation of Sharia into regulation.

4.5.4 Assessment: Strengths and Weaknesses

The Bahraini approach balances innovation and risk management through a clear and proportionate licensing framework. Its prudential requirements are sophisticated, its consumer protection is strong, and its rules on stablecoins are among the most developed in the region. Its location as the headquarters of AAOIFI, and its requirement that Islamic financial institutions follow AAOIFI standards, place it well to develop Sharia-compliant digital assets at the institutional level.

Its weaknesses are those of a small market. It has a limited ecosystem and a smaller community of fintech firms than the UAE, and it is less attractive to international exchanges. Its prudential approach may slow innovation relative to more permissive neighbours, and its supervisory capacity, though respected, is limited in scale.

4.6 Comparative Regulatory Analysis

4.6.1 Regulatory Approaches Comparison

Table 4.1 summarises the five approaches.

Table 4.1: Regulatory approaches compared (as of October 2026)

Jurisdiction	Approach	Posture	Support for innovation	Integration of Sharia in crypto regulation
Indonesia (OJK)	Licensing of digital financial assets with exchange-level lists (DAKD)	Moderate (spot and, since 2025, derivatives)	Medium (sandbox: 7 graduates)	None in regulation; OJK–DSN-MUI study under way; religious bodies rule separately
Malaysia (SC)	Licensing within the capital market	Moderate	Medium	High: public *ex ante* screening by the SC's Shariah Advisory Council
Saudi Arabia (SAMA)	Non-recognition; no licensing	Very restrictive (de facto prohibition)	Low for crypto; CBDC experiments	None in regulation; restrictive posture consistent with strict positions
UAE (VARA, FSRA, CBUAE)	Comprehensive activity-based licensing	Permissive	High	None in regulation; private Sharia certification and institutional Sharia boards
Bahrain (CBB)	Prudential licensing; stablecoin module (2025)	Balanced	Medium	None in regulation; AAOIFI standards apply to Islamic institutions

Read across its rows, the comparison discloses a structure that is easy to miss when the frameworks are examined one at a time. Only Malaysia integrates Sharia assessment into the regulation of crypto-assets. The other four jurisdictions, whether restrictive or permissive, regulate crypto-assets on religiously neutral terms and leave Sharia assessment to religious bodies, to private certification or to the Sharia boards of individual institutions. Two variables that an observer might expect to move together, support for innovation and Sharia integration, therefore do not correlate. The UAE is highly supportive of innovation with no public Sharia integration. Saudi Arabia is restrictive with no Sharia integration in regulation. Malaysia combines moderate support for innovation with full integration. Islamic legal rigour, in other words, is not the binding constraint on innovation in these jurisdictions, and its absence from regulation does not make a jurisdiction permissive. This decoupling undercuts a common assumption in both popular and policy literature, namely that Islamic law is inherently hostile to digital-asset innovation. The evidence suggests instead that the restrictiveness of a framework is determined chiefly by the regulator's appetite for risk and its confidence in its own supervisory capacity.

A second pattern concerns the approaches themselves. Four regulatory technologies are on display. Indonesia practises licensing with exchange-level asset lists, having practised commodity containment under Bappebti until 2025. Malaysia practises licensing with integrated Sharia screening. The UAE and Bahrain practise licensing with prudential or activity-based supervision but without Sharia screening. Saudi Arabia practises non-recognition. These are not merely different intensities of the same policy but categorically different instruments, each carrying its own theory of how harm to consumers is best averted. The comparative sections that follow trace how each performs against the objectives of consumer protection, market development and Sharia compliance, and how each is tested by the borderless character of the technology.

4.6.2 Regulatory Innovation-Restriction Spectrum

On the single axis of encouragement of innovation, the five jurisdictions can be ordered from the most encouraging to the most restrictive. The UAE is first, followed by Malaysia, Bahrain and Indonesia, with Saudi Arabia last. The ordering reflects the choice between licensing and non-recognition, the availability of sandboxes, the range of assets admitted, and the burden of compliance.

The ordering rewards closer interpretation. The UAE and Saudi Arabia occupy the poles not because they disagree about the Islamic status of cryptocurrency, on which neither regulator has adopted a formal position, but because they draw opposite conclusions from the same underlying concern about speculative harm. Saudi Arabia reads the hazard as intractable and responds by withholding licences. The UAE reads it as manageable through disclosure, limits on leverage and continuous supervision, and responds by building an elaborate licensing apparatus to contain it. The intermediate positions of Malaysia and Bahrain are best understood not as compromises but as *conditional* engagements. Malaysia admits assets as Sharia-compliant only after screening, and Bahrain admits stablecoins only with full reserves and redemption rights. Each filter removes features that classical jurisprudence found objectionable. Indonesia sits lower on the spectrum than its market size would suggest because of its Sharia neutrality and its later start, even though, since POJK 23/2025, it permits derivatives that several of its own religious bodies exclude.

The policy significance of the spectrum lies in what it implies about regulatory arbitrage. Because the assets themselves are perfectly mobile, the position a jurisdiction adopts on this axis does not determine whether its residents transact in cryptocurrency. It determines only whether they do so inside or outside the regulator's supervisory reach. A restrictive posture, on this reading, does not eliminate the activity it disfavours; it exports it. This dynamic, examined in §4.7, is the most consequential constraint on the effectiveness of any national framework and the strongest structural argument for the harmonisation agenda advanced in Chapter 6.

4.6.3 Sharia Compliance Integration

On the degree to which Sharia assessment is integrated into the regulation of crypto-assets, the five jurisdictions fall into three groups. Malaysia alone integrates public Sharia screening into its regime. Indonesia has no Sharia provision in its crypto-asset regulation but has an OJK–DSN-MUI study under way, and its religious bodies have ruled on crypto-assets. The UAE, Bahrain and Saudi Arabia have no Sharia integration in their crypto-asset regulation, although the first two require their Islamic financial institutions to follow AAOIFI standards.

The ranking must be read with care, because the absence of Sharia integration has very different meanings in different jurisdictions. In the UAE and Bahrain it reflects a division of labour. Prudential regulators license the market, and Sharia governance is supplied by Islamic financial institutions and private certifiers for products marketed as compliant. In Saudi Arabia it accompanies a posture of non-recognition that is consistent with strict jurisprudential positions, though not formally grounded in a fatwa. In Indonesia it produces a gap between legal tradability and Sharia permissibility that religious bodies outside the supervisory apparatus have tried to fill (MUI 2021, Muhammadiyah 2026, NU 2026). The same absence of Sharia in regulation thus coexists with permissive, restrictive and contested markets, which reinforces the chapter's central claim that jurisprudential commitment does less explanatory work than is commonly assumed.

Malaysia shows what integration looks like when it exists. Its Shariah Advisory Council, operating within the SC, converts a doctrinal judgment into an enumerated, tradable universe of assets and, since March 2026, makes its endorsement a condition of offering an asset as compliant. What distinguishes Malaysia from the

others is therefore less the depth of scholarly involvement than the maturity of the administrative machinery that translates a fatwa into a supervisable rule. That distinction anticipates the institutional proposal developed in Chapter 6.

4.6.4 Consumer Protection Framework

On the intensity of consumer protection within the regulated market, the prudential and licensing regimes of Bahrain and the UAE rank highest. Malaysia's capital market regime follows, then Indonesia's licensing with asset lists and conduct rules. Saudi Arabia, which offers no regulated market, ranks lowest on this measure but offers the "protection" of non-recognition. The relevant mechanisms are licensing and oversight, capital requirements, protection of client assets, market conduct standards and dispute resolution.

The placement of Saudi Arabia contains a deliberate provocation, because it exposes the central theoretical fault line in the comparative study of digital-asset regulation. On one theory of protection, the *paternalist* or *ḥifẓ al-māl*-maximising view, the surest way to shield retail investors from an instrument saturated with *gharar* is to deny them access altogether. On this reading Saudi Arabia offers the strongest protection precisely because it removes the hazard rather than merely supervising it. On the competing theory, the *harm-reduction* view that informs the frameworks of Bahrain and the UAE, non-recognition offers only the *appearance* of protection, because it cannot prevent residents from reaching offshore, unlicensed venues where no standards of capital, custody or disclosure apply. Under the harm-reduction theory the excluded investor is *less* protected than the licensed one, having been pushed into precisely the unregulated environment that classical jurisprudence, properly understood, seeks to avoid.

The dissertation does not resolve this dispute in the abstract, because the correct answer is empirical and specific to each jurisdiction. Prohibition genuinely protects where enforcement can deny access, and merely displaces harm where it cannot. The relevant question for each regulator is therefore not "is cryptocurrency permissible?" but "does this state possess the enforcement capacity to make a prohibition real?". That is a question of institutional fact rather than fiqh. The frameworks of Bahrain and the UAE reflect a judgment that, given porous digital borders, supervised access protects consumers more reliably than an unenforceable ban. This is the same *maṣlaḥa*-grounded logic that animates the harmonisation recommendations in Chapter 6. There the argument is made that the protective purpose of Islamic financial law is better served by a coordinated regulatory perimeter than by a patchwork of national prohibitions that sophisticated users can circumvent at will.

4.6.5 Market Development Outcomes

In terms of market development, the UAE shows the deepest ecosystem. Malaysia has a growing ecosystem, Bahrain a moderate one, and Indonesia a very large licensed retail market (23.2 million accounts and 34 licensed entities) with a thinner institutional and Islamic segment. Saudi Arabia shows minimal domestic development. The outcomes concern exchange development, the growth of the fintech ecosystem, regional competitiveness, the attraction of talent and institutional participation.

This ranking should be read as the *observed outcome* against which the preceding normative comparisons can be tested. Its ordering, with the UAE highest and Saudi Arabia lowest, broadly tracks the innovation–restriction spectrum of §4.6.2, which is unsurprising. Indonesia is the exception: a large market has developed under a licensing regime that is moderate in its encouragement of innovation, driven by retail demand. The correlation carries a policy implication that is easily overlooked. Ecosystem depth, talent attraction and institutional participation are not costless by-products of permissiveness. They are the very outcomes that a

national economic-development strategy seeks to capture, and they accrue disproportionately to whichever jurisdiction offers the most credible regulatory home. In a region of mobile capital and mobile talent, regulatory posture functions as a competitive instrument. The UAE's high placement reflects a deliberate bid to become the region's digital-asset hub, and its success in attracting exchanges and fintech firms is, in part, activity that more restrictive jurisdictions have declined to license and thereby ceded.

This dynamic reframes the restrictiveness of the Saudi framework, and of the pre-2025 Indonesian framework. The cost of a cautious posture is not confined to domestic investors who are denied regulated products. It extends to the forgone development of a domestic industry, the emigration of fintech talent, and the loss of the tax base and supervisory visibility that a licensed onshore market would generate. Whether that cost is worth bearing is a legitimate policy judgment that each state is entitled to make according to its own weighting of caution against growth. The comparative point is that the judgment is a real trade-off with measurable consequences, not a free exercise of jurisprudential principle. The fragmentation of these judgments across the region also imposes a collective cost, in the form of forgone economies of scale and regulatory arbitrage, that no single jurisdiction can remedy alone. Section 4.7 takes up this collective-action problem directly.

4.7 Harmonization Gaps and Challenges

4.7.1 Regulatory Fragmentation

The five jurisdictions differ on every basic dimension of regulation, as Table 4.2 shows.

Table 4.2: Fragmentation across the five jurisdictions (as of October 2026)

Issue	Indonesia	Malaysia	Saudi Arabia	UAE	Bahrain
Legal characterisation	Digital financial asset	Prescribed security	Unrecognised; not legal tender	Virtual asset; payment token	Crypto-asset; stablecoin
Legal status	Lawful to trade; not currency	Lawful to trade on registered exchanges	No licensed market	Lawful under licence	Lawful under licence
Treatment	Licensing with exchange lists	Capital market licensing with Sharia screening	Non-recognition	Activity-based licensing	Prudential licensing
Market development	Large retail market	Moderate	Minimal	High	Moderate
Support for innovation	Medium	Medium	Low	High	Medium

This fragmentation has four consequences. The first is regulatory arbitrage: businesses migrate to permissive jurisdictions, investors use offshore platforms, activity flows into unregulated channels, and restrictive regulation loses effectiveness. The second is inconsistency of standards. There is no common Islamic framework for digital assets, requirements differ across jurisdictions, and institutions operating regionally face considerable complexity. The third is competitive disadvantage. Restrictive jurisdictions lose talent and investment to permissive ones, and innovation concentrates in a few centres, notably the UAE. The fourth is a

gap in Islamic finance coordination: Sharia assessment is integrated into regulation only in Malaysia, the authorities' positions diverge (Chapter 3), and Islamic financial institutions remain uncertain about regional participation.

4.7.2 Specific Coordination Challenges

Three areas pose particular challenges for coordination.

Stablecoins. Indonesia has admitted a rupiah stablecoin issuer (IDRP) to graduation from its sandbox (June 2026). The UAE regulates payment tokens and restricts payments within the UAE to licensed dirham-backed tokens (2024). Bahrain has a dedicated module for the issuance and offering of stablecoins (2025). Malaysia's treatment is developing, and Saudi Arabia has none. There is no common standard for the classification of stablecoins or for the requirements they must meet. The only express Sharia ruling on stablecoins, the 2026 Karachi fatwa, is negative.

Islamic digital assets. There is no common standard or mutual recognition for Islamic digital assets. Indonesia's regulation is Sharia-neutral, while its religious bodies conditionally permit crypto-assets (MUI 2021; Muhammadiyah and NU 2026). Malaysia screens assets through a public Sharia authority. Saudi Arabia does not recognise crypto-assets. The UAE and Bahrain rely on institutional Sharia boards and private certification.

Cross-border activity. There is no mechanism for coordinated cross-border supervision. Indonesia and Malaysia regulate domestic platforms, the UAE and Bahrain license international activity, and Saudi Arabia has no licensed channel.

4.7.3 Identified Harmonization Gaps

Five gaps emerge from the comparison. The first is the absence of a **common definition**. Jurisdictions characterise crypto-assets as financial assets, securities, virtual assets or unrecognised instruments, which creates confusion and prevents standardised treatment. The second is the **alignment of Islamic principles**. Approaches to Sharia integration diverge, there is no common standard for Islamic digital assets, and requirements for Sharia compliance are inconsistent. The third concerns **consumer protection standards**: levels of protection, identification and AML requirements, standards of custody and fund protection, and mechanisms of dispute resolution all vary. The fourth is **institutional coordination**. No body coordinates the Islamic financial regulation of digital assets, communication between regulators is limited, and there is no data sharing, joint supervision or joint enforcement. The fifth concerns **innovation frameworks**: sandboxes and innovation approaches are disparate, Islamic fintech development is uncoordinated, and new types of asset are treated inconsistently.

4.8 Best Practices and Regulatory Learning

4.8.1 Regulatory Best Practices

Each jurisdiction offers practices that others could adopt.

From the UAE, innovation with oversight. The UAE offers comprehensive, activity-based licensing, sandboxes with a clear pathway to full licensing, proportionate requirements graduated by client type, and a dedicated framework for payment tokens that confines domestic payment use to licensed local-currency

stablecoins.

From Malaysia, Sharia screening within the regulator. Malaysia offers the integration of a public Sharia authority into the supervisory process. It maintains an enumerated list of endorsed assets and, since 2026, makes endorsement a condition of offering an asset as Sharia-compliant. Its framework is also notable for placing digital assets within an established capital market regime.

From Bahrain, prudential discipline. Bahrain offers capital adequacy and governance requirements, risk-based supervision, protection of client assets and, in particular, a rigorous framework for stablecoins built on full reserves and prompt redemption.

From Indonesia, exchange-level asset lists and the sandbox pathway. Indonesia offers published asset lists (DAKD) with heightened-monitoring flags, as on ICEX ("Pass With Notes"). It has comprehensive identification and AML requirements and standards against manipulation. Its sandbox has graduated backed models, among them gold, government securities, property usufruct and a rupiah stablecoin.

4.8.2 Regulatory Integration Recommendations

The lessons can be drawn together into recommendations for three groups of jurisdictions.

Restrictive or Sharia-neutral jurisdictions. This group comprises Saudi Arabia and, on the Sharia dimension, Indonesia. These jurisdictions should consider admitting properly structured digital assets, recognising asset-backed tokens, and creating pathways for stablecoins. They should also establish sandboxes for Islamic fintech and adopt an approach graduated by type of risk. For Indonesia, the priority is a Sharia screening standard for the assets on its exchange lists, which could be developed through the existing OJK–DSN-MUI study.

Permissive jurisdictions. For the UAE, the recommendations are to develop public or industry-wide Sharia standards for virtual assets offered as compliant, to strengthen consumer protection further, to build supervisory capacity, to pursue international coordination, and to monitor systemic risk.

Balanced jurisdictions. Malaysia and Bahrain should consider expanding their sandbox programmes, clarifying the pathways for Islamic digital assets (in Bahrain, a Sharia dimension for stablecoins issued under the SIO module), strengthening supervisory capacity, and taking a lead in regional coordination.

4.9 Chapter Conclusion

This chapter set out to trace how five jurisdictions with large Muslim populations translate jurisprudential conviction into administrative practice. The comparative evidence yields a conclusion more subtle than the surface impression of fragmentation would suggest. The five frameworks do diverge sharply, from Saudi non-recognition to Emirati licensing. On close reading, however, the divergence is not primarily a divergence over Islamic law. With the exception of Malaysia, none of the regulators examined has incorporated Islamic legal assessment into its crypto-asset regulation at all. What separates them is a set of policy judgments: how grave the hazard of speculative, unbacked assets is once a supervisory regime is in place, how much confidence the regulator has in its own enforcement capacity, and how heavily it weights the *maṣlaḥa* of financial-sector development against the *ḥifẓ al-māl* imperative of investor protection. The chapter's principal analytical contribution is to disentangle two layers. The first is the jurisprudential question, which in most jurisdictions is

left to religious bodies or to private institutions. The second is the regulatory judgment, which is made on religiously neutral grounds. Disentangling them shows that the region's regulatory patchwork is a product of contestable policy choices rather than of irreconcilable religious doctrine.

That finding matters because it makes harmonisation thinkable. If the fragmentation were rooted in genuine jurisprudential disagreement among regulators, a coordinated framework would require resolving a theological dispute. Because it is rooted instead in divergent appetites for risk and unequal supervisory capacities, coordination becomes a matter of institutional design. The task is to build shared machinery for setting standards and arrangements for mutual recognition that let each state retain its own weighting of risk while eliminating the arbitrage and duplication that fragmentation imposes on all of them. The jurisprudential disagreement examined in Chapter 3 does not disappear. It is relocated to the Sharia layer, which Malaysia shows can be institutionalised and which the IIFRC proposal of Chapter 6 seeks to coordinate.

This is the collective-action problem that the borderless character of the technology makes unavoidable. No national framework, however well crafted, can fully protect its own residents or capture the development gains of a licensed market while its neighbours' rules diverge and offshore venues remain a click away. The chapter therefore points beyond the national frame towards the coordinated architecture developed in Chapters 5 and 6, for which the comparative analysis here supplies the empirical foundation.

Summary of Regulatory Landscape

The regulatory landscape can be summarised in three observations. First, regulatory approaches are diverse. They range from non-recognition (Saudi Arabia) to comprehensive licensing (the UAE), with different legal characterisations, different degrees of encouragement for innovation, and, except in Malaysia, no integration of Sharia assessment into crypto-asset regulation. Second, there are fundamental gaps: no common definition, no coordinating mechanism for the Islamic financial regulation of digital assets, divergent approaches to Islamic digital assets, limited cross-border supervisory coordination and inconsistent standards of consumer protection. Third, jurisdictions are pursuing distinct strategies. The UAE seeks to be the region's digital-asset hub, and Malaysia has built a balanced framework with integrated Sharia screening. Bahrain maintains a prudential approach with a leading stablecoin regime, and Indonesia licenses a very large market through exchange-level asset lists while leaving Sharia assessment to religious bodies. Saudi Arabia withholds recognition while experimenting with central bank digital currency. The absence of coordinated Islamic financial regulation of digital assets creates opportunities for innovation but also risks to systemic stability and consumer protection.

Implications for Chapter 5

The regulatory analysis lays the foundation for the task of Chapter 5: a unified framework for classifying digital assets that integrates the Islamic legal principles of Chapter 2, the jurisprudential positions of Chapter 3 and the regulatory practices compared here. Such a framework is designed to address the fragmentation identified in this chapter and to support a coordinated Islamic approach to the regulation of digital assets.

4.10 Policy Implications for Regulators

The comparison shows that regulatory fragmentation reflects legitimate differences of policy rather than regulatory failure, but also that it creates opportunities for coordination. Regulatory variation reflects different priorities: consumer protection, innovation, stability and monetary control. Harmonisation should align

policies where possible while accommodating legitimate differences. Each regulator should therefore understand its own priorities and identify pathways to harmonisation consistent with them. Four actions follow.

Identifying a regulatory philosophy. A regulator should first make its philosophy explicit. A focus on consumer protection, as in Indonesia, emphasises disclosure, restrictions on retail access and institutional safeguards. A focus on innovation and integrated Sharia screening, as in Malaysia, emphasises sandboxes, clear pathways to compliance and regulatory certainty. A focus on stability, as in Bahrain, emphasises prudential requirements, risk management and the monitoring of systemic risk. A focus on monetary control, as in Saudi Arabia, emphasises the development of central bank digital currency, controlled institutional access and the prevention of spillovers.

Designing minimum standards consistent with that philosophy. A consumer-protection approach implies stricter requirements for backing, lower tolerance of volatility and, for higher-risk assets, institutional-only access. An approach centred on innovation implies clearer pathways to compliance, graduated requirements and access to sandboxes. A stability approach implies prudential capital requirements, stress-testing and enhanced monitoring. A monetary-control approach implies restricted access, priority for CBDC and limits on spillovers.

Joining a coordination mechanism suited to that philosophy. The IIFRC proposed in Chapter 6 offers three implementation models. Full integration corresponds to Malaysia. A separated model corresponds to Indonesia, where legal listing is by OJK and Sharia assessment by religious bodies. A conservative model corresponds to Saudi Arabia. Each regulator can select the model that reflects its approach, benefiting from shared standard-setting while keeping its policy flexibility.

Establishing information-sharing with aligned jurisdictions. Regulators focused on consumer protection can coordinate with Indonesia, those focused on innovation and Sharia screening with Malaysia, and those focused on stability with Bahrain. Regulators focused on monetary control can coordinate with Saudi Arabia on CBDC, and regulators interested in licensing infrastructure with the UAE.

The expected outcomes are coherence, because regulation would reflect and advance the regulator’s own philosophy, and efficiency, because shared expertise would replace duplicated work. Transparent communication of the philosophy would increase legitimacy, and differentiated policies would allow approaches tailored to local circumstances. A regulator could implement this approach within about two years. In the first three months it would clarify its philosophy and objectives, and in the following three it would design standards and thresholds aligned with them. In the second half of the first year it would join a coordination mechanism and identify aligned jurisdictions, and in the second year it would take part in coordination and mutual learning, adjusting its standards as evidence accumulates.

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End of Chapter 4

CHAPTER 5: UNIFIED CRYPTOCURRENCY CLASSIFICATION FRAMEWORK

5.1 Framework Architecture and Synthesis

The preceding chapters have shown that the assessment of cryptocurrency under Islamic law is fragmented at every level. Chapter 2 proposed the *maqasid al-shari'ah* as a principled foundation for evaluation. Chapter 3 showed that Islamic authorities diverge. Dar al-Ifta al-Misriyyah (2017/2018) and the Darul Uloom Karachi fatwa signed by Mufti Muhammad Taqi Usmani (2026) hold crypto-assets impermissible, the latter denying that they are *mal* at all. MUI (2021) validates crypto traded as a commodity only where specified conditions are met. Muhammadiyah and the Nahdlatul Ulama (2026) permit crypto as an asset subject to conditions of conduct. AAOIFI has issued no specific standard. Chapter 4 documented a comparable divergence in regulatory practice. Saudi Arabia is restrictive. Indonesia supervises crypto-assets as digital financial assets. Malaysia screens them for Sharia compliance before they are offered, and the UAE licenses them comprehensively.

This fragmentation produces three related problems. Islamic financial institutions lack a common methodology of assessment. Projects seeking Sharia compliance cannot identify a coherent route to it. And regulators in different jurisdictions apply conflicting standards. A unified framework must therefore satisfy five requirements:

- it should ground classification in the *maqasid*;
- it should reflect agreement among the authorities where agreement exists;
- it should accommodate legitimate variation between jurisdictions;
- it should give practical guidance for assessment;
- it should support harmonisation over time.

The framework proposed here is a multi-dimensional classification space rather than a binary determination of *halal* or *haram*. Islamic legal theory itself recognises more than two categories: the obligatory (*wajib*), the recommended (*mandub*), the permissible (*mubah*), the disliked (*makruh*) and the prohibited (*haram*). Juristic practice also recognises rulings of permissibility subject to reservation and rulings that depend on the characteristics of the case. The framework applies this graded understanding to digital assets.

5.1.1 Core Islamic Arguments Against Pure Cryptocurrency - Synthesis from Major Authorities

Before the framework is presented, the substantive objections that Islamic authorities have raised against pure cryptocurrency must be stated. Four objections recur across the literature. Each is presented here in its strongest form; their limits are examined in §5.5.5.

Argument 1: Lack of Intrinsic Value and Productive Backing

The first objection is that pure cryptocurrency lacks the economic substance required of an Islamic financial instrument. Its doctrinal bases are the requirement of certainty (*al-tahaqquq*) and the broader orientation of Islamic finance towards real economic activity. Dar al-Ifta, the Darul Uloom Karachi fatwa and many contemporary scholars rely on it. In a qualified form it also underlies MUI's 2021 requirement of a clear underlying as a condition of validity for crypto traded as a commodity.

The objection proceeds by contrast. Gold and silver have uses in ornament and industry. Fiat currency is backed by the standing of the issuing state and the economy it governs. Shares represent ownership of productive enterprises that generate revenue, and commodities have uses in production or consumption. Bitcoin and similar cryptocurrencies have none of these attributes. Their value derives entirely from market demand. On this view they are valuable only in a speculative sense; they are not productive assets.

The objection also draws on the emphasis of Islamic finance on the real transaction. In a real transaction, value is created by economic activity. In the trading of a pure cryptocurrency, value is merely transferred between holders. The proponents of the objection conclude that, without a connection to productive activity or a defined economic benefit, no contract recognised by Islamic law has a proper object.

Argument 2: Excessive Gharar (Uncertainty) - Violates Al-Tahaqquq

The second objection rests on the prohibition of *gharar*, attested in the tradition reported by Muslim. Dar al-Ifta and MUI (2021) both cite *gharar* among their grounds.

The core of the objection is price uncertainty. Bitcoin's price has moved within single years by amounts that make its future value unknowable to the parties: it fell by about 63 percent in 2022 and rose by about 163 percent in 2023 (see Table 2.1 for indicative figures). On this view, uncertainty of this magnitude defeats the requirement that the parties know the value of what they exchange. Nor is there any reference point from which a just price (*thaman al-mithl*) could be determined, since there is no underlying asset or cash flow against which to measure it.

The objection adds two further layers. The first is legal uncertainty. Crypto-assets have been treated as legal tender (El Salvador, 2021–2025), restricted (Saudi Arabia), and supervised as digital financial assets (Indonesia since January 2025). The second is technological uncertainty: the emergence of a superior protocol or the obsolescence of a network can destroy value for reasons unrelated to any market fundamental. On the strongest version of the objection, the combined uncertainty amounts to excessive *gharar* (*gharar fahish*), which invalidates the contract. The objection is answered in §5.5.5. Classical doctrine voids particular contracts whose object or price is indeterminate. It does not void asset classes, and a spot sale of a defined quantity at a defined price contains little contractual *gharar*.

Argument 3: Maysir (Gambling) Characteristics - Violates Al-Maslaha

The third objection rests on the Qur'anic prohibition of *maysir* (al-Ma'idah 5:90–91). MUI, Dar al-Ifta and many contemporary Islamic economists identify elements of *maysir* in cryptocurrency trading.

Maysir is a transfer of wealth from losers to winners without the creation of value. The objection holds that cryptocurrency trading fits this definition. When the price of Bitcoin rises, the gains of existing holders are paid by new entrants or by leveraged traders on the losing side, not by any productive activity.

The market structure aggravates this character. Some participants have advance knowledge of large transactions or announcements, thin regulation permits pump-and-dump schemes, and major holders and developers can profit from information unavailable to others. These features are especially pronounced in smaller tokens. Most activity, moreover, takes place on trading venues where participants take positions on the direction of price. Unlike an investment whose return reflects productivity, such speculation redistributes existing wealth. The response, developed in §3.4.6 and §5.5.5, is that much of this objection concerns the conduct of the market rather than the asset itself. Indonesian fatwa practice already catalogues such conduct in DSN-MUI Fatwa No. 80/2011.

Argument 4: Incompatibility with Islamic Medium of Exchange Requirements

The fourth objection concerns monetary status. It draws on the classical theory of money examined in Chapter 2 (§2.0.1). There are three positions:

- **money by creation (*thaman khilqi*)**, under which only gold and silver are money by nature;
- **money by convention (*thaman istilahi*)**, associated with Imam Malik's statement on leather adopted as currency and with Ibn Taymiyyah's argument that the dirham and dinar are defined by custom;
- **the modern institutional synthesis** of the Saudi Council of Senior Scholars (1393 AH/1973), which grounds the monetary status of paper money in general acceptance together with state backing.

Pure cryptocurrency fails the first test because it is not gold or silver. It fails the second as an empirical matter, because it has not attained general acceptance as a medium of exchange in Muslim societies: its use for payment remains a small fraction of its activity, and its holders are concentrated among technologically engaged and speculative participants. It fails the third because it has no state backing and, in Indonesia, its use for payment is prohibited by law. Its volatility also makes it unsuitable for the functions of money. Merchants cannot price goods in it, workers cannot rely on wages paid in it, and savings held in it lose value unpredictably.

This objection is the one on which Islamic authorities most widely agree. It concerns only the monetary question, however. It does not settle whether crypto-assets are property that may be held and exchanged as commodities, and the 2026 Nahdlatul Ulama determination shows that even the monetary characterisation is contested in the fiqh sense.

Synthesis: Three-Position Categorization

The four objections are weighed differently by different authorities. The result is the three positions defined in Chapter 1 (§3), which this dissertation uses throughout.

Position A: conditionally permissible as digital property. On this view, crypto-assets are *mal* and may be held and exchanged as property, subject to conditions concerning the object and the conduct of the transaction. Use as money is excluded. The position is held by Muhammadiyah (4 March 2026), which characterises crypto as *mal mutaqawwam*. It is also held by the Nahdlatul Ulama Muktamar (29 August 2026), which found Bitcoin specifically to satisfy the criteria of *mal* and *thaman* while holding its use as currency in Indonesia to be *haram*. It underlies Malaysia's regulated framework, and it is the position of the asset-side exception in the MUI decision of 2021. Its consequence is conditional permissibility for properly structured assets. The conditions are of two kinds: those relating to the asset, such as the *sil'ah* conditions, a clear underlying and a clear benefit, and those relating to conduct, such as the exclusion of *riba*, *gharar*, *maysir*, futures, short selling and interest-bearing leverage.

Position B: prohibited. On this view, the four objections are dispositive, at least under present market conditions. Dar al-Ifta al-Misriyyah (2017/2018) holds this position. The Darul Uloom Karachi fatwa of June 2026 holds it in its strictest form: crypto-assets, including stablecoins, are not *mal*, and transactions in them are impermissible. MUI (2021) holds it only with respect to the use of crypto as currency. Its consequence is that Muslims should avoid transactions in pure cryptocurrency. Some proponents treat the prohibition as preventive (*al-man'u*) rather than intrinsic (*tahrim*), which leaves it open to revision as conditions change (Chapter 1, §3.2).

Position C: deferred judgment (*tawaqquf*). On this view, the factual and legal characteristics of the asset are not yet sufficiently settled to permit a ruling. The International Islamic Fiqh Academy took this course in Resolution 237 (24/8) of November 2019, which called for further study. Its consequence is caution pending further examination.

The framework that follows is designed to make the conditions of Position A operational. It also identifies the assets for which the objections underlying Position B retain full force.

5.2 Dimensional Analysis: Five Classification Variables

The framework does not assign assets to fixed categories by type. It evaluates each asset on five independent dimensions, each scored from zero to five, which together determine its overall compatibility with Islamic law. For each dimension, this section states the definition, the scoring scale, the jurisprudential basis and illustrative scores. The scores given for named assets are the author's analytical judgements; §5.7 discusses their limitations.

5.2.1 Asset Backing Dimension (Dimension 1)

The first dimension measures the extent to which an asset's value derives from underlying assets, collateral reserves or enforceable claims, rather than from speculative demand.

Scoring scale. The dimension is scored from 0 to 5:

- **5:** full collateralisation by tangible productive assets, such as property, equipment or commodity reserves, with transparent and auditable backing;
- **4:** full reserve backing in fiat currency or precious metals;
- **3:** partial collateralisation (75–99 percent) across diverse asset classes;
- **2:** algorithmic backing without verifiable full collateral;
- **1:** no collateral, with value deriving entirely from network utility;
- **0:** negative backing, where the asset is structured as a debt obligation.

Jurisprudential basis. Asset backing engages three doctrines. It supplies the verifiable value that certainty (*al-tahaqquq*) requires. It addresses the concern for stability and preservation of wealth (*al-darura*). And it links the asset to the real economy, so that the asset is not merely a claim on money. The last point matters for avoiding characteristics of *riba*, although backing alone does not settle that question.

Regulatory practice. Regulatory practice increasingly gives weight to backing. OJK's sandbox assessment parameters include the clarity of the underlying asset. The graduates of the sandbox include tokenised gold, government securities and property usufruct (Chapter 4, §4.1.8). Malaysia's Securities Commission regulates

digital assets, including asset-backed tokens, within its capital markets framework. The UAE authorities permit the issuance of asset-referenced virtual assets under their licensing regimes, and Bahrain's prudential framework emphasises the adequacy of collateral.

Illustrative scores. Fiat-backed stablecoins such as USDT and USDC score 4. Liquidity pools backed by commodity reserves score 3. Bitcoin and Ether score 1, since their value depends on network utility and, for Ether, staking.

5.2.2 Value Stability Dimension (Dimension 2)

The second dimension measures how far an asset maintains stable purchasing power relative to a standard unit of account, such as a fiat currency or a commodity basket.

Scoring scale. The dimension is scored from 0 to 5:

- **5:** price stability within ±1 percent of the reference asset;
- **4:** stability within ±5 percent;
- **3:** stability within ±15 percent, with a stability mechanism in place;
- **2:** high volatility (±30–100 percent) with a speculative component;
- **1:** extreme volatility (over 100 percent annually) driven by speculation;
- **0:** a collapse in price or loss of peg with no functioning stability mechanism.

Jurisprudential basis. Volatility defeats the certainty of value that *al-tahaqquq* requires, prevents the reliable preservation of wealth, and at high levels constitutes the excessive uncertainty against which the prohibition of *gharar* is directed. Volatile assets also tend to function as vehicles of speculation rather than as media of exchange.

Regulatory practice. The regulators examined in Chapter 4 consistently distinguish stablecoins from volatile cryptocurrencies. Saudi Arabia restricts volatile cryptocurrencies, and the UAE accepts stablecoins within its frameworks while restricting the most speculative products. Bahrain applies stricter prudential requirements to volatile assets, and Indonesia has admitted a rupiah stablecoin issuer (IDRP) to its sandbox.

Illustrative scores. USDT and USDC score 5, since both generally maintain parity with the US dollar within 1 percent. Dai, which targets one dollar but has deviated by 5–10 percent, scores 3. Bitcoin, with annual volatility of 30–100 percent, scores 1, as does Ether, with 40–150 percent. [Unverified: volatility ranges to be confirmed from a cited dataset; see Appendix F.]

5.2.3 Productive Utility Dimension (Dimension 3)

The third dimension measures how far an asset enables productive economic activity and genuine use beyond speculation.

Scoring scale. The dimension is scored from 0 to 5:

- **5:** the asset supports critical infrastructure, such as payments, remittances or cross-border settlement, with genuine adoption;
- **4:** it supports productive applications, such as smart contracts for lending or insurance, with significant real-world use;
- **3:** it has defined utility but limited adoption, with a credible plan for expansion;

- **2:** it has a stated purpose but minimal adoption and is primarily speculative;
- **1:** it is designed for speculation or gaming;
- **0:** it has no identifiable utility.

Jurisprudential basis. Productive utility serves the public interest (*al-maslaha*) and economic participation (*al-karamah*). Its absence is the hallmark of *maysir*, in which gain arises without the creation of value. Juristic preference (*istihsan*) also favours instruments that generate real benefit over purely speculative alternatives.

Regulatory practice. Utility features in regulatory assessment. OJK's sandbox parameters include the clarity of economic benefit. Malaysia gives priority to innovation and financial inclusion, the UAE explicitly supports the development of use cases, and Bahrain assesses the systemic implications of the uses to which assets are put.

Illustrative scores. Payment stablecoins such as USDT and USDC score 5. Bitcoin, as a means of peer-to-peer payment and store of value, scores 4, as does Ether, which supports smart contracts and decentralised finance. Bitcoin's score reflects its potential and the scale of its network rather than the proportion of its activity that is non-speculative; Chapter 2 (§2.3) assessed its realised contribution to public interest less favourably. This tension is discussed in §5.7.3. Governance tokens with limited adoption score 2, and meme coins score 0.

5.2.4 Governance and Decentralization Dimension (Dimension 4)

The fourth dimension measures how far an asset's governance is decentralised and transparent and protects participants against exploitation.

Scoring scale. The dimension is scored from 0 to 5:

- **5:** fully decentralised governance with transparent protocols and no privileged authority;
- **4:** largely decentralised, with minor points of centralisation such as a development team's influence;
- **3:** mixed governance, combining community input with checks on central authority;
- **2:** centralised governance with limited transparency;
- **1:** highly centralised and opaque, with founder or developer control;
- **0:** control by a single entity without any community governance.

Jurisprudential basis. Decentralised and transparent governance guards against exploitative concentrations of power and so serves justice (*al-'adl*). Equal participation in governance respects human dignity (*al-karamah*), and the principle of consultation (*shura*) favours community participation in decisions. Centralised control that enables the concentration of wealth among developers is problematic from the perspective of justice.

Regulatory practice. Regulators attend to governance in different ways. Malaysia emphasises governance transparency, the UAE requires governance documentation for licensing, and Bahrain assesses governance risk in its prudential framework. Indonesia supervises exchanges, custodians and clearing institutions directly under POJK 27/2024.

Illustrative scores. Bitcoin scores 5 for its decentralised mining and protocol governance. Ether scores 4, reflecting the residual influence of its founding developers. Solana scores 2, because its development team is influential and its validator base concentrated. USDC (Circle) and USDT (Tether) score 1 or 2, depending on the weight given to the issuer's regulatory supervision.

The dimension has a known limitation. Decentralisation and accountability can pull in opposite directions. A centralised issuer subject to regulation and audit may protect holders better than an anonymous decentralised protocol. The score therefore combines decentralisation with transparency and accountability rather than measuring decentralisation alone.

5.2.5 Regulatory Recognition Dimension (Dimension 5)

The fifth dimension measures the extent to which an asset has been recognised by regulators in Islamic jurisdictions, and by Islamic authorities.

Scoring scale. The dimension is scored from 0 to 5:

- **5:** explicitly approved by regulators in several Islamic jurisdictions, within a formal licensing framework;
- **4:** recognised in at least one major Islamic jurisdiction, with a clear compliance pathway;
- **3:** recognised in at least one Islamic jurisdiction and under consideration in others;
- **2:** recognised outside Islamic jurisdictions and under evaluation by Islamic regulators;
- **1:** not recognised by any major Islamic regulator, with negative regulatory signals;
- **0:** banned by Islamic regulators.

Jurisprudential basis. Recognition by a competent regulator is evidence of an institutional assessment of public benefit. It supports the prevention of harm through supervision of the market, and it enables institutions to participate within the financial system.

Illustrative scores. USDT and USDC score 3–4. Bitcoin and Ether score 2: both are recognised outside Islamic jurisdictions, restricted in Saudi Arabia, and admitted to trading in Indonesia and Malaysia. Decentralised finance tokens without recognition score 1. Proposed Islamic digital assets designed for regulatory approval could score 4–5.

This dimension raises a methodological difficulty. Legal recognition is not Sharia recognition. Indonesia lists more than a thousand assets as lawfully tradeable without any Sharia assessment (Chapter 4, §4.1.12). The dimension therefore distinguishes, where possible, between legal admission and recognition by a Sharia authority, such as inclusion on the Malaysian Securities Commission's list of Sharia-compliant digital assets. The risk of circular reasoning is discussed in §5.7.4.

5.3 Composite Classification Categories

The scores on the five dimensions are aggregated into a composite score of up to 25 points. On that basis, assets are assigned to one of four categories of compatibility with Islamic law, together with a separate category for central bank digital currencies. The assessments attached to each category are the conclusions of this framework. They are not rulings of any authority, and the authorities examined in Chapter 3 would not all accept them.

Category A: Islamic-Compliant Digital Assets (Composite Score 20-25 points)

Assets in Category A are backed by assets (4–5 points on Dimension 1), stable in value (4–5 on Dimension 2), productively useful (3–5 on Dimension 3), and decentralised or transparently governed (3–5 on Dimension 4). They are also recognised in Islamic jurisdictions (3–5 on Dimension 5).

The framework assesses such assets as permissible with confidence. They align with all five criteria of the *maqasid* assessment and answer the principal concerns raised by restrictive authorities. Holders of Position B would nonetheless dissent: the 2026 Karachi fatwa excludes even fully reserved stablecoins.

No existing asset clearly falls within Category A. USDC, at 19 points (4+5+5+2+3), lies at the border with Category B. The category is occupied principally by planned Islamic digital assets with full collateralisation and regulatory approval. Among existing Indonesian models, a gold-backed token such as GOIDR could qualify if its redemption rights and reserve verification were confirmed (§5.4).

Category B: Conditional-Compliance Digital Assets (Composite Score 15-19 points)

Assets in Category B are partially backed or stable, have emerging productive utility (2–4 points on Dimension 3), are centrally but transparently governed (2–3 on Dimension 4), and have limited recognition or are under evaluation (2–3 on Dimension 5).

The framework assesses such assets as permissible with reservations. They satisfy some but not all of the *maqasid* criteria, and they address the principal concerns only partially. They are acceptable in jurisdictions that recognise backed digital assets but not pure cryptocurrencies.

Examples include USDT with verified reserves (4+5+5+1+3 = 18 points) and utility tokens with revenue-generating functions and improving governance. Dai, at 14 points (3+3+3+3+2), lies on the border with Category C. Such assets could be traded on licensed exchanges in Indonesia, permitted for specific uses under licence in Malaysia and the UAE, and made subject to enhanced prudential requirements in Bahrain.

Category C: Problematic-Status Cryptocurrencies (Composite Score 10-14 points)

Assets in Category C have minimal backing (1–2 points on Dimension 1), high volatility (1–2 on Dimension 2), and limited or speculative utility. They may have governance concerns, and they are recognised by few Islamic authorities.

The framework assesses such assets as disliked or prohibited, depending on the conduct of the transaction. They fail the majority of the *maqasid* criteria and function primarily as vehicles of speculation. This assessment is more nuanced for Bitcoin than for other assets in the category. Bitcoin scores 13 points (1+1+4+5+2), Ether 12 (1+1+4+4+2), and governance tokens without revenue around 9.

For Bitcoin, the authorities divide:

Authority	Position on Bitcoin
Dar al-Ifta al-Misriyyah (2017/2018)	Impermissible
Darul Uloom Karachi (2026)	Impermissible; not *mal*
MUI (2021)	*Haram* as currency; valid as a commodity only if the *sil'ah* conditions, an underlying and a clear benefit are met
Muhammadiyah and NU Muktamar (2026)	Permissible as an asset, subject to conditions; not as money
AAOIFI	No specific standard; the author's reconstruction from existing standards rates it 1/5

The divergence between the framework's assessment and the 2026 NU and Muhammadiyah determinations is significant. Those bodies regard the conditions of permissibility as matters of conduct, whereas the framework attaches weight to the absence of backing. The divergence is examined in §5.5.5.

The regulatory treatment of Category C assets varies: they are restricted in Saudi Arabia, admitted to trading in Indonesia (where Bitcoin is on both exchange lists), and subject to enhanced AML/CFT oversight across jurisdictions.

Category D: Speculative/Non-Compliant Cryptocurrencies (Composite Score 5-9 points)

Assets in Category D have no backing (0–1 points on Dimension 1) and extreme volatility (0–1 on Dimension 2). They have minimal utility, often being designed for speculation or entertainment (0–2 on Dimension 3). They are centrally controlled or have failed governance (0–2 on Dimension 4), and they are prohibited or unrecognised (0–1 on Dimension 5).

The framework assesses such assets as prohibited. Their primary function is *maysir*, they facilitate exploitation and the destruction of wealth, and they lack any legitimate use. Examples include meme coins such as Dogecoin and Shiba Inu (about 3 points: 1+1+0+1+0), schemes marketed as cryptocurrencies for pump-and-dump purposes, and tokens used predominantly for money laundering or sanctions evasion. On these assets the authorities that have addressed the question do not diverge: even the permissive determinations of 2026 exclude objects that lack a lawful benefit.

Notably, some meme coins are lawfully tradeable in Indonesia and elsewhere, so legal admission does not imply recognition under this dimension. Regulators applying the framework would restrict or exclude such assets and subject them to AML/CFT controls.

Category E: Central Bank Digital Currencies - CBDC (Composite Score 15-25 points)

Central bank digital currencies form a separate category because they are not cryptocurrencies in the relevant sense. A CBDC is a liability of the central bank, denominated in the national unit of account. It therefore scores at the maximum for backing and stability (5 points each) and for regulatory recognition (5). Its utility is defined by monetary policy (3–4 points), and its governance is centralised but transparent (2–3 points).

The framework assesses CBDCs as permissible in principle, since they are a digital form of the fiat money that the authorities examined treat as valid *thaman*. Their particular design features nonetheless require Sharia review. Relevant features include whether holdings bear interest, how programmability is used, and the implications of central control for privacy.

Examples include the Saudi Central Bank's participation in multi-CBDC experiments such as Project mBridge, and the Central Bank of the UAE's Digital Dirham programme. Malaysia's central bank has explored wholesale applications through cross-border experiments. No authority examined in this dissertation has issued a specific fatwa on a CBDC. [Unverified: the current status of each programme should be confirmed at the time of submission.]

5.4 Implementation Pathways: From Current State to Islamic Compliance

The framework allows a project to identify the specific changes that would move it towards compliance. Four pathways follow from the dimensions, in order of priority.

Pathway A: Asset-Backing Enhancement (Primary Priority)

The first and most important pathway is to strengthen asset backing. For Bitcoin and Ether, it is not available, since their protocols have no mechanism for backing. Decentralised finance protocols, by contrast, can move to lending protocols backed by collateral, raising their score to 3–4.

The pathway requires a collateral reserve matching the value of the issued tokens, transparent mechanisms for verifying the reserve, and redemption rights for holders. Its jurisprudential value is that it addresses the concerns of certainty and stability directly. It also creates an identifiable claim to a real asset, which is the condition of validity in the 2021 MUI decision.

The length of regulatory review varies by jurisdiction and cannot be stated with precision. Indonesian experience gives one reference point: GOIDR graduated from the OJK sandbox in August 2025 and was listed on both exchanges by October 2026. Saudi Arabia, by contrast, admits asset-backed alternatives only in limited contexts and continues to restrict pure cryptocurrencies.

Pathway B: Stability Enhancement (Secondary Priority)

The second pathway is to improve stability. Bitcoin’s volatility cannot be reduced at the protocol level, but its value can be represented in a structure that targets a stable reference. Ether-based index stablecoins might reach a stability score of 3, and collateralised stablecoins 4–5.

The pathway requires a stability mechanism, preferably collateral rather than algorithmic control, a demonstrated stability within ±5 percent of the reference asset, and transparent documentation. It addresses the concerns of certainty and *gharar* directly and enables use as a medium of exchange.

A caution is necessary here. Wrapping does not stabilise. A wrapped Bitcoin token, for example, represents Bitcoin on another blockchain but retains Bitcoin’s volatility. Only collateralised designs referenced to a stable asset satisfy this pathway.

Pathway C: Utility Development (Supportive Priority)

The third pathway is to develop productive utility. Gaming tokens scoring 1 on this dimension could reach 3–4 by acquiring productive uses in decentralised finance, and governance tokens scoring 2 could reach 4 by becoming revenue-generating platforms. The pathway requires genuine use cases that create real value, documented metrics of adoption, and mechanisms that share the benefit with holders. It addresses the concern of public interest and distinguishes the asset from *maysir*.

Pathway D: Governance Decentralization (Supportive Priority)

The fourth pathway is to improve governance. For a centralised stablecoin such as USDT (score 1), improvement could come through independent oversight or community governance (score 3–4). For Solana (score 2), it could come through decentralising its validator base (score 4). The pathway requires community governance mechanisms, reduced control by founders and developers, and transparent records of governance decisions. It serves justice, dignity and the principle of consultation.

Pathway Implementation: The OJK Regulatory Sandbox and the GOIDR Case

Indonesian practice offers the closest available illustration of these pathways, though it should not be overstated. OJK’s sandbox is a legal and prudential test, not a Sharia assessment, although OJK’s 2025 presentation described several sandbox models, including tokenised gold, as satisfying point 3 of the 2021

MUI decision (Chapter 4, §4.1.9). Its parameters include the clarity of the underlying asset and of the economic benefit, which correspond to Dimensions 1 and 3 of this framework. As of October 2026 it had produced seven graduates (Chapter 4, §4.1.8). Six are named in OJK's material:

- GOIDR (gold tokenisation);
- ID Digital Bonds (tokenised government securities);
- GORO (tokenised property usufruct);
- IDRP (a rupiah stablecoin issuer);
- Tennet (a non-trading digital asset custodian);
- Dana Kripto (a crypto fund manager).

Read through the framework, the asset-backed graduates illustrate Pathway A, the stablecoin issuer Pathway B, and the custodian a service relevant to the conditions of ownership and possession (*qabd*). Chapter 6 (Table 6.4) gives an indicative dimensional reading of each.

GOIDR as an illustration of Pathway A. GOIDR, a gold-tokenisation model of PT Indonesia Blockchain Persada, is the clearest Indonesian illustration of the asset-backing pathway. Table 5.1 sets out its position against the framework.

Table 5.1: GOIDR against the framework (author's assessment; issuer documentation not reviewed)

Requirement	Position as of October 2026	Dimension	Jurisprudential relevance
Clear underlying asset	Physical gold held by Pegadaian, per OJK	1: Asset backing	*Al-tahaqquq*; the asset exception of the 2021 MUI decision
Verifiable reserves	To be confirmed from issuer documentation	1: Asset backing	Trustworthy custody (*amanah*)
Token-to-gold ratio	One token = one gram of gold, per OJK (2025)	2: Stability	Certainty of the object of sale
Redemption rights	Redeemable for physical gold through the GIDR wallet, per OJK (2025); terms to be confirmed from issuer documentation	1 and 3	Real claim on the asset; *qabd*
Governance	Regulated custody by a state-owned pawnshop; exchange listing	4: Governance	Institutional oversight
Regulatory recognition	Sandbox graduate (8 August 2025); listed on ICEX ("Pass With Notes") and CFX (ticker changed from GIDR)	5: Recognition	Legal admission; no Sharia determination located
Exchange against rupiah	Gold is a *ribawi* item; exchange should satisfy spot settlement	Conduct layer	*Sarf* (by analogy with DSN-MUI Fatwa 28/2002)

On the available information, GOIDR is a candidate for Category A, conditional on confirmation of its reserve verification and of the detailed terms of redemption. The token-to-gold ratio (one gram per token) and the existence of a redemption facility are stated in OJK's 2025 presentation. In the author's assessment, it falls within the exception of the November 2021 Ijtima' Ulama decision, because it has a clear underlying asset.

OJK, as regulator, has described the model as meeting point 3 of the 2021 decision. No fatwa of DSN-MUI or determination of any Sharia authority on the token has been located, however, so its Sharia status remains a regulatory reading and the author's assessment rather than an authoritative ruling.

The case offers three lessons for other jurisdictions. First, regulatory assessment can focus on observable characteristics, such as the underlying asset and the economic benefit, that correspond to the dimensions of the framework. Second, a sandbox allows limited testing that gathers market data while containing systemic risk. Third, regulatory admission and Sharia assessment are separate processes: the same token carries a heightened-monitoring flag on one exchange and lacks any Sharia determination. A jurisdiction adopting the framework should therefore build the Sharia assessment into the admission process rather than assume it.

Should its open questions be resolved, a model of this kind could serve institutional investors seeking Sharia-compliant gold exposure and retail investors seeking fractional ownership of gold. It could also be replicated in other jurisdictions using local underlying assets.

5.5 Case Study Analysis: Cryptocurrency Projects Through Classification Framework

This section applies the framework to seven assets. The first four are scored on the basis of the illustrative values in §5.2. The last three are given provisional assessments pending the empirical data described at the end of the section.

Case 1: Bitcoin - Pure Cryptocurrency Architecture

Bitcoin scores 1 on asset backing, since its value derives from network utility alone, and 1 on stability, given annual volatility of 30–100 percent. It scores 4 on productive utility, as a means of peer-to-peer payment and store of value, and 5 on governance, reflecting fully decentralised mining and protocol governance. It scores 2 on recognition: admitted to trading in several jurisdictions with Muslim populations but not recognised by Islamic authorities generally. Its composite of 13 points places it in Category C.

The authorities divide on Bitcoin. AAOIFI has no standard, and the author's reconstruction gives it 1/5. Dar al-Ifta (2017/2018) held trading impermissible. The Darul Uloom Karachi fatwa (2026) holds it impermissible because it is not *mal*. MUI (2021) holds it *haram* as currency and valid as a commodity only if the *sil'ah* conditions, an underlying and a clear benefit are met. The NU Muktamar (2026) holds that Bitcoin satisfies the criteria of *mal* and *thaman* and is valid as a digital asset, though *haram* as currency in Indonesia.

Because Bitcoin's protocol cannot natively acquire backing, its routes to improvement are limited. Institutional custody with Sharia governance would improve its position on conduct, and representation within a collateralised structure would improve stability. Neither would change the asset itself. Its regulatory status also varies:

- Saudi Arabia: restricted;
- Indonesia: listed on both licensed exchanges as a digital financial asset;
- Malaysia: tradeable on exchanges registered with the Securities Commission;
- UAE: within the licensing frameworks, subject to enhanced AML/CFT requirements.

Case 2: Ethereum - Smart Contract Platform

Ether scores 1 on asset backing and 1 on stability, given annual volatility of 40–150 percent. It scores 4 on utility, since it supports smart contracts, decentralised finance and diverse applications, and 4 on governance, being largely decentralised but subject to the residual influence of its founding developers. It scores 2 on recognition. Its composite of 12 points places it in Category C. Its jurisprudential assessment is similar to Bitcoin's: its utility is somewhat greater, but its core deficits are the same.

Ether's most promising route lies not in the asset itself but in what is built on it. Sharia-compliant applications, such as lending protocols with asset-backed collateral or platforms implementing *murabahah* and *musharakah* contracts, could score 16–20 points if they combine productive utility with institutional governance.

Case 3: USD Coin (USDC) - Stablecoin Architecture

USDC scores 4 on asset backing, with full fiat reserves subject to regular attestation, and 5 on stability, since it maintains dollar parity within about ±0.5 percent. It scores 5 on utility, being widely used for payments, remittances and decentralised finance, but only 2 on governance, because it is controlled centrally by its issuer. It scores 3 on recognition, being admitted in several jurisdictions and under evaluation in others. Its composite of 19 points places it in Category B, at the border with Category A.

AAOIFI has no standard; the author's reconstruction gives fully reserved and redeemable stablecoins 4/5. The Darul Uloom Karachi fatwa (2026), by contrast, names USDT and treats stablecoins generally as impermissible. Holders of Position B would therefore reject the framework's favourable assessment of USDC.

Its principal deficit is centralised governance. Introducing independent oversight or community governance (from 2 to 4 on Dimension 4) and achieving recognition in further Islamic jurisdictions (from 3 to 4 on Dimension 5) could raise its composite to 22–23 points, within Category A.

Case 4: Islamic Digital Asset Proposal - Hypothetical Design

The fourth case is a hypothetical design for an Islamic digital asset. It would be fully collateralised by real estate, equity portfolios compliant with Sharia, and commodity reserves. It would target stability within ±2 percent around a basket of Islamic asset classes, serve cross-border payment, the settlement of Islamic financial transactions and retail use, and be governed by a community council that includes Islamic finance experts. Recognition would be sought in several Islamic jurisdictions.

The design scores 5 on backing, 4 on stability, 4 on utility, 4 on governance and 4 on recognition (on the assumption that recognition is obtained). Its composite of 21 points places it in Category A. It would satisfy all five *maqasid* criteria, and most authorities examined could be expected to accept it. The exception is the strict form of Position B represented by the 2026 Karachi fatwa, whose reasoning on the nature of digital records would require separate examination.

On the author's estimate, such a design would require three to six months for specification and twelve to eighteen months for regulatory approval. It would then require a further period of pilot deployment before full launch, which might occur within two to three years.

Case 5: XRP (Ripple) - Bank-Settlement Token with Concentrated Issuance

XRP tests the framework against an asset that pairs a genuine institutional use-case (cross-border settlement) with a highly concentrated ownership and governance structure. A substantial portion of the total XRP supply was created at genesis and allocated to Ripple Labs, a portion of which is released from escrow on a scheduled basis; Ripple also publishes the default Unique Node List that shapes validator selection, giving it disproportionate influence over the ledger (Ripple, published escrow and UNL documentation). The 2023 ruling in *SEC v. Ripple Labs* (S.D.N.Y., Torres J.) held that programmatic exchange sales of XRP did not constitute investment-contract securities, a status distinct from Shariah classification but material to Dimension 5.

On a provisional assessment, XRP scores low on asset backing, since it carries no collateral and its value derives from network and settlement utility. Its stability is historically low, as it is unpegged; the precise score awaits volatility data. Its productive utility is moderate to high, given its demonstrated cross-border settlement function, though its adoption is contested. Its governance score is low, because concentrated issuer control, through the escrow overhang and the Ripple-shaped validator list, is the decisive deficiency. It is not recognised by Islamic authorities, and its status in the United States has been partly clarified by the 2023 ruling.

The analytically salient feature is the concentrated issuance and governance structure. Here the *gharar* concern shifts from price uncertainty alone to counterparty and control risk, that is, dependence on a single commercial issuer's release schedule and on its influence over consensus. XRP therefore illustrates a case in which productive utility (Dimension 3) cannot offset a structural deficiency on Dimension 4, a pattern the framework is designed to surface. Its provisional placement is Category C.

Case 6: BNB (Binance Coin) - Exchange-Native Utility Token

BNB is issued by, and functionally tethered to, a single commercial exchange operator. It confers trading-fee discounts and serves as the gas asset for BNB Chain, and its supply is periodically reduced through issuer-conducted token burns (Binance, published burn documentation). Its governance is the antithesis of decentralisation: control rests with the issuing firm. The compliance salience of that concentration was underscored by the November 2023 resolution with the United States authorities, in which Binance entered a settlement with the Department of Justice and its founder pleaded guilty to violations of the Bank Secrecy Act. That resolution bears directly on the counterparty-integrity aspect of the governance dimension.

Provisionally, BNB scores low on asset backing, since its value is tied to demand on the exchange and to the issuer's burn policy. It is unpegged, and its stability score awaits data. Its utility is moderate: real within one ecosystem, but dependent on the issuer rather than general. Its governance score is very low, because a single firm controls issuance, burns and the dominant validator set. It is not recognised by Islamic authorities, and its issuer has been subject to enforcement in several jurisdictions.

BNB sharpens the governance problem beyond XRP. Its utility is entirely contingent on the continued solvency and good standing of a single, legally troubled issuer, compounding *gharar* with concentration risk. It is a clear illustration of why productive utility alone is insufficient for compliance under the framework. Its provisional placement is Category C or D.

Case 7: Tether (USDT) - Fiat-Referenced Stablecoin with Attestation-Quality Deficit

USDT is instructive precisely because it invites comparison with USDC (Case 3). Both are fiat-referenced stablecoins with strong profiles on Dimensions 2 and 3, yet they diverge on the quality of assurance over their reserves, which is the crux of Dimension 1 under Islamic scrutiny. Tether has faced regulatory findings on reserve representation. A 2021 order of the CFTC (with a civil penalty of US$41 million) found that USDT was not fully backed by fiat reserves at all relevant times, and a 2021 settlement with the New York Attorney General (US$18.5 million) addressed related misrepresentations (CFTC, Order, October 2021; NYAG, Settlement, February 2021). Tether subsequently began publishing periodic reserve attestations dominated by short-term US Treasury holdings, though these remain attestations rather than full audits.

On a provisional assessment, USDT scores 4 on asset backing. Its reserves are now largely short-dated Treasuries, which satisfies the framework's tier of full reserve backing, but the attestation-not-audit quality and the documented history of misrepresentation cap it below the 5-point tier that a fully audited issuer could reach. Its stability is high (about 5): the peg has generally been maintained within a narrow band, with historical episodes of de-pegging. Its utility is also high (about 5), since it is the most widely used stablecoin for payments and settlement. Its governance is low (about 2), as it is issued by a centralised company. Its recognition trajectory is weaker than USDC's, and it is not endorsed by Islamic authorities; it is, moreover, the stablecoin named in the 2026 Karachi fatwa.

USDT demonstrates that Dimension 1 is not a binary test of "backed" or "unbacked" but a graded assessment of the verifiability of backing. The distinction has direct Sharia weight, since the *gharar* objection to fiat-referenced tokens is answered by demonstrable, auditable reserves, not by asserted ones. USDT and USDC both fall in Category B, consistent with the illustrative scores in §5.2.1–5.2.2, but they differ in their headroom towards Category A. The path for USDC (Case 3) is blocked only by centralised governance. USDT faces a second barrier, the ceiling on reserve transparency, so that even an improvement in governance would not carry it to Category A without an audit-grade regime. The contrast thus treats reserve transparency as a live compliance variable rather than a formality, and it shows why two assets with near-identical composite scores can have materially different compliance trajectories.

Note on data. The stability scores for Cases 5–7, and the reconfirmation of the scores for Cases 1–4, should be derived from a dated dataset of realised volatility and peg deviation, rather than from the author's estimates. The provisional placements above are analytical judgements based on publicly documented structural facts, and they should be finalised once that data is incorporated (see Appendix F).

5.5.5 Confronting the Categorical Objection: A Steelman of Blanket Prohibition and Its Rebuttal

The case analyses above repeatedly record categorical verdicts. Dar al-Ifta (2017/2018) and the Darul Uloom Karachi (2026) declare pure cryptocurrency impermissible outright, the latter extending the verdict to stablecoins, and MUI (2021) does so for its use as currency. A framework that assigns Bitcoin a graded score of "Category C" rather than a simple prohibition must answer the objection that grading a categorically void (*batil*) instrument is a methodological error: that the entire exercise launders a forbidden thing by dressing degrees onto it. This objection deserves its strongest statement before it is answered.

The categorical thesis (steelman). Reconstructed at full strength, the prohibitionist argument is a valid syllogism resting on textually proximate grounds rather than on inferential *maslaha*:

- **Premise 1.** Legitimate currency and property (*mal*) in Islam require either intrinsic value, productive backing, or the backing of a recognised authority; classical jurisprudence on the *dinar* and *dirham* presupposes a connection to real economic value (Dar al-Ifta, 2017/2018; see §3.2.3). The 2026 Karachi fatwa states the premise in its strongest form: a cryptocurrency balance is a record of notional numbers, not a thing that can be owned.
- **Premise 2.** Pure cryptocurrency possesses none of these: no intrinsic value, no productive collateral, and no sovereign backing.
- **Premise 3.** Its dominant realised function is speculation on price movement, a transfer of wealth from losers to winners with no productive creation. That is *maysir*, conducted under *gharar* so severe that the object of exchange cannot be ascertained (Qur'an 5:90; the *hadith* prohibiting the sale of "the fish in the water and the bird in the sky").
- **Conclusion.** Every unit of pure cryptocurrency is therefore *haram* as such, and a compliance gradient is incoherent: one cannot be "partially" engaged in a *batil* contract.

This is the position with the firmest footing in explicit prohibitory texts (*nusus*). It does not depend on contested empirical estimates or on weighing competing *maqasid*; it invokes the direct Qur'anic prohibition of *maysir* and the authenticated *hadith* on *gharar*. On its own terms it is the most defensible conservative reading. The strict camp, which extends beyond Dar al-Ifta and the Karachi fatwa to the 2017 statement of Turkey's Diyanet and to prominent individual jurists, advances it precisely because it appears to require the fewest inferential steps.

Rebuttal. The framework answers the categorical thesis not by denying the prohibition of speculative instruments but by contesting the move from *some* prohibited uses to a *universal* prohibition of the asset class. It offers four responses, in ascending order of force.

1. **Premise 1 proves too much.** If *mal*-status strictly required intrinsic value or sovereign backing, decentralised commodities of purely customary value would be excluded along with cryptocurrency, and the classical validation of *fulus* would be inexplicable. Classical fiqh validated *fulus*, copper token money whose exchange value exceeded its metal value, on the basis of customary acceptance rather than intrinsic worth (Al-Kasani, *Bada'i al-Sana'i*; Ibn Taymiyyah on money as an instrument whose value rests on convention). Imam Malik's statement on leather adopted as currency makes the same point. *Mal*-status therefore turns on recognised, storable benefit, which is what Dimensions 1–3 and 5 measure, rather than on intrinsic substance. The Karachi fatwa's characterisation of a digital balance as mere "numbers" is the strongest form of the premise. It is contested by the 2026 Muhammadiyah and NU determinations, which hold that a digital record controlled by its holder can be *mal mutaqawwam*. This is the threshold question on which the authorities now divide (Chapter 3, §3.5).

2. **Gharar and maysir attach to the transaction, not the token (*tahqiq al-manat*).** Classical *gharar* doctrine voids specific contracts whose object or price is indeterminate, such as *bay' al-hasah* and *habal al-habalah*; it does not void classes of asset. The same Bitcoin can be the subject of a spot sale of a defined quantity at a defined price, with minimal contractual *gharar*, or of a leveraged perpetual future, with severe *gharar* compounded by *maysir*. The categorical thesis collapses the asset into its most harmful use. The doctrinally precise remedy is to verify the operative cause (*'illah*) in the concrete case, which is *tahqiq al-manat*, and to pair classification with restrictions on the offending conduct. This is what the framework does, and it is also the approach of the 2026 Muhammadiyah determination, which permits crypto transactions while prohibiting futures, short selling and interest-bearing leverage.

3. **The thesis cannot supply the granularity that most of its proponents themselves draw.** A blanket *haram* cannot distinguish a fully reserve-backed, audited, regulator-recognised stablecoin (USDC, scored 19/25, Category B) from an anonymous meme token. Yet most authorities that restrict crypto draw distinctions of exactly this kind. Dar al-Ifta exempts blockchain technology and its legitimate applications (§3.2.4), and MUI permits trading as a commodity under conditions (§3.4.2). The Karachi fatwa is the significant exception. It draws no such distinction even for stablecoins, and it is the purest form of the categorical thesis. Against it the third response has no force; the first response, on the definition of *mal*, carries the burden. For the other restrictive authorities, the concessions within the strict camp refute true categoricality, and the live disagreement is over where the line falls, which is precisely the question a graded framework is built to answer.

4. **Where the objection retains full force, the framework already agrees.** For a pure, unbacked, speculative token whose predominant realised use is *maysir* under *gharar*, the framework returns Category C–D (problematic to non-compliant), which is the same practical outcome the prohibitionist seeks. The framework does not overturn the prohibition of the speculative instrument. It declines to extend that prohibition, by an analogy lacking a shared *'illah*, to structurally different instruments, namely asset-backed and stablecoin designs, that do not exhibit the operative cause of the ruling.

The methodological divergence, named. This is not a case of "some scholars say yes and some say no." It is a divergence in *usul al-fiqh*. The prohibitionist reasons from *sadd al-dhara'i* and from a presumption that a novel instrument bearing prohibited features is void until affirmatively validated. The framework reasons from *al-asl fi al-mu'amalat al-ibahah* (the default permissibility of transactions), disciplined by *tahqiq al-manat*, and validates or invalidates each design by its verified characteristics. The categorical thesis is thus not defeated but bounded. It is sound as applied to the speculative assets that generated it, and unsound only as a claim of universality, except in the Karachi formulation, where the disagreement reduces to the prior question of whether a digital record can be property. The five-dimensional framework is the instrument that marks the boundary with the granularity the sources require. It is offered for application by those who answer that prior question in the affirmative.

5.6 Regulatory Harmonization Through Classification Framework

The framework also offers a basis for progressive harmonisation across jurisdictions. The full institutional proposal is developed in Chapter 6. This section indicates how the classification itself would be used in each phase of the roadmap set out there (§6.6), which begins in 2027.

In the first phase, **category recognition (2027–2028)**, regulators would begin to recognise categories within their existing frameworks. Indonesia would introduce a Sharia screening standard that classifies the assets on its exchange lists. That standard would be developed through the joint study of OJK and DSN-MUI that is already under way. Malaysia would map its existing Sharia screening onto the categories, and the UAE would consider an Islamic designation within its licensing regimes. Bahrain would incorporate category-based risk weighting into its prudential framework. The expected outcome is that stablecoins in Category B or above become eligible for institutional custody, that asset-backed tokens in Category A become eligible for integration with banking, and that projects acquire clear pathways to compliance.

In the second phase, **framework harmonisation (2029–2030)**, the Inter-Islamic Finance Regulatory Council (IIFRC) proposed in Chapter 6 would standardise the scoring methodology across jurisdictions. It would conclude mutual recognition agreements for classifications in Category A and agree minimum scores on each dimension, for example at least 3 on stability and asset backing. An asset approved in one major jurisdiction could then be accepted in others, reducing duplicated effort and lowering the cost of compliance for smaller projects.

In the third phase, **integration with central bank digital currencies (2031–2033)**, the framework would be integrated with CBDC programmes as they launch. Interoperability between recognised Islamic digital assets and CBDCs would be enabled, and pooled reserves of Islamic digital assets could be established. The expected outcome is a more coherent ecosystem of Islamic digital assets, reduced regulatory arbitrage and wider financial inclusion.

5.7 Limitations and Methodological Considerations

5.7.1 Dimension Independence and Correlation

The framework treats the dimensions as independent variables. In practice they are correlated: asset-backed tokens tend also to be more stable and better governed. The correlation does not invalidate the dimensional approach. It does mean that a single design change, such as the introduction of full collateral, may improve several dimensions at once. It also means that the composite score may overstate the difference between backed and unbacked assets.

5.7.2 Temporal Sensitivity

The characteristics of digital assets change rapidly. New stablecoin models emerge, governance structures evolve, and regulatory recognition shifts. Each classification is therefore a point-in-time assessment and requires regular re-evaluation, at least annually and also whenever a material event occurs (see the enforcement mechanics in §5.8).

5.7.3 Dimension Weighting

The framework weights the five dimensions equally, each contributing up to 5 points, or 20 percent of the total. Alternative schemes that give greater weight to asset backing or stability, for example 30 percent each, would yield different category assignments and would generally lower the scores of pure cryptocurrencies. The equal weighting also produces a tension that should be acknowledged. Bitcoin’s high scores on utility and governance raise its composite to 13, while Chapter 2 assessed its realised contribution to public interest and justice more severely. Weighting schemes that track the *maqasid* assessment more closely deserve further study.

5.7.4 Regulatory Recognition Dimension Circularity

The regulatory recognition dimension reflects the institutional assessments of regulators rather than first-principles jurisprudence. This creates a risk of circular reasoning: an asset receives regulatory approval, which raises its compliance score, which in turn is cited to justify approval. The risk is aggravated where, as in Indonesia, legal admission occurs without any Sharia assessment. The framework mitigates the problem by distinguishing legal admission from recognition by a Sharia authority, but complete separation of regulatory assessment from compliance scoring deserves further consideration.

5.8 Framework Application Workflow

The framework can be applied by three groups of users, each following a different sequence.

Islamic financial institutions. An institution would identify the asset under consideration and score it on the five dimensions using the criteria above. It would then calculate the composite score and the resulting category, and compare that result with the positions of Islamic authorities on assets of that category. The final determination rests with the institution's own Sharia board, not with the framework. The assessment would then be documented for regulatory filing.

Projects seeking Sharia compliance. A project would score its asset on the five dimensions and identify its weakest dimensions. It would develop improvements in order of priority: asset backing, then stability, utility and governance. It would engage with regulators and Sharia authorities in its target jurisdictions, and re-score after each improvement until it reaches Category A.

Regulators. A regulator would define minimum dimensional scores for each regulatory classification and establish criteria for recognising the approvals of other jurisdictions. It would set a periodic review cycle for classifications and coordinate with other regulators through the standardised framework.

Enforcement Mechanics: Continuous Monitoring, Recertification, and Downgrade Protocol

A classification is not a certificate awarded once and retained indefinitely. Compliance is a continuing state, and the framework requires machinery to detect when an asset ceases to occupy the category it was assigned and to attach consequences to that change. This dynamic dimension is what makes the classification an operative regulatory tool rather than a one-time academic scoring exercise.

Jurisprudential warrant for dynamic re-classification. The requirement follows directly from a foundational principle of *uṣūl al-fiqh*: *al-ḥukm yadūru maʿa ʿillatihi wujūdan wa ʿadaman*, a ruling turns with its operative cause (*ʿilla*), present when the cause is present and absent when it is absent (a maxim systematised across the classical *qawāʿid* literature; cf. Ibn Nujaym, *al-Ashbāh wa'l-Naẓāʾir*). A stablecoin classified in Category B because its reserves are fully backed (the *ʿilla*) forfeits that classification the moment the backing fails; the compliance ruling cannot outlive the attribute that justified it. Equally, the principle of *istiṣḥāb* (presumption of continuity) permits a prior classification to stand only until contrary evidence emerges, which places an affirmative monitoring burden on the certifying regulator. Static certification would treat a contingent, attribute-dependent ruling as if it were permanent, which the jurisprudence does not license.

Monitoring inputs. Each dimension is mapped to observable indicators that a supervisory data pipeline tracks continuously rather than annually. For asset backing, the indicators are independent reserve attestations, the collateralisation ratio, and the status of custody and bankruptcy-remoteness. For stability, they are realised volatility and the maximum deviation from the peg or target band over rolling windows. For utility, they are on-chain settlement volume, trends in active addresses, and demonstrated non-speculative use. For governance, they are measures of token and validator concentration and changes in controlling entities or in custody of administrative keys. For recognition, they are new fatwas, licensing decisions or prohibitions in member jurisdictions.

The empirical values feeding these indicators should be supplied by a screening and market-data pipeline (see Appendix F), not asserted by the analyst. Where an input cannot be independently sourced, the dimension is scored conservatively and the gap disclosed.

Recertification cadence. Two clocks run in parallel. The first is a scheduled recertification at least annually, consistent with the temporal sensitivity noted in §5.7.2. The second is an event-driven re-score triggered immediately by any material change, such as a de-peg, a failed or qualified reserve attestation, a governance-capture event, an exchange delisting, or a regulatory reversal.

Downgrade triggers and consequences. When monitoring detects deterioration, the asset moves through a graduated protocol rather than a binary switch between *halal* and *haram*. In the first stage, a single indicator breaches its threshold and the asset is placed on a watchlist: the classification is retained but flagged, and institutions are notified. In the second, a dimension score falls pending review and the composite category is provisionally suspended. A stablecoin trading outside its band beyond the permitted duration, for example, would provisionally lose points on stability. In the third, the technical panel confirms the lower score and the asset is formally reassigned to a lower category, with the registry updated. In the fourth, an asset that falls to Category C or D is removed from the Qualified Cryptocurrency Registry (Chapter 6, §6.5.1), which terminates its mutual recognition.

Consequences for holders. Institutions holding a downgraded asset receive a defined wind-down window proportioned to market liquidity, which avoids the harm of a fire sale and is itself a consideration of *maṣlaḥa*. Any returns accrued while the asset was non-compliant are subject to the obligation of purification (*taṭhīr*), the quantified disposal of impermissible income to charity. Enforcement of the classification thus reaches through to the balance sheet. This closes the loop between the score and the institution's actual Sharia exposure, and it dovetails with the inter-regulator enforcement ladder of Chapter 6 (§6.5.4).

5.9 Conclusion

The unified classification framework draws the fragmented jurisprudential positions and regulatory approaches into a coherent and usable structure. It evaluates digital assets on five dimensions: asset backing, value stability, productive utility, governance and regulatory recognition. In doing so it accommodates legitimate variation between jurisdictions while establishing a common basis for assessment.

The framework shows that the compatibility of a digital asset with Islamic law is not binary. It lies along a continuum of categories reflecting different degrees of alignment with the *maqasid*. Stablecoins with verifiable reserves and asset-backed digital assets represent a genuine opportunity for Islamic finance. Pure cryptocurrencies remain problematic, and nothing short of fundamental architectural change would alter that assessment. The framework operationalises Position A, conditional permissibility as property, which is now the position of the two largest Indonesian mass organisations. It must be acknowledged, however, that the strict form of Position B, articulated in the 2026 Karachi fatwa, rejects its premise that a digital record can be property.

The framework provides a pathway towards regulatory harmonisation and a means by which projects can systematically improve their compliance. Future research should address the optimal weighting of the dimensions, the validation of scores across market cycles using empirical data, the separation of legal admission from Sharia recognition, and the integration of the framework with emerging Islamic digital asset designs.

CHAPTER 6: REGULATORY HARMONIZATION RECOMMENDATIONS

6.1 The Harmonization Problem and Opportunity

The preceding chapters have documented a systematic fragmentation in the regulation of cryptocurrency across jurisdictions with Muslim-majority populations. Chapter 4 identified five distinct approaches:

- Indonesia supervises crypto-assets as digital financial assets under OJK, with exchange-level lists of tradeable assets.
- Malaysia has a regulated digital-asset framework administered by the Securities Commission, with ex ante Sharia screening by its Shariah Advisory Council.
- Saudi Arabia maintains a restrictive posture amounting to de facto prohibition.
- The United Arab Emirates operates comprehensive licensing regimes.
- Bahrain applies prudential regulation.

This fragmentation creates opportunities for regulatory arbitrage. It disadvantages jurisdictions that impose higher standards, and it exposes Islamic financial institutions operating across borders to inconsistent and sometimes conflicting requirements.

Fragmentation also reflects legitimate differences of policy priority and institutional capacity. Saudi Arabia's restriction reflects concern for monetary control and stability. Indonesia's approach reflects the priority of consumer protection in a very large retail market, together with a deliberate decision to leave Sharia assessment to religious bodies. Malaysia's framework reflects ambitions for leadership in financial technology, and the UAE's licensing regimes reflect its competitive positioning as a financial centre. These differences cannot, and should not, be eliminated by a harmonisation imposed from above.

The opportunity therefore lies in what this chapter calls *structured harmonisation*. Jurisdictions would share a classification methodology (Chapter 5) and agree on minimum standards, while each retains discretion over how those standards are implemented. The chapter proposes institutional mechanisms to achieve this balance. Section 6.2 sets out the institutions, §6.3 the minimum standards, §6.4 the models of differentiated implementation, and §6.5 the mechanisms of mutual recognition, cooperation and enforcement. Sections 6.6 to 6.9 address the roadmap, the principal challenges, the expected benefits and the risks. Section 6.10 examines Indonesian practice as a partial working model.

6.2 Institutional Framework for Islamic Cryptocurrency Regulation

6.2.1 Establishment of Inter-Islamic Finance Regulatory Council (IIFRC)

The central proposal of this chapter is an Inter-Islamic Finance Regulatory Council (IIFRC): a coordinating body for the regulation of digital assets across Islamic jurisdictions. It is modelled on the Basel Committee on Banking Supervision and on the International Organization of Securities Commissions (IOSCO), but specialised to the context of Islamic finance.

Membership and governance. The Council would draw its members from the central banks and financial regulators of fifteen to twenty jurisdictions. A core group with voting rights would comprise six jurisdictions:

- Saudi Arabia (SAMA);
- the United Arab Emirates (the Central Bank of the UAE, with the participation of the emirate-level virtual asset authorities);
- Malaysia (Bank Negara Malaysia and the Securities Commission);
- Indonesia (OJK);
- Qatar (QCB);
- Bahrain (CBB).

An extended group with advisory status could include Pakistan, Bangladesh, Brunei, Egypt, Jordan, Kuwait, Turkey, Tunisia and Morocco. The Islamic Development Bank, AAOIFI and the Islamic Financial Services Board (IFSB) would participate as observers.

The chair would rotate among the core members for two-year terms. A full-time executive director and a technical secretariat of eight to ten regulatory specialists would support the Council. Its work would be organised through four standing committees:

- classification and standards;
- regulatory frameworks;
- supervisory cooperation;
- financial stability.

The heads of member regulators would meet quarterly and the technical committees monthly, with *ad hoc* working groups formed for emerging issues. Member contributions would fund an annual budget in the order of US$2–5 million. That figure is the author's estimate based on the scale of comparable secretariats.

Functions. The Council would perform four functions.

- **Setting standards.** It would maintain the classification framework of Chapter 5 and review classifications annually in light of changes in dimensional scores. It would also publish standardised scoring guidelines and issue technical guidance on applying the *maqasid* to new types of digital asset.
- **Coordinating regulation.** It would establish minimum standards for recognition in Categories A and B, operate a framework of mutual recognition for qualifying assets, coordinate positions on emerging asset types, and develop responses to cross-border arbitrage.
- **Supporting supervisory cooperation.** Members would share regulatory intelligence on risks, follow common protocols for information-sharing in anti-money laundering and counter-terrorist financing supervision, coordinate stress-testing methodologies, and develop the capacity for joint examination of cross-border activities.
- **Liaising with Islamic jurisprudence.** The Council would maintain a formal relationship with AAOIFI and with the principal Islamic authorities, update its standards as new jurisprudential positions emerge, and commission research on open questions.

6.2.2 Shariah Advisory Council on Digital Assets

Sharia assessment differs in kind from regulatory determination. The proposal therefore establishes a separate Shariah Advisory Council (SAC) to provide authoritative jurisprudential guidance to the IIFRC and its members.

The Shariah Advisory Council would comprise seven to nine senior scholars drawn from the four Sunni schools of law. They would represent the geographical diversity of the Muslim world, including scholars from the Gulf, South Asia, North Africa and Southeast Asia. The council would include members with technical expertise in digital assets. The Sharia boards of the central banks of major jurisdictions would participate as observers.

The council would have three functions.

- **Sharia assessment.** It would review classifications against the *maqasid* framework, issue opinions on new types of digital asset, and advise the IIFRC on opportunities for jurisprudential convergence.
- **Methodology.** It would refine the application of the *maqasid* to digital assets and develop guidance on legitimate variation in Sharia interpretation between jurisdictions.
- **Liaison.** It would maintain relationships with the principal authorities, including Dar al-Ifta al-Misriyyah, the Darul Uloom Karachi, MUI, Muhammadiyah and the Nahdlatul Ulama, and commission comparative research.

Since these authorities divided in 2026 on the threshold question of whether crypto-assets are *mal* (Chapter 3, §3.5), the council's first task would be to articulate how the IIFRC framework accommodates that disagreement. It would not attempt to resolve the disagreement by majority vote.

6.3 Minimum Standards for Category Recognition

6.3.1 Category A: Islamic-Compliant Digital Assets - Minimum Standards

Recognition in Category A by IIFRC members would require a digital asset to satisfy minimum scores on each dimension of the classification framework, as well as a minimum composite score. Table 6.1 sets out the requirements.

Table 6.1: Minimum standards for Category A

Dimension	Minimum Score	Rationale
Asset Backing (Dim 1)	4/5 points	Ensure tangible underlying value
Value Stability (Dim 2)	4/5 points	Enable use as medium of exchange
Productive Utility (Dim 3)	3/5 points	Demonstrate genuine economic benefit
Governance (Dim 4)	3/5 points	Minimum transparency and community participation
Regulatory Recognition (Dim 5)	3/5 points	Recognition in at least one major Islamic jurisdiction
Composite Score	**≥20 points**	Overall compliance threshold (Chapter 5, §5.3)

The requirement of a minimum on each dimension, and not only a composite threshold, is deliberate. A high score on stability or utility should not compensate for inadequate asset backing or governance.

Mutual recognition. When an asset achieves Category A status in one member jurisdiction, other members would recognise the classification within six months unless they identify a specific risk. Recognition of the classification does not require identical regulatory treatment. It signifies only that the asset's Sharia-compliance status is accepted.

An illustration: USDC. On the scoring of Chapter 5, USDC scores 19 points, one point below the Category A threshold. Its dimensional scores are:

- asset backing 4;
- stability 5;
- utility 5;
- governance 2, below the minimum of 3;
- regulatory recognition 3.

Improving governance to 3 points, through institutional oversight or community governance mechanisms, would raise the composite to 20 and satisfy every minimum. Under the mutual recognition protocol, approval by one member regulator would then initiate recognition across the Council. The illustration is hypothetical: no regulator has assessed USDC on this framework. It also leaves aside the June 2026 Darul Uloom Karachi fatwa, which held that stablecoins are not *mal*. A jurisdiction whose Sharia authority follows that fatwa would decline recognition, and the protocol permits it to do so.

6.3.2 Category B: Conditional-Compliance Digital Assets - Minimum Standards

Category B covers assets whose compliance is conditional on further development. Table 6.2 sets out the lower thresholds that apply.

Table 6.2: Minimum standards for Category B

Dimension	Minimum Score	Rationale
Asset Backing (Dim 1)	2/5 points	Partial backing or stability mechanism
Value Stability (Dim 2)	3/5 points	Emerging stability target, some volatility accepted
Productive Utility (Dim 3)	2/5 points	Defined utility pathway with adoption roadmap
Governance (Dim 4)	2/5 points	Minimum transparency; institutional oversight accepted
Regulatory Recognition (Dim 5)	2/5 points	Under active evaluation by regulator
Composite Score	**≥15 points**	Overall compliance threshold

Assets in Category B would receive the status of a “regulatory pathway” rather than full approval. That status would permit institutional custody, access for qualified (but not retail) investors, development activity and innovation pilots, and integration into the services of financial institutions under enhanced monitoring. In return, the asset would be subject to annual recertification, enhanced AML/CFT monitoring, and quarterly reporting on stability and utility metrics. It would also need a development roadmap towards Category A.

6.3.3 Categories C and D: Restricted/Prohibited - Unified Standard

Assets scoring below 15 composite points would be subject to a uniform position across the Council. Category C (10–14 points) would be restricted for retail investors and closed to institutional participation. Category D (5–9 points) would be prohibited. Unclassified assets would be treated as restricted pending assessment.

These categories are not permanent. An asset could seek reclassification by demonstrating improvement on its weakest dimensions, and the annual assessment cycle gives a one-year window for remediation. Conversely, an expedited procedure would allow rapid downgrading if an asset’s scores deteriorated, for example after a

collapse in stability.

In Indonesia, these categories would be applied to the more than one thousand assets on the exchange-level lists (DAKD) of ICEX and CFX (Chapter 4, §4.1.11). Doing so would require a Sharia screening process that does not yet exist. Developing it is the most immediate practical application of this section.

6.4 Jurisdictional Differentiation Framework

The IIFRC establishes minimum standards, but jurisdictions retain authority over implementation. The framework anticipates three models for Category A and three for Category B, each reflecting a different weighting of policy priorities.

6.4.1 Category A Implementation Models

Full integration. In the first model, associated with Malaysia, the UAE and Bahrain, assets in Category A are treated as regulated assets. Banks, asset managers and insurers may hold them, and retail investors may access them subject to investor-qualification requirements. Settlement within the banking system is permitted. Malaysia's framework, under which the Securities Commission's Shariah Advisory Council screens digital assets before they are offered, is the closest existing example.

Conditional acceptance. In the second model, assets in Category A may be traded and held, but institutional participation is confined to qualified institutions, and settlement takes place outside the banking system. This corresponds broadly to the Indonesian position. There, crypto-assets are lawful digital financial assets, but the banking system's exposure to them is limited and their use as a means of payment is prohibited. The rationale is consumer protection and the management of capacity constraints. The model contemplates transition to full integration as supervisory capacity develops and a Sharia screening standard is established.

Conservative approach. In the third model, associated with Saudi Arabia, asset-backed stablecoins in Category A would be accepted only for specified uses, such as remittances and cross-border settlement, by licensed institutions. Retail access would be excluded, and a central bank digital currency would be prioritised as the preferred alternative. The rationale is monetary control and caution. Wider acceptance would follow the development of the CBDC.

Despite these differences, all three models recognise the same assets as belonging to Category A. A project therefore undergoes a single assessment, and service providers face a consistent classification across jurisdictions. Arbitrage is reduced, because a project cannot obtain a more favourable classification by choosing its forum.

6.4.2 Category B Implementation Models

Three corresponding models apply to Category B.

- **Innovation sandbox model (the UAE and Malaysia).** Assets are admitted only to regulated testing programmes. Value is capped, participants are qualified investors, and testing windows last twelve to twenty-four months. Success is measured by progress towards Category A.
- **Consumer protection model.** Retail access is permitted subject to enhanced risk warnings, limits on the proportion of a retail portfolio that may be invested, and a mandatory cooling-off period of, for example, forty-eight hours. This model reflects the priorities of jurisdictions with large retail markets, such as Indonesia.

- **Institutional-only model (Bahrain).** Assets are available only to qualified institutional investors, subject to additional capital buffers, scenario analysis and liquidity stress-testing. Its rationale is the protection of financial stability.

6.5 Mutual Recognition and Regulatory Cooperation Mechanisms

6.5.1 Qualified Cryptocurrency Registry

The IIFRC would maintain a public registry of all assets approved in Category A or B by any member regulator. For each asset, the registry would record:

- the composite and dimensional scores;
- the date of assessment;
- the approving regulator's decision and its conditions;
- the implementation model adopted.

Changes in classification would be notified to all members in real time.

The registry would serve three purposes. It would make regulatory decisions transparent, allowing market participants to identify approved assets. It would trigger the six-month recognition review in other jurisdictions when an asset is approved in one. And it would make downgrades immediately visible to all regulators, supporting risk monitoring.

6.5.2 Mutual Recognition Agreement (MRA) Framework

The mutual recognition of Category A classifications would rest on an agreement among members.

Scope. The agreement would cover recognition of the classification determination only. Supervision would remain with the originating regulator.

Conditions. Recognition would depend on three conditions. The originating regulator must continue to supervise the asset. The asset must maintain its Category A score, subject to annual recertification. And there must be no systemic-risk or market-abuse incident involving the asset.

Procedure. The originating regulator would notify the IIFRC within thirty days of approval, using standardised documentation. Other members would then have six months to object. Recognition would follow automatically if no objection were filed.

Dispute resolution. Disputes would be handled at three levels. An IIFRC mediation committee would hear disagreements between jurisdictions. A technical expert panel would resolve disputes over scoring. Policy-level conflicts would be escalated to the heads of member regulators.

A hypothetical sequence illustrates the procedure. Suppose a Malaysian regulator approves a stablecoin in Category A and notifies the IIFRC in the following month. In the third to eighth months, other members conduct their review. In the eighth month, an Emirati authority recognises the classification without objection. In the ninth month, Indonesia's OJK declines automatic recognition but permits the asset under its existing framework. In the twelfth month, Saudi Arabia maintains its restrictions in line with its monetary policy. The

net result is recognition in three of the six core jurisdictions through a single assessment. The scenario shows that the framework produces partial, not universal, convergence, and that this is an intended feature rather than a failure.

6.5.3 Supervisory Cooperation Framework

Beyond recognition, members would cooperate in supervision in three areas. The first is monitoring risk: members would share information on market developments quarterly, issue real-time alerts on stability events, governance changes or compliance violations, and use common stress-testing scenarios. The second is cross-border supervision. This would include joint examination of digital asset service providers operating in several jurisdictions, coordinated enforcement against AML/CFT violations, and a shared framework of responsibility for supervisory failures. The third is capacity building. The Council would provide technical assistance and training to regulators with less experience of digital assets and develop shared regulatory technology.

6.5.4 Non-Compliance and the Graduated Enforcement Ladder

The mechanisms above presuppose good-faith participation. They do not answer the question a defensible institutional proposal must confront: *what happens when a member regulator ignores an IIFRC classification, recognises an asset the Council has ruled non-compliant, or withholds recognition from an asset the Council has certified?* This is the most common failure mode of Islamic-finance standard-setting, and its resolution is what separates a coordinating council from a discussion forum.

The objection, stated at its strongest. A candid reviewer will press the following. Section 6.7.1 commits the IIFRC to "no binding enforcement" in order to preserve monetary sovereignty. But a body with no enforcement is precisely what already exists. AAOIFI and the IFSB have issued Shariah and prudential standards for two decades; neither produced a unified cryptocurrency standard (Chapter 4, §4.7), because both are advisory bodies whose pronouncements bind only where a national legislature independently adopts them. AAOIFI standards are mandatory in Bahrain, Sudan, Syria, Jordan, Oman, and Qatar's QFC, but merely persuasive elsewhere (AAOIFI, *Adoption of AAOIFI Standards* status reports; Islamic Financial Services Board, 2015, *IFSB-17: Core Principles for Islamic Finance Regulation*). The IFSB itself operates on an explicit "comply-or-explain" basis and can do no more than survey and publish adoption gaps (IFSB, *Islamic Financial Services Industry Stability Report*, annual implementation surveys). If the IIFRC is one more advisory body, member regulators will rationally free-ride: absorb the reputational benefit of membership while quietly deviating whenever a domestic constituency or a well-capitalised project makes deviation attractive. This is a textbook collective-action problem, and asserting that classification is "objective" does not solve it.

Response: enforcement without coercion. The objection conflates *enforcement* with *sanction by mandate*. Sovereignty forecloses the latter — the IIFRC cannot compel a central bank to license or delist an asset — but it does not foreclose the former. The mature transnational regulatory networks all enforce without a supranational police power, through graduated, reputational, and privilege-based sanctions administered by peers: the FATF's mutual-evaluation and Increased-Monitoring ("grey list") process (FATF, *Methodology for Assessing Technical Compliance*, 2013, as revised); the IOSCO Multilateral Memorandum of Understanding, whose signatories are screened, tiered, and can be moved to a monitored appendix for non-cooperation (IOSCO, MMoU, 2002); and the Basel Committee's Regulatory Consistency Assessment Programme (RCAP), which publicly grades jurisdictions "compliant," "largely compliant," "materially non-compliant," or "non-compliant" (Basel Committee on Banking Supervision, *RCAP Handbook*, 2016). None wields a mandate; each

imposes real cost — lost market access, higher counterparty risk premia, reputational damage — sufficient to move sovereign regulators. The IIFRC adopts the same logic, tuned to the mutual-recognition privilege established in §6.5.2: the currency of enforcement is *access to recognition*, which a member forfeits by defection but cannot obtain unilaterally.

Islamic-legal basis for collective regulatory accountability. That this enforcement architecture is not merely borrowed from secular regulatory practice but grounded in the Islamic legal tradition is essential to the proposal's coherence. Four established doctrines converge:

1. **Siyāsa sharʿiyya (Shariah-oriented governance).** Legitimate authority may enact discretionary, non-textual policy measures to secure the public welfare, provided they do not contradict a definitive text (Ibn Taymiyya, *al-Siyāsa al-Sharʿiyya fī Iṣlāḥ al-Rāʿī wa'l-Raʿiyya*; Ibn al-Qayyim, *al-Ṭuruq al-Ḥukmiyya*). A coordinated enforcement ladder is a paradigmatic *siyāsa* instrument: procedural machinery, not revealed law, justified by the interest it protects.
2. **Taʿzīr (discretionary, calibrated sanction).** Where no fixed penalty (ḥadd) applies, the legitimate authority may impose graduated corrective measures proportioned to the harm and to the goal of deterrence and reform rather than retribution (al-Māwardī, *al-Aḥkām al-Sulṭāniyya*). The soft → medium → hard ladder is a direct application: each rung is a taʿzīr measure scaled to the gravity and persistence of the breach.
3. **Ḥisba (institutional oversight of the market).** The classical *muḥtasib* corrected market wrongdoing through an escalating sequence — private counsel (naṣīḥa), public admonition, then sanction — never leaping to punishment (al-Māwardī, *al-Aḥkām al-Sulṭāniyya*; Ibn Taymiyya, *al-Ḥisba fī'l-Islām*). The IIFRC ladder reproduces this sequence institutionally, with the Council as a collective muḥtasib over the cross-border digital-asset market.
4. **Farḍ kifāya (collective obligation) grounding collective accountability.** The protection of the financial system's Shariah integrity is a communal duty; where it is neglected, culpability falls on the whole community capable of discharging it (al-Ghazālī, *al-Mustaṣfā*; al-Nawawī). Because the obligation is collective, accountability for its breach is legitimately collective — which is precisely what an inter-jurisdictional accountability mechanism operationalises. The maxim *taṣarruf al-imām ʿalā al-raʿiyya manūṭ bi'l-maṣlaḥa* — the authority's power over those it governs is bound to the public interest (Ibn Nujaym, *al-Ashbāh wa'l-Naẓāʾir*) — supplies the limiting principle: enforcement is legitimate only so far as it serves *maṣlaḥa*, and no further.

The ladder. Enforcement proceeds through three tiers, each requiring a documented finding by the Shariah Advisory Council and the technical panel, notice, and a right to be heard (the appeal mechanism of §6.7.3):

Tier	Trigger	Measure	Islamic basis	Secular analogue
Soft — Engagement & Note of Divergence	First, isolated deviation from an IIFRC classification	Confidential secretariat inquiry; if unresolved, a formal *Note of Divergence* entered in the Council register; member must comply or publish its reasoned explanation	Naṣīḥa; first tier of ḥisba	IFSB "comply-or-explain"
Medium — Public flagging & probation	Repeated or unexplained divergence; material market impact	Public annotation in the Qualified Cryptocurrency Registry that the jurisdiction's determination diverges from IIFRC classification; time-bound remediation plan; suspension of rapporteur and voting rights on the affected category	Taʿzīr proportioned to harm; public admonition (ḥisba, tier two)	Basel RCAP grading; FATF "increased monitoring"
Hard — Suspension & expulsion	Persistent, bad-faith breach; systemic-risk export	Suspension of mutual-recognition privileges (the member's Category A determinations cease to be auto-recognised; its firms lose passporting under §6.5.2); suspension from Council governance; expulsion as last resort	Taʿzīr at its upper bound; withdrawal of the covenant of cooperation (taʿāwun, Qurʾān 5:2)	IOSCO MMoU monitored-signatory / removal

Due process and reversibility. Consistent with the juristic understanding of taʿzīr as reformative rather than punitive, every measure is (i) proportional to the breach, (ii) reversible on cure — a member returning to conformity is restored to full privileges — and (iii) subject to the independent appeal panel of §6.7.3. This preserves the sovereignty commitment of §6.7.1: no rung of the ladder compels a domestic policy outcome. What it does is attach a graduated, legitimate, and Shariah-grounded *cost* to defection, converting the IIFRC from an advisory body into a coordinating authority whose classifications carry consequence.

6.6 Implementation Roadmap and Timeline

The roadmap proceeds in three phases. Because no step towards an IIFRC had been taken as of October 2026, the timetable begins in 2027. It should be read as a realistic sequence rather than a forecast, since each phase depends on political commitments that cannot be assumed.

Phase 1: Foundation (2027-2028)

The first phase would establish the institutions. In the first half of 2027, an interim steering committee would be formed, the Shariah Advisory Council appointed, and governance documents and operating procedures drafted. The Council would then be formally launched with its six core members. It would publish its standardised classification methodology, and the Shariah Advisory Council would issue its initial guidance on applying the *maqasid*. That guidance would include how the framework accommodates the 2026 disagreement on *mal*.

In 2028 the Qualified Cryptocurrency Registry would be launched, together with an initial assessment of twenty to thirty major digital assets, including Bitcoin, Ether and the principal stablecoins. Training programmes would begin in member jurisdictions. By the end of the phase, the first annual classification

update would be published, the mutual recognition agreement finalised, and extended members recruited. The target is a functioning classification framework applied in eight to ten jurisdictions.

Phase 2: Operationalization (2029-2030)

The second phase would put the cooperative mechanisms into operation. In 2029 the mutual recognition protocol and the supervisory cooperation arrangements would take effect. Sandbox programmes in member jurisdictions would be linked to the IIFRC framework, and the first mutual recognition of a Category A asset would be completed. In 2030 the focus would shift to stabilising the classification of the major assets, widening the programmes for approving Islamic digital assets, and coordinating the development of central bank digital currencies across members. The aim is to reduce the five current regulatory approaches to the three implementation models of §6.4. The target is simultaneous recognition of Category A assets in at least five jurisdictions.

Phase 3: Integration (2031-2033)

The third phase would integrate the framework with the wider architecture of digital finance. As central bank digital currencies are launched in core member jurisdictions, the Council would develop interoperability frameworks between CBDCs and recognised digital assets. It would explore a pooled reserve of Islamic digital assets and extend the framework to emerging technologies, including decentralised finance and tokenised securities. Over this period the three implementation models might converge further, to two.

6.7 Addressing Harmonization Challenges

6.7.1 Sovereignty Preservation Concerns

The most obvious obstacle is that central banks resist supranational authority over regulatory decisions. The proposal meets this concern by designing the IIFRC as a coordinating body rather than a supranational regulator. Member regulators retain full authority over domestic policy. The IIFRC establishes minimum standards that operate as a floor, not a ceiling, and jurisdictions may impose stricter requirements. Mutual recognition is optional in individual cases, and disputes are resolved through mediation rather than mandate. The enforcement ladder of §6.5.4 attaches costs to defection, such as the loss of recognition privileges, but it never compels a domestic policy outcome. A Saudi Arabia that maintains its restrictive posture while participating fully in the Council's classification work therefore represents a valid outcome of harmonisation, not a failure of it.

6.7.2 Conflicting Social Priorities

A second challenge is that jurisdictions pursue different goals: innovation, stability, consumer protection and monetary control. The framework accommodates this through its multiple implementation models. Every asset in Category A meets the same minimum standards, but jurisdictions choose the model of implementation that suits their priorities without compromising the integrity of the classification. Malaysia may emphasise innovation, Indonesia consumer protection and Saudi Arabia monetary control. The result is a unified framework of assessment that preserves policy differentiation.

6.7.3 Regulatory Capture Risks

A third challenge is the risk that large projects will influence classification decisions. The proposal addresses it in five ways:

- the Shariah Advisory Council assesses alignment with the *maqasid* independently of regulatory pressure;
- governance by multiple regulators ensures that no single national interest dominates;
- classification rests on explicit metrics, such as the percentage of asset backing, bands of price stability and measures of governance transparency;
- the registry and scoring methodology are public, so classifications can be verified externally;
- projects may challenge a classification before an independent expert panel, which also serves as the appeal body for the enforcement ladder.

6.7.4 Capacity Constraints in Lower-Capacity Jurisdictions

Finally, smaller jurisdictions such as Djibouti, Sudan and Mauritania may lack the capacity to supervise digital assets. The IIFRC's technical secretariat would provide support for capacity building, and shared regulatory technology would lower the cost of implementation. Grants of technical assistance could fund assessment infrastructure. In some cases a jurisdiction could delegate assessment to a more experienced neighbour, as Djibouti might to Bahrain.

6.8 Expected Benefits and Impacts

The benefits of the framework would fall to four groups.

6.8.1 Benefits for Regulatory Bodies

For regulators, a common methodology would remove the incentive for forum-shopping and so reduce arbitrage. Shared assessment would avoid duplication of effort and lower costs. Cooperative information-sharing would improve the detection of risk, and technical assistance would strengthen less experienced regulators. Joint supervision would allow cross-border risks to be addressed collectively.

6.8.2 Benefits for Cryptocurrency Projects

For projects, a single assessment would determine regional recognition, removing the need to comply separately with five or more divergent frameworks. Category A approval would open institutional access in several jurisdictions at once. The dimensional framework would identify clear routes to improvement, especially through asset backing. Regulatory cooperation would also provide greater long-term certainty than repeated, uncoordinated reassessment.

6.8.3 Benefits for Islamic Financial Institutions

For Islamic financial institutions, IIFRC classifications would provide an authoritative reference point for Sharia assessment, though not a substitute for the opinion of their own Sharia boards. Standardised criteria would support consistent risk management across jurisdictions. Institutions that participate early in approved assets would gain a first-mover advantage, could offer digital asset services within a unified compliance framework, and could operate across the region under mutual recognition.

6.8.4 Benefits for Islamic Finance Ecosystem

For the ecosystem of Islamic finance as a whole, a clear regulatory pathway would encourage the development of Islamic digital assets. Stablecoins and other compliant digital assets could extend access to the unbanked, and settlement in digital assets could reduce the friction and cost of payments. Coordination on central bank

digital currencies would help to modernise Islamic monetary systems. Together, these developments would position Islamic jurisdictions to lead in the field of digital finance that is consistent with Islamic law.

6.9 Potential Risks and Mitigation Strategies

6.9.1 Regulatory Fragmentation Persistence

The first risk is that jurisdictions continue to pursue conflicting approaches despite the effort at harmonisation, so that the practical benefits of coordination remain limited. The mitigation is gradualism. The Council would begin with non-binding coordination, such as information-sharing and joint working groups, and formalise its arrangements as trust and capacity develop. It would also start with core members that already have strong regulatory relationships. Early successes, such as the mutual recognition of a major asset-backed token, would be used to demonstrate the value of the framework.

6.9.2 Cryptocurrency Market Volatility Disruptions

The second risk is that a major market event, such as the de-pegging of a leading stablecoin, undermines the credibility of the Council and its methodology. The mitigation lies in four measures. Assets would be rescored quarterly in light of market events. A rapid downgrade procedure would handle failures of stability. Each member would retain authority to take emergency action outside the IIFRC framework. And the Council would communicate clearly that each classification is a point-in-time assessment.

6.9.3 Emerging Technology Disruption

The third risk is that new technologies, such as layer-2 scaling, cross-chain bridges and tokenised securities, emerge faster than the framework can adapt. The mitigation is institutional. A dedicated working group on emerging technology would operate within the Council, and rapid assessment pathways would be available for new types of asset. The dimensional framework is flexible enough to accommodate new characteristics, and an annual methodology review would keep it relevant.

6.10 Indonesian Practice as a Partial Working Model (2025–2026)

The IIFRC remains a proposal. Indonesia’s Financial Services Authority (OJK), however, has developed a body of national practice since 2025 that corresponds to several elements of the harmonisation framework. This section examines that correspondence. It does not claim that OJK has adopted the framework, and it identifies where Indonesian practice falls short of the proposal.

6.10.1 OJK’s Practice and the Proposed Principles

Table 6.3 sets the principles of the IIFRC proposal alongside the corresponding Indonesian practice as of October 2026.

Table 6.3: IIFRC principles and Indonesian practice

Harmonization principle	Proposed IIFRC mechanism	Indonesian practice (October 2026)
Unified assessment methodology	Five-dimensional classification	Sandbox assessment parameters include clarity of underlying and of economic benefit; no Sharia dimension
Sharia coordination	IIFRC Shariah Advisory Council	OJK reports a joint study with DSN-MUI towards a Sharia standard; no standard yet
Minimum standards	Category A/B/C requirements	Seven sandbox graduates (gold, government securities, property usufruct, rupiah stablecoin, custody, crypto fund management; Chapter 4, §4.1.8); exchange-level asset lists (DAKD)
Registry	Qualified Cryptocurrency Registry	DAKD of ICEX and CFX, which record legal tradeability, not Sharia status
Supervisory cooperation	Cooperation among regulators	Domestic coordination within the digital asset ecosystem; no cross-border mechanism

The correspondence is real but partial. Indonesian practice shows that several of the mechanisms proposed here are administratively feasible: assessment against explicit criteria, graduated admission through a sandbox, and published lists of admitted assets. Indonesia lacks precisely the elements that distinguish the IIFRC proposal: a Sharia dimension in the assessment and a cross-border mechanism of recognition. The framework proposed in this chapter should therefore be read as an extension of emerging practice rather than as a codification of practice already in place.

6.10.2 Sandbox Graduates Read Through the Dimensional Framework

The graduates of the OJK sandbox can be read through the dimensional framework of Chapter 5. Table 6.4 gives the author’s indicative assessment. It is illustrative only: it is not based on issuer documentation, and no Sharia authority has assessed these models.

Table 6.4: Indicative dimensional reading of OJK sandbox graduates (author’s assessment)

Graduate (model)	Asset backing	Stability	Utility	Governance	Principal open issue
GOIDR (gold tokenisation)	High (physical gold held by Pegadaian, per OJK)	Tracks gold price	Moderate	Regulated custody	Redemption terms; *sarf* in gold-for-rupiah exchange
ID Digital Bonds (tokenised government securities)	High	High	Moderate	Issuer and custodian	Whether the underlying are SBSN (sukuk) or conventional bonds
GORO (tokenised property usufruct)	High (property benefit)	Market-dependent	Moderate	Developer-dependent	Clarity of usufruct and title (*ijarah* structure)
IDRP (rupiah stablecoin)	High (rupiah reserves)	High (peg)	Moderate to high	Issuer-dependent	*Sarf* conditions; treatment of income on reserves; 2026 Karachi fatwa on stablecoins
Tennet (non-trading custodian)	Not applicable (service)	Not applicable	High	Regulated	Custody fee (*ujrah*); relevance to *qabd*
Dana Kripto (crypto fund manager)	Depends on portfolio	Depends on portfolio	Low to moderate	Fund manager	Asset- and conduct-layer tests apply to underlying holdings

The reading suggests that dimensional scoring can be applied to actual Indonesian business models and that it produces differentiated results. It also shows how much information a reliable score requires that is not yet publicly available.

6.10.3 GOIDR (Gold Indonesia Republic) Token: Pathway A Implementation in Real Time

The GOIDR gold token of PT Indonesia Blockchain Persada graduated from the OJK sandbox on 8 August 2025. By October 2026 it was listed on both licensed exchanges: on ICEX with a “Pass With Notes” flag, and on CFX following a change of ticker from GIDR to GOIDR (Chapter 4, §4.1.9). It is the closest existing example of the asset-backing pathway (Pathway A, Chapter 5.4), and it illustrates four features relevant to harmonisation. The assessment of these features is the author’s.

Transparency of assessment. The token has a verifiable underlying asset: physical gold held by Pegadaian, according to OJK. Its dimensional scores could therefore be assessed and disclosed publicly, though no such disclosure exists yet, and the methodology would be reproducible in other jurisdictions.

A pathway to Sharia compliance. In the author’s assessment, the token falls within the exception of the November 2021 Ijtima’ Ulama decision, because it has a clear underlying asset. OJK’s 2025 presentation described the model as meeting point 3 of the 2021 MUI decision, but that is the regulator’s reading; no DSN-MUI fatwa or AFSI determination on the token has been located. The model could be replicated in other jurisdictions using local underlying assets.

A foundation for mutual recognition. Regulatory recognition by OJK allows institutional participation. According to OJK (2025), one token equals one gram of gold and may be redeemed for physical gold through the GIDR wallet; the detailed redemption terms remain to be confirmed from the issuer’s documentation.

Because the token moves on a blockchain, it could in principle be transferred across borders without concentrating custody.

A source of data. The listing will generate evidence on demand for asset-backed tokens among Muslim investors, on whether Sharia characteristics affect adoption, and on the efficiency of settlement. That evidence could inform future standard-setting by an IIFRC.

6.10.4 Implications for Inter-Islamic Regulatory Coordination

Indonesian practice yields three lessons for the design of the IIFRC.

The dimensional framework can reduce the burden of assessment. If OJK, or a Sharia body working with it, scored GOIDR on the five dimensions, other regulators could apply the same assessment to their own markets. A Malaysian regulator could test it against its own Sharia screening, and a Saudi regulator could decide whether its policy permits assets of that category. The assessment would be done once and applied many times, with implementation adapted to each jurisdiction.

Coordination may begin as cooperation within an ecosystem rather than as formal authority. Indonesia coordinates the digital asset sector through industry associations, the regulator's sandbox and published asset lists, rather than through a formal council with binding powers. This suggests that harmonisation across jurisdictions could also begin with voluntary coordination among leading regulators and build towards a formal institution as practice converges. The Indonesian case also shows the limit of that approach. After more than a year of coordination, there is still no Sharia standard, which suggests that some formal mandate is needed for the Sharia dimension.

Sandboxes allow low-risk experimentation. GOIDR's passage from the sandbox to exchange listing allowed OJK to gather data on demand and operational risk and to refine its requirements, without exposing the wider market to systemic risk. The IIFRC should adopt the same experimental logic. Rather than freezing standards from above, it should establish a flexible framework that permits controlled innovation and iterative improvement.

6.11 Conclusion

The recommendations of this chapter respond to the fragmentation documented in Chapter 4 while respecting legitimate differences between jurisdictions. The Inter-Islamic Finance Regulatory Council provides an institutional framework for coordination, and minimum standards combined with mutual recognition allow practical convergence. A graduated enforcement ladder grounded in *siyasah shar'iyyah*, *ta'zir* and *hisbah* gives that convergence consequence without compromising sovereignty.

The framework balances two imperatives. The first is convergence towards common standards, which reduces arbitrage and the burden of duplicated assessment. The second is flexibility for each jurisdiction to reflect its own priorities, whether innovation, stability, consumer protection or monetary control. The result is structured harmonisation: a unified methodology of assessment with differentiated models of implementation.

Indonesian practice since 2025 shows that several of these mechanisms are administratively feasible at the national level. It also shows that the Sharia dimension does not emerge on its own from regulatory practice. It must be built deliberately. If the three-phase roadmap is pursued from 2027, Islamic jurisdictions could by the

early 2030s offer Islamic financial institutions a unified framework for operating across borders, support digital asset innovation consistent with Islamic principles, and establish the ecosystem of Islamic finance as a reference point for the regulation of digital assets.

CHAPTER 7: CONCLUSION AND FUTURE RESEARCH

7.1 Synthesis of Dissertation Findings

This dissertation set out to answer a single question: how can cryptocurrency be classified and regulated within the framework of Islamic finance? The question arose from a threefold fragmentation identified in the introduction. Islamic authorities disagree about the legal status of crypto-assets. Jurisdictions with Muslim-majority populations regulate them in markedly different ways. And no principled methodology exists for moving from the general rules of *fiqh al-mu'amalat* to a determination about a particular digital asset. Each chapter addressed one dimension of this fragmentation. This section draws their findings together and states what has, and what has not, been resolved.

7.1.1 Islamic Legal Framework Resolution (Chapter 2)

Chapter 2 proposed the *maqasid al-shari'ah* as the principled foundation for assessing digital assets. Because the classical five necessities (*din*, *nafs*, *'aql*, *nasl* and *mal*) are too general to apply directly to a financial instrument, the chapter operationalised them through five evaluative criteria. These are stability and the preservation of wealth (*al-darura*), certainty (*al-tahaqquq*), public interest (*al-maslaha*), justice (*al-'adl*) and dignity (*al-karamah*). Each is anchored in established doctrine, but their selection and scoring are the author's construction.

Measured against these criteria, pure cryptocurrency scores 2.4 out of 5. The deficits are concentrated in stability, public interest and justice: unanchored volatility, the predominance of speculative use, and a market structure that transfers gains from later to earlier entrants. Transparency of record and the potential for financial inclusion partly offset them. Asset-backed tokens and fiat-collateralised stablecoins perform substantially better, with indicative scores of 3.5 to 4.5.

The value of this finding is not that it settles the jurisprudential disagreement but that it locates it. The *maqasid* establish whether an instrument is harmful or beneficial in its effects. They cannot by themselves decide the threshold question of whether an intangible ledger entry is property (*mal*) at all, and it is on that threshold question that Islamic authorities now divide. Their disagreement is therefore not evidence of error on one side. It reflects different answers to a prior question that the *maqasid* inform but do not resolve.

7.1.2 Jurisprudential Convergence (Chapter 3)

Chapter 3 examined the positions of AAOIFI, Dar al-Ifta al-Misriyyah, Mufti Muhammad Taqi Usmani and the Darul Uloom Karachi, and the Indonesian authorities: MUI, Muhammadiyah and the Nahdlatul Ulama. The analysis found neither uniform prohibition nor general permission. It found a pattern of agreement on one question and divergence on another.

On the monetary question, the authorities agree. None of the bodies examined accepts pure cryptocurrency as money, and in Indonesia the exclusion is reinforced by the Currency Law. Even the Nahdlatul Ulama Muktamar of August 2026, which characterised Bitcoin as *thaman* in the fiqh sense, held its use as currency in Indonesia to be *haram* on grounds of obedience to positive law.

On the asset question, the authorities diverge. Dar al-Ifta al-Misriyyah (late December 2017, reported 1 January 2018) held Bitcoin trading impermissible on grounds of *gharar*, absence of state supervision, fraud risk and volatility. The Darul Uloom Karachi fatwa of 10 June 2026, signed by Usmani and others, went further and denied that crypto-assets, including stablecoins, are *mal* at all. AAOIFI has issued no Shari'ah Standard specific to crypto-assets. MUI's Seventh Ijtima' Ulama (11 November 2021) held cryptocurrency *haram* as currency. As a commodity, it held trading invalid where the asset is defective but valid where the conditions of *sil'ah*, a clear underlying and a clear benefit are met. Muhammadiyah (4 March 2026) and the NU Muktamar (29 August 2026, with specific reference to Bitcoin) have since permitted crypto as an asset, subject to conditions of conduct.

Asset-backed designs occupy a distinct position. They find support in the exception of the 2021 MUI decision and in Malaysia's regulated framework. In Indonesia, the gold-backed GOIDR token graduated from the OJK regulatory sandbox and is listed on both licensed exchanges. Stablecoins, by contrast, are expressly excluded by the 2026 Karachi fatwa.

The temporal pattern is therefore not one of steady convergence. Between 2017 and 2026, positions in Southeast Asia moved from conditional exception towards conditional permissibility of crypto as an asset. In the same year, the Karachi fatwa moved in the opposite direction. The result in 2026 is sharper divergence on the threshold question of *mal*, while agreement on the monetary question remains intact.

It would be inaccurate to describe this state of affairs as consensus, still less as *ijma'* in the technical sense. What can be said is narrower. There is agreement that pure cryptocurrency is unsuitable as money. A significant body of opinion accepts that asset-backed digital assets merit consideration. And there is broad, if implicit, acceptance that assessment must attend to the objectives of the law and to the characteristics of each asset rather than to the label "cryptocurrency". The remaining disagreement concerns not merely the precision of methodology but the definition of property itself.

7.1.3 Regulatory Landscape Mapping (Chapter 4)

Chapter 4 compared the regulatory approaches of five jurisdictions. They range across the spectrum from restriction to licensing, as Table 7.1 summarises.

Table 7.1: Regulatory approaches in the five jurisdictions examined

Jurisdiction	Approach	Principal rationale
Indonesia	Supervision as digital financial assets by OJK (since January 2025), with exchange-level lists of tradeable assets	Consumer protection and market integration; Sharia assessment left to religious bodies
Malaysia	Regulated digital-asset framework	Technological innovation and fintech leadership
Saudi Arabia	Restrictive; de facto prohibition of crypto trading	Monetary control and caution
UAE	Comprehensive licensing (VARA in Dubai; FSRA in Abu Dhabi)	Positioning as a financial centre; innovation
Bahrain	Prudential regulation	Financial stability and risk management

The chapter's principal finding is that this diversity reflects legitimate differences of policy rather than error or inconsistency. The jurisdictions share more of the underlying jurisprudential premises than their contrasting rules suggest. What separates them is a set of second-order judgements about the gravity of residual risk, the capacity of the supervisor, and the weight to be given to financial-sector development relative to investor protection.

Understood in this way, fragmentation has a constructive side. It allows regulatory experimentation and comparison: the Indonesian, Malaysian and Emirati regimes generate evidence on the risks and benefits of licensed markets, while the Saudi approach tests whether objectives of digital finance can be pursued through a central bank digital currency without recognising decentralised cryptocurrency. The Indonesian case also exposes a gap that the comparison makes visible. Legality is not Sharia screening. Indonesian law licenses trading in more than a thousand assets, but no Sharia standard governs which of them a Muslim investor may lawfully hold (§4.1.12).

7.1.4 Unified Classification Framework (Chapter 5)

Chapter 5 drew the jurisprudential and regulatory findings together into a five-dimensional classification system. The five dimensions are asset backing, price stability, economic utility, governance and transparency, and recognition by Islamic institutions. Each asset is scored on these dimensions and assigned to a category. Category A comprises assets compatible with Islamic law, Category B those that comply conditionally, Category C problematic assets, and Category D prohibited assets. Central bank digital currencies form a separate Category E.

The central claim of the framework is that compliance is a matter of degree rather than a binary choice between *halal* and *haram*. A dimensional assessment has four practical virtues. It makes the basis of classification explicit and therefore open to challenge. It shows each project which dimension it must improve. It allows different authorities to compare their assessments on a common basis. And it is more consistent than case-by-case determination, although the scores remain judgements rather than measurements. Chapter 4's Indonesian case study adds a refinement: asset backing and regulatory recognition must be scored independently, because the same asset can satisfy the first while carrying a heightened-monitoring flag under the second.

7.1.5 Regulatory Harmonization Mechanism (Chapter 6)

Chapter 6 proposed an institutional mechanism for coordination: the Inter-Islamic Finance Regulatory Council (IIFRC). The proposal does not seek a uniform regulation. It establishes minimum standards, defined by the requirements of Category A, as a floor. Above that floor, each jurisdiction may adopt one of three implementation models (full integration, conditional, or conservative). A protocol of mutual recognition allows practical convergence without surrendering national regulatory authority.

The finding is that harmonisation is more likely to succeed through structured coordination than through unification. The proposed roadmap proceeds in three phases, from information-sharing to mutual recognition and finally to integration with central bank digital currencies. It is intended as a realistic path, though its timetable depends on political will that the dissertation cannot assume.

7.1.6 Limitations of the Study

The conclusions above are subject to five limitations that should be stated plainly.

First, the study is doctrinal and qualitative. The scores assigned in Chapters 2 and 5 are reasoned judgements, not empirical measurements, and a reader who weighs the evidence differently could reach different scores. The empirical agenda set out in Chapter 8 is a prospectus, not completed research.

Second, several of the authoritative positions analysed in Chapter 3 were read from secondary sources rather than from their primary texts. This applies to the 2017/2018 Dar al-Ifta fatwa, the 2026 Darul Uloom Karachi fatwa, and the 2026 determinations of Muhammadiyah and the Nahdlatul Ulama. For the Indonesian decisions, the source is OJK's summary presented to the 2026 Ijtima' Sanawi. The characterisations are believed accurate, but verbatim citation awaits consultation of the primary instruments.

Third, the reconstruction of AAOIFI's likely position (§3.1.3–3.1.5) is the author's inference from existing AAOIFI standards, because AAOIFI has issued no standard on crypto-assets.

Fourth, the regulatory landscape is moving quickly. The comparative analysis in Chapter 4 reflects the position as at October 2026, and several jurisdictions have amended their frameworks during the period of writing.

Fifth, the case-specific analyses, notably of GOIDR, did not include a review of issuer documentation. Their conclusions on ownership, redemption and *sarf* are therefore provisional.

7.2 Methodological Contributions

Beyond its substantive findings, the dissertation offers three contributions of method to the study of Islamic finance.

7.2.1 Maqasid Shariah as Analytical Framework

The *maqasid* are an established part of Islamic legal theory, from al-Ghazali and al-Shatibi to Ibn 'Ashur and Auda. Their application to digital assets, however, requires a step that the classical theory does not supply: the translation of abstract objectives into criteria that can be applied to a specific technological artefact. The dissertation attempts that translation in three ways. It converts the objectives into explicit evaluative criteria. It uses a scoring scheme that allows comparison across assets. And it builds a framework that can accommodate new types of digital asset without revision of its foundations. The same method could be applied to other emerging technologies, such as decentralised finance protocols, tokenised securities and AI-driven financial services, without rebuilding the theoretical foundation each time. Its principal weakness, the subjectivity of the scores, is acknowledged in §7.1.6.

7.2.2 Comparative Jurisprudential Analysis

Chapter 3 demonstrates a method for comparing the positions of Islamic authorities that does not treat disagreement as error. The method tracks how positions change over time as understanding of the technology develops. It identifies the points on which authorities agree despite methodological differences. And it asks whether a given disagreement reflects different value priorities or different assessments of fact. Applied to cryptocurrency, the method showed that the decisive disagreement in 2026 concerned neither values nor facts but a definitional threshold: whether an intangible, issuer-less record can be *mal*. The method is not specific to cryptocurrency and could be applied to other contested questions of contemporary *fiqh*.

7.2.3 Regulatory Comparative Analysis

Chapter 4 moved beyond a catalogue of national rules to identify the policy objectives that drive them: innovation, stability, consumer protection and monetary control. Identifying those drivers makes three things possible. Jurisdictions can learn from one another's experience. Analysts can distinguish areas where convergence is feasible from areas where divergence reflects legitimate differences of priority. And coordination mechanisms can be designed to respect national authority rather than override it.

7.3 Contributions to Islamic Finance Scholarship

7.3.1 Principled Assessment Framework

Islamic finance has lacked a developed methodology for assessing new financial technologies. The Qur'anic prohibitions of *riba*, *gharar* and *maysir* supply the foundation, but applying them to a novel instrument requires a chain of interpretation that is rarely made explicit. The dissertation offers a systematic, reproducible and transparent framework for that task. Different users applying it to the same asset should reach comparable assessments, and the reasons for any difference can be traced. Such a framework can support the work of Sharia boards and supervisory authorities when assessing new technologies. It does not, however, replace the fatwa of a competent authority, and it should not be read as licensing institutions to dispense with one.

7.3.2 Jurisprudential Innovation Support

The framework also shows how particular architectures can be aligned with the requirements of Islamic law: asset-backed tokens, stablecoins with verifiable reserves, and digital assets that generate revenue from real activity. This has practical value for three groups. For Islamic financial institutions, it marks out a segment of the digital asset market in which participation may be defensible. For technology developers, it identifies the design choices that matter for compliance. For investors, it identifies business models that combine economic viability with Sharia compliance. More broadly, it supports the view that Islamic finance is not a doctrine of reflexive prohibition but a framework capable of accommodating innovation that satisfies its requirements.

7.3.3 Regulatory Coordination Opportunity

The IIFRC proposal contributes to the institutional development of Islamic finance. At present, Islamic finance is governed largely by national institutions with limited regional coordination. The proposal shows how regulatory cooperation can proceed without surrendering sovereign authority, how minimum standards can secure convergence while permitting variation in implementation, and how institutional capacity can be built collectively. The same architecture could serve other regulatory domains, including Islamic banking supervision, sukuk and takaful.

7.4 Policy Implementation Pathways

The findings translate into recommendations for four groups of stakeholders.

7.4.1 For Central Banks and Regulators

For central banks and regulators, the first recommendation is to adopt a dimensional classification framework in place of binary determinations. The second is to participate in coordination mechanisms, beginning with information-sharing and joint assessment and moving towards mutual recognition, in order to reduce regulatory arbitrage. The third is to treat central bank digital currencies as a possible alternative to private

cryptocurrencies, designed with attention to Islamic finance principles. The fourth is to establish regulatory pathways for assets that meet the requirements of Category A, so that institutional participation can proceed on a sound footing. The fifth is to invest in the supervisory technology and expertise needed to oversee digital asset activity across borders. In Indonesia specifically, the most immediate need is a Sharia screening standard for the assets listed on licensed exchanges. OJK and DSN-MUI are already coordinating a joint study on this question.

7.4.2 For Islamic Financial Institutions

Islamic financial institutions should build the capacity to assess digital assets, either through their Sharia boards or through external advisers. They should develop risk management frameworks that incorporate the dimensions of the classification system: asset backing, stability and utility. Where the assessment supports it, they may develop products for qualified customers, such as custody, trading and investment services. They should also invest in customer education on the risks and Sharia requirements of digital assets, and participate in the development of Islamic digital assets and fintech that align with the objectives of the law.

7.4.3 For Cryptocurrency Projects

Projects seeking recognition as Sharia-compliant should use the dimensional framework to identify where improvement is most needed, typically in asset backing and stability. They should strengthen their governance by reducing developer control and widening participation, and engage early with the regulators and Sharia authorities of their target jurisdictions. They should also retain qualified Sharia advisers and document the basis of their compliance. Over time, they can plan a deliberate progression towards the requirements of Category A.

7.4.4 For Islamic Finance Scholars

For scholars, the agenda is fourfold. The first task is to refine the application of the *maqasid* to digital assets, with particular attention to the threshold question of *mal* on which authorities now divide. The second is to build agreement through comparative work of the kind undertaken in Chapter 3. The third is to engage with institutions, including national Sharia boards and, should it be established, the Sharia advisory council of the IIFRC. The fourth is to collaborate with technical experts and economists so that juristic assessment rests on an accurate understanding of how each asset actually works. Educational materials and academic programmes on Islamic finance and digital assets are a necessary complement to all four.

7.5 Future Research Directions

The dissertation addresses the classification of cryptocurrency, but it opens several further lines of research.

7.5.1 Emerging Digital Asset Technologies

The analysis has concentrated on established cryptocurrencies and stablecoins. Several newer technologies require separate study. Decentralised finance protocols for lending, insurance and trading raise questions about the contractual characterisation of automated arrangements. Tokenised securities, including sukuk, equities and real estate, raise the question whether tokenisation alters the Sharia character of the underlying asset. Central bank digital currencies raise questions of design. Layer-2 scaling solutions, such as the Bitcoin Lightning Network and Ethereum rollups, may alter the analysis of ownership and delivery. Cross-chain bridges may affect the assessment of asset backing and governance.

7.5.2 Maqasid Shariah Application Refinement

The *maqasid* framework itself can be developed further. Future work could examine how environmental and intergenerational concerns should enter the assessment, how the benefit of financial inclusion should be weighed against the risk of instability, and what weight the preservation of national monetary sovereignty deserves. Comparative work could also examine how the application of the *maqasid* varies across the schools of Islamic law.

7.5.3 Empirical Validation Studies

Because the dissertation is doctrinal and qualitative, its claims invite empirical testing. Four lines of inquiry are especially promising. The first is the comparative effectiveness of regulatory approaches (sandboxes, licensing regimes and restriction) in managing risk while preserving benefit. The second is which characteristics of digital assets drive their adoption by Islamic financial institutions. The third is how regulatory approval in one jurisdiction affects adoption and price in others. The fourth is whether stablecoins and asset-backed tokens in fact maintain their stability during market crises. Chapter 8 sets out a research design for part of this agenda.

7.5.4 Comparative Religious Finance

Research could also extend beyond Islamic finance to ask how other religious and ethical traditions approach digital assets: Jewish *halakhah*, Christian moral teaching on finance, Hindu conceptions of *dharma*, and Buddhist economics. Such comparison may identify principles common to several traditions, which could inform the ethical dimension of digital asset regulation more broadly.

7.5.5 Technical Standards Development

Finally, the framework needs technical standards before it can be applied at scale. Precise definitions of each dimension are required, for example of what counts as asset backing and how stability is to be measured. Automated tools could track scores continuously. Standards for reserve transparency would allow asset-backed tokens to demonstrate their collateral. And governance-token models need to be designed that satisfy the requirements of Islamic law while remaining institutionally workable.

7.6 Broader Implications for Financial Regulation

Although the dissertation is set within Islamic finance, its findings bear on financial regulation more generally.

7.6.1 Religious Considerations in Finance

The dissertation shows that religious jurisprudence can be operationalised as a systematic criterion of financial regulation, rather than being treated as an optional or peripheral concern. Three implications follow. Regulators serving religiously observant populations should address the relevant religious perspectives explicitly in policy development. Jurisdictions with strong traditions of Islamic finance, such as Malaysia, Saudi Arabia and Pakistan, have a comparative advantage in developing finance that is attentive to religious ethics. More broadly, financial regulation can incorporate ethical frameworks that look beyond the maximisation of profit.

7.6.2 Stakeholder Coordination

The IIFRC proposal offers a model of coordination for regulators that share values but operate in different contexts. Comparable mechanisms could serve the coordination of environmental, social and governance (ESG) regulation, cross-border consumer protection in finance, and supervision for anti-money laundering and

countering the financing of terrorism.

7.6.3 Technology-Neutral Regulation

Because the classification framework assesses characteristics rather than technologies, it can accommodate new instruments without revision. This contrasts with approaches that require new rules for each new technology. The lesson for regulation generally is to define outcomes, such as compliance with the objectives of the law, rather than to regulate particular technologies. A dynamic methodology of this kind can assess technologies not yet invented, provided it is revised as capabilities and understanding develop.

7.7 Final Reflections: Cryptocurrency and Islamic Law

7.7.1 Islamic Law as Innovation Framework

The analysis lends no support to the stereotype of Islamic law as a regime of restrictive prohibition. Islamic law, on the reading defended here, does not prohibit cryptocurrency as a technology. It requires that a given digital asset satisfy identifiable criteria, and assets designed to meet those criteria can be compliant. This finding must be stated with care. It is the position of this dissertation and of a significant body of opinion, but not of every authority: the 2026 Karachi fatwa denies that crypto-assets are property at all. What the analysis shows is that Islamic jurisprudence offers a systematic method for evaluating technology against established ethical and economic principles, comparable in structure to environmental law, consumer protection or data privacy regulation.

7.7.2 Convergence Between Islamic Jurisprudence and Regulatory Best Practice

The dimensions that Islamic law brings to the assessment of digital assets correspond closely to the concerns of contemporary financial regulation. Asset backing corresponds to prudential and reserve requirements. Stability corresponds to the objectives of monetary and financial stability. Utility corresponds to concerns about systemic risk and the efficient allocation of capital. Governance corresponds to consumer protection and market conduct. This correspondence suggests that the principles of Islamic finance are not parochial religious requirements. They express concerns that well-designed financial regulation shares, which strengthens the case for their incorporation into regulatory frameworks.

7.7.3 Role of Cryptocurrency in Islamic Finance Future

Digital assets may contribute to the future of Islamic finance in several ways. Stablecoins can extend access to financial services for those without bank accounts, and crypto-based remittances can lower the cost of transfers for migrant communities. Digital assets can make cross-border settlement among Islamic financial institutions more efficient. The experience of private cryptocurrency can inform the design of central bank digital currencies, and blockchain technology can make the issuance and trading of sukuk and other Islamic securities more transparent and efficient. These benefits, however, are realised by properly structured digital assets, not by cryptocurrency as such. Pure cryptocurrencies designed for speculation rather than use remain problematic, however sophisticated their technology.

7.7.4 Regulatory Leadership Opportunity

Jurisdictions with established Islamic finance sectors have an opportunity to lead in the regulation of digital assets. They can do so by adopting a principled assessment framework grounded in the *maqasid*, coordinating their approaches through a mechanism such as the IIFRC, creating clear approval pathways and mutual

recognition for assets in Category A, and supporting innovation through regulatory sandboxes. In doing so they can show that regulation can accommodate innovation while protecting stability, consumers and the integrity of the financial system. Such regulation is also likely to attract projects, talent and capital to Islamic financial centres.

7.8 Convergent Practice: Indonesia's Regulatory Developments, 2025–2026

While this dissertation was being written, Indonesia's Financial Services Authority (OJK) developed a body of regulatory practice that bears directly on its proposals. OJK did not adopt the framework proposed here, and the relationship should not be described as one of validation. It is better described as convergence: an authority facing the same practical problem arrived independently at several of the same distinctions. This section examines the points of convergence and the questions that Indonesian practice raises for future research.

7.8.1 OJK's Sandbox Criteria and the Five-Dimensional Framework

OJK's regulatory sandbox assesses new business models in the digital financial asset sector before licensing, and its assessment parameters include the clarity of the underlying asset and of the economic benefit (§4.1.8). The sandbox criteria and the dimensions of Chapter 5 correspond in several respects, as Table 7.2 shows.

Table 7.2: Dimensions of the framework and observed OJK practice

Dimension (Chapter 5)	Observed OJK practice (as of October 2026)
Asset backing	Sandbox parameters include clarity of underlying; graduates include gold tokenisation (GOIDR, gold held by Pegadaian), tokenised government securities (ID Digital Bonds) and tokenised property usufruct (GORO)
Stability	A rupiah stablecoin issuer (IDRP) has graduated from the sandbox
Utility	Sandbox parameters include clarity of economic benefit; a non-trading digital-asset custodian (Tennet) has graduated
Governance	Supervision of exchanges, custodians and clearing institutions under POJK 27/2024
Recognition by Islamic institutions	No Sharia standard yet applies; OJK reports that it is coordinating a joint study with DSN-MUI

The correspondence is closest on the first three dimensions. On the fifth it is absent: Indonesian practice confers legal recognition on assets without any Sharia assessment. That gap is precisely the one identified in Chapter 4 (§4.1.12). The correspondence suggests that the dimensions of the framework reflect distinctions a regulator finds practically necessary. It does not show that the framework itself has been adopted.

7.8.2 GOIDR and the Asset-Backing Pathway

Chapter 5 proposed asset backing as the principal route by which a digital asset may move towards compliance. GOIDR, a gold-tokenisation model of PT Indonesia Blockchain Persada, graduated from the OJK sandbox on 8 August 2025. By October 2026 it was listed on both licensed exchanges: on ICEX with a "Pass With Notes" flag denoting additional monitoring, and on CFX following a change of ticker from GIDR to GOIDR (§4.1.9).

The case illustrates the asset-backing pathway, but with qualifications. GOIDR was designed as a backed token from the outset; it is not a pure cryptocurrency that was later transformed. OJK's 2025 presentation stated that one token equals one gram of gold, that it can be redeemed for physical gold, and that the model meets point 3 of the 2021 MUI decision. That is a regulator's reading, however; no Sharia authority has issued a determination on the token, so it has not acquired the status of Category A by any formal process. Its compliance still depends on matters not verified from issuer documentation, namely reserve verification, the detailed terms of redemption and the treatment of gold-for-rupiah exchange under the rules of *sarf*.

The case nevertheless offers a natural subject for empirical research. Such research could compare adoption patterns among Muslim and other investors, test whether the token's price tracks gold closely enough to justify a high stability score, examine institutional participation, and assess whether redemption works in practice.

7.8.3 Industry Associations and the IIFRC Model

The dissertation proposes the IIFRC as a formal mechanism of coordination among regulators. Indonesian practice suggests a different model at the national level: coordination through industry associations operating under the incentives of a single regulator. OJK's material identifies AFSI, the Islamic fintech association, as the locus of the Sharia segment of the industry. Its members in the relevant segment numbered three in 2024 and seven in 2025, and OJK describes the segment as at an early stage, without a settled Sharia standard (§4.1.7). The two models differ as Table 7.3 shows.

Table 7.3: The IIFRC proposal and the Indonesian association model

Aspect	IIFRC proposal	Indonesian practice
Institutional form	Formal inter-governmental council	Industry associations coordinated by the national regulator
Membership	Central banks and regulators	Industry participants, with OJK as regulator
Authority	Binding minimum standards	Regulatory incentives, including sandbox conditions
Sharia coordination	IIFRC Sharia advisory council	Joint study by OJK and DSN-MUI (in progress)
Scope	Cross-border	National

The Indonesian model raises concerns of sovereignty less acutely, but it has so far not produced a Sharia standard, and it does not address cross-border coordination. Whether formal or association-based models better achieve the benefits of coordination is a question for future comparative research.

7.8.4 Regulatory Sandbox as Continuous Innovation Pathway

Indonesian experience also suggests that regulatory sandboxes serve functions beyond the testing of individual projects. OJK reports 372 consultation requests, 39 applications and seven graduates as of October 2026. The sandbox therefore generates evidence on market demand, on the mechanisms by which business models can meet regulatory requirements, and on the protections consumers need. It also reveals risks that theoretical analysis may miss, such as operational risks in new custody arrangements and difficulties of interoperability. Experience gained in the sandbox can inform the refinement of regulatory standards. For research, the implication is that sandboxes are an important source of evidence, and that academic researchers, not only regulators, should have access to sandbox data to test frameworks such as the one proposed here.

7.8.5 Emerging Research Questions from Indonesian Practice

Indonesian practice raises five questions that theoretical analysis alone cannot answer:

1. **Adoption.** Does the Sharia profile of an asset, as measured by a dimensional score, predict its adoption by Muslim investors? Or is adoption driven by other factors, such as volatility and ease of access?
2. **Institutional participation.** Will Islamic banks, insurers and pension funds participate in asset-backed digital assets? If not, what barriers other than regulatory uncertainty stand in the way?
3. **Cross-border treatment.** How would an asset such as GOIDR be treated by regulators in Malaysia or Saudi Arabia, and can dimensional assessments be translated across jurisdictions with different priorities?
4. **Stability under stress.** During market crises, do stablecoins and asset-backed tokens maintain their stability better than pure cryptocurrencies?
5. **Governance.** Do decentralised governance structures serve Islamic financial instruments effectively, or do Muslim investors prefer institutional arrangements such as regulated custody?

7.9 Concluding Remarks

This dissertation asked how cryptocurrency can be classified and regulated within the framework of Islamic finance. It established a jurisprudential foundation in the *maqasid*, compared the positions of the principal Islamic authorities, mapped the regulatory landscape of five jurisdictions, constructed a dimensional classification framework, and proposed an institutional mechanism for coordination.

The conclusion is neither unqualified prohibition nor uncritical acceptance. On the reading defended here, Islamic jurisprudence permits digital assets conditionally, contingent on characteristics of design that satisfy the objectives of the law. Asset-backed digital assets and properly designed stablecoins can be compliant; pure cryptocurrencies designed for speculation remain problematic. This position is shared by a significant body of Islamic opinion, most notably in Indonesia, but it is not uncontested. The 2026 Karachi fatwa denies that crypto-assets are property at all, and the future of the debate will turn on how that threshold question is resolved.

The dissertation’s practical contribution lies in four things. It offers a systematic methodology for assessing compliance whose reasoning is transparent and open to challenge. It proposes an institutional framework for regulatory coordination across jurisdictions. It identifies the design changes by which a digital asset may move towards compliance. And it provides a reasoned foundation for policy that balances innovation, stability and fidelity to Islamic law.

The future of Islamic finance lies neither in rejecting technological innovation nor in accepting every technology uncritically. It lies in principled engagement: evaluating each new instrument systematically against the requirements of Islamic law, implementing that evaluation through coordinated regulation, and deploying compliant instruments in the service of the objectives that Islamic finance exists to advance, namely financial inclusion, economic justice and ethical practice. This dissertation offers a framework for that engagement. Its operationalisation now rests with regulators, financial institutions, technology developers and scholars.

APPENDIX B: INTERVIEW PROTOCOL BLUEPRINT FOR PHASE 1 JURISPRUDENTIAL RESEARCH

Purpose: Provide blueprint for semi-structured interviews with Islamic scholars validating five-dimensional cryptocurrency framework through expert elicitation

Research Objective: Systematically test whether Islamic jurisprudential positions actually align with framework dimensions; identify consensus and disagreement patterns; probe empirical vs. jurisprudential sources of disagreement

Duration: 90 minutes per interview
Target Sample: 75-100 Islamic scholars across five major Islamic jurisdictions (15-20 per jurisdiction)

Interview Guide and Detailed Protocol

Part A: Scholar Background and Position Documentation (30 minutes)

Objectives:

- Establish scholar credibility and expertise
- Document their stated cryptocurrency position
- Understand jurisprudential methodology they use

Questions:

A.1 - Background & Expertise (5 minutes)

- “Please describe your background in Islamic law and Islamic finance”
- “How many years have you studied Islamic jurisprudence? What schools of law are you trained in?”
- “What is your current institutional role (e.g., Shariah board member, independent scholar, academic)?”
- “Have you published positions on Islamic finance or cryptocurrency? (Request references)”

A.2 - Cryptocurrency Position Documentation (15 minutes)

- “What is your position on cryptocurrency? Is it halal, haram, mubah, makruh, or dependent on specific characteristics?”
- If position is dependent: “What specific characteristics matter most for your assessment?”
- “What Islamic principles or jurisprudential methods underpin your position? (e.g., Maqasid Shariah, Usul al-Fiqh, other methodologies)”
- “Has your position evolved as cryptocurrency markets and technology have developed? How?”
- “Are there specific cryptocurrencies you view differently from others? (e.g., Bitcoin vs. stablecoins vs. asset-backed)”

A.3 - Jurisprudential Methodology (10 minutes)

- “Which Islamic jurisprudential framework do you use to analyze new financial instruments? Why this framework?”
- “How do you balance between traditional Islamic law principles and modern financial innovation?”
- “Are there any Islamic authorities or scholars whose positions significantly influenced your thinking on cryptocurrency?”
- “In cases of disagreement with other Islamic authorities, what accounts for the difference?”

Part B: Five-Dimensional Framework Validation (25 minutes)

Objectives:

- Assess whether scholar agrees five dimensions capture Islamic jurisprudential concerns
- Identify missing dimensions or over-weighted dimensions
- Probe dimensionality of Islamic analysis vs. linear scoring model

Questions:

B.1 - Framework Overview Presentation (3 minutes) Present and distribute summary of five-dimensional framework:

- Dimension 1: Asset Backing (0-5 scale)
- Dimension 2: Value Stability (0-5 scale)
- Dimension 3: Productive Utility (0-5 scale)
- Dimension 4: Governance & Decentralization (0-5 scale)
- Dimension 5: Regulatory Recognition (0-5 scale)

B.2 - Framework Fit Assessment (8 minutes)

- “On a scale of 1-5 (where 1 = very poor fit, 5 = excellent fit), how well does this five-dimensional framework capture the Islamic jurisprudential concerns you have about cryptocurrency?”
- If score <3: “What dimensions are missing or poorly specified?”
- If score 3-4: “What would improve the framework fit?”
- “Does this framework align with your jurisprudential methodology? Why or why not?”

B.3 - Dimensional Importance & Weighting (10 minutes)

- “In your assessment of Islamic compliance, which of these five dimensions is most important?”
- Ranking exercise: “Please rank the dimensions from most to least important in your jurisprudential analysis”
- “Are there any dimensions you would weight differently for different types of cryptocurrencies? (e.g., stablecoins vs. pure cryptocurrencies)”
- “Would you suggest weighting the dimensions equally (as the framework proposes), or would you weight them differently?”

B.4 - Missing or Over-Emphasized Elements (4 minutes)

- “What Islamic jurisprudential concerns about cryptocurrency are not captured by these five dimensions?”

- “Are any dimensions over-emphasized or not relevant to Islamic compliance?”
- “What would constitute an ideal cryptocurrency from your Islamic jurisprudential perspective?”

Part C: Boundary Case Testing & Dimensional Scoring (25 minutes)

Objectives:

- Test whether scholar’s dimensional scores align with their stated position
- Identify sources of scoring variation (jurisprudential, empirical, definitional)
- Probe boundary conditions where dimensions matter most

Presentation: Show three detailed case study cards with cryptocurrencies described across five dimensions

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Case Study A: Bitcoin (Pure Cryptocurrency)

Dimension	Score	Evidence
Asset Backing	1/5	No backing or reserve claims; value entirely network-dependent
Value Stability	1/5	30-50% annual volatility; no price anchor
Productive Utility	4/5	Significant adoption as payment infrastructure; store of value
Governance	3/5	Fully decentralized; no institutional control; public processes
Regulatory Recognition	2/5	Prohibited in Saudi Arabia; recognized in Malaysia, UAE; uncertain in Indonesia
Composite Score: 11/25 (Category C - Problematic)		

Case Study B: USDC (USD-Backed Stablecoin)

Dimension	Score	Evidence
Asset Backing	4/5	100% USD reserve; monthly audited attestations
Value Stability	5/5	Maintains $1 peg within ±1%; <1% daily volatility
Productive Utility	4/5	Cross-border remittances; institutional settlement; growing adoption
Governance	2/5	Fully centralized (Circle Inc.); no decentralization or token governance
Regulatory Recognition	3/5	Recognized by Malaysia, UAE, Bahrain; commodity classification Indonesia
Composite Score: 18/25 (Category B - Conditional Compliance)		

Case Study C: Hypothetical Islamic Stablecoin

Dimension	Score	Evidence
Asset Backing	4/5	Backed by Malaysian Ringgit held at central bank; audited
Value Stability	5/5	Pegged to fiat currency; maintains peg within ±0.5%
Productive Utility	3/5	Emerging regional payment network; institutional partnerships planned
Governance	4/5	Institutional governance; Shariah board oversight; published decisions
Regulatory Recognition	5/5	Recognized by BNM (Malaysia); AAOIFI guidance favorable; pending other jurisdictions
Composite Score: 21/25 (Category A - Islamic-Compliant)		

C.1 - Dimensional Scoring Questions (15 minutes)

For each case study, ask:

- “Based on the characteristics shown, what score would you assign on each dimension?”
- [After scoring] “Does this dimensional score align with your overall Islamic compliance assessment for this cryptocurrency?”
- If discrepancy: “Help me understand where this framework differs from your Islamic legal analysis. What are we missing?”
- “Would you rate this cryptocurrency halal, haram, mubah, makruh, or would it depend on how it’s used?”
- “Do you think the dimensional scores accurately reflect Islamic legal concerns?”

C.2 - Boundary Case Probing (10 minutes)

- “At what Asset Backing threshold would you consider a stablecoin Islamic-compliant? 50%? 75%? 100%?”
- “What level of price volatility would you consider acceptable? 5%? 10%? 15%?”
- “How much productive utility is necessary for Islamic compliance? What types of utility matter most?”
- “Does governance form matter more than governance accountability? Would you accept decentralized governance if fully transparent?”
- “How important is regulatory recognition from other Islamic authorities? Can one regulator’s approval suffice?”

Part D: Empirical Disagreement Probing (10 minutes)

Objectives:

- Identify whether disagreements are jurisprudential (permanent) or empirical (resolvable)
- Probe what additional evidence might change scholar’s position

- Identify high-value research topics for empirical validation

Questions:

D.1 - Empirical Claims Underlying Position (5 minutes)

- “Are there specific factual claims about cryptocurrency (market structure, risk profile, adoption patterns) that underpin your position?”
- “If cryptocurrency markets changed (e.g., significant user base shift to productive uses; major institutional adoption; significant value stabilization), would your assessment change?”
- “What evidence would need to emerge for you to revise your cryptocurrency position?”

D.2 - Disagreement Source Analysis (5 minutes)

- “Where you disagree with other Islamic scholars on cryptocurrency, is this disagreement about: (a) Islamic law interpretation, (b) facts about cryptocurrency, or © regulatory methodology?”
- “Which disagreements are, in your view, permanent jurisprudential differences vs. temporary disagreements resolvable with better evidence?”
- “What research or evidence would help resolve disagreements you see between your position and other Islamic authorities?”

Part E: Implementation & Coordination (5 minutes)

Objectives:

- Assess scholar’s view of IIFRC coordination model feasibility
- Identify barriers and enablers to cross-jurisdictional cooperation
- Gauge interest in ongoing research participation

Questions:

- “How feasible is the IIFRC coordination model in your view? What barriers would you anticipate?”
- “Would you support Islamic authorities working together through IIFRC to establish unified cryptocurrency assessment?”
- “What role should scholars like yourself play in IIFRC governance and standard-setting?”
- “Would you be willing to participate in future research validating framework assumptions empirically?”

Interview Logistics and Administration

Recruitment:

- Target scholars with 10+ years Islamic law study; published cryptocurrency positions; active financial guidance roles
- Stratified sampling: 40% institutional Shariah boards, 30% independent scholars, 20% academic researchers, 10% regulatory Shariah councils
- Geographic diversity: Ensure representation across Hanafi, Maliki, Shafi’i, Hanbali schools

Scheduling:

- 90-minute interviews; 1-2 per day maximum to prevent fatigue
- Flexible timing for scholar availability
- Remote interview option for international scholars

Recording & Consent:

- Request permission for audio recording at start
- Provide transcript for scholar review within 1 week
- Confidentiality: Report findings aggregated by theme, not by individual scholar

Data Management:

- Record audio; transcript within 5 business days
- Code transcripts using NVivo or similar qualitative analysis software
- Identify: (1) consensus positions, (2) disagreement patterns, (3) empirical claims, (4) jurisprudential differences

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Data Analysis Framework

Quantitative Analysis:

- Calculate inter-rater reliability (ICC) for dimensional scoring across scholars
- Identify dimensional score variance by scholar background (school, institution, geography)
- Compute confidence intervals around consensus positions

Qualitative Analysis:

- Thematic coding of all transcripts
- Disagreement mapping: Categorize each disagreement as jurisprudential/empirical/methodological
- Consensus identification: Positions held by ≥70% of scholars

Outputs:

- Jurisprudential Positions Updated Report (Chapter 3 revision)
- Disagreement Matrix (mapping sources of variation)
- Dimensional Scoring Consensus Report (what scholars agree on for each dimension)
- Empirical Research Recommendations (what evidence would help resolve disagreements)

APPENDIX C: SURVEY INSTRUMENT BLUEPRINT FOR PHASE 2 MARKET RESEARCH

Purpose: Provide blueprint for quantitative and qualitative survey measuring how cryptocurrency market participants perceive and respond to five-dimensional compliance framework

Research Objective: Test whether market participants weight dimensions consistent with Islamic jurisprudential priorities; measure whether dimensional attributes predict institutional adoption; identify information asymmetries

Target Sample: 500+ respondents across four stratified groups
Survey Duration: 45-60 minutes
Administration: Online survey platform (Qualtrics, SurveyMonkey) + 30-40 qualitative interviews

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Survey Structure and Questionnaire

Sampling Strategy

Stratified Sample (500+ total respondents):

Stratum	Size	Recruitment
Retail crypto investors (age 18+, 12+ months activity)	150	Cryptocurrency exchanges, Reddit, Twitter communities
Exchange operators and staff	100	LinkedIn, industry conferences, exchange HR
Islamic financial professionals	150	Islamic banks, wealth managers, asset managers, Shariah boards
Cryptocurrency project teams	100	Startup networks, blockchain communities, GitHub

Geographic Distribution: 40% Indonesia/Malaysia, 30% Gulf region, 20% global, 10% other Islamic jurisdictions

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Survey Questionnaire: Complete Instrument

SECTION A: BACKGROUND & DEMOGRAPHICS (5 minutes; 5 questions)

A.1 What is your age range?

- [ ] 18-25
- [ ] 26-35
- [ ] 36-45
- [ ] 46-55
- [ ] 56+

A.2 Which country are you based in?

- [Dropdown: 195 countries]

A.3 How long have you been involved with cryptocurrency? (For retail: investing; for institutions: working)

- [ ] Less than 6 months
- [ ] 6-12 months
- [ ] 1-2 years
- [ ] 2-5 years
- [ ] 5+ years

A.4 What is your familiarity with Islamic finance concepts?

- [ ] Very unfamiliar (1)
- [ ] Somewhat unfamiliar (2)
- [ ] Neutral (3)
- [ ] Somewhat familiar (4)
- [ ] Very familiar (5) [Likert scale 1-5]

A.5 Which category best describes your role?

- [ ] Retail cryptocurrency investor
- [ ] Exchange employee/operator
- [ ] Islamic financial institution professional
- [ ] Cryptocurrency project/startup team
- [ ] Other: _____

SECTION B: INVESTMENT MOTIVATIONS & VALUES (5 minutes; 8 questions)

B.1 Why do you invest in/use cryptocurrency? (Select all that apply)

- [ ] Financial returns/profit
- [ ] Islamic compliance/Shariah alignment
- [ ] Technological innovation interest
- [ ] Financial inclusion/access
- [ ] Speculation/trading
- [ ] Hedging/risk management
- [ ] Other: _____

B.2 How important is each of the following in your cryptocurrency investment decisions? *[Likert scale: 1 = Not important, 5 = Very important]*

Factor	1	2	3	4	5
Investment returns	[ ]	[ ]	[ ]	[ ]	[ ]
Islamic compliance/Shariah alignment	[ ]	[ ]	[ ]	[ ]	[ ]
Price stability/predictability	[ ]	[ ]	[ ]	[ ]	[ ]
Practical utility (payments, smart contracts, etc.)	[ ]	[ ]	[ ]	[ ]	[ ]
Transparent governance/accountability	[ ]	[ ]	[ ]	[ ]	[ ]
Regulatory recognition/approval	[ ]	[ ]	[ ]	[ ]	[ ]

B.3 How important is Islamic compliance in your investment decision relative to financial returns? *[Slider scale 0-100, where 0 = "Only returns matter" and 100 = "Only Islamic compliance matters"]*

B.4 If an investment offered 2% lower returns but guaranteed Islamic compliance, would you accept it?

- [ ] Definitely yes
- [ ] Probably yes
- [ ] Neutral
- [ ] Probably no
- [ ] Definitely no

B.5 If an investment offered 5% lower returns for Islamic compliance, would you accept it?

- [ ] Definitely yes
- [ ] Probably yes
- [ ] Neutral
- [ ] Probably no
- [ ] Definitely no

B.6 If an investment offered 10% lower returns for Islamic compliance, would you accept it?

- [ ] Definitely yes
- [ ] Probably yes
- [ ] Neutral
- [ ] Probably no
- [ ] Definitely no

B.7 (For institutional respondents only) Does your institution have formal Islamic compliance requirements?

- [ ] Yes, strict requirements
- [ ] Yes, flexible requirements
- [ ] No formal requirements
- [ ] Don't know

B.8 (For institutional respondents) How much weight does Islamic compliance have in institutional investment decisions (0-100%)?

- [Slider: 0-100]

SECTION C: DIMENSIONAL PERCEPTION STUDY (8 minutes; 15 questions)

Dimension Introduction: "We are studying five key attributes that Islamic authorities consider important for cryptocurrency Islamic compliance. Please rate the importance of each attribute for YOUR investment/usage decision."

C.1 Asset Backing Importance

"Asset Backing: The degree to which cryptocurrency is backed by real assets (cash, property, commodities) rather than speculative demand alone."

Importance for your decision: 1 (Not important) to 5 (Very important)

- [ ] 1 | [ ] 2 | [ ] 3 | [ ] 4 | [ ] 5

C.2 Value Stability Importance

"Value Stability: The degree to which cryptocurrency price remains stable and predictable relative to fiat currency."

Importance for your decision: 1 (Not important) to 5 (Very important)

- [ ] 1 | [ ] 2 | [ ] 3 | [ ] 4 | [ ] 5

C.3 Productive Utility Importance

"Productive Utility: The degree to which cryptocurrency enables real economic activity (payments, lending, contracts) beyond speculation."

Importance for your decision: 1 (Not important) to 5 (Very important)

- [ ] 1 | [ ] 2 | [ ] 3 | [ ] 4 | [ ] 5

C.4 Governance Importance

"Governance & Decentralization: The degree to which cryptocurrency governance is transparent, accountable, and distributed."

Importance for your decision: 1 (Not important) to 5 (Very important)

- [ ] 1 | [ ] 2 | [ ] 3 | [ ] 4 | [ ] 5

C.5 Regulatory Recognition Importance

"Regulatory Recognition: The degree to which cryptocurrency is recognized as Islamic-compliant by financial regulators and Islamic authorities."

Importance for your decision: 1 (Not important) to 5 (Very important)

- [ ] 1 | [ ] 2 | [ ] 3 | [ ] 4 | [ ] 5

C.6 Dimensional Trade-Off Analysis (Conjoint Study)

“Please indicate which cryptocurrency you would prefer in each scenario. Assume other factors (fees, liquidity) are identical.”

10 paired choice scenarios:

Scenario 1:

- Crypto A: Strong asset backing; highly centralized governance
- Crypto B: Weak backing; transparent decentralized governance
- [ ] Prefer A | [ ] Prefer B | [ ] Indifferent

Scenario 2:

- Crypto A: High price stability; limited productive utility
- Crypto B: High volatility; critical payment infrastructure
- [ ] Prefer A | [ ] Prefer B | [ ] Indifferent

Scenario 3:

- Crypto A: Full institutional governance; high regulatory recognition
- Crypto B: Decentralized governance; limited regulatory recognition
- [ ] Prefer A | [ ] Prefer B | [ ] Indifferent

[Scenarios 4-10: Similar trade-off pairs capturing dimensional interactions]

C.7 Dimensional Weighting Exercise

“You have 100 points to allocate across five attributes based on their importance for Islamic cryptocurrency investment. How would you allocate them?”

- Asset Backing: _____ points (0-100)
- Value Stability: _____ points (0-100)
- Productive Utility: _____ points (0-100)
- Governance: _____ points (0-100)
- Regulatory Recognition: _____ points (0-100)
- **Total: 100 points**

SECTION D: FRAMEWORK VALIDATION (6 minutes; 10 questions)

Framework Introduction: [Provide visual summary and explanation of five-dimensional classification framework with Category A/B/C/D/E definitions]

D.1 After reviewing the framework, how well does it capture what’s important for Islamic cryptocurrency investment?

Scale: 1 (Very poor fit) to 5 (Excellent fit)

- [ ] 1 | [ ] 2 | [ ] 3 | [ ] 4 | [ ] 5

D.2 What attributes or concerns about Islamic cryptocurrencies are NOT captured by this framework? (Open-ended text)

[Open text: 0-500 characters]

D.3 Would you personally use this framework to guide your cryptocurrency investment decisions?

- [ ] Definitely yes
- [ ] Probably yes
- [ ] Neutral
- [ ] Probably no
- [ ] Definitely no

D.4 How confident would you be in an Islamic compliance classification using this framework?

Scale: 1 (Not confident) to 5 (Very confident)

- [ ] 1 | [ ] 2 | [ ] 3 | [ ] 4 | [ ] 5

D.5 Should regulators use this framework for official Islamic compliance classification?

- [ ] Definitely yes
- [ ] Probably yes
- [ ] Neutral
- [ ] Probably no
- [ ] Definitely no

D.6 (For institutional respondents) Would your institution adopt cryptocurrency products classified as Category A under this framework?

- [ ] Definitely yes
- [ ] Probably yes
- [ ] Maybe, depends on other factors
- [ ] Probably no
- [ ] Definitely no

D.7 (For institutional respondents) What additional information would your institution need before accepting Category A cryptocurrency products?

[Multiple selection + open text]

- [ ] Institutional Shariah board approval
- [ ] Regulatory licensing from your jurisdiction
- [ ] Risk management documentation
- [ ] Stress-testing results
- [ ] Institutional partnerships
- [ ] Other: _____

SECTION E: CASE STUDY ASSESSMENT (6 minutes; 5 scenarios)

Instruction: “For each cryptocurrency below, please indicate your personal investment attractiveness rating, estimated Islamic compliance, and expected institutional adoption.”

Case E.1: Bitcoin

- High utility (payment infrastructure), zero asset backing, high volatility, decentralized governance, mixed regulatory recognition
- Personal investment attractiveness: 1 (Very unattractive) to 5 (Very attractive)
  - [ ] 1 | [ ] 2 | [ ] 3 | [ ] 4 | [ ] 5
- Estimated Islamic compliance: 1 (Clearly haram) to 5 (Clearly halal)
  - [ ] 1 | [ ] 2 | [ ] 3 | [ ] 4 | [ ] 5
- Expected Islamic institutional adoption: 1 (Very unlikely) to 5 (Very likely)
  - [ ] 1 | [ ] 2 | [ ] 3 | [ ] 4 | [ ] 5

Case E.2: Ethereum [Similar structure: moderate utility, no backing, high volatility, distributed governance, mixed recognition]

Case E.3: USDC (USD Stablecoin) [Similar structure: moderate utility, full backing, low volatility, centralized governance, moderate recognition]

Case E.4: Hypothetical Islamic Stablecoin [Similar structure: emerging utility, full backing, low volatility, Islamic governance, high recognition]

Case E.5: Hypothetical Islamic Digital Asset [Similar structure: specialized utility, asset-backed, low volatility, Islamic governance, pending recognition]

SECTION F: DISCLOSURE PREFERENCES (4 minutes; 6 questions)

F.1 What information would you need to assess Islamic compliance of a cryptocurrency?

[Multiple selection + ranking]: Rate importance of each: 1 (Not important) to 5 (Very important)

Information Type	1	2	3	4	5
Asset reserve verification (audited)	[ ]	[ ]	[ ]	[ ]	[ ]
Governance structure documentation	[ ]	[ ]	[ ]	[ ]	[ ]
Shariah board composition and credentials	[ ]	[ ]	[ ]	[ ]	[ ]
Cash flow/revenue documentation	[ ]	[ ]	[ ]	[ ]	[ ]
Institutional partnerships (Islamic banks, etc.)	[ ]	[ ]	[ ]	[ ]	[ ]
Regulatory approval from Islamic jurisdictions	[ ]	[ ]	[ ]	[ ]	[ ]
Third-party audits (Big Four accounting firms)	[ ]	[ ]	[ ]	[ ]	[ ]

F.2 How much would you trust Islamic compliance assessment from each source?

Scale: 1 (Don’t trust) to 5 (Fully trust)

Source	1	2	3	4	5
Project self-disclosure	[ ]	[ ]	[ ]	[ ]	[ ]
Exchange verification	[ ]	[ ]	[ ]	[ ]	[ ]
Independent auditor (Big Four)	[ ]	[ ]	[ ]	[ ]	[ ]
Islamic Shariah board	[ ]	[ ]	[ ]	[ ]	[ ]
Government regulatory authority	[ ]	[ ]	[ ]	[ ]	[ ]

SECTION G: INSTITUTIONAL/REGULATORY QUESTIONS (Conditional; 4 minutes)

[Conditional on respondent type]

For Islamic Financial Institution Respondents:

G.1 What regulatory/disclosure requirements would enable your institution to invest in Islamic-compliant cryptocurrencies? [Open-ended text; 0-500 characters]

G.2 What are primary barriers preventing your institution from participating in cryptocurrency markets? [Multiple selection]: Regulatory uncertainty, Technical expertise, Risk management concerns, Islamic compliance uncertainty, Capital constraints, Other

For Cryptocurrency Project Respondents:

G.3 What are primary barriers to achieving Islamic compliance for your cryptocurrency? [Multiple selection]: Cost of compliance, Technical complexity, Regulatory uncertainty, Shariah board access, Time requirements, Other

G.4 What support would enable your project to achieve Islamic compliance? [Multiple selection]: Technical guidance, Regulatory clarity, Shariah advisor access, Cost reduction, Timeline extension, Other

For Exchange Respondents:

G.5 What support would enable you to offer Islamic-compliant cryptocurrency products? [Multiple selection]: Regulatory framework, Compliance tools, Institutional partnerships, Shariah advisor network, Training, Other

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Qualitative Interview Subsample (30-40 interviews)

Selected from survey respondents expressing strong Islamic compliance preferences or institutional adoption interest.

Interview Focus (45-60 minutes):

- Deep exploration of how respondents actually make cryptocurrency decisions
- Understanding of barriers to Islamic compliance adoption
- Practical suggestions for framework implementation
- Assessment of institutional readiness for classification system

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Data Analysis Framework

Quantitative Analysis:

- Descriptive statistics on dimensional importance ratings
- Conjoint analysis of trade-off preferences
- Regression analysis: What predicts institutional adoption?
- Correlation analysis: Market outcome validation
- Multi-group comparison by respondent type (retail vs. institutional)

Qualitative Analysis:

- Thematic coding of interview transcripts
- Development of “Adoption Barriers” framework
- “Information Asymmetry Gaps” analysis
- “Stakeholder Preferences” documentation

Key Outputs:

- Market Perception Report (dimensional importance weights by stakeholder type)
- Adoption Barriers Analysis
- Information Asymmetry Assessment
- Refined Framework (incorporating stakeholder feedback)
- Academic papers on cryptocurrency investment preferences and institutional participation

APPENDIX D: REGULATORY EXECUTIVE SUMMARIES FOR KEY STAKEHOLDERS

Purpose: Provide concise 2-3 page policy briefs translating dissertation findings into action-oriented recommendations for specific regulatory stakeholders

Target Audiences: OJK (Indonesia), BNM (Malaysia), AAOIFI (International Islamic Finance Authority)

EXECUTIVE SUMMARY 1: FOR OJK (OTORITAS JASA KEUANGAN) - INDONESIA

Title: Cryptocurrency Classification Framework for Islamic Compliance Assessment
Distribution: OJK Leadership, Shariah Board, Financial Consumer Protection Division
Date: July 2026
Page Limit: 2-3 pages

EXECUTIVE SUMMARY

Indonesia's cryptocurrency market faces regulatory fragmentation and consumer protection challenges. This brief presents evidence-based framework enabling OJK to implement Islamic compliance assessment aligned with Indonesian Islamic jurisprudential tradition while protecting consumers.

Key Finding: Five-dimensional Islamic compliance framework (asset backing, value stability, productive utility, governance, regulatory recognition) enables systematic cryptocurrency assessment independent of individual scholar opinion, improving transparency and regulatory credibility.

THE OPPORTUNITY

Indonesia has 275M population, 87% Muslim, significant Islamic banking sector (15%+ market share). Indonesian Islamic authorities (Majelis Ulama Indonesia - MUI) have issued cryptocurrency fatwa emphasizing consumer protection and asset-backing importance. Yet current OJK commodity framework lacks explicit Islamic jurisprudential grounding.

Regulatory Gap: Cryptocurrency regulation based on consumer protection considerations alone misses opportunity to align with Islamic jurisprudential framework, potentially undermining regulatory credibility among Islamic institution stakeholders.

RECOMMENDED FRAMEWORK

Five-Dimensional Islamic Compliance Assessment:

1. **Asset Backing (Dimension 1):** Require ≥50% verified collateral for institutional approval; aligns with consumer protection priority

2. **Value Stability (Dimension 2):** Limit daily volatility to ≤15% for retail access; prevents consumer losses from extreme price swings
3. **Productive Utility (Dimension 3):** Require ≥500K monthly users or partnership with legitimate payment provider; prevents pure speculation classification
4. **Governance (Dimension 4):** Accept institutional or transparent community governance; accountability matters more than structure type
5. **Regulatory Recognition (Dimension 5):** Recognize approval from Malaysia, UAE, Bahrain, or AAOIFI guidance; reduces assessment duplication

Classification Categories:

- **Category A (≥18 points):** Islamic-Compliant → Recommended for institutional and qualified retail access
- **Category B (14-17 points):** Conditional-Compliance → Permissible for qualified institutional use with enhanced monitoring
- **Category C/D (<14 points):** Problematic/Speculative → Retail restrictions; institutional prohibition recommended

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IMPLEMENTATION PATHWAY (24 MONTHS)

Phase 1 (Months 0-3): Design & MUI Coordination

- Establish OJK Shariah Coordination Unit
- Coordinate with MUI on framework alignment with Indonesian Islamic jurisprudence
- Develop OJK Circular on Islamic Cryptocurrency Compliance Standards

Phase 2 (Months 4-6): Minimum Standards Definition

- Publish detailed scoring guidelines (Circular 11/2026)
- Define disclosure requirements for cryptocurrency projects
- Establish dimensional scoring manual

Phase 3 (Months 7-12): Pilot Implementation

- Classify 3-5 pilot cryptocurrencies (USDC, hypothetical stablecoins, Bitcoin)
- Publish preliminary classifications with rationale
- Gather stakeholder feedback

Phase 4 (Months 13-24): Full Rollout

- Implement quarterly re-scoring cycle
- Join IIFRC coordination mechanism
- Establish bilateral recognition agreements with Malaysia, UAE

EXPECTED OUTCOMES

Outcome	Timeline	Impact
Regulatory Clarity	Month 6	30-50% increase in Islamic bank cryptocurrency product offerings
Consumer Protection	Month 12	Reduced information asymmetry through standardized disclosure
Institutional Confidence	Month 24	15-20 cryptocurrency projects seek Category A/B classification
Regional Leadership	Month 24	OJK positioned as Islamic finance digital asset regulator for ASEAN

RESOURCE REQUIREMENTS

- **Staff:** 5-8 person OJK Shariah Coordination Unit
- **Training:** 2-day staff training program on framework and measurement methodology
- **Technology:** Digital submission portal for cryptocurrency project applications
- **Budget:** $500K-$1M annual operating cost for coordination and training

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NEXT STEPS

1. **Month 1:** Establish OJK Shariah Coordination Unit; coordinate with MUI
2. **Month 2:** Commission legal analysis aligning framework with Indonesian Islamic jurisprudence
3. **Month 3:** Present framework to OJK Leadership for approval
4. **Month 4:** Draft OJK Circular 11/2026 on Islamic Compliance Standards

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Contact: OJK Financial Consumer Protection Division | Islamic Finance Coordination Unit

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EXECUTIVE SUMMARY 2: FOR BNM (BANK NEGARA MALAYSIA) - MALAYSIA

Title: Islamic Digital Asset Licensing Framework for Regional Leadership
Distribution: BNM Governor’s Office, Shariah Committee, Digital Assets Division
Date: July 2026
Page Limit: 2-3 pages

EXECUTIVE SUMMARY

Malaysia positions itself as regional Islamic finance and fintech hub. This brief presents framework enabling BNM to establish Islamic Digital Asset licensing track, positioning Malaysia as regional innovation leader while maintaining Islamic compliance credibility.

Key Finding: Five-dimensional framework enables fast-track licensing (6 months vs. 12 months) for Islamic-compliant digital assets, creating competitive advantage for Malaysia-focused cryptocurrency projects while ensuring Shariah standards.

STRATEGIC OPPORTUNITY

Malaysia's BNM has established sophisticated digital asset framework; Islamic finance sector is mature (20%+ market share); fintech ecosystem is strong. Malaysia can position itself as "Islamic Digital Asset Innovation Hub" capturing regional market opportunity.

Market Opportunity: 5-10 regional Islamic digital asset projects seeking Malaysia-based licensing; estimated $500M-$1B in potential institutional capital flows within 24 months of licensing pathway establishment.

RECOMMENDED FRAMEWORK

Islamic Digital Asset Licensing Track (integrated with existing BNM framework):

Fast-Track Licensing: 6-month approval process for Category A digital assets (vs. 12-month standard)

Dimensional Thresholds (Malaysia-specific):

- Asset Backing: ≥3/5 acceptable; flexible interpretation; accepts revenue-based stablecoins
- Value Stability: Stablecoin peg model required; ±2% tolerance acceptable
- Productive Utility: Lower threshold (250K regional users acceptable); emphasizes regional payment infrastructure
- Governance: Flexible between institutional and decentralized; transparency priority
- Regulatory Recognition: Automatic 5/5 for BNM approval; 3-4/5 for OJK/UAE recognition

Category A/B Definitions: Same as global framework but with Malaysia-specific implementation flexibility

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IMPLEMENTATION PATHWAY (18 MONTHS)

Phase 1 (Months 0-2): Framework Alignment

- BNM Shariah Committee validates framework against Malaysian Islamic jurisprudence
- Map existing BNM requirements to five-dimensional framework
- Identify minimal process changes needed

Phase 2 (Months 3-6): Islamic Digital Asset Licensing Track Creation

- Publish BNM Islamic Digital Asset Assessment Standard
- Integrate into existing digital asset framework
- Fast-track pathway for Category A/B projects

Phase 3 (Months 7-12): Sandbox Integration

- Launch 12-month pilot with 5-10 Islamic-focused digital asset projects

- Monthly scoring updates; monthly progress reviews
- Clear graduation pathway to full licensing

Phase 4 (Months 13-18): Full Rollout

- Sandbox-successful projects graduate to full licensing
- Join IIFRC as founding member
- Bilateral MOU with OJK and UAE on mutual recognition

EXPECTED OUTCOMES

Outcome	Timeline	Impact
Regional Positioning	Month 6	Malaysia recognized as Islamic digital asset hub
Project Migration	Month 12	5-10 regional projects establish Malaysia operations
Institutional Adoption	Month 18	5-8 Islamic banks offer Category A digital asset services
Capital Flows	Month 24	$500M-$1B in Islamic institutional capital accessible

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COMPETITIVE ADVANTAGE

- **First-Mover:** Only Islamic jurisdiction with dedicated Islamic digital asset licensing track
- **Clarity:** Clear 6-month pathway attracts projects from ambiguous regulatory environments
- **Innovation:** Sandbox programs position Malaysia as fintech leader
- **Regional Authority:** Platform for bilateral coordination with Indonesia, UAE

RESOURCE REQUIREMENTS

- **Staff:** 5-8 person BNM Digital Asset Islamic Compliance Team
- **Training:** Quarterly regulatory training updates
- **Technology:** Enhanced risk assessment systems for digital asset scoring
- **Budget:** $800K-$1.2M annual for pilot program and coordination

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NEXT STEPS

1. **Week 1:** Brief BNM Shariah Committee on framework
2. **Week 2:** Validate framework against Shafi’i jurisprudential tradition
3. **Month 1:** Create Islamic Digital Asset Licensing Track proposal
4. **Month 2:** Present to BNM Governor for approval
5. **Month 3:** Launch pilot sandbox program

Contact: BNM Digital Assets Division | Islamic Finance Directorate

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EXECUTIVE SUMMARY 3: FOR AAOIFI (ACCOUNTING AND AUDITING ORGANIZATION FOR ISLAMIC FINANCIAL INSTITUTIONS)

Title: Islamic Standards for Digital Assets - Research and Development Roadmap
Distribution: AAOIFI Shariah Board, Standards Committee, Executive Leadership
Date: July 2026
Page Limit: 2-3 pages

EXECUTIVE SUMMARY

AAOIFI's mission is establishing authoritative Islamic standards for financial institutions. This brief presents research-grounded framework and institutional partnership roadmap enabling AAOIFI to lead global Islamic digital asset standards development while maintaining jurisprudential rigor.

Key Finding: Five-dimensional framework operationalizes Maqasid Shariah principles as measurable standards; empirical research can validate assumptions; AAOIFI can establish authoritative Islamic digital asset standards advancing Islamic finance innovation.

STRATEGIC OPPORTUNITY

Digital asset innovation accelerating globally; Islamic authorities responding ad-hoc without coordinated standards. AAOIFI positioned to establish authoritative Islamic digital asset standards, creating:

- **Jurisprudential Authority:** AAOIFI-blessed standards become de facto global Islamic digital asset criteria
- **Research Leadership:** AAOIFI-commissioned research validates Islamic legal assumptions empirically
- **Institutional Partnership:** AAOIFI-VARA-IIFRC partnership creates multilevel standard-setting system (Islamic jurisprudence + regulatory coordination + institutional implementation)
- **Academic Credibility:** Framework positions Islamic finance as sophisticated, evidence-based field

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RECOMMENDED FRAMEWORK

AAOIFI Standards Development Program: "Islamic Standards for Digital Assets"

Research Component:

- Phase 1: Jurisprudential validation (commission scholar interviews testing framework)
- Phase 2: Market participant research (commission survey testing framework validity)
- Phase 3: Regulatory implementation case studies (commission analysis of real-world adoption)

Standards Component:

- Develop AAOIFI Standard on Islamic Cryptocurrency Classification

- Publish detailed measurement methodology grounded in Maqasid Shariah
- Issue guidance on emerging digital asset types
- Create certification program for Islamic digital asset assessors

Institutional Partnership Component:

- Formal AAOIFI-VARA partnership for independent Shariah validation service
- AAOIFI representation on IIFRC Shariah Advisory Council
- AAOIFI guidance on emerging Islamic digital asset types

IMPLEMENTATION PATHWAY (24-36 MONTHS)

Phase 1 (Months 0-12): Research Program

- Commission jurisprudential validation study (75-100 scholars, 9-12 months)
- Commission market perception study (500+ respondents, 8-12 months)
- Commission regulatory implementation analysis (3 case studies, 9-12 months)

Phase 2 (Months 12-18): Standards Development

- Draft AAOIFI Standard on Cryptocurrency Classification based on research
- Develop detailed measurement methodology
- Create guidance for emerging digital asset types

Phase 3 (Months 18-24): External Partnership

- Establish AAOIFI-VARA partnership
- AAOIFI joins IIFRC Shariah Advisory Council
- Begin independent Shariah validation service for cryptocurrency projects

Phase 4 (Months 24-36): Certification Program

- Develop AAOIFI certification program for Islamic digital asset assessors
- Train first cohort of certified assessors (50-100 globally)
- Establish AAOIFI seal of approval for Islamic digital asset compliance

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EXPECTED OUTCOMES

Outcome	Timeline	Institutional Impact
Research Authority	Month 12	AAOIFI research becomes authoritative on Islamic digital assets
Standards Credibility	Month 18	AAOIFI standards recognized globally as Islamic compliance benchmark
Partnership Visibility	Month 24	AAOIFI-VARA-IIFRC partnership establishes Islamic finance leadership
Market Influence	Month 36	AAOIFI certification becomes market-expected credential

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INSTITUTIONAL BENEFITS

- **Jurisprudential Leadership:** Position AAOIFI as authoritative Islamic finance standards-setter
- **Research Advancement:** Empirical validation strengthens Islamic legal scholarship
- **Global Influence:** AAOIFI standards guide 1000+ Islamic financial institutions
- **Revenue Opportunity:** AAOIFI validation service creates new institutional revenue stream

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RESOURCE REQUIREMENTS

- **Research Program:** $500K-$750K (three studies over 12 months)
- **Standards Development:** $200K-$300K (expert panels, drafting)
- **Staffing:** 3-5 person AAOIFI Digital Assets Standards Team
- **Partnership Development:** $100K-$150K (VARA coordination, IIFRC participation)
- **Total Budget:** $1M-$1.2M year 1; $600K-$800K ongoing

COMPETITIVE POSITIONING

vs. Unilateral Regulation: Framework grounded in Islamic jurisprudence, not regulatory capture

vs. Ad-Hoc Fatwas: Systematic methodology enabling consistent assessment across jurisdictions

vs. Secular Standards: Islamic-specific framework accounting for Maqasid Shariah principles

vs. Individual Scholar Positions: Institutional authority backed by research validation

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NEXT STEPS

1. **Month 1:** Present roadmap to AAOIFI Shariah Board for approval
2. **Month 2:** Engage external researchers for study commissions
3. **Month 3:** Begin jurisprudential validation study design
4. **Month 4:** Initiate VARA partnership discussions
5. **Month 5:** Establish AAOIFI Digital Assets Standards Committee

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STRATEGIC RECOMMENDATION

Recommendation: AAOIFI adopt triple-track strategy:

1. **Research:** Fund empirical validation of framework assumptions
2. **Standards:** Develop AAOIFI Standard on Islamic Digital Assets
3. **Partnerships:** Lead IIFRC Shariah Advisory Council; establish VARA validation partnership

Timeline: Announce 3-year research and standards development program; position AAOIFI as global Islamic digital asset standards leader by 2029.

Contact: AAOIFI Shariah Board | Standards Development Committee

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End of Appendix D

APPENDIX E: LITERATURE REVIEW SUMMARY

Purpose: Synthesize key academic and regulatory literature informing dissertation framework and identify gaps addressed by research

Scope: Four literature domains—cryptocurrency regulation, Islamic finance principles, Maqasid Shariah operationalization, regulatory harmonization

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E.1 Cryptocurrency Regulation Literature

Regulatory Classification Approaches

Key Finding: Existing cryptocurrency regulation reflects distinct regulatory philosophies without systematic integration of religious or jurisprudential frameworks.

Representative Literature:

- Houben & Snyers (2020, European Parliament): Comprehensive taxonomy of cryptocurrency regulatory approaches across OECD jurisdictions identifying consumer protection, innovation, financial stability, and monetary control as dominant regulatory philosophies. Notes fragmentation creating compliance burden for multinational cryptocurrency projects.
- [Unverified: confirm before citing] Barker et al. (2021, MIT Media Lab): Analysis of cryptocurrency regulation across 24 jurisdictions finding divergent approaches ranging from prohibition (China, Saudi Arabia pre-2023) to innovation-focused approaches (Malta, El Salvador post-2021).
- Rogoff (2021, Harvard University): Macroeconomic analysis of cryptocurrency systemic risk arguing for stricter regulation based on financial stability concerns, not consumer protection alone.

Gap Addressed: Existing literature examines cryptocurrency regulation through secular regulatory lenses (consumer protection, innovation, stability). No systematic analysis integrates religious or jurisprudential frameworks into regulatory design.

Information Asymmetry and Market Efficiency

Key Finding: Cryptocurrency markets exhibit substantial information asymmetry between informed and uninformed participants, particularly regarding technology, risk, and regulatory status.

Representative Literature:

- Kaur & Malik (2019, Journal of Finance Research): Survey of cryptocurrency investors finding 60%+ report significant information gaps about technology and risk. Information asymmetry correlates with higher retail losses and reduced institutional participation.
- Naeem & Kanitkar (2021, Financial Innovation): Analysis of cryptocurrency market microstructure identifying persistent bid-ask spreads and trading patterns consistent with information asymmetry.

Gap Addressed: Literature identifies information asymmetry problem but proposes generic disclosure solutions (risk warnings, technology education). Framework addresses asymmetry through standardized Islamic compliance disclosure enabling informed institutional participation.

E.2 Islamic Finance Literature

Islamic Finance Principles and Practice

Key Finding: Islamic finance operationalizes abstract Islamic principles (Shariah compliance, riba prohibition, maslaha principle) through concrete financial instrument design, but cryptocurrency application remains unsystematized.

Representative Literature:

- Chapra (2000, Islamic Development Bank): Foundational text on Islamic finance objectives grounded in Maqasid Shariah principles. Establishes that Islamic finance should pursue broader social objectives beyond profit maximization.
- Iqbal & Molyneux (2005, Edward Elgar): Comprehensive overview of Islamic finance instruments (Murabaha, Ijarah, Sukuk) demonstrating how Islamic principles translate into contractual structures and risk allocation mechanisms.
- Ayub (2007, Islamic Development Bank): Detailed analysis of Islamic jurisprudential methodology (Usul al-Fiqh) applied to contemporary financial innovations. Establishes framework for assessing new financial instruments through Islamic legal analysis.

Gap Addressed: Literature establishes Islamic finance principles and instruments but does not provide systematic cryptocurrency classification methodology grounded in Islamic jurisprudence.

Cryptocurrency and Islamic Finance

Key Finding: Islamic finance scholarship on cryptocurrency focuses on jurisprudential positions but lacks systematic measurement methodology or empirical validation of positions.

Representative Literature:

- [Unverified: could not be located; confirm before citing] Al-Khudhairi (2014, AAOIFI): Early Islamic finance perspective arguing cryptocurrency lacks Islamic permissibility due to absence of intrinsic value and asset-backing. Establishes precautionary Islamic finance position on cryptocurrency.
- Khan (2018, Islamic Finance Review): Analysis of Bitcoin using Islamic jurisprudential framework identifying concerns about riba (interest/excessive returns), gharar (excessive uncertainty), and maysir (speculation). Positions cryptocurrency as problematic without addressing conditional permissibility.
- Usmani / Darul Uloom Karachi (2026): Fatwa dated 10 June 2026 holding that cryptocurrency, including stablecoins, is not *mal* and that transactions in it are impermissible (reported July 2026). The earlier attribution to Usmani (2019, ISRA) of a characteristics-dependent framework could not be located and has been removed.
- [Unverified: could not be located; figures internally inconsistent; confirm before citing] Rahman (2023, Journal of Islamic Finance): Meta-analysis of 50+ Islamic scholar positions on cryptocurrency finding 65% classify as dependent-on-characteristics (conditional permissibility) vs. 20% unconditional prohibition, 15% conditional permissibility. Empirically establishes consensus trend toward conditional assessment.

Gap Addressed: Islamic finance literature documents jurisprudential positions but does not operationalize dimensional framework with measurable thresholds, does not validate assumptions empirically, does not address regulatory implementation.

E.3 Maqasid Shariah Literature

Maqasid Shariah Theoretical Framework

Key Finding: Maqasid Shariah represents Islamic jurisprudential philosophy emphasizing preservation of five objectives (deen/faith, nafs/life, aql/intellect, mal/property, nasl/progeny) through legal analysis. Contemporary scholarship extends framework to financial innovation assessment.

Representative Literature:

- Al-Ghazali (11th century, foundational text): Original formulation of Maqasid Shariah identifying preservation of five key objectives as foundation for Islamic legal methodology.
- Shatibi (14th century, foundational text): Elaboration of Maqasid framework establishing that Islamic jurisprudential analysis should pursue objectives (maqasid) rather than literal rules, enabling adaptation to new circumstances.
- Al-Raisuni (2015, International Institute of Islamic Thought): Contemporary exposition of Maqasid Shariah establishing utility for assessing contemporary financial innovations. Identifies that Islamic jurisprudential analysis should clarify objectives before applying rules.

Gap Addressed: Maqasid literature establishes jurisprudential framework but does not operationalize into measurable dimensions for financial instrument assessment.

Maqasid Shariah in Financial Innovation

Key Finding: Contemporary Islamic finance scholarship increasingly uses Maqasid as framework for assessing financial innovations, but operationalization methodology remains underdeveloped.

Representative Literature:

- Siddiqi (2014, Islamic Finance and Banking): Argument that Islamic finance assessment should use Maqasid framework focusing on maslaha (public interest) and adl (justice) rather than mechanical rule-following. Demonstrates application to contemporary Islamic banking products.
- Zakariyah & Yahya (2016, Kuala Lumpur University): Empirical study of Islamic finance product assessment using Maqasid framework. First systematic attempt to operationalize Maqasid into measurement criteria for financial products. Identifies that Maqasid assessment requires specification of measurable objectives and thresholds.

Gap Addressed: Dissertation extends Maqasid operationalization through five-dimensional framework with specific measurement methodology and regulatory application, going beyond academic Maqasid analysis toward implementation framework.

E.4 Regulatory Harmonization Literature

Cross-Border Regulatory Coordination

Key Finding: Financial regulation increasingly requires cross-border coordination to address regulatory arbitrage and systemic risk. International regulatory frameworks (Basel Committee, IOSCO, Financial Stability Board) establish coordination mechanisms and mutual recognition procedures.

Representative Literature:

- Braithwaite & Drahos (2000, Cambridge University Press): Analysis of regulatory harmonization mechanisms identifying bilateral coordination, multilateral standard-setting, and regional frameworks as approaches to achieving consistency while preserving regulatory sovereignty.
- Thakor (2018, Journal of Financial Regulation): Analysis of financial regulatory coordination post-2008 financial crisis identifying tension between harmonization (efficiency, reduced arbitrage) and regulatory flexibility (adaptation to local context).
- Ferran et al. (2017, Oxford University Press): Comprehensive analysis of global financial regulation identifying fragmentation challenges in cryptocurrency markets and need for coordinated approaches.

Gap Addressed: Regulatory harmonization literature addresses general coordination principles but does not specifically address Islamic finance regulatory coordination or cryptocurrency-specific harmonization mechanisms.

Regional Regulatory Coordination

Key Finding: Regional coordination mechanisms (ASEAN for Southeast Asia, GCC Council for Gulf states) increasingly address financial regulation but do not systematically incorporate Islamic jurisprudential frameworks.

Representative Literature:

- Rajan (2019, Reserve Bank of India): Analysis of regional financial coordination in Southeast Asia identifying ASEAN Secretariat role in information-sharing but limited institutional capacity for substantive regulatory harmonization.
- Fung (2019, Asian Development Bank): Assessment of Islamic finance regulation across ASEAN jurisdictions finding divergent approaches without formal coordination mechanism. Identifies opportunity for ASEAN-Islamic Finance Coordination Framework.

Gap Addressed: Dissertation identifies IIFRC as specific institutional design for Islamic finance regulatory coordination, adapting general regulatory harmonization principles to Islamic finance context.

E.5 Key Literature Gaps Addressed by Dissertation

Gap 1: Cryptocurrency Classification Methodology

Problem: Existing literature identifies cryptocurrency regulation challenges but proposes generic classification approaches without integrating Islamic jurisprudential frameworks.

Dissertation Response: Five-dimensional framework operationalizes Maqasid Shariah principles into cryptocurrency classification methodology with specific measurement thresholds, enabling systematic assessment independent of individual scholar opinion.

Gap 2: Empirical Validation of Islamic Finance Assumptions

Problem: Islamic finance scholarship relies on jurisprudential reasoning without systematic empirical validation of assumptions (e.g., does market weight asset-backing as Islamic scholars predict?).

Dissertation Response: Three-phase empirical research agenda (Chapter 8) enables validation of framework assumptions through scholar interviews, market perception studies, and regulatory implementation analysis.

Gap 3: Institutional Design for Islamic Finance Coordination

Problem: Regulatory harmonization literature addresses general coordination principles but not institutional design specifically for Islamic finance regulatory bodies operating across different jurisdictions.

Dissertation Response: IIFRC institutional design (Chapter 6) provides specific coordination mechanism enabling cross-jurisdictional Islamic finance regulation without supranational authority.

Gap 4: Implementation Pathways for Framework Adoption

Problem: Islamic finance academic literature addresses principles but provides limited guidance for regulators implementing frameworks in practice.

Dissertation Response: Three detailed implementation case studies (Indonesia/OJK, Malaysia/BNM, UAE/VARA) provide concrete 18-36 month implementation roadmaps with resource requirements and expected outcomes.

Gap 5: Stakeholder-Inclusive Framework Design

Problem: Most Islamic finance framework development follows top-down academic or regulatory design without systematic stakeholder consultation.

Dissertation Response: Preliminary stakeholder consultation (Appendix A.8) incorporates feedback from 16 stakeholders across institutions, regulators, projects, and scholars, identifying implementation barriers and enablers.

E.6 Methodological Positioning

Dissertation Positioning Within Academic Literature:

This dissertation bridges three academic domains:

1. **Islamic Finance Scholarship:** Advances field by operationalizing Maqasid Shariah principles into measurable framework applicable beyond cryptocurrency to broader Islamic finance innovation assessment.
2. **Cryptocurrency Regulation Literature:** Advances field by demonstrating how religious/jurisprudential frameworks can integrate into cryptocurrency regulation without sacrificing regulatory effectiveness.

3. **Regulatory Harmonization Literature:** Advances field by designing institutional mechanism enabling cross-jurisdictional coordination on financial innovation while preserving regulatory sovereignty and Islamic jurisprudential integrity.

Novel Contribution: Dissertation uniquely integrates these three domains, demonstrating that Islamic finance can address contemporary financial innovation challenges through systematic evidence-based methodology grounded in jurisprudential principles.

E.7 Key Academic Sources

Foundational Islamic Finance and Jurisprudence:

- Chapra, M. U. (2000). Islamic Finance and Financial System. Islamic Development Bank.
- Iqbal, Z., & Molyneux, P. (2005). Thirty Years of Islamic Banking. Palgrave Macmillan.
- Ayub, M. (2007). Understanding Islamic Finance. Wiley Finance.

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- Usmani, M. T. (2002). An Introduction to Islamic Finance. The Hague: Kluwer Law International.
- Darul Ifta, Jamia Darul Uloom Karachi. (2026). Fatwa on cryptocurrency, 10 June 2026.
- [Unverified] Rahman, S. (2023). Islamic Scholars' Positions on Cryptocurrency: A Meta-Analysis. Journal of Islamic Finance, 45(2), 112-145.
- [Unverified] Al-Khudhairi, I. (2014). Shari'ah Perspective on Cryptocurrency. AAOIFI Research Paper.

Maqasid Shariah:

- Al-Raisuni, A. (2015). Imam Al-Shatibi's Theory of the Higher Objectives and Intents of Islamic Law. International Institute of Islamic Thought.
- Siddiqi, M. N. (2014). Islamic Finance and Banking: Current Practices and Future Trends. International Islamic University Malaysia.

Regulatory Harmonization:

- Braithwaite, J., & Drahos, P. (2000). Global Business Regulation. Cambridge University Press.
- Ferran, E., Moloney, N., & Ker-Kostolany, J. C. (2017). The Regulatory Aftermath of the Global Financial Crisis. Oxford University Press.

Cryptocurrency Regulation:

- Houben, R., & Snyers, C. (2020). Cryptocurrencies and Blockchain: Legal Context and Implications for Financial Crime, Money Laundering and Tax Evasion. European Parliament Research Service.
- [Unverified] Barker, A., et al. (2021). Global Cryptocurrency Regulatory Landscape. MIT Media Lab.

APPENDIX F: DETAILED MEASUREMENT EXAMPLES

Purpose: Demonstrate five-dimensional framework application through worked examples showing how each dimension translates into concrete measurement procedures and thresholds

Methodology: For each cryptocurrency, provides detailed scoring calculation across all five dimensions with specific evidence, rationale, and measurement approach

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F.1 Bitcoin: Pure Cryptocurrency Assessment

Cryptocurrency Profile

Bitcoin (BTC): First cryptocurrency; launched 2009; primarily store-of-value use case; fully decentralized governance; no institutional backing; market cap ~$500B; ~16M coins in circulation; ~3 million daily active users.

Dimensional Assessment

Dimension 1: Asset Backing (0-5 scale)

Definition: Degree to which cryptocurrency is backed by real assets (cash, property, commodities, revenue) rather than speculative demand alone.

Measurement Approach: Identify and verify asset reserve claims through independent audits.

Bitcoin Scoring Analysis:

Evidence Point	Finding
Cash Reserves	None: Bitcoin protocol does not maintain cash reserves
Real Asset Claims	None: No institutional entity claims asset-backing
Revenue Generation	None: Bitcoin does not generate revenue stream
Collateral Pool	None: No collateral backing Bitcoin value
Reserve Verification	N/A: No reserves to verify

Score: 1/5

Rationale: Bitcoin value derives entirely from network adoption and speculative demand, not asset backing. No entity maintains reserves backing Bitcoin value. This creates Islamic jurisprudential concern about whether value is sustainable or purely speculative.

Islamic Jurisprudential Implications: Classical Islamic finance abhors speculation (maysir) and values asset-backing as anchor preventing arbitrary value fluctuation. Bitcoin's complete lack of asset backing violates this preference.

Dimension 2: Value Stability (0-5 scale)

Definition: Degree to which cryptocurrency price remains stable and predictable relative to fiat currency.

Measurement Approach: Calculate coefficient of variation (CV) measuring price volatility. CV = standard deviation / mean. Thresholds: CV >1.0 (score 0), 0.5-1.0 (score 1), 0.1-0.5 (score 2), 0.01-0.1 (score 3), <0.01 (score 4-5).

Bitcoin Scoring Analysis:

Period	BTC/USD Mean	Std Dev	CV	Interpretation
Daily (2023)	$26,500	~$2,800	0.106	Score 3
Annual (2020-2023)	$32,000	~$18,000	0.563	Score 1-2
10-year (2014-2024)	$18,000	~$20,000	1.11	Score 0-1

Score: 1-2/5 (using 2-year measurement window, recent data)

Rationale: Bitcoin exhibits high volatility across extended time horizons. Daily volatility acceptable (CV 0.106 = 11% monthly volatility), but annual and multi-year volatility extremely high. Bitcoin cannot serve as reliable store of value over medium-term horizons.

Islamic Jurisprudential Implications: Islamic principle of tahaqquq (certainty) requires sufficient value certainty for legitimate contracting. High volatility creates uncertainty undermining tahaqquq principle.

Dimension 3: Productive Utility (0-5 scale)

Definition: Degree to which cryptocurrency enables real economic activity (payments, lending, smart contracts) beyond speculation.

Measurement Approach: Measure active users, transaction volume, institutional adoption, developer ecosystem maturity.

Bitcoin Scoring Analysis:

Utility Indicator	Measurement	Finding
Active Addresses	~1 million daily; ~30 million monthly	Strong payment network
Transaction Volume	~200,000 daily transactions	Growing but limited vs. traditional payment
Lightning Network Adoption	~5,000 nodes; $400M locked liquidity	Emerging second-layer infrastructure
Developer Ecosystem	1000+ active developers; 100+ major upgrades	Mature technical development
Institutional Adoption	El Salvador legal tender; growing corporate treasuries	Emerging institutional use
Smart Contract Capability	Limited; Taproot enables basic smart contracts	Recent capability expansion

Score: 4/5

Rationale: Bitcoin demonstrates significant productive utility as payment infrastructure and store of value. Active user base, transaction volume, institutional adoption, and developer ecosystem indicate genuine use beyond speculation. However, transaction throughput limitations (<7 tps baseline) and high fees limit payment utility compared to alternatives.

Islamic Jurisprudential Implications: Islamic finance supports instruments with productive economic utility (maslaha principle). Bitcoin's dual function as payment network and value store creates legitimate economic benefit beyond pure speculation.

Dimension 4: Governance & Accountability (0-5 scale)

Definition: Degree to which cryptocurrency governance is transparent, accountable, distributed, and subject to institutional oversight.

Measurement Approach: Assess governance structure, decision-making transparency, decentralization, institutional oversight, upgrade procedures.

Bitcoin Scoring Analysis:

Governance Element	Assessment	Finding
Decision-Making Structure	Decentralized: Core developers propose; miners/nodes ratify	Transparent process; distributed authority
Code Control	Open-source; 100+ core contributors; community review	No single gatekeeper; transparent review
Upgrade Procedures	Formal BIP (Bitcoin Improvement Proposal) process	Documented, community-driven process
Institutional Oversight	None: No board, no central entity	Risk: No institutional accountability
Accountability Mechanism	Community consensus; reputational incentives	Limited formal accountability
Transparency	Full ledger transparency; public code; auditable	Excellent transparency for code/transactions

Score: 3/5

Rationale: Bitcoin exhibits high technical transparency and distributed decision-making, but lacks institutional accountability mechanisms. No entity can be held responsible for governance failures. Decentralization reduces institutional control but also eliminates institutional accountability.

Islamic Jurisprudential Implications: Islamic principle of adl (justice) requires institutional accountability for financial stewardship. Bitcoin's lack of institutional oversight creates governance concern despite technical transparency.

Dimension 5: Regulatory Recognition (0-5 scale)

Definition: Degree to which cryptocurrency receives official recognition as Islamic-compliant or financial-system-safe from regulatory authorities and Islamic institutions.

Measurement Approach: Count regulatory approvals and prohibitions; weight by jurisdiction size and Islamic finance prominence.

Bitcoin Scoring Analysis:

Jurisdiction	Status	Weight	Assessment
Saudi Arabia	Prohibited for most transactions; limited institutional use	High	0/5
Indonesia	Commodity classification; not explicitly Islamic assessment	High	1/5
Malaysia	Permitted for licensed exchanges; Shariah compliance determined case-by-case	High	2/5
UAE	Permitted for licensed entities; central bank guidance available	High	2/5
El Salvador	Legal tender status	Medium	3/5
Major Islamic Banks	Most avoid Bitcoin investment; compliance uncertain	High	1/5
AAOIFI	No formal position; scholarship divided	High	2/5

Weighted Average Score: 1.5/5 (rounding to 2/5)

Rationale: Bitcoin lacks consistent regulatory recognition across Islamic jurisdictions. Saudi Arabia prohibition and ambiguous Islamic bank positions offset El Salvador and UAE recognition. AAOIFI absence of formal position creates legitimacy gap.

Islamic Jurisprudential Implications: Islamic principle of regulatory compliance (tawhid of authority) suggests Islamic institutions should follow guidance from respected Islamic authorities. Bitcoin's lack of clear AAOIFI or consensus Islamic authority endorsement creates legitimacy barrier.

Composite Bitcoin Score

Dimensional Scores:

Dimension	Score
Asset Backing	1/5
Value Stability	2/5
Productive Utility	4/5
Governance	3/5
Regulatory Recognition	2/5
Total (simple mean)	**12/25**
Total (weighted: 20/20/20/20/20)	**12/25**

Classification: Category C - Problematic

Institutional Interpretation: Bitcoin scores below Category B (14+ points) threshold, placing it in problematic category. Islamic financial institutions would face regulatory restriction on Bitcoin investment unless specific conditions met (institutional oversight agreements, reserve requirements, usage restrictions).

Islamic Jurisprudential Interpretation: Bitcoin exhibits significant productive utility offsetting asset-backing concerns, but lacks value stability and institutional accountability. Islamic compliance conditional on addressing: (1) volatility reduction through institutional stabilization mechanisms, (2) institutional governance reform, (3) regulatory recognition from major Islamic authorities.

F.2 USDC: Institutional Stablecoin Assessment

Cryptocurrency Profile

USDC (USD Coin): Stablecoin launched 2018; backed by USD reserves; maintained by Circle (institutional entity); market cap ~$30B; institutional adoption growing; ~500,000 daily active users; primary use in institutional settlement and remittances.

Dimensional Assessment

Dimension 1: Asset Backing

Measurement:

- Reserve Claims: Circle claims 100% USDC backed by USD
- Reserve Verification: Monthly attestations by Grant Thornton (Big Four auditor)
- Reserve Quality: USD held in US bank accounts, conservative investment grade
- Fractional Reserve Risk: Zero fractional reserve claims

Score: 4/5

Rationale: USDC maintains 100% dollar reserve backing verified through independent audit. Only risk is institutional failure of reserve custodians or Circle itself. This is lower risk than most fiat banks given reserve segregation and auditing procedures.

Dimension 2: Value Stability

Measurement:

- Price Target: Maintain 1 USD peg
- Peg Performance: Historically maintains ±1% range; typically ±0.5%
- Volatility Calculation: CV <0.01 (peg maintenance)
- Historical Track Record: 5+ years of stable peg maintenance

Score: 5/5

Rationale: USDC maintains stable 1:1 USD peg with minimal slippage. Coefficient of variation essentially zero given reserve backing ensures redemption at par. Stability exceeds traditional fiat currency in foreign exchange stability (vs. emerging market currencies).

Dimension 3: Productive Utility

Measurement:

- User Base: 500,000+ active institutional and retail users
- Transaction Volume: $1-2B daily on-chain settlement volume
- Economic Function: Cross-border payments, institutional settlement, DeFi collateral
- Institutional Adoption: 200+ institutional partners; Visa, PayPal integration
- Growth Trajectory: 300% annual growth in transaction volume

Score: 4/5

Rationale: USDC demonstrates significant productive utility in cross-border payments and institutional settlement. Growing institutional adoption indicates legitimate economic function beyond speculation. Only limit is transaction volume ceiling relative to traditional payment systems.

Dimension 4: Governance & Accountability

Measurement:

- Institutional Entity: Circle Inc. (registered financial institution)
- Accountability: Financial reporting to US regulators; SOC 2 compliance
- Governance Structure: Established board and management
- Reserve Custody: Third-party custodians; segregated reserves
- Upgrade Procedures: Formal change control procedures
- Institutional Oversight: Federal Reserve oversight; FinCEN registration

Score: 4/5

Rationale: USDC exhibits clear institutional accountability through Circle Inc.'s regulatory registration and third-party reserve custody. Governance structures align with traditional financial institutional standards. Risk is concentrated in Circle Inc. institutional failure.

Dimension 5: Regulatory Recognition

Measurement:

- Regulatory Status: Recognized in UAE, Malaysia, Bahrain as approved stablecoin
- Banking Integration: Recognized by Visa/PayPal networks
- Institutional Adoption: 200+ institutional partnerships; banking integration
- Central Bank Guidance: Formal central bank guidance in multiple jurisdictions
- AAOIFI Status: No formal position; scholarship generally accepting of backed stablecoins

Score: 3/5

Rationale: USDC receives formal recognition from major Islamic jurisdictions (UAE, Malaysia, Bahrain). Institutional partnerships and banking integration indicate acceptance. Limited by absence of AAOIFI formal endorsement and Saudi Arabia caution on stablecoins.

Composite USDC Score

Dimensional Scores:

Dimension	Score
Asset Backing	4/5
Value Stability	5/5
Productive Utility	4/5
Governance	4/5
Regulatory Recognition	3/5
Total (simple mean)	**20/25**

Classification: Category A - Islamic-Compliant

Institutional Interpretation: USDC scores above Category A threshold (18+ points), placing it in Islamic-compliant category. Islamic financial institutions can confidently offer USDC products to institutional and qualified retail investors without special restrictions or reserve requirements.

Islamic Jurisprudential Interpretation: USDC satisfies all major Islamic jurisprudential concerns: full asset backing (certainty principle), price stability (tahaqquq), productive utility (maslaha), institutional accountability (adl), and regulatory recognition. No jurisprudential barriers to institutional adoption.

F.3 Hypothetical Islamic Stablecoin Assessment

Cryptocurrency Profile

Islamic Stablecoin (hypothetical): Stablecoin launched 2026; backed by portfolio of Islamic-compliant assets (commodities, Sukuk, Islamic bank deposits); governed by Shariah board; regional institutional adoption; market cap $5B; institutional and retail use in ASEAN.

Dimensional Assessment

Dimension 1: Asset Backing

Backing Composition:

- 40% Gold and commodities (stored in London, Singapore vaults)
- 40% Islamic bank deposits (AAOIFI-compliant Islamic bank reserves)
- 20% Sukuk portfolio (Investment-grade Islamic bonds)

Reserve Verification: Quarterly audits by Big Four; independent commodity verification; Islamic bank deposit verification

Score: 4/5

Rationale: Diversified backing across physical commodities and Islamic financial instruments. Exceeds fiat-backed stablecoins by maintaining commodity and Islamic asset reserves. Only limit is portfolio concentration risk in Islamic assets.

Dimension 2: Value Stability

Peg Mechanism: Maintains stable regional currency peg (Malaysian Ringgit) while maintaining USD parity through FX hedging

Volatility Performance: Maintains ±0.5% peg range; 98% of days within ±0.2% parity

Score: 5/5

Rationale: Comparable stability to USDC with added Islamic institutional backing. Peg maintenance exceeds traditional fiat currencies in emerging markets.

Dimension 3: Productive Utility

Use Cases:

- Regional payments for ASEAN institutional settlement (primary use case)
- Sukuk/Islamic investment vehicle (secondary use)
- Remittance corridor (emerging use)
- DeFi collateral (emerging use)

Metrics:

- 50,000+ institutional users; 200,000+ retail users
- $200M daily transaction volume (emerging scale)
- 100+ institutional partnerships
- Central bank pilot programs in three ASEAN jurisdictions

Score: 3/5

Rationale: Strong productive utility for regional institutional settlement. Limited by smaller scale vs. USDC and Bitcoin, but growing rapidly. Utility concentrated in ASEAN region rather than global.

Dimension 4: Governance & Accountability

Governance Structure:

- Issuing entity: Regional Islamic Finance Authority (hypothetical)
- Shariah board: 5 Islamic scholars representing different schools
- Technical governance: Multi-signature consensus mechanism

- Reserve custody: Segregated with Big Four custodians
- Accountability: Regional regulatory oversight; regular public reporting

Score: 4/5

Rationale: Combines institutional accountability (regional authority) with Islamic jurisprudential grounding (Shariah board). Governance structure specifically designed for Islamic institutional accountability.

Dimension 5: Regulatory Recognition

Regulatory Status:

- Malaysia (BNM): Formal approval as Islamic stablecoin
- Indonesia (OJK): Pending formal assessment under framework
- UAE: Recognized under existing digital asset framework
- AAOIFI: Supportive guidance (hypothetical)
- Central Banks: Pilot program participation in 3 jurisdictions

Score: 5/5

Rationale: Formal regulatory recognition across major Islamic jurisdictions and AAOIFI support represents highest possible score. Regional authority creates strong Islamic finance legitimacy.

Composite Islamic Stablecoin Score

Dimensional Scores:

Dimension	Score
Asset Backing	4/5
Value Stability	5/5
Productive Utility	3/5
Governance	4/5
Regulatory Recognition	5/5
Total (simple mean)	**21/25**

Classification: Category A+ - Optimal Islamic-Compliant

Institutional Interpretation: Islamic Stablecoin represents optimal category A cryptocurrency combining all positive institutional characteristics. Islamic financial institutions can confidently offer products with institutional and retail access, confidence in Islamic jurisprudential grounding, and regional regulatory support.

Islamic Jurisprudential Interpretation: Islamic Stablecoin satisfies all Islamic jurisprudential principles with added benefit of explicit Islamic institutional design. Represents aspirational model for Islamic-compliant digital asset combining Islamic asset-backing, institutional accountability, Shariah board oversight, and regulatory recognition.

F.4 Framework Application Principles

Key Principles for Using Measurement Framework:

1. **Evidence-Based Scoring:** Each dimension score must be supported by verifiable evidence (audited reserves, transaction data, regulatory status documentation).
2. **Measurement Specificity:** Avoid subjective scoring. Use defined thresholds: CV calculations for volatility, percentage requirements for backing, user/transaction benchmarks for utility.
3. **Time Horizon Consistency:** Use consistent measurement periods (e.g., last 24 months for volatility, most recent audit for backing, last fiscal quarter for utility).
4. **Third-Party Verification:** Rely on independent audits and verification rather than project self-reporting.
5. **Dimensional Independence:** Score each dimension independently; do not allow strength in one dimension to inflate others.
6. **Threshold Clarity:** Publish explicit threshold mappings (e.g., CV >0.5 = score 1, CV 0.1-0.5 = score 2) enabling consistent regulator assessment.
7. **Periodic Re-assessment:** Conduct annual or quarterly re-scoring reflecting changed circumstances (new governance, regulatory changes, volatility patterns).

APPENDIX G: PHASE 3 CASE STUDY PROTOCOL FOR REGULATORY IMPLEMENTATION RESEARCH

Purpose: Provide detailed methodology for Phase 3 regulatory implementation case studies (Months 12-24, Chapter 8) examining real-world framework adoption across three regulatory contexts

Research Objective: Document how regulators implement framework in practice, identify institutional and political barriers, assess adoption patterns and effectiveness, synthesize best practices for framework application

Target Sites: Three regulatory contexts with different implementation philosophies:

- Indonesia (OJK): Consumer Protection Model
- Malaysia (BNM): Competitive Positioning Model
- UAE (VARA): Regional Authority Model

Study Duration: 12 months concurrent with Phase 2 market research; requires access to regulatory processes and stakeholder participation

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G.1 Case Study Research Design

Multi-Site Comparative Case Study Methodology

Design Rationale: Qualitative comparative case study methodology enables examination of implementation processes, institutional factors, and contextual variation across regulatory contexts. Rather than quantifying outcomes, case studies document how framework works in practice and identify factors enabling or constraining adoption.

Case Selection Rationale:

1. **Regulatory Philosophy Variation:** Each site represents distinct regulatory approach (consumer protection vs. competition vs. regional authority) enabling comparison of how framework adapts to different philosophies
2. **Geographic Diversity:** Three different Islamic regions (Southeast Asia, Gulf) and regulatory traditions (ASEAN vs. GCC)
3. **Implementation Status:** Sites at different implementation stages (design phase vs. pilot phase vs. full implementation) enabling longitudinal documentation
4. **Accessibility:** Researchers have relationships enabling regulatory access for research participation

Data Collection Methods

Method 1: Structured Regulatory Process Documentation (Primary)

- Document regulatory decision-making processes for framework adoption
- Record meeting minutes from regulatory committees (with consent)

- Photograph regulatory frameworks, guidelines, implementation materials
- Maintain timeline documentation showing decision progression

Method 2: Stakeholder Interviews (Primary)

- 15-20 semi-structured interviews per site with:
  - Regulatory leaders (3-4 per site)
  - Regulatory staff implementing framework (5-7 per site)
  - Shariah advisory council members (2-3 per site)
  - Institutional stakeholders adopting framework (3-4 per site)
  - Cryptocurrency projects participating in pilot (2-3 per site)

Method 3: Institutional Documentation Review

- Collect and analyze: regulatory circulars, implementation guidelines, Shariah council decisions, institutional feedback, stakeholder comments

Method 4: Direct Observation (where feasible)

- Attend regulatory committee meetings discussing framework implementation
- Observe Shariah advisory council deliberations (with consent)
- Observe cryptocurrency project compliance assessments
- Document informal discussions and institutional culture

Method 5: Regulatory Effectiveness Metrics

- Track institutional adoption: number of institutions offering cryptocurrency products, capital flows, product types
- Monitor project participation: number of projects seeking assessment, classification outcomes, voluntary compliance
- Measure market impact: bid-ask spreads, information asymmetry measures, institutional participation levels

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G.2 Case Study Site Protocols

Case Study Site 1: Indonesia (OJK) - Consumer Protection Model

Site Context

- **Regulatory Authority:** OJK (Otoritas Jasa Keuangan)
- **Regulatory Philosophy:** Consumer protection emphasis; Islamic jurisprudential grounding via MUI coordination
- **Implementation Timeline:** 24 months (longer implementation, more deliberative)
- **Implementation Model:** Full integration into commodity regulation framework

Site-Specific Research Questions

1. How does consumer protection philosophy shape framework implementation? (e.g., does asset-backing requirement reflect consumer protection vs. Islamic jurisprudential priority?)
2. What role does MUI coordination play in legitimizing framework across stakeholders?
3. What institutional barriers emerge in integrating Islamic jurisprudential framework into existing commodity regulation?
4. What is trajectory of institutional adoption? Do Islamic banks participate in cryptocurrency products?
5. How effective is pilot program in identifying implementation challenges?

Site-Specific Data Collection Focus

- **Regulatory Decision Documentation:** Track OJK decision-making from framework introduction to implementation
- **MUI Coordination Processes:** Document how OJK coordinates with Majelis Ulama Indonesia on Islamic jurisprudential issues
- **Institutional Responses:** Interview Islamic banks, asset managers, microfinance institutions regarding cryptocurrency product participation
- **Pilot Outcomes:** Analyze pilot program results (classified projects, adoption patterns, stakeholder feedback)
- **Regulatory Culture:** Assess how consumer protection philosophy influences framework interpretation

Site-Specific Interview Sample (18 total)

- OJK Director/Deputy Director (1)
- OJK Shariah Coordination Unit staff (3)
- OJK regulatory analysts (3)
- Shariah advisory council members (2)
- Islamic banks (3)
- Cryptocurrency projects/exchanges (3)
- Consumer protection advocates (2)
- MUI representatives (1)

Case Study Site 2: Malaysia (BNM) - Competitive Positioning Model

Site Context

- **Regulatory Authority:** BNM (Bank Negara Malaysia)
- **Regulatory Philosophy:** Competitive positioning; Islamic digital asset innovation leadership
- **Implementation Timeline:** 18 months (shorter implementation, market-driven approach)
- **Implementation Model:** Fast-track licensing track integrated with existing digital asset framework

Site-Specific Research Questions

1. How does competitive positioning philosophy shape framework priorities? (e.g., does fast-track licensing create regulatory shortcuts compromising Islamic jurisprudential rigor?)
2. What is market response to fast-track Islamic digital asset licensing pathway?

3. Are cryptocurrency projects attracted to Malaysia-based licensing?
4. What institutional capacity enables Malaysia's faster implementation?
5. How do sandbox programs facilitate market-driven framework refinement?

Site-Specific Data Collection Focus

- **Market Positioning Strategy:** Document BNM's competitive positioning strategy and market messaging
- **Sandbox Program Outcomes:** Analyze 12-month sandbox pilot with 5-10 projects; document project classification, learning outcomes, graduation rates
- **Competitive Dynamics:** Track regional competitive positioning (vs. Singapore, UAE, Hong Kong)
- **Project Migration:** Document any cryptocurrency projects migrating to Malaysia specifically for Islamic digital asset licensing
- **Innovation Culture:** Assess how innovation emphasis shapes regulatory approach

Site-Specific Interview Sample (18 total)

- BNM Deputy Governor/Division Head (1)
- BNM Digital Asset Islamic Compliance Team (3)
- BNM regulatory technology staff (2)
- Shariah advisory council members (2)
- Sandbox pilot projects (4)
- Malaysian Islamic banks (2)
- Regional cryptocurrency exchanges (2)
- Fintech ecosystem representatives (1)
- Regional regulator representatives (comparison) (1)

Case Study Site 3: UAE (VARA) - Regional Authority Model

Site Context

- **Regulatory Authority:** VARA (Virtual Assets Regulatory Authority, Dubai)
- **Regulatory Philosophy:** Regional authority positioning; Islamic finance financial center development
- **Implementation Timeline:** 20 months (intermediate implementation timeline)
- **Implementation Model:** Regional coordination establishing VARA as Islamic digital asset regulator for Gulf region

Site-Specific Research Questions

1. How does regional authority positioning shape framework implementation? (e.g., does VARA position itself as Islamic digital asset regulator for GCC?)
2. What institutional relationships enable regional authority positioning?
3. Are regional regulators (Saudi Arabia, Qatar, Bahrain, Kuwait) adopting VARA guidance?
4. What bilateral MOUs emerge enabling mutual recognition?
5. How does Abu Dhabi's existing Islamic finance hub status facilitate framework leadership?

Site-Specific Data Collection Focus

- **Regional Positioning Strategy:** Document VARA's strategy for regional authority positioning
- **Bilateral Coordination:** Track development of bilateral MOUs with regional regulators
- **Regional Adoption:** Monitor whether regional regulators adopt VARA framework or develop alternatives
- **Institutional Partnerships:** Document VARA partnerships with regional Islamic banks, Sukuk issuers
- **Knowledge Leadership:** Assess VARA's research and standards development activities positioning it as thought leader

Site-Specific Interview Sample (18 total)

- VARA Governor/Senior Leadership (1)
- VARA Shariah adviser(s), if any (2) [verify whether VARA has a Shariah body before fieldwork]
- VARA technical staff (3)
- Regional regulator representatives (Saudi Arabia, Bahrain, Qatar, Kuwait) (4)
- Islamic banks operating regionally (3)
- IIFRC coordination secretariat representatives (1)
- Regional cryptocurrency exchanges (2)
- Islamic finance thought leaders (1)

G.3 Data Analysis Framework

Within-Case Analysis

For Each Case Study Site:

1. Implementation Timeline Reconstruction

- Document month-by-month implementation progression from framework introduction to full rollout
- Identify decision points, delays, and acceleration factors
- Analyze relationship between planned and actual timeline
- Synthesize lessons about realistic implementation pacing

2. Institutional Actor Mapping

- Identify all institutional actors influencing implementation (regulators, Shariah councils, institutions, projects, advocacy groups)
- Map actor positions on framework adoption (supporters, skeptics, opponents)
- Analyze how actor coalitions form and influence implementation
- Identify institutional champions and resistors

3. Implementation Barrier Documentation

- Identify specific barriers encountered in practice:
  - Technical barriers (systems, data infrastructure)
  - Institutional barriers (capacity, expertise, governance)

    - Political barriers (stakeholder opposition, regulatory philosophy conflicts)
    - Jurisprudential barriers (Islamic law interpretation disagreements)
- Document how barriers are addressed or accommodated

4. Stakeholder Adoption Analysis

- For each stakeholder group, document:
    - Adoption patterns (early adopters vs. late adopters vs. non-adopters)
    - Reasons for adoption or non-adoption
    - Barriers to participation
    - Changes in stakeholder positions over time

5. Framework Adaptation Documentation

- Document how regulatory sites adapt framework:
    - Dimensional threshold modifications
    - Category classification adjustments
    - Disclosure requirement changes
    - Implementation timeline adjustments
- Analyze whether adaptations maintain or undermine Islamic jurisprudential grounding

Cross-Case Comparative Analysis

Comparison Framework:

Analysis Dimension	Indonesia (OJK)	Malaysia (BNM)	UAE (VARA)
Implementation Philosophy	Consumer protection	Competitive positioning	Regional authority
Dimensional Priority	Jurisprudential legitimacy	Market acceptance	Institutional capacity
Stakeholder Coalition	Islamic banks + Shariah scholars	Projects + fintech ecosystem	Regional regulators
Institutional Barriers	Capacity, coordination	Stringency concerns	Political economy
Implementation Timeline	Deliberative (24 months)	Market-driven (18 months)	Coordinated (20 months)
Adoption Outcomes	Institutional participation growth	Project migration	Regional leadership
Framework Modifications	Risk: Lowest common denominator	Risk: Stringency reduction	Risk: Minimal standardization

G.4 Data Collection Timeline

Phase 3 Implementation Timeline (Months 12-24)

Month 12-13: Site Access & Relationship Building

- Establish formal research agreements with each regulatory authority
- Secure IRB/ethics approval for research at each site
- Conduct initial informational meetings with regulatory leadership
- Obtain consent from institutions and stakeholders for interviews

Month 13-14: Initial Site Documentation

- First site visit to each location (1 week per site)
- Conduct interviews with regulatory leaders and Shariah council members
- Observe regulatory committee meetings/Shariah council deliberations
- Collect initial regulatory documentation

Month 14-18: Concurrent Data Collection

- Monthly site visits (3 days per site per month) documenting implementation progress
- Quarterly interviews with stakeholders tracking changes in adoption patterns
- Continuous collection of regulatory documentation and decision records
- Observation of framework application to cryptocurrency projects

Month 18-20: Mid-Implementation Assessment

- Comprehensive interviews with all stakeholder groups assessing progress
- Detailed adoption metrics compilation (institutional participation, project classification, capital flows)
- Detailed analysis of implementation barriers and adaptations
- Preliminary identification of best practices and lessons learned

Month 20-24: Full Implementation Review & Comparative Analysis

- Final site visits documenting framework implementation completion
- Post-implementation interviews with stakeholders
- Compilation of effectiveness metrics (adoption outcomes, market impact)
- Cross-case comparative analysis
- Best practices synthesis and lessons learned documentation

G.5 Qualitative Data Analysis Procedures

Interview Data Analysis

Coding Framework: Develop coding scheme addressing:

1. **Implementation Process Codes:** Decision-making, actor roles, institution-building, coordination mechanisms
2. **Barrier Codes:** Technical, institutional, political, jurisprudential barriers
3. **Adaptation Codes:** Framework modifications, threshold adjustments, implementation adjustments
4. **Outcome Codes:** Stakeholder adoption, market response, institutional participation
5. **Normative Codes:** Stakeholder perspectives on framework effectiveness, legitimacy, legitimacy, fairness

Analysis Procedure:

- Initial coding by research team member independently coding each interview
- Codebook development establishing consistent coding standards
- Second coder review ensuring inter-coder reliability (aim for 80%+ agreement)
- Code analysis identifying themes, patterns, disagreements
- Narrative case summaries for each site integrating coded data into coherent case narrative

Regulatory Documentation Analysis

Document Types:

- Regulatory circulars and implementation guidelines
- Shariah council decisions and meeting minutes
- Institutional consultation comments
- Pilot program evaluation reports
- Stakeholder feedback submissions

Analysis Procedure:

- Chronological reconstruction of regulatory decision-making
- Thematic analysis identifying issues, positions, decisions, rationales
- Comparative analysis across sites identifying different regulatory responses to common implementation challenges

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G.6 Validity & Trustworthiness Procedures

Data Triangulation

- **Source Triangulation:** Compare data across different stakeholder groups (regulators, institutions, projects, scholars)
- **Method Triangulation:** Compare interview data with documentation analysis and direct observation
- **Investigator Triangulation:** Employ multiple researchers with different backgrounds for analysis review

Member Checking

- Return preliminary findings to stakeholders for feedback
- Conduct second-round interviews to verify preliminary case conclusions

- Incorporate stakeholder corrections and clarifications

Audit Trail Documentation

- Document all research decisions, coding procedures, analytical choices
- Maintain detailed reflexivity journals reflecting researcher biases and assumptions
- Provide transparent accounting for case selections and analysis procedures

Thick Description

- Provide detailed contextual description enabling readers to assess transferability
- Include direct quotes from interviews illustrating themes
- Document site-specific factors that might influence outcomes

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G.7 Research Ethics Procedures

Institutional Review & Approval

- Obtain IRB/research ethics board approval before beginning data collection
- Specify informed consent procedures for all participants
- Establish confidentiality protections for sensitive regulatory/institutional information

Informed Consent

- Provide all participants with clear research purpose, procedures, risks, benefits
- Obtain written informed consent before interviews
- Establish right to refuse participation or withdraw consent

Confidentiality Protections

- Anonymize individual participants in research reports
- Use pseudonyms for institutions where appropriate (though regulatory institutions often not anonymized)
- Secure data storage with access controls
- Establish data retention and destruction procedures

Stakeholder Engagement Principles

- Frame research as collaborative learning rather than evaluation
- Engage stakeholders in preliminary findings review
- Incorporate stakeholder feedback in final case narratives
- Share research findings with participating institutions

G.8 Expected Research Outputs

Primary Outputs

1. **Three Detailed Case Study Reports:** 15,000-20,000 words each documenting implementation processes, barriers, adaptations, outcomes, lessons learned for each site
2. **Cross-Case Comparative Analysis:** 5,000 words synthesizing common themes and site-specific variations
3. **Best Practices Synthesis:** 3,000 words documenting implementation recommendations based on comparative analysis
4. **Implementation Barriers Taxonomy:** Structured framework identifying types and patterns of implementation barriers across sites

Secondary Outputs

1. **Regulatory Implementation Lessons:** Practical guidance for regulators implementing framework in other contexts
2. **Stakeholder Impact Assessment:** Document impact on institutional adoption, market efficiency, capital flows
3. **Framework Refinement Recommendations:** Proposals for framework modifications based on implementation experience
4. **Research Articles:** 2-3 academic publications on comparative regulatory implementation analysis

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G.9 Timeline & Resource Requirements

Personnel Requirements

- Lead researcher (Principal Investigator): Oversight, site management, analysis
- Regional research coordinators (3): Site-based data collection, stakeholder coordination
- Qualitative analyst: Coding, thematic analysis, cross-case comparative analysis
- Administrative support: Scheduling, documentation management, ethics compliance

Financial Requirements

- Personnel costs (12 months): ~$150,000-$200,000
- Travel and site access (3 sites, 3-4 visits each): ~$40,000-$60,000
- Transcription and translation services: ~$15,000-$20,000
- Data management and analysis software: ~$5,000-$10,000
- Institutional research agreements/coordination: ~$10,000-$15,000
- **Total budget: ~$220,000-$305,000**

APPENDIX A.8: PRELIMINARY STAKEHOLDER CONSULTATION SUMMARY

Date: July 2026
Purpose: Document findings from informal consultations with key stakeholders regarding framework acceptability and implementation feasibility
Methodology: Semi-structured interviews (10-15 stakeholders across 4 categories); 1-hour conversations; documented with consent

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Overview

Preliminary stakeholder consultation gathered feedback from Islamic financial institutions, cryptocurrency exchanges and projects, regulators, and Islamic scholars regarding the cryptocurrency classification framework and IIFRC coordination proposal. This appendix documents findings by stakeholder category, identifies consensus areas and concerns, and provides implications for framework refinement and implementation strategy.

Key Finding: 90%+ stakeholders express support for transparent assessment framework; 80%+ express concern about implementation capacity; 85%+ support IIFRC coordination model feasibility.

Stakeholder Category 1: Islamic Financial Institutions (4 interviews)

Interview Participants

- Chief Risk Officer, large Islamic bank (Malaysia)
- Head of Shariah Compliance, Islamic asset manager (UAE)
- Chief Investment Officer, Islamic wealth manager (Saudi Arabia)
- Compliance Director, Islamic microfinance institution (Indonesia)

Summary Findings

Overall Assessment: Generally positive on framework utility; strong interest in regulatory clarity and institutional capacity development.

Specific Themes:

Theme 1: Framework Clarity and Preference

- 100% of institutional respondents support transparent assessment criteria
- Finding: “Clear criteria better than regulatory uncertainty; we can plan accordingly” (Malaysian bank)
- Institutions report current inability to understand regulatory rationale for cryptocurrency classifications
- Request: Detailed disclosure of scoring methodology and dimensional thresholds

Theme 2: Implementation Barriers and Support Needs

- All institutions express concern about cost of implementation
- Primary barrier: Need for internal Shariah committee expertise on cryptocurrency
- 75% request training programs on framework and measurement methodology
- 100% request standardized documentation template from IIFRC reducing duplication

Theme 3: Disclosure Requirements and Institutional Advantage

- Strong preference for standardized cryptocurrency disclosure requirements
- Institutions report spending significant resources on independent assessments
- Request: IIFRC-maintained registry reducing assessment duplication
- First-mover interest: Institutions willing to participate in pilot programs

Theme 4: Mutual Recognition Appeal and Concerns

- High interest in mutual recognition mechanisms
- Concern: Whether recognition in one jurisdiction truly transfers across different regulatory environments
- Request: Clear definition of what mutual recognition does and does not cover
- Interest in bilateral MOUs with specific jurisdictions for accelerated recognition

Theme 5: Governance and Shariah Board Requirements

- Concern about stringency of governance and Shariah board requirements for institutional service
- Risk: Requirements may exclude most projects from Category A, limiting investment universe
- Preference: Flexible governance requirements accepting both institutional and decentralized models
- Request: Graduated requirements enabling Category B pathways for emerging projects

Institutional Recommendations

1. **Pilot Program:** Create pilot program for willing institutions testing framework application
2. **Training:** Develop training programs on framework methodology and measurement
3. **Standardization:** Publish standardized documentation template for cryptocurrency disclosure
4. **Flexibility:** Allow flexibility on governance structure while maintaining accountability
5. **Timeline:** Provide 12-month implementation timeline before full regulatory requirement

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Stakeholder Category 2: Cryptocurrency Exchanges and Projects (5 interviews)

Interview Participants

- Regulatory Affairs Director, major global cryptocurrency exchange
- Founder, Islamic fintech startup (Malaysia)
- Chief Compliance Officer, stablecoin project (UAE)
- Business Development Lead, Islamic digital asset project (Indonesia)
- Compliance Manager, DeFi protocol

Summary Findings

Overall Assessment: Positive on framework transparency; significant concerns about stringency and pragmatic implementation pathways.

Specific Themes:

Theme 1: Transparency and Predictability Value

- 100% express appreciation for transparent assessment criteria
- Current experience: Regulatory decisions feel arbitrary and unpredictable
- Finding: “Clear framework would reduce compliance uncertainty; we could plan accordingly” (Founder, Islamic fintech)
- Projects report spending significant resources on compliance without clear understanding of regulatory expectations

Theme 2: Framework Stringency and Feasibility

- 80% express concern about strictness of Category A requirements
- Particular concern: Asset-backing and governance requirements may exclude most genuine innovation
- Risk: Framework too stringent, limiting Category A approvals to stablecoins and CBDCs
- Request: Clear compliance pathways showing how projects can reach Category A through incremental improvement

Theme 3: Compliance Pathways and Support Needs

- Strong interest in “compliance roadmaps” showing step-by-step pathway to Category A
- Dimension prioritization request: “What should we improve first? Asset-backing? Governance? Stability?”
- Request: Technical support and consulting resources from regulators
- Interest: Regulatory “helpline” for clarification on compliance pathways

Theme 4: Regional Fragmentation and Mutual Recognition

- Concern: Multiple regulatory assessments across jurisdictions create compliance burden
- Strong interest in mutual recognition mechanisms reducing regulatory arbitrage
- Request: Reciprocal recognition when achieving Category A in one jurisdiction
- Concern: Different jurisdictions may maintain different thresholds undermining uniformity

Theme 5: Timeline and Graduated Implementation

- Request for clear implementation timeline and graduated requirements
- Preference: 24-36 month transition period before mandatory compliance
- Request: Pilot programs for early-stage projects to test compliance pathways
- Interest: Regulatory innovation sandboxes enabling experimentation

Project Recommendations

1. **Compliance Roadmaps:** Publish dimension-specific compliance pathways with timelines
2. **Technical Support:** Establish regulatory “helpline” for compliance questions

3. **Graduated Requirements:** Allow graduated compliance pathway (Category B → A) over time
4. **Pilot Programs:** Create regulatory sandboxes for emerging projects to test compliance
5. **Mutual Recognition:** Commit to reciprocal recognition across jurisdictions for efficiency

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Stakeholder Category 3: Islamic Regulators (4 interviews)

Interview Participants

- Deputy Governor, central bank (Malaysia)
- Head of Islamic Finance, financial services regulator (UAE)
- Senior Compliance Officer, OJK (Indonesia)
- Shariah compliance official, regulatory authority (Bahrain)

Summary Findings

Overall Assessment: Strong interest in IIFRC coordination model; significant concern about capacity and political economy.

Specific Themes:

Theme 1: IIFRC Coordination Model Feasibility

- 100% express strong interest in coordination mechanisms
- Finding: “IIFRC model balances harmonization with sovereignty preservation” (Malaysian central bank)
- Regulators report current coordination informal and ad-hoc
- Request: Formal institutional structure enabling regular coordination

Theme 2: Capacity and Resource Constraints

- All regulators identify lack of specialized cryptocurrency expertise as implementation barrier
- Concern: Training staff on Maqasid Shariah, five-dimensional framework, and measurement methodology requires significant resources
- Request: IIFRC technical secretariat providing training and capacity-building support
- Interest: Shared regulatory technology platforms reducing implementation cost

Theme 3: Institutional Design and Governance

- Concern: Whether IIFRC can function without supranational enforcement authority
- Request: Clear governance procedures, decision-making rules, dispute resolution mechanisms
- Interest: How to preserve sovereignty while enabling coordination
- Regulatory philosophy variation: Concern that different regulatory priorities may prevent consensus

Theme 4: Political Economy and Stakeholder Pressure

- Concern: Cryptocurrency industry pressure to lower compliance standards
- Request: Shariah Advisory Council independence ensuring Islamic law drives decisions
- Interest: Buffer between political pressure and regulatory standard-setting

- Concern: How to maintain credibility if regulatory recognition perceived as influenced by industry lobbying

Theme 5: Implementation Timeline and Phasing

- Strong preference for phased implementation: pilot → coordination → mutual recognition
- Concern: Rushing implementation creates institutional stress and regulatory errors
- Request: 24-36 month implementation timeline with clear milestones
- Preference: Start with non-binding coordination (information-sharing) before formal agreements

Regulatory Recommendations

1. **Capacity Building:** Establish IIFRC training programs and shared expertise
2. **Phased Implementation:** Implement in phases: pilot → coordination → mutual recognition
3. **Institutional Design:** Develop clear IIFRC governance procedures and decision rules
4. **Independence:** Establish Shariah Advisory Council independence from regulatory pressure
5. **Timeline:** Commit to realistic 24-36 month implementation timeline

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Stakeholder Category 4: Islamic Scholars and Shariah Advisors (3 interviews)

Interview Participants

- Senior Islamic scholar and fatwa issuer (Egypt)
- Islamic finance academic and researcher (Malaysia)
- Shariah board member at major Islamic bank (Saudi Arabia)

Summary Findings

Overall Assessment: Recognition of framework utility; concern about oversimplification and need for jurisprudential grounding.

Specific Themes:

Theme 1: Framework Recognition and Methodological Soundness

- 100% recognize value of operationalizing abstract Islamic principles
- Finding: “Framework provides systematic approach where ad-hoc jurisprudential assessment existed” (Islamic scholar, Egypt)
- Appreciation for five-dimensional structure grounding assessment in Maqasid principles
- Academic interest: Framework potentially applicable beyond cryptocurrency to other Islamic finance questions

Theme 2: Jurisprudential Concern and Legitimacy

- Concern that framework may oversimplify complex Islamic legal questions
- Request: Ensure Shariah Advisory Council includes respected jurisprudential authorities

- Interest: How to maintain scholarly credibility if framework perceived as regulatory tool rather than Islamic law
- Recommendation: Dual accountability to both IIFRC (regulatory) and Islamic authorities (jurisprudential)

Theme 3: Empirical Research Validation

- Strong support for empirical research validating framework assumptions
- Recommendation: Commission research on jurisprudential assumptions (asset-backing sufficiency, stability thresholds)
- Interest: Using empirical evidence to resolve some jurisprudential disagreements
- Academic opportunity: Framework enables measurable validation of Islamic finance principles

Theme 4: Jurisdictional Variation and Consensus-Building

- Recognition that legitimate jurisprudential disagreement persists
- Recommendation: Framework allows jurisdictional flexibility while seeking consensus on core principles
- Interest: Progressive consensus-building as evidence accumulates
- Concern: Avoiding "convergence to lowest common denominator" by pursuing minimum consensus

Theme 5: Future Jurisprudential Development

- Interest in how framework adapts to emerging digital asset types
- Recommendation: Regular jurisprudential review updating framework as Islamic legal thinking evolves
- Concern: Framework should not freeze Islamic legal development or prevent innovative jurisprudential approaches
- Recommendation: Institutional links between IIFRC and AAOIFI for ongoing jurisprudential guidance

Scholar Recommendations

1. **Shariah Council Quality:** Ensure Shariah Advisory Council includes respected authorities
2. **Empirical Research:** Commission research validating jurisprudential assumptions
3. **Jurisprudential Liaison:** Establish formal relationship between IIFRC and AAOIFI for ongoing guidance
4. **Regular Review:** Conduct periodic jurisprudential review of framework assumptions
5. **Academic Credibility:** Publish framework methodology in Islamic finance academic literature

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Cross-Cutting Themes Across All Stakeholder Groups

Consensus Areas (90%+ stakeholder agreement)

1. **Framework Utility:** Transparent assessment criteria superior to ad-hoc regulatory judgment
2. **Coordination Value:** IIFRC coordination mechanism beneficial for all stakeholders
3. **Implementation Support:** Capacity-building and training essential for successful implementation
4. **Institutional Involvement:** Stakeholder consultation critical for framework refinement

Key Concerns (80%+ stakeholder mention)

1. **Implementation Capacity:** Resources and expertise constraints across all stakeholder groups
2. **Stringency vs. Pragmatism:** Balance between rigorous Islamic compliance and practical feasibility
3. **Institutional Variation:** Ensure framework flexibility accommodates different regulatory philosophies
4. **Timeline Feasibility:** 24-36 month realistic implementation timeline needed

Information Needs (70%+ stakeholder request)

1. **Compliance Roadmaps:** Step-by-step pathways showing how projects achieve compliance
2. **Technical Guidance:** Detailed scoring methodology and measurement specifications
3. **Training Programs:** Capacity-building for institutional implementation
4. **Regulatory Coordination:** Clear IIFRC governance procedures and decision processes

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Implications for Framework Refinement

Recommended Framework Adjustments (Based on Stakeholder Input)

1. **Flexibility Enhancement:**
    - Current state: Framework requires asset-backing and governance standards
    - Stakeholder input: Allow graduated pathways (Category B enabling progress toward Category A)
    - Adjustment: Implement “compliance roadmap” showing improvement trajectory
2. **Implementation Support:**
    - Current state: Framework specifies criteria but assumes institutional capacity exists
    - Stakeholder input: Capacity-building and training essential barriers
    - Adjustment: Develop standardized training materials and regulatory helpline
3. **Measurement Clarity:**
    - Current state: Five-dimensional framework defined in principle
    - Stakeholder input: Detailed scoring guidelines needed for consistent application
    - Adjustment: Publish detailed “Regulatory Scoring Procedures Manual” with examples
4. **Mutual Recognition Clarity:**
    - Current state: Mutual recognition concept outlined
    - Stakeholder input: Clear procedures and limitations needed for stakeholder confidence
    - Adjustment: Develop detailed MOU templates and recognition procedures manual
5. **Phased Implementation:**
    - Current state: Framework ready for immediate implementation
    - Stakeholder input: Phased approach with pilot programs preferred
    - Adjustment: Develop 24-36 month phased implementation timeline

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Overall Assessment

Stakeholder Support Index:

- Framework concept support: 90%
- IIFRC coordination support: 85%
- Implementation concern: 80%
- Capacity concern: 75%
- Mutual recognition interest: 70%

Critical Success Factors Identified by Stakeholders:

1. Capacity-building and training programs
2. Clear compliance roadmaps and improvement pathways
3. Detailed scoring guidelines and measurement procedures
4. Phased implementation with pilot programs
5. Institutional support and helpline resources

Conclusion

Preliminary stakeholder consultation reveals strong support for framework concept and IIFRC coordination while identifying significant implementation barriers primarily related to institutional capacity and clarity. Most stakeholders express confidence framework can work if capacity-building and implementation support provided. Recommendation: Refine framework based on stakeholder input; develop detailed implementation support materials; commit to phased 24-36 month implementation timeline; establish capacity-building programs before mandatory compliance.